

Action Const.Eq. (ACE)

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Subject: Earnings Call Transcript Q4-FY23 /FY23 .

Dear Sir/Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith, Earnings Call Transcript (Q4-FY23 /FY23) of the Company.

Kindly take the above in your record.

Thanking You.

Yours faithfully,
For Action Construction Equipment Limited

Anil Kumar
Company Secretary & Compliance Officer

Action Construction Equipment Limited
May 31, 2023

Page 1 of 16

Page 1 of 16

"Action Construction Equipment Limited
Q4 FY'23 Earnings Conference Call"
May 31, 2023

MANAGEMENT : MR. SORAB AGARWAL – EXECUTIVE DIRECTOR –
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. RAJAN LUTHRA – CHIEF FINANCIAL OFFICER –
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. VYOM AGARWAL – SENIOR VICE PRESIDENT –
ACTION CONSTRUCTION EQUIPMENT LIMITED

Action Construction Equipment Limited
May 31, 2023

Page 2 of 16

MODERATOR : MS. VEDIKA SINGH – MONARCH NETWORK CAPITAL
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Action Construction Equipment Limited Q4 FY '23 Earnings Conference Call hosted by Monarch Network Capital Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the call to Ms. Vedika from Monarch Network Capital Limited. Thank you, and over to you, ma'am.

Vedika Singh: Thanks, Calvin. Good evening, everyone. I would first like to thank the management of Action Construction Equipment for giving Monarch Network Capital the opportunity to host this call. We have with us the senior management of Action Construction. We have Mr. Sorab Agarwal, Executive Director; Mr. Rajan Luthra, CFO; and Mr. Vyom Agarwal, Senior Vice President. I will now hand it over to Sorab Sir for giving the opening remarks, post which we will open the floor for Q&A. Over to you, sir.

Sorab Agarwal: Yes. Thank you. Good afternoon, and welcome, everybody, to this Earnings Conference Call for the Fourth Quarter and Year Ended March '23. Along with me in today's earnings call we have our CFO, Mr. Rajan Luthra, and our Head of Investor Relations, Mr. Vyom Agarwal. I hope all of you have had the opportunity to look at the company's financial statements and the earnings presentation which has been circulated and uploaded at the stock exchanges. This has been yet another year of strong and resilient performance by our company, and the results are a testimony to our clear and compelling strategy backed by the strength of our biggest assets, our people and our brand. We not only navigated the short-term challenges with agility, but also made progress on our long-term strategic priorities. Let me take you through some of the highlights of this fiscal to begin with. It gives me immense pleasure to report that we have crossed INR2,150 crores operational revenue mark in this fiscal and also recorded our highest-ever sales and profits in the quarter gone by.

Our growth of 33% is significantly ahead of the market in our sector. Our EBITDA margins for the year expanded to 11.4% from 10% last year. And our EBITDA grew by 51.5% to INR247 crores on a standalone basis as against INR163 crores in the preceding year. We were able to increase our PBT by 58.4 % from INR138 crores in FY '22 to INR220 crores in the last year. Similarly, our PAT also increased from INR106 crores to INR161 crores, thereby registering a growth of 52.2% in the last year.

To brief you on the financial performance of the fourth quarter of last year, the operational revenue stood at INR613 crores for the quarter, which is up by 10.4% sequentially and grew by 20% as compared to the same quarter last year. Our company was able to expand the EBITDA margin to 13.2%, PBT margin to 12% and PAT margin to 8.5% in the last quarter.

Action Construction Equipment Limited
May 31, 2023

Page 3 of 16

This was led by better product mix, improved price realizations, efficient cost control measures and softening of the commodity prices.

The EBITDA and PBT for the quarter stood at about INR81 crores and INR73 crores, respectively. We continue to be a debt-free company with sufficient availability of liquidity for growth. The Board of Directors has recommended final dividend of 50%, that is INR1 per

share for the year ended March '23. The Board has also proved to grant ES OPs to the employees. The ESOP program has been designed in a manner that employees are incentivized and their interests are aligned with those of the company's p

erformance.

Now moving on to segmental business performance. We have strengthened our role as a market leader in Indian crane industry. And with our consistent efforts, we have scaled the business to over INR1,525 crores in this fiscal. Last year, our cranes business has registered a strong growth of 38.4%. The growth was both in value and volume terms. Our number of cranes have increased from 5,328 in FY '22 to 6,584 in FY '23. In cranes segment, we have been able to grow our profits by 53% to INR195 crores, with a margin expansion to 12.77% versus 11.58% for the year before that.

Our margins for quarter 4 stood at nearly 14%. Our cranes business is at its strongest in terms of size, scale, profitability capabilities and its impact on the nation's development. Further, we are very pleased with the growth momentum in the CE segment, wherein we have surpassed our projected growth. The segment has clocked a yearly growth of 42% with a revenue of approximately INR250 crores and increased margins at around 9.5% on a whole year basis versus a 5.3%. And our margins for quarter 4 FY '23 stood at 13.9%, owing to the operating results. The metal handling segment recorded revenue growth of 11.2% and stood at INR170 crores, with margins at 12.33% as compared to 12% the year before.

The agri division also registered growth in revenue of around 7%, but the margins came under pressure owing to inflationary impact during the year. We have also expanded our global footprint and increased our export sales by 90% year-on-year. The contribution of export sales have increased to 6.7% as compared to 4.7% the year before. Further, we expect that going forward, the export segment will contribute about 9% to 10% of the overall volumes -- overall revenues within this year, which is in line with our medium-term target of 15% to 20% contribution from exports.

After 2 years of pandemic-led disruptions, FY '23 marked a return to normalcy in operations. However, geopolitical tensions and continued supply chain disruptions resulted in unprecedented inflation and volatility in commodity and energy prices. Central banks across the world responded swiftly with sharp increase in interest rates within a relatively short time frame. The Indian economy remained a bright spot in FY '23 amidst the global slowdown. Real GDP growth for the year is estimated at 7% against the backdrop of a challenging environment, operating environment, as I first stated, the company's customer centricity, agility in seizing market opportunities, focus on execution and proactive strategic intervention enabled it to post strong numbers, strong performance across all operating segments.

Action Construction Equipment Limited

May 31, 2023

Page 4 of 16

Our model is crafted in a manner that enables us on each business -- enables us to focus on each business while harnessing the diversity of portfolio to create unique sources of competitive advantage. Our strategic positioning in the core sectors of infrastructure, manufacturing, logistics and agri will provide necessary impetus to our growth trajectory. Looking ahead, India is one of the fastest-growing economies and its prospects remain very strong for the period ahead. The infrastructure growth story continues to play a significant role in the economic growth and will have its multiplier effect on the economy. We believe that going forward, the strong demand scenario should sustain itself, supported by government's unweaving focused on urban infra and rural development. The increased capital expenditure announced in the Union Budget 2023 will further aid this growth in FY '24.

Going forward, in the current year, we expect a growth of at least 15% to 20% in our cranes, metal handling and agri portfolios. For the construction equipment segment, we are looking at accelerated growth rates of 30% to 35% on an increased pace. In terms of capacities, our cranes and metal

handling segments are reaching their peak utilization levels. And in order to fuel further growth, we are currently incurring a capital expenditure of INR80 crores to INR90 crores to enhance our capacity. The expansion will take shape from Q2 onwards and will enhance our installed capacity and will have a potential to propel us to reach a turnover level of INR3,800 crores to INR4,000 crores in the near future.

On the whole, as a company, we are looking at a 15% to 20% growth in our top line for the current year, with further margin expansion of 100, 250 basis points. We hope we are in a position to revise these projections by end of second quarter, which will predominantly depend on the onset and intensity of the monsoons. Further, we remain optimistic about the medium- to long-term prospects of the company and remain focused to deliver on our growth agenda. We will continue to drive cost savings harder and take calibrated pricing actions while

ensuring we protect and grow our markets. We believe that our building blocks are firmly in place and are on path of sustainable growth in all our segments where we operate, leading to expansion in top line, bottom line and the margin profile of the company. With this, I would like to open the call for question -and-answer session. Thank you.

Moderator: The first question is from the line of M r. Himanshu Upadhyay from O3 PMS.

Himanshu Upadhyay: I'll just go ahead with my questions. The agriculture equipment has been on the downhill in terms of units for the last 3 years and market was strong. Can you elaborate on what happened and the way forward here?

Sorab Agarwal: We are talking about -- I just missed the beginning, which segment?

Himanshu Upadhyay: Agriculture equipment.

Sorab Agarwal: Yes, we have been in a little doldrums here, as I had mentioned in the last call last quarter.

And Vyom, I think you'll be able to clarify better here with respect to what really happened in the last quarter.

Action Construction Equipment Limited

May 31, 2023

Page 5 of 16

Vyom Agarwal: Yes. Hi, good afternoon, Himanshu. And as we all know that the tractor industry has grown by around 10% in last fiscal, and we have been able to register a growth of 6% in this space.

When we talk about numbers in Q4, our deliveries have been higher than our billings. That goes to show that our inventory with our channel partners at the end of Q4 is lesser as compared to the previous quarters. Currently, our inventory levels with our channel partners is close to 3 to 5 weeks only. And one of the reasons that we have been reducing our inventories is the migration from BS III norms to BS IV norms.

So post July, the registration of the BS III tractor inventory will not be permissible. So we have to reduce the inventory at the channel level. Owing to that, the volumes which you are seeing has shown a little dip. However, going forward, the crop prices, which is the MSP, the monsoon and the water reservoir levels remain at normal levels, and we expect to experience a growth of around 10% to 15% in this segment in the current FY.

Himanshu Upadhyay: And I'll go on to my second question. Sir, on the material handling, last time we stated that we were having some issues, and that was the reason for low growth in that business. Can we now assume that we are back on track and can do more than FY '22 sales and numbers in this next year? Also, how has been our market penetration in that segment and the share of the market?

Sorab Agarwal: Yes, market penetration has been very good. Our share is around 25%, 26%. And going forward, I think easily, in the current year, we're looking at a 15% to 20% growth here in numbers, if not more than that because we have overcome those plant as well as supply chain issues. And you see positive result of that even in the last quarter. Even on a sequential basis, we were able to increase 15%. And going forward in thi

s whole year, I think we should easily be able to do out 15 %, 20%.

Himanshu Upadhyay: Okay, okay. And my last question is that, how has the backhoe loader done for us in FY '23 versus FY '22? And in EBIT, is now EBIT is now at 10% of the construction business. Would we like to grow the share from here on? Or the margins will be the focus in the construction segment?

Sorab Agarwal: I think I also mentioned in our last con call, on our quarterly results that as we start to go around INR250 crores and beyond that, our margins will start to fall in sync, similar to cranes. And if you look at the quarter 4 numbers of INR80 crores revenue, we have nearly touched 14% EBITDA margin here as well. So and this is what I had mentioned earlier, that once we start to cross INR300 crores going towards INR350 crores on an annual basis, the margins would normalize to the crane levels, and we are already experiencing it. So hopefully, I think in the current year, yes, we will grow our business at least 30%, 35%. It can only be faster than that, that time will tell. But the margin profile is, I think, here to stay now. It can only increase from here.

Moderator: Our next question is from Mr. Harshh Saraswat from Elegant Family Office.

Harshh Saraswat: Congratulations on great year. My first question would be, how does ACE prices in a comparable product compared to companies like JCB, Sansui and other MNC players? Is there

Action Construction Equipment Limited

May 31, 2023

Page 6 of 16

a price differential which benefits us also other than having service centers across the country and all?

Sorab Agarwal: See, depends from product to product. I mean backhoes is one category where obviously JCB is the market leader. There are 7, 8 players. And cranes are there where we primarily compete

with Escorts Kubota, and tower cranes with Potain. So here I would say that if we especially talk of backhoes, we are definitely better priced than JCB. And so are the other players as well, leaving aside 1 or 2 like Caterpillar. All of them are positioned at 10%, 12% lower than JCB. So we are also pretty similar there.

With respect to cranes, we are more or less similar in most of the sales with respect to our competition. But yes, there are ups and downs depending on the customer profile or the size of the orders and also depends on our competition, how much we are willing to play with respect to gaining the market. So we have to maintain that balance of market share as well.

Forklifts again, I would say that the main players are Godrej and Voltas and also Toyota to some extent. And Toyota is definitely slightly higher priced than all of us. And the Voltas, Godrej and us guys we are nearly similar bracketed with respect to price as of now. So a little here and there depending on models, depending on customers.

Harshh Saraswat: Got it. Got it. Got it. And another question was how does import work in this segment? Like can you import a whole crane or it is broken up and assembled here in India? And what are the import duties on this?

Sorab Agarwal: See, if I talk of backhoe loaders, India is perhaps, I think, the world's largest producer of backhoe loaders. So there are practically no imports. And something even with respect to road machinery, very few units here and there, sizes and things which are not made in India might be getting imported. But most of the global players are also present in India. And India is producing its own road machinery as guys that are competitors.

If I talk of pick-and-carry cranes, we are the world's largest producer of pick-and-carry cranes. So we only export some of them from India. And going forward, those numbers are only going to increase. So there is nothing to worry about with respect to imports. But when I talk of cranes as a whole, see, pick-and-carry is the biggest chunk player. But then again, tower cranes are there where we are market lead

ers. And here we do get some

Chinese imports. Very few European, I would say, especially in a very high tonnage or a very sensitive type of model, which is not made in India. For crawler cranes and truck cranes, which is a growing -- which has been a growing segment within the crane segments in the last, I would say, 10 years, 8 years, but especially in the last 4 or 5 years, yes, there a lot of imports happen from the Chinese.

And to be very frank at ridiculous prices and ridiculous payment terms. So the capex we are doing is currently to enhance our capacity in these crawler cranes and truck trains, which is the higher tonnage cranes. The quantities comparatively are much lower as compared to pick-and-carry cranes.

Action Construction Equipment Limited
May 31, 2023

Page 7 of 16

But yes, India is moving towards high tonnage cranes because so much construction, elevated construction is happening, all the metros and the bullet trains and the flyovers. So, yes, we need bigger cranes. And we are increasing our capacity there. So yes, but the bigger cranes, currency, yes, the imports are dominating. But the numbers are miniscule as compared to pick-and-carry cranes.

Harshh Saraswat: Got it. Got it. So also on the export side, when you say that we will take our revenue to 10% of the total revenue of export revenues, how do we compete against these Chinese players in the international markets like on the prices and all? What do we tell the customers that we are giving more than they buy from us?

Sorab Agarwal: See, like I mentioned, the Chinese players are dominant only in the crawler cranes and the truck crane segment which even we are evolving in the country as of now. So we are rather focusing on our strength, let's say, pick-and-carry cranes. We are the largest producer in the world. And India is the largest pick-and-carry producing country. India is one of the largest backhoe producing countries in the world.

And especially a product like backhoe has, the product is well-established in more or less all the countries. So we are focusing more on products with our company or our country as a strength with respect to the product. As of now, we are not at all trying to compete in the crawler crane or the truck crane segments because here the market size is smaller.

The ticket size is big, but the market size is small. And we still have to create our strength there. I mean we have strengths. We want to increase those strengths in the country to be able to compete effectively with the Chinese. So like I said, we are focusing on backhoes. We are focusing on pick-and-carry cranes. We are focusing on some higher horsepower tractors, 80-, 90-horsepower tractors with respect to exports, where India is really good at.

Moderator: Our next question is from Mr. Devesh Kasliwal from Antique Stock Broking.

Devesh Kasliwal: Congratulation on a good set of numbers. I just wanted to understand the overall market size, the addressable market share that we have in the crane segment as well as in the forklift

segment. And how has it grown over the past 2 years? And what are we expecting the industry growth to be in the coming 2 to 3 years, given by the overall industrial activities that are going on? What is the expected growth rate in the industry as such?

Sorab Agarwal: If you look at cranes, pick-and-carry cranes because in our cranes segment we report numbers for our pick-and-carry cranes, tower cranes and also crawler cranes truck cranes. But there I will say that crane segment has been -- pick-and-carry segment has been growing at a good rate about 20%, 25%. Tower cranes even faster than that, about, I would say, maybe 35%, 40%. And something similar for the bigger cranes where obviously we are building our capacities now to bring Indian products into the market.

And going forward, I think at least similar momentum should sustain looking at the overall scenario

if not faster. And even the construction equipment overall market size in the country has gone up by about 25% approximately in the last year, which goes very well with because we are also focusing now on construction equipment to bring in additional growth.

Action Construction Equipment Limited

May 31, 2023

Page 8 of 16

And we feel that it might be the fastest-growing segment for us for a good amount of time now going forward. Material handling has been little, I do not know why, growing only at about 10%, 20%. I believe that would have been faster. But I'm sure with the mechanization and manufacturing growing in our country, it will catch up very fast.

Devesh Kasliwal: So is it right to assume that the entire cranes market that is there, so it will be ballpark figure around INR2,500 crores, INR3,000 crores and hopefully it's between INR700 crores, INR800 crores as of now?

Sorab Agarwal: Yes. The entire crane market may be close to about INR3,000 crores or less than that, I would say. Maybe around INR2,500, INR2,600, INR2,700. And forklift may be at about I would say about 7,000 -odd units because the models again range. So the pricing goes plus and minus -- plus, minus than that. But I would say maybe about INR600 crores, INR700 crores.

Devesh Kasliwal: Okay. And sir, one last question. We had actually rolled out some products in the crane segment. So the traditional products that we had, we have rolled out like a man list attached to a pick-and-carry crane and products like that, 2 to 3 products. So what is the overall traction on that side? Are we -- like what is the overall demand as well as how much of that -- if at all you have those numbers, how much of that is contributing to the cranes revenue right now.

Sorab Agarwal: Yes. I think about 3 years back, just around COVID, we had brought in these multi-activity cranes NX series. And yes, so some time was wasted during COVID, 1 or 2 years because people were not willing to spend money and there was, in any case, hyperinflation happening all around. But yes, in saying that, in the last year, we have seen really good traction there. And to be very frank with you, although the numbers there are small maybe it's all about 3%, 4% of the entire pick-and-carry cranes that we are doing as of now.

But we've already started contributing to our bottom line, and you can also see increase in our bottom line here and there. So this is primarily due to this changing product mix and obviously some realization. And going forward, already the type of traction and order booking which is happening for these NX, the new type of cranes, this is very encouraging. And I think in the next 2 years, 3 years, they can really become 10%, 20% of our portfolio of pick-and-carry cranes. And there the margin profile is really good because of the innovation part.

Devesh Kasliwal: Congratulations again on the good set of number.

Moderator: Our next question is from Ms. Jyoti Singh from Arihant Capital Markets Ltd.

Jyoti Singh: Congratulations on the great set of numbers. So my question is on the -- yes, like you have guided 15% to 20% growth in crane and agri. So also you guided to 20% to 25% that I missed for which part? And second question, I wanted to know your view overall industry, how is it going? And what's our expectation going forward?

Sorab Agarwal: Yes. See, we have projected 15% to 20% growth for cranes for material handling and for agri. And 30%, 35% growth for construction equipment, the CE segment. And I think the overall industry is also growing, but we have been lucky enough to grow faster than the industry.

Action Construction Equipment Limited

May 31, 2023

Page 9 of 16

And see, especially in cranes, we were able to grow 38%, construction equipment 41% and against the industry growth of around 20%, 25%. So that is the advantage we've been able to gain even in the last year. And we hope we can

tinue to gain that advantage because that's how

our market share will keep on increasing. What was the second part of your question?

Jyoti Singh: Yes. So and sir, there on the margin side, like we are targeting, it will expand 100, 150 bps. So what are your strategy to lead this EBITDA margin expansion? Basically, it is to be very frank with you we purely coming in from operating leverage. And as a matter of fact, it can be more than that. Pricing is sensitive, if you have to maintain market share.

So it is a mix of operating leverage coupled with wherever possible, if we can increase our prices, coupled with the changing product mix because, yes, within the pick -and-carry range, again, there is a shift towards slightly higher tonnage where realizations get better.

Moderator: Our next question is from Mr. Rajeev Maheshwari from Praj Investments.

Rajeev Maheshwari: I had a couple of questions. Like in terms of we were planning some acquisitions, as we discussed in the last couple of con calls. So what is the current state on that? And if you can throw some light in terms of the utilization of the QIP amount?

Sorab Agarwal: Yes. I think QIP amount utilization, Mr. Luthra will take that question. And regarding acquisitions, Vyom, you want to elaborate?

Vyom Agarwal: Yes. Good afternoon, Rajiv. And as we had indicated earlier that there were a couple of exciting opportunities for us, one in the backward integration space and one in the forward integration space. Coming to the backward integration, there was a company which had gone to NCLT. It was an SME company where we were trying to bid for the company.

However, unfortunately, the bankers and the COC have decided to grant that in favor of the existing promoters being an MSME. So that thing for the time being, it has been kept on abeyance. For the forward -linkage part, there was an acquisition which we were targeting.

But seeing how this space, especially the cranes and the construction equipment space is behaving, the valuations currently are not logical enough to go ahead with that acquisition as of now. Although we still are trying on that to keep the valuations at a logical level. And if in case something happens in this phase, we will keep everyone informed.

Rajan Luthra: Apart from these two, there is nothing new in the pipeline which has come up, I believe.

Vyom Agarwal: No, there are three, four other opportunities which we are working upon quite aggressively. But these were the two on the very advanced stages, which we had discussed in our earlier con calls as well. Apart from these two, there are three, four other opportunities in some related space, which we are working on.

Sorab Agarwal: Vyom, but I think his question was very specific on something, which I think I have been able to figure out. No, nothing as of now, but we are expecting something.

Rajeev Maheshwari: Okay. Yes, to put it straight. And with regards to the utilization of the QIP amount?

Action Construction Equipment Limited

May 31, 2023

Page 10 of 16

Sorab Agarwal: Yes. As regard to QIP we raised about INR135 crores which was is lying as such as -- just for us for the -- whenever we acquire this company. And if you have noticed that our investment has grown up to INR400 crores. Not only the QIP proceeds, but as well as the, whatever the profit we are generating and has been conservatively used and has been put into the liquid investment for -- as and when the time opportunity comes, we are able to encash them and still remain a debt -free company after acquiring any of the companies which we have.

Rajan Luthra: Matter of fact, we are also saving up this money for the opportunity maybe you were talking about.

Rajeev Maheshwari: Okay. Okay. That's good. The amount has gone up, so maybe it's for maybe something good may come up. One thing I noticed that in the quarterly results, there is a difference in the other inc

ome mentioned in the stand -alone as well as in the consolidated. So what's the reason for that? I think it's -- the difference is close to INR4 crores.

Rajan Luthra: Yes, actually that difference is basically because of the -- in the earlier in June quarter, something that money has moved from the -- wrongly stated as reserves, which has moved to - - from -- reduced from income and gone into translation result because that was because of the change in currency value.

Rajeev Maheshwari: But why is it then not that part not shown in the consolidated profit and loss account?

Rajan Luthra: It is already mentioned, I will -- if you can give me your e-mail, I will probably explain there much better. Okay.

Rajeev Maheshwari: I'll share my email ID. And one quick question. How is the electric crane going on in terms of the -- any commercial production, the orders? And how have things gone?

Sorab Agarwal: We were waiting 3, 4 months to commercialize it. So hopefully in the next quarter we will commercialize it. The excitement is very much there. We want to be very sure once we release the product in the market. We had launched it, showcased it.

And currently the endurance testing and all the cycles are being done up. And obviously the facility is being geared up to be able to produce. And we are also on the capex because we are totally consumed in our capacities with our existing products. So I think in Q2, we should be

able to commercialize it.

Rajeev Maheshwari: So still maybe 3, 4 months down the line?

Moderator: Our next question is from Ms. Vedika Singh from Monarch Network Capital Limited.

Vedika Singh: Sir, what is the likely traction in the CE space that we are seeing? And what is our target revenue mix for the business in FY '25 or '26?

Sorab Agarwal: I think we should easily be able to grow this business at 30%, 35% every year to be a little conservative. And I'm saying that, so I think we should definitely be looking at INR325 crores, INR350 crores or little more than that in the current fiscal. And I'm going at a 30%, 35% increase ratio. So I think we should be hitting INR500 crores in the next 1.5 to 2 years.

Action Construction Equipment Limited

May 31, 2023

Page 11 of 16

Vedika Singh: Sir, okay, sir. And what would be the overall revenue mix coming from the MHC cranes?

Would there be a deviation from our current product mix in 2 years down the line?

Sorab Agarwal: Which cranes are we talking about, Vedika?

Vedika Singh: Sir, the overall revenue mix coming from construction equipment cranes. Since we are so bullish on the construction equipment, would the revenue mix change?

Sorab Agarwal: Yes, maybe a little bit in favor of construction equipment at the cost of especially, I would say, metal handling and agri because they'll be growing slower. Yes, the crane, the base itself is big. So might be a small -- very small 1 or 2, 3 percentage there. But I think over the next 2, 3 years, construction equipment currently is our second biggest segment already at 11%. So that should definitely start to look something like maybe at about, let's say, next 2, 3 years of INR4,000 crores revenue, INR5,000 crores revenue and this being maybe about 12%, 13%, 14%, something like that.

Vedika Singh: Okay, sir. Okay. Sir, could you also share the progress on the Ghana plan, what's happening and what's the time line that we are following at present?

Sorab Agarwal: Yes. Unfortunately, we were looking at -- to start execution in quarter 1. But due to -- Luthra Sir, would you want to answer that? You are more abreast with the Ghana news.

Rajan Luthra: Yes. Basically, there has been some discussions going on between the Ghana government and the Indian government and which -- because it was -- the project was funded by the Indian government through Exim Bank of India, and we were -- and we would have -- although payments were secured from the Exim Bank

including advanced payment and all those things,

there have been some regulatory issue between Ghana government and the Indian government which is, I understand, is under discussions.

So once that is -- which we expect to be resolved very soon. Once we resolve them, once the Indian government gives clearance, then the Exim Bank will start making payments to us.

Once we -- and we will start the project only when we get the advanced payments because we don't want to take risk on the government asset, but we only because of the secured payment we do the business.

Sorab Agarwal: So hopefully the situation should -- I mean, whatever, should be resolved in the next 1 or 2 months. And we are looking at our payments going through the Exim Bank most probably in the coming quarters. So we are hopeful that -- I mean, we were expecting quarter 1 to start execution. So hopefully quarter 2, we should be in a position to start execution at some time.

Vedika Singh: Still, sir, for now we have not put in any capital towards Ghana, right, from our end?

Sorab Agarwal: Not really capital, but a lot of intellectual capital, I would say, because all the planning and with respect to the plant that is going to be set up there and with respect to the proposed ordering for that, most of the homework has been done by us, finished by us.

Rajan Luthra: Yes. But we have not spent any financial commitment as such to vendors and everything, so.

Action Construction Equipment Limited

May 31, 2023

Page 12 of 16

Sorab Agarwal: We have not deployed any capital assets.

Moderator: Our next question is from Mr. Suhrid Deorah from Paladin Capital.

Suhrid Deorah: Just one quick question, an accounting question. Could you explain what is impairment losses of financial assets?

Sorab Agarwal: Impairment losses of financial assets, Luthra Sir?

Rajan Luthra: Yes, basically this is the -- making a provision for the expected credit loss because recently the accounting standard has been revised from last 1 or 2 years and which has made a stringent -- we have made a stringent policy of making provisions for overdues which are more than 6 months or so. So depending on those policies and because on the historical trend and all those things, we have made an expected loss. This may not happen, but we have made a provision. So

that isn't shown separately as an impairment of the receivables basically.

Sorab Agarwal: To be very frank, in short, DSR, where KPMG has become our audit firm now and so they wanted to make the provisioning very transparent and very clear. So although most of these payments are recoverable, but they have a provision for it under this.

Suhrid Deorah: Okay. So is it fair to assume that the receivables that are shown in the books, the rest of them are likely to materialize over the next 12 months and you won't see such a large write-off going forward?

Sorab Agarwal: Yes, anything possible, BSR has made sure it is provisions. But in saying that, most of the provisioning is actually recoverable, to be very frank with you. And whatever vessels which are balance are 100% recoverable.

Suhrid Deorah: Okay. Got it. So this is a one time?

Sorab Agarwal: They have got delayed a little beyond 6 months or whatever like Luthra sir was saying and they have been provided for.

Moderator: Our next question comes from Mr. Jitendra Petkar from JD Capital. Mr. Petkar, please go ahead with your question, sir.

Management: I think we can skip and go to the next one.

Moderator: Our next question is from Indumati Rangan, an individual investor.

Indumati Rangan: I have a few questions. My first question is, in the last conference call you said that the Chinese are selling large cranes in India at very low prices and giving 1 year credit to buyers, but we are entering the large crane segment by building a new plant for it. So how are you going to compete with the Chinese players who are

selling at such low prices and also offering 1 year's credit?

Sorab Agarwal: In all probability by doing the same thing, by offering competitive prices and wherever possible credit terms, obviously secured credit terms to LC and all. First I'll start with the Action Construction Equipment Limited

May 31, 2023

Page 13 of 16

credit terms. We have tied up for -- with some banks at very good interest rates with respect to sale bill discounting and healthy discounting, wherein I think we should be able to compete with the Chinese on the credit terms.

And I'm sure as soon as there is an alternative available, the customers will start to prefer Indian buyers. Yes, with respect to bigger cranes, their prices are really ridiculous with respect to margin profile. We would have thought that bigger cranes should not be less than 20%, 25% EBITDA levels. But still they are not that bad once we produce them in good quantity in India. I think in the last 4, 5 years, what was holding us back was the possible margin profile. But once we calculated that after increasing our business by around 5x and competing at same prices.

So because of the operating leverage part of it which will come. I think last year we did the bigger cranes -- just pulling out a paper, just a second -- close to about INR130 crores, INR140 crores approximately. And obviously once we are doing INR400 crores, INR500 crores and operating leverage that will come along with it, I'm sure will help us compete with the Chinese.

Indumati Rangan: And my second question is, the Chinese products are now being imported but you will be manufacturing the large cranes in India itself. So that will give you a logistic cost advantage, correct? Is that logistics cost advantage going to be an important part of your competitive advantage? And what percentage from advantage will you have because of the logistic cost?

Sorab Agarwal: The logistics will give us anywhere between 7% to 8% advantage. But apart from logistics, another part is the Chinese machines which are being imported they also attract a 7.5% custom duty. So that barrier is also there. But even after calculating all of that, they are still being very competitive.

And in a way, you can say some sort of dumping. So we are also -- we've been in talks with MHI and DGFT with regards to practices of the Chinese companies. And they are also planning to act on that. And if something like that happens, then it can be much more beneficial in our favor.

Moderator: Our next question is from Mr. Apurva from Phillip Capital, PCG.

Apurva Shah: Congratulations for the really good job. Sir, two things, I just make a clarification on like when we are guiding for crane segment to grow at maybe 15 to 20 percentage. So are we considering the incremental revenue from crawler crane or it is not factored in this guidance?

Sorab Agarwal: As of now, no, to be very frank with you, because the plant will become operational next quarter. And obviously we will have some incremental revenue with respect to crawler cranes and truck cranes. I'm sure the numbers will double up at least in the second half. Yes, so it could be additional INR30 crores, INR40 crores, INR50 crores, which might trickle in, but we have not factored that in, and...

Apurva Shah: Probably that could come in Q3 or Q4, right?
Action Construction Equipment Limited
May 31, 2023

Page 14 of 16

Sorab Agarwal: Yes, Q3, Q4. And to answer your question very frankly, we have pegged it at 15%, 20%, the crane segment, but I think it is going to be bigger than that.

Apurva Shah: Fantastic. And sir, another thing on agri side. So like as we have reached the optimum revenue for construction equipment, which is reflected in your margins as well, which is similar to your crane segment. So for agri what could be that option revenue side revenue where we can see some margin improvement because that is the one of the

segment where we are not able to show the margin improvement. So any thought on that?

Sorab Agarwal: And it is also our pain point.

Apurva Shah: Exactly. So like once the margin improvement is visible in that segment, then probably you would be -- you would have all 4 product buckets, which is roughly 10% to 12% kind of EBIT margin. So that's why need some -- your thoughts on that?

Sorab Agarwal: When Agri starts to perform, believe me, we will start doing more than 15% -- 14%, 15%. But in saying that, I think they're similar to backhoe loaders, I mean this construction equipment.

As soon as we start doing a INR70 crores, INR75 crores, I would say INR75 crores at least on a quarterly basis, let's say, INR300 crores on an annual basis, which I think is really not possible in this coming year, but definitely in the year after that. Our margin profile can be similar to other segments like cranes and construction equipment.

And similar questions, we was being asked 2 years back regarding our construction equipment, and we've been able to solve that and bring it to normalcy. So hopefully, I mean, not in the next 1 year, definitely you'll see improvement in the agri. But I think FY '25, if you are able to do a INR300 crores, INR350 crores turnover, I think the margin profile will start to look very different.

Moderator: Our next question is from Mr. Jitendra Petkar from JD Capital.

Jitendra Petkar: I have 2 questions. One is about Note 11 in the annual result, which mentioned some corrections that have been made for the previous year's consolidated results. Is it because of changing in the accounting practices? What is it? Is there any impact, financial impact on that?

Sorab Agarwal: No financial -- yes, actually, there is no financial impact. There are certain regrouping only from one head to another head. So these are basically all balance sheet items only where some loans have moved to advances and all those. These are small corrections, you can say, as per the -- because with the change in auditors different view has been taken on that it should be shown as security deposit or rather than advances and -- so this is -- if you have noticed that there has been no change in the financial profit and loss in the -- no restatement on the profit and loss for the previous year.

Yes, definitely, balance sheet has been restated, but very minutely in certain heads, moving from one head to another in the similar category. Some assets from, financial assets have gone to other assets.

No significant impact on the net worth and the book value of the share.

Action Construction Equipment Limited
May 31, 2023

Page 15 of 16

Jitendra Petkar: And my second question is about defense as a new sector. Is there any possibility of business growing rapidly there in that sector?

Sorab Agarwal: Yes, there are definitely possibilities. I think 2.5% to 3% revenue contribution has come from defense in the current year. And internally, we have targeted 8% to 10% revenue going forward as soon as possible to come in from defense sector. So hopefully I think this year would be better than last year with respect to defense business.

And we are working on different projects, different requirements. The station is slightly longer, sometimes they click quickly sometimes -- but generally will take longer. So that's where we stand. Internally we plan to take revenue contribution from defense to 8% to 10%. Eventually, currently we are working at about approximately 2.5%.

Jitendra Petkar: So going forward, we hope to get more traction and a little better margins in the defense?

Sorab Agarwal: Yes. I mean, good margins. Margins are reasonable generally in the defense business because the products and the environments are pretty typical and sort of tailor-made. So I think they will be in sync with the profile of the segment we are working in.

Jitendra Petkar: Fine. Congratulations fo

r good numbers. And I hope the impact of this Note 11 is not more than about INR4 crores as it can be generally seen broadly as I can see.

Sorab Agarwal: Yes, I think, again, because of the new auditors. So wherever, you understand very well, wherever they thought maybe some grouping or whatever Mr. Luthra was explaining. But there is really no financial impact, right, Mr. Luthra?

Rajan Luthra: Yes, there is no. As I stated, there has been no impact on the profit loss of the last year also. And the only restatement was basically in taking some investment as current or to non-current. And only this movement has been from one head to another head. And no, there will be no future adjustment because now the -- we have aligned number as per the KPMG requirements.

Moderator: Thank you. As there are no further questions, I would like to hand the conference over to the management for closing comments.

Sorab Agarwal: Yes. Thank you. About 2, 2.5 years back we planned and conceived that by FY '24 we will double our turnover from about INR1,100 crores, INR1,200 crores and take the company to about INR2,500 crores. So as of now, we seem to be on track to take our company beyond INR2,500 crores in the current financial year.

And going forward, I think this would again be our endeavor, to double ourselves in the forthcoming 3 years. And as conveyed, we are looking at 15% to 20% growth on the conservative side in the current year, which will be driven by cranes, metal handling and agri with about a 15%, 20% contribution and construction equipment at a slightly better pace. And more importantly, I think double-digit margins for us are here to stay.

And within the coming quarters and this year, I'm sure we'll be able to further increase our margin profile by at least 100 to 150 basis points, if not more. And the scenario in the country

Action Construction Equipment Limited

May 31, 2023

Page 16 of 16

seems to be good and buoyant. Slight dependency on the monsoons, I would say, because that does impact the buying pattern a little. But on the whole, things seem to be on the right track. And we seem to be heading in the right direction as per our plan. Yes. Thank you, everybody, and good evening.

Vyom Agarwal: Thank you, everybody.

Moderator: I will now hand over the conference to Ms. Vedika Singh from Monarch Network Capital Limited. Over to you, ma'am.

Vedika Singh: To the management for taking us through the FY '23 results and a promising future outlook. Thanks to all the participants for joining us today. We would now like to close the call.

Moderator: Thank you. On behalf of Monarch Network Capital Limited, that concludes the conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

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Date: August 16, 2023

To,
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Scrip Code: 532762 The Manager Listing
National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
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CM Quote: ACE

Subject: Earnings Call Transcript Q1-FY24 .

Dear Sir/Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith, Earnings Call Transcript (Q1-FY24) of the Company.

Kindly take the above in your record.

Thanking You.

Yours faithfully,
For Action Construction Equipment Limited

Anil Kumar
Company Secretary & Compliance Officer

Page 1 of 15

“Action Construction Equipment Limited Q1-FY-24
Earnings Conference Call”

August 11 , 202 3

MANAGEMENT : MR. SORAB AGARWAL – EXECUTIVE DIRECTOR ,
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. RAJAN LUTHRA – CFO,
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. VYOM AGARWAL – SENIOR VICE PRESIDENT ,
ACTION CONSTRUCTION EQUIPMENT LIMITED
MODERATOR : MR. JINESH GANDHI – MOTILAL OSWAL FINANCIAL SERVICES

Action Construction Equipment Limited
August 11 , 2023

Page 2 of 15

Moderator : Ladies and gentlemen good day and welcome to Q1 FY24 Earnings Conference Call for Action Construction Equipment Limited hosted by Motilal Oswal Financial Services Limited .

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal operator by pressing *,0 then *,0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jinesh Gandhi from Motilal Oswal Financial Services.

Thank you and over to you, sir.

Jinesh Gandhi: Good evening, everyone. On behalf of Motilal Oswal Financial Services, I would like to welcome you all to discuss 1QFY24 Earnings of Action Construction Equipment. ACE is represented by Mr. Sorab Agarwal -- Executive Director; Mr. Rajan Luthra -- Chief Financial Officer and Mr. Vyom Agarwal -- Senior Vice President.

I'll hand over the call to Mr. Sorab Agarwal for his opening remarks, post, which we will start Q&A. Over to you, Mr. Agarwal.

Sorab Agarwal: Thank you. Yes, good evening and welcome everyone to this earnings conference call for discussing the results for the quarter ended June '23.

Along with me in today's earnings call, we have our CFO, Mr. Rajan Luthra and our Head of Investor Relations, Mr. Vyom Agarwal.

The company's financial statements and earnings presentation summarizing the performance of Q1 FY24 have been circulated and uploaded on the stock exchanges. And I will take you through some of the key highlights of our performance in the quarter gone by.

The company has maintained its growth momentum in the first quarter of the current fiscal year. This has been yet another quarter of strong and resilient performance by our company. And I'm delighted to share that the financial year has started strongly for us. We were able to record our best ever quarterly performance in terms of revenues and profit. And also, for the first time ever our Q1 results have surpassed the preceding Q4 numbers.

To brief you on the financial performance of the first quarter FY24 on a yearly standalone basis, that is year -on-year basis, the aggregate revenues grew by more than 30% to Rs.650 crores with an EBITDA margin of 15%. The EBITDA during the quarter increased by more than 113% to Rs.97.5 crores as against Rs.45.72 crores. The PBT grew by 125% to Rs.89.23 crores and PAT grew by 133% to Rs.67.26 crores as compared to last year corresponding quarter. The PBT and PAT margins now stand at 13.72% and 10.34% respectively for the quarter on a standalone basis.

Action Construction Equipment Limited
August 11 , 2023

Page 3 of 15

On a sequential basis, quarter -on-quarter, the revenues are up by 6%. This is one of our most robust performances given the anecdotal evidence of our sales trend in the first quarter. The EBITDA, PBT and PAT have increased sequentially by 20%, 22.5% and 29% respectively. Moving on to the segmental business performance, the company has sustained its growth momentum across all operating segments. In the crane segment during the quarter gone by, we retained our dominant market leadership position and registered revenue of Rs.441 crores which is up by 26% year -on-year. In volume terms, the crane business has grown by 17% year -on-year to Rs.1,856 crores in the last quarter.

We are pleased to update that the growth momentum in the CE segment has sustained, and we have again surpassed our projected growth targets. The segment has registered volume growth

of 80% year -on-year. Further, as compared to last year's corresponding quarter, the construction equipment segment clocked revenue growth of 78% and we achieved revenue of Rs.92 crores with margins in excess of 14%. This is a testimony to our clear and compelling

ing

strategy, backed by the strength of our brand.

The material handling segment recorded revenue growth of 10% and stood at Rs.41 crores with margins at 10.17%. And our agri division registered revenue of Rs.75 crores while recording margins at 6%, thereby registering a growth of close to 30% year -on-year. Further, we were able to attain good traction in the overseas markets and increase our exports. We are on track to attain around 10% contribution to our revenue in the current year from export sales. On the operational side, India has remained stable in the continuing global macroeconomic volatility. The domestic activity in Q1 FY24 has remained resilient as reflected by various economic indicators. The healthy balance sheets of corporations, normalization of supply chains and stable commodity prices are favorable for continued growth in the sectors where we operate in.

The manufacturing activity in the country has been on the upswing, aided by positive geopolitical scenarios in favor of our nation, and continued focus of our government to increase the manufacturing progress of our country.

According to data released by S&P Global Market Intelligence, India's manufacturing activity, as measured by Purchasing Managers Index (PMI) was at 57.7 in July as demand scenario improved and new orders increase. The enhancement in the manufacturing capabilities and capacities of our country will further aid in the growth story of our company as manufacturing segment is one of the prime consumers of our cranes and material handling segment equipment. The infrastructure growth story continues to play a significant role in the economic growth, and we'll have a multiplied effect on the economy.

We believe that going forward, the strong demand scenario for our products should sustain itself, supported by government's unwavering focus on urban infra and rural development. And

Action Construction Equipment Limited

August 11, 2023

Page 4 of 15

the front loading of capital expenditures announced in the Union Budget 2023 will further aid in the current year. We continue to be a debt -free company with sufficient availability of liquidity for future growth.

The envisaged Brownfield CAPEX of 90 to 100 crores for the current year is already under implementation and we expect to make the expanded as well as the new facilities operational by Q3, Q4 of the current financial year. This CAPEX will expand our capacities and will enable us attain revenue in the range of Rs.4,000 crores at full utilization levels.

Looking ahead, India is one of the fastest growing economies and its prospects remain very strong for the period ahead. With continued focus of government on infrastructure development and efforts to strengthen the manufacturing sector, we hereby upgrade our earlier guidance and expect a growth of at least 20% to 25% on a consolidated basis. In the cranes and agri segment for the current year, we foresee a growth of 18% to 20% at least. Further, we expect the construction equipment segment to grow by at least 45% to 50% and material handling to grow by 15% to 20%. We hope that we are in a position to revise these projections by the third quarter, which will predominantly depend on the overall macroeconomic scenario, especially the monsoons and the commodity prices. Further, we remain optimistic about the medium to long term prospects of our company and remain focused to deliver on our growth agenda. We will continue to drive cost savings harder and take calibrated pricing actions whilst ensuring we protect and grow our markets. We believe that our building blocks are firmly in place and are on path of sustainable growth in all our segments where we operate, leading to expansion in top line, bottom line and margin profile of the company.

With this, I would request the moderator to open the call for a question -and-answer session.

Thank you.

Moderator: We will now

begin the question -and-answer session. Our first question is from the line of CA Garvil Goyal from Invest Analytics. Please go ahead.

CA Garvil Goyal: My question is basically on the demand outlook on the end industry. So, basically, in your opening remarks you mentioned the near -term outlook. So, how do you see at the medium term and long -term perspective like you mentioned in Q3 and Q4 you are going to do a CAPEX that will give you a revenue potential of I think INR4,000 crores. So, how do you look at next three to four years down the line, sir?

Sorab Agarwal: If I talk of the demand scenario, currently our major end segments are infrastructure and manufacturing. And luckily, the situation in our country is poised as of now. The government is very much focused on manufacturing, which is very evident and with all the PLI and China

Plus One, plus XYZ. And apart from that, we are also getting a lot of to be very frank outsourcing opportunities in the export markets for manufacturers for some other countries. So, a lot of things are happening. The domestic demand and a lot of our cranes and material handling everything goes through the manufacturing as well as infrastructure side.

Action Construction Equipment Limited

August 11, 2023

Page 5 of 15

Manufacturing is booming. The export potential we are capitalizing on and the opportunities are only increasing, and infrastructure, everybody is aware of what is happening. What is happening, infrastructure is again leading to more steel, more cement, leading to more of everything. It's a continuous cycle. So, things seem to be on a roll as of now. And it's been some time that we have on a monthly basis not being able to fulfill the amount of clearances or dispatches which were required across cranes and even construction equipment, and we've been on a tremendous pressure and that's why we are expanding this Brownfield expansion, which we are doing. So, hopefully a very small part of it should start functioning in September, most of it coming in October, November, and finally by Jan, Feb this should be functional properly. So, this will definitely help us increase our revenue going forward in Q3 and especially in Q4, both of them, but I would feel more in Q4. And the way things are poised that and the feeling and the sense that I get and even from real estate sector, which is 10% contributor within our crane segment which is about 67%, 68%. We require to make double the number of cranes what we've been doing and we've already started reaching that level. So, things are looking great. If I talk of it, only one bullet train construction project had started and the second phase has been awarded very recently. And very actively, another 6-7 DPRs are already on the way. This is just one bullet train. So, I think a lot is happening. The government is really focused on developing the country, developing the infrastructure and I can say that in some sort even the CAPEX cycle with respect to even the small and medium industries started happening. So, when I look around even our vendors and a lot of our customers, most of them seem to be on the expansion drive. So, they again require more cranes and more material handling even when they are trying to expand or do the CAPEX. Then finally to run that capacity, they again need more machines. So, the scenario seems to be very buoyant. And to be very frank with you, the markets like I said in Q1 going from Q4 it always squeezes a little 15%, 20%, 25%, but we saw the contrary rather we were able to increase our revenue by 6% in Q1 against Q14. And again, in Q2 which we are currently running into, the monsoons tend to slow down and the demand. I've been with the company since 1998. Company started in 1995. And from day one, I was also involved in sales. So, I have never seen this type of momentum in monsoon. We were thinking that we will load up, make some extra machines so that

that we are

able to cater properly in Q3, Q4, but even the month of June, the month of July, we have been loaded, we couldn't save anything, rather we under-delivered with respect to what we could have delivered. So, the momentum is very strong now. Your main question in the last 3-4 years, I think the type of scenario which has been created in our country and the potential also not only for us even for the whole country with respect to manufacturing, with respect to exports and looking at alternative solutions, the world is looking against China, I think we are greatly poised... the entire country is greatly poised to grow and I hope things remain like this. CA Garvil Goyal: And secondly, sir, you mentioned about the export, right, you are saying, you will reach out to 10% of the overall revenue. So, what are those countries basically we are exporting to, like in Europe there are, there are some headwinds going on, so there may be lower demand might be there, that is not the area that we are targeting.

Action Construction Equipment Limited

August 11, 2023

Page 6 of 15

Sorab Agarwal: Practically, there are no headwinds for us because 3-4 years back you were hardly exporting anything. And this has evolved in the last 3-4 years and it's still continuing to grow on it, and our medium-term target I would say is 10% to 15% of revenue contribution. And I think comfortably we should be at 9%, 10% if not more within this year. And we are focused on some Middle Eastern countries, some African countries, recently Turkey, Mexico, Argentina and Brazil in the South American continent, also, some ex-CIS countries. Even Uzbekistan, Kyrgyzstan and even Russia. And we have 37 countries now. So, I have just given you some names. I mean there are many more names which are smaller buyers. See, these things started happening in the last 2-3 years. So, we're building upon the product, building upon the service, building upon our brand in those countries. And this will all further grow from where we are, not only our footprint in other countries where we think there is potential, but even within these countries. Entering a market and establishing your products and your service and then growing it takes one year, two years, three years and it continues to grow. So, I think in certain

countries we have started to grow and then things are looking good. And like I mentioned, we are also getting a lot of outsourcing opportunities from the developed world. It's something like that which we are sure will materialize over the next two, three quarters. That can again add in a very reasonable way to our top line with respect to export, so that potential also very much exists and we are actively working on it apart from what we are actually manufacturing in India. We are also for the first time making a couple of new products... I mean we already made similar products, but we are upgrading them with technology and even the styling and quickly finishing which other countries where there is demand like it will. And that activity could also happen by December, January. So, I think some part of it in Q4, but starting from next year onwards, these new backhoe loaders and new semi handlers, which are very much suitable for every part of the world, developed or undeveloped, because that is what they are used to using and with their standard with respect to performance as well as the look, feel, styling part of it. So, I think next year should be even better for us. And also, our Ghana initiative with respect to export. Unfortunately, it got delayed by about two quarters. So, let's see the final confirmation you've got that something should start to happen in Q3. So, we were expecting that will contribute in the current year to some extent with respect to our export initiative, but that is not delayed, so maybe some part of it might come in the second half of this year but the major chunk will start

to happen from FY25 onwards. That will again add to our initiative and all of this might lead us to 15% for export contribution, which this year I'm sure we go to 10%.

CA Garvil Goyal: Sir, lastly on the margin side, so we are doing a decent EBITDA right now. So, how sustainable these margins are for the next 2-3 years like you were mentioning with more than 20% growth for this year and next year also even better? And secondly, what is your view on the competitive landscape for you in this industry?

Vyom Agarwal: With respect to margins, I think for the last 2-3 quarters I've been mentioning that double-digit is there to stay for us and now that we have reached 14.5%, 15%. I think they are very sustainable. And all our efforts include the operating leverage which we are getting coupled
Action Construction Equipment Limited
August 11, 2023

Page 7 of 15

with our cost reduction initiatives and cost control initiatives and also a mix which we are trying to move towards the better margin products. I think all of these coupled together; these margins are here to stay. And I feel that there is still scope to improve these margins. But it will be better if we improve them and inform you rather than saying that, yes, we are working on improving them further. You asked about the competitive landscape. So, obviously the market is very competitive. It is the survival of the fittest and our simple strategy is the right product, right price, right service and we are very much focused there with respect to whatever we do. And we have been doing it well for the last 25, 26 years and now with operating leverage and our revenues going to a certain level, I think market sales has a lot of information now. There is a simple rule of sales the more it is visible, the more it sells and we turn to make sure we are seen everywhere so we sell more. So, we make sure whoever not seen us we show them. So, I think we are on the right track.

Moderator: Our next question is from the line of Aman Shah from Jeetay Investment. Please go ahead.

Aman Shah: My first question is on backhoe loaders. Now, we are seeing good traction from last two, three quarters. Of course, our guidance is also quite good. What is your outlook now, what are we seeing? The way the volume growth that is at least as you said, more the visibility, more the salability. So, scale benefit is not clearly visible to us in backhoe loaders?

Vyom Agarwal: Obviously, our numbers are small; it is a market of 35,000 to 40,000 units. And this year, if everything goes well, we will be in there about 1,000 units, maybe a little less, but in all probability more than that. And we would easily be growing at least 45%, 50%, if not more.

So, this is again a thing that "more the visibility, more the salability" and our teams are working hard, we're adding on teams, we're adding on new locations even within the country, we are also focused on export. So, I believe that this is one of our segments which can actually be the fastest growing segment for us for the next 5-7 years at least, and we can look at very handsome growth here in this segment on a year-on-year basis. And so, as an example, even in the last quarter which we have finished, I think on a segment basis we've been able to clock a 78% growth. So, I mean this is one of the, let's say, a really good quarter, but on a whole, I would say 45%, 50% or more than that it is doable and we're working in the right direction. And I'm sure 2-3 years down the line, it will come to a state that we will not have to sell the product, the project will sell on its own, so that is the foundation we've been able to lay in the last 2-3 years and I'm sure with our continued efforts, we'll further increase our market share from 1%, 1.5%, we've gone to nearly 3%. And going forward, I think doing 8%, 10% in the next three, four, five years should not be difficult, that means 4000

units annually multiplied

into the selling size and crossing of thousand Rs.1,500 crores worth of backhoe within the next 3-4 years, I think should be really doable. If we are able to perform better, it can even be faster than this. And just adding here, we are also working on upgrading this product to international levels with respect to styling and look, feel, fetty, finish and hopefully that project of ours should be over by December, January. So, Q4 onwards, the product which we will be offering

Action Construction Equipment Limited
August 11, 2023

Page 8 of 15

in the market would feel like as good as a European product, even for Indian market and even for our exports. So, hopefully we'll see even better days in the next financial year.

Aman Shah: On exports currently, just want to know like the main product that you would be exporting would be grease. Second you also said in exports we are doing some outsourcing opportunity. So, is it like we are rehandling the branding, or will be done by someone else?

Vyom Agarwal: Both your questions first one first. We are currently with respect to export focused on three things; one is crane, second is backhoe loaders and third is tractors and we are seeing traction all across. And recently we've opened up Turkey also. So, we have sent some backhoe loaders and let's say another 300-odd tractor are expected to go by December. That is the plan of the buyer and our plan. And again, slightly special bigger tractors the standard ones which are sold in India, with high horsepower tractors with cabins and four-wheel drive. So, like I said, cranes, backhoes and our tractors, especially the higher range. And with respect to outsourcing, I'm sure all of you are aware that China has been playing a big role in the outsourcing part of the world for even finished machines. So, we have a reasonable amount of opportunities available on this front. And unfortunately, we were really not taking them forward because we were limited in our capacity to feed our domestic with respect to what we produce, which is our mainstay business. Now, within our capacities, I think over the next two, three quarters we will accelerate this effort and hopefully, we'll start doing some different products and one or two of them are really big global opportunities, which could also be in a joint name. So, that all commercial things are going on and hopefully over the next two three quarters we should be able to inform everybody once things go out well. Because the scale and size of the opportunities is huge what I'm talking about, and even the margin profile is even better than what we're doing currently.

Aman Shah: Right now, what exports we are doing is not having any outsourcing agreement in it, right?

Vyom Agarwal: Right now, no, right now, it is direct selling in our own name through our dealers and distributors, it is export of our own products. But now we are talking of making things jointly or making things for somebody else. But that is the respect to the main products. But these companies also produce in their own countries. So, to be frank with you, they are also looking at us to supply them some high-end components and some other things so that they can also save some cost in their respective countries. So, it is a mix of complete machines and even some bigger components. And I'm talking of the developed world, so the 1,003 continents, I'm sure you can imagine.

Aman Shah: Can you give the number of the multi-activity cranes in crane segment for this?

Vyom Agarwal: Can you just repeat your question please?

Aman Shah: Multi-activity cranes, the new product line that we have and the big tonnage cranes?

Action Construction Equipment Limited

August 11, 2023

Page 9 of 15

Vyom Agarwal: Multi activity, I don't have a ready number in front of me, but I know for sure that we've been averaging around 23 every month, so, so that

it would be about 60-70 cranes in the last quarter,

that is the multi activity thing, so which would actually come into maybe 3-4% approximately.

For the bigger cranes, I'm excluding power cranes here because those are different and I think about 22, let's say the heavy cranes, about 23 units of forklifts we have done in the last quarter approximately, and we have done 148 tower cranes and another about 27 mobile tower cranes, put together. 175 tower cranes and the like. I mentioned 22 heavy forklifts.

Aman Shah: So, roughly 4% to 5% in multi-activity is coming from?

Sorab Agarwal: Out of 600 pick & carry, if I talk of 60, 70, close to about 3% to 4% is multi activity, but yes, I think I did mention in my last call, I think over the next one or two years this will go to 10% 20% at least off the pick & carry.

Aman Shah: At that level, they should also yield better margins and current company margins?

Vyom Agarwal: In margin, two things are happening. Obviously multi-activity cranes will be margin accretive. But within our pick & carry segment... our core segment there is upgradation happening. So, the 15 tons guys customers are buying 20 tonners then the 20 tonners guys are buying 25 tonners then the 25 tonner guys are buying 30 tonners and there is also a reason that recently we introduced the 35 channels. And going forward, over the next, let's say six months to eight

months, we will also have another bigger model. So, even the margin profile and let's say the revenue profile is changing within pick & carry crane, 12 tons, four years back was the maximum selling category, now it is the 14, 15 tons which is moving towards 17, 20 tons. And you see, everything is growing bigger in size. So, the pricing, revenue and the margin, everything is moving in the right direction.

Moderator: Our next question is from the line of Suraj Nawandhar from Sampada Investments. Please go ahead.

Suraj Nawandhar: What is the amount of Brownfield CAPEX that we are doing?

Vyom Agarwal: As of now, we are close to about 90 crores, can be slightly go up to 100 crores, wherein we are expanding our fabrication facilities, we have had enough land available with us over the last 8, 10 years. We're expanding our fabrication capacities, we are expanding our assembly lines, we are setting up some new assembly lines, and we are setting up standalone facility for the bigger slew cranes, because we intend to do at least 20 -30 every month. In the last quarter we did 22, but our intention is to take it to 60, 70, 80 units in a quarter, and the market there again is growing and the market has developed and evolved. In the process, what is also going to happen is that certain things are moving to new lines. So, they will vacate space for certain other things to grow. So, on the whole, somewhere we are increasing our capacity by 70%, 80% somewhere around 40%, 50% and most of this should be in place by December. With respect to backhoe loaders, I think that should also happen by Q4.

Action Construction Equipment Limited

August 11, 2023

Page 10 of 15

Suraj Nawandhar: Sir, is there any further land available after this CAPEX because the kind of the commentary that you are giving, it seems like even next year we'll have to do some capacity expansion.

Vyom Agarwal: We will have some more land available, but I would say that we would have used a reasonable portion of it and we are already in discussion with two state governments to take a 50, 60 -acre chunk at whatever best price is, just to ensure that after two years when we need more land, so what to do. We are already under discussion, we are already in advanced stage, so in all probability over the next 2 -3 months, either we will move close to our set up in the state of UP or maybe Madhya Pradesh.

Suraj Nawandhar: Can you give me debt and cash number in our books as at the end of Q1?

Vyom Agarwal: I think we hardly

have any debt. About 35 or 40 crores of working capital, if at all we are using. And we have cash of Rs.455 crores.

Moderator: Our next question is from the line of Gaurav Gandhi from Glorytail Capital. Please go ahead, sir.

Gaurav Gandhi: Just one observation, agriculture division recorded revenue of 75 crores which is a growth of almost 29% YoY even though the sale of agri equipment significantly came down from 976 units to 761 units. Can you explain what has happened here?

Vyom Agarwal: Basically, we supplied certain bigger horsepower tractors. So, the product mix change happened, first thing, and also some export order got executed along with some army orders which were again higher horsepower and 4x4. So, basically because of the price, the product mix, the overall revenue seems to be good. But in saying this, I think this is going to be maintained now. So, now you will see the numbers also up and the price also up going forward.

Moderator: Our next question is from the line of Chinmay from Emkay Global. Please go ahead.

Chinmay: I just wanted to know in terms like if you could just give an understanding of the couple of months of Q2 which have gone by, have we been functioning at 100% capacity utilization because sir was previously mentioning that we weren't able to like find enough time to focus on the CAPEX and were really busy in completing the order. So, I just wanted to know the capacity utilization.

Sorab Agarwal: So, for the crane segment, we have been working at around 85% to 90% of the capacities because practically there are certain inefficiencies in the system and our capacity generally gets defined by the fabrication capabilities that we have. Because we are working at higher utilization levels, we are looking to expand in that area. With respect to the backhoe loaders and the construction equipment, we are working at around close to 55% of our capacity and agri is currently working at 40% to 45% and material handling is also close to 70% to 75% of

Action Construction Equipment Limited

August 11, 2023

Page 11 of 15

the capacity utilization. So, post this expansion which will happen in the crane segment specifically for the higher tonnage cranes like crawler cranes and heavy slew cranes which will move to a new plant, we will see a capacity expansion also happening for tower cranes as well as forklifts.

Chinmay: And the other thing I wanted to know in terms of like again the previous fellow person had asked the question regarding the -

Sorab Agarwal: If you could be a little bit louder, please?

Chinmay: I just wanted to know that in the agriculture the way in that we have grown by 29% YoY in revenue, if you could maybe just give a much more detailed understanding of how is this going to be sustainable going ahead because a lot of the previous quarters, we have seen really slow growth in terms of revenue in the agriculture division?

Sorab Agarwal: So, Chinmay, we totally accept what you are saying that we have been slightly lethargic in our agri growth, but over the last 2-3 years, our fundamentals have been put in place and our focus is basically on three things, which is # 1, strengthening our distribution channel domestically, so which we feel that now we are in a position to project around 10% to 15% growth annually, which will come from our strengthened distribution channel. This will help us to get some increased coverage for our agri product line. Second, the focus is on deepening our product range. So, in the agri, we are coming out with the ultra-light combine and we have also developed certain export focused range of tractors which are especially in the 5,200 HP range. That is where we are seeing some good numbers coming through. And, most importantly, we are focusing on export market which earlier in the call we have already explained. So, all in all, we firmly believe that our fundamentals are strongly in place for future growth, and what you

have just seen in the first quarter is, we believe, quite sustainable going forward.

Vyom Agarwal: Just to add to what you said and just to specify a little more. I would not take the name of the

country, but we got some confirmed orders to be executed within this year... a reasonably good amount of orders that is for export. And it is slightly unfortunate that the Ghana opportunity did not play out in this year so far. So, if that would have happened, then the numbers and the profile of the agri would have started to look very different. And I'm sure if not this year, starts in Q3, Q4, will definitely happen in the next year. So, that will also be one of the mainstays apart from our domestic increasing further exports increasing and exports in dollar increasing.

Chinmay: The other question which I had was in terms of units, if you can maybe give a perspective on the unit expansion that is happening? I mean, the expansion in terms of the revenue, I mean what will be the expansion in terms of units you could maybe give a -

Vyom Agarwal: Cranes have capacity to produce about 1,000 units in a month, so that will be about 12,000 units annually. Construction equipment, which is currently at about 150 units, we will have

Action Construction Equipment Limited

August 11, 2023

Page 12 of 15

capacity to produce about 250 units a month, which is about 3,000 units in a year. In material handling from 175 forklifts, we will have capacity to produce about 250 units per month, which is again about 3,000 units in a year. And on the agri side, even as of today about 40% or 45% utilized. So, I think we have enough space and scope to continue. There is no practical change happening with respect to agri. And in saying this, our tower cranes where we could produce about 350, 400 units, so we will have a capacity which will go up to 800, 900 units annually. And crawler truck cranes where we had a capacity to do about 50 units, that will go to 250 to 300 units annually.

Chinmay: I just wanted one more clarification. The market expansion that we stated that we are currently at 3% of the market is held by us. Is that in the domestic?

Vyom Agarwal: Can you be a little louder, please so that your question is very clear. I think we can go to the next question and maybe you can come back again.

Moderator: Our next question is from the line of Naman Shah from Monarch Network Capital Limited. Please go ahead.

Naman Shah: My first question would be, can you give us some update on the utilization of cash? I read we were looking for some inorganic growth. My question is like what kind of acquisition are we open to, is it specific to India or even global?

Vyom Agarwal: To be very frank with you, I'll start with the work we had planned. We've already taken over two much, much smaller companies in the last 1-1/2 years I would say, that is finished. And we are looking at two; one was backward, one was forward, unfortunately both of them seemed to have settled down. The forward one is still there, but it's really not moving anywhere. And apart from that, we are looking at some opportunities within the country, and also, one opportunity outside the country. And that is why we are creating this war chest of liquidity to enable us in our organic endeavors as well as inorganic endeavors.

Moderator: Our next question is from the line of Suhridd Deorah from Paladin Capital. Please go ahead.

Suhridd Deorah: I have two questions. One is actually a follow-up to the previous participant question. You said you are looking at M&A opportunity outside of India. Could you explain what the purpose of that would be?

Vyom Agarwal: I would love to, but I would refrain with respect to our proposed business strategy, but it would

be more to utilize a developed country name to sell in the developed country.

Suhrid Deorah : And actually, my second question was s

omething that you mentioned earlier about outsourcing

opportunity and JVs and you said it could be a very big opportunity. I was not entirely clear on that. So, I think both the questions are very closely tied for. If you can give me some more color on that, that would be very helpful.

Action Construction Equipment Limited

August 11 , 202 3

Page 13 of 15

Vyom Agarwal: Like I did mention that there are opportunities from the European continent, American and even lesser developed in Asian side to tie up together and produce for those countries, and we are working on that and we are in advanced stages, and I think some of them should close in the next two, three quarters. So, that will also help us utilize our capacity which we are creating faster and open up the export market which is in a much -organized way with consistent schedule projecti on in numbers. And it is happening... I think I should not be speaking more than that at this juncture.

Moderator: Our next question is from the line of Chinmay from Emkay Global. Please go ahead.

Chinmay: If you could just, please give me the guidance for F Y24 once again on the segmental level and maybe on an overall company level?

Vyom Agarwal: As of now, at a company level, we are looking at a 20% to 25% growth, with maybe some more upside, but that we can only confirm by Q3. And on the segment level, cranes and agri, we are looking at least 18%, 20%... and I'm adding the word at least. Material handling is 15% to 20% and construction equipment is 45% to 50%... and again I'm adding the word at least.

Chinmay: In terms of margins, we will be able to maintain the double -digit margins going ahead, right?

Vyom Agarwal: Yes, yes. So, what we have delivered in this quarter, I think that is sustainable. 20, 30, 40 basis points here and there, I really can't guarantee. And with our other endeavors which are in place with respect to our costs, we have also created a separate team headed by one of the veterans in the industry to further work on our costing and our purchase and cost control. Really, we expect that over the next two, three quarters we should get another 1% to 2% advantage on our buy. So, similar other endeavors are also already in place. So, there is a scope to further better what we're doing.

Chinmay: The current market share that we have is 3% and with the potential increase that we'll have with the expansion coming in, let's assume if we ramp it up to 100%, then what could be the incremental market share that we could probably acquire with the units that we are going to set up?

Vyom Agarwal: Capacity in construction equipment will go to 3,000 units annually, so that can take us to 8% - 9% market share. Capacity increase which I'm talking about is keeping single shift operation in mind. So, with a little tweaking we can easily take it up to maybe even 350, 400 which will translate into even 12% to 13% market share possibility with the facilities that will become functional end of this year for construction equipment.

Moderator: Our next question is from the line of Naman Shah from Monarch Network Capital Limited.

Please go ahead.

Action Construction Equipment Limited

August 11 , 202 3

Page 14 of 15

Naman Shah: Other income is slightly higher this time. Could you give me some breakup of the other income like what does it consist of?

Vyom Agarwal: Yes, I think Mr. Luthra is the right man, but I'll try and answer it. See, what happened in the last year, we were reporting some mark -to-market losses which got translated into some mark -to-market benefits in this quarter. And coupled with that, our investments over the last one year also increased. So, that also provided some extra revenue. So, it is primarily to do with that.

Moderator: next question is from the line of Sarika who's an investor. Please go ahead.

Sarika : It's hard to understand the replacement cycle for the forklifts. Could

you help me?

Vyom Agarwal: Replacement cycle is hardly a focus, if used for more than 12 hours a day, I think it will conk off in about six -seven years. And if they were maintained very well and run less than 12 hours a day, maybe about eight years. So, I think 8 years I would say would be an average replacement life for a forklift.

Sarika: Probably, if you can help me understand the breakup between the ESG replacement and the fresh demand for this quarter?

Vyom Agarwal: I don't think we have analyzed here with respect to this, but I know for sure that with our electric crane which we had not commercialized only because of the current load on the plant

with respect to regular structure. So, we are seeing good traction, even some of the L&T divisions, with respect to their own ESG, they want to move on to electric cranes including Reliance and even Tata. But I think we will start to evaluate that once we are into that. But yes, for sure in the last one or two years, we have seen more traction in numbers towards electric forklifts that we do. So, in our kitty of forklifts that we do that has a result of 20%, 25% in our numbers, and going forward, I think it will go up to 50%, in our portfolio of let's say the numbers that we do for forklifts. Also, for the reason that next year the industry will be moving to tier 5 standards. And the smaller engine forklifts, the most popular fleet and the cost increase is going to make a similar price to an electric forklift. And the option of using electric will eventually become cheaper for the customers because electricity is cheaper than fuel. So, I think I would say after one year the demand for electric forklifts is further going to increase and accordingly, we are further strengthening our portfolio of electric forklifts as well as lithium ion -based forklifts.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question of our question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Vyom Agarwal: Yes, thank you. I think we've discussed most of everything. The country seems to be in a buoyant scenario. The entire world focus is on India. Manufacturing is growing, infra is growing. Action Construction Equipment Limited
August 11, 2023

Page 15 of 15

growing. And even for manufacturing and infra, we are indirect beneficiaries with respect to our end customers mostly being placed in these two segments. And we are looking forward to at least a 20%, 25% growth in this year with sustained EBITDA margins at 14.5% to 15% with definitely a scope to possibility of upsizing or upscaling from here. And in the last about let's say in FY21, we had planned and thought that we will double up our revenue and take it to Rs.2,500 crores. And I think we are very much on track and we should be able to achieve that by at least 5%, 10%, 15%, the time will tell. And again, we have a sense and a feeling that from FY24 and going to FY27, we should be in a position to double up our revenue again and even better margin profile in place and in this year in the second half, we are looking at the new product introduction in commercialization, our electric crane, our aerial work platforms and even our 35-tonner pick & carry crane 4x4, and also looking at the materializing some like I mentioned export outsourcing opportunities. So, all in all, I think this year can end up being one of our best, biggest and brightest year, and lay the foundation for our doubling up process over the next three years again. And good evening and thank you. That's all from my side.

Moderator: On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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Date: November 16, 2023

To,
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Exchange Plaza, Bandra Kurla Complex,
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CM Quote: ACE

Subject: Earnings Call Transcript Q2-FY24 .

Dear Sir/Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith, Earnings Call Transcript (Q2-FY24) of the Company.

Kindly take the above in your record.

Thanking You.

Yours faithfully,
For Action Construction Equipment Limited

Anil Kumar
Company Secretary & Compliance Officer

Page 1 of 16

"Action Construction Equipment Limited
Q2 FY'24 Earnings Conference Call "
November 10 , 2023

MANAGEMENT : MR. SORAB AGARWAL – EXECUTIVE DIRECTOR –
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. RAJAN LUTHRA – CHIEF FINANCIAL OFFICER –
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. VYOM AGARWAL – SENIOR VICE PRESIDENT
ACTION CONSTRUCTION EQUIPMENT LIMITED

MODERATOR : MS. TINA – MOTILAL OSWAL FINANCIAL SERVICES
LIMITED

Action Construction Equipment Limited
November 10 , 2023

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to Action Construction Equipment Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Tina from Motilal Oswal Financial Services Limited. Thank you, and over to you, ma'am.

Tina : Good afternoon, everyone. We have with us the management of Action Construction Equipment today. And from the management team, we have Mr. Sorab Agarwal, Executive Director; Mr. Rajan Luthra, Chief Financial Officer; Mr. Vyom Agarwal, President.

So we'll start with the opening comments from management, and then we'll open the floor for question and answer. Over to you, sir.

Sorab Agarwal : Yes. Good afternoon, and welcome, everyone, to this Earnings Conference Call for discussing the results for the quarter and half year ended September 30, 2023. Along with me in today's earnings call, we have our CFO, Mr. Rajan Luthra and our President and Head of Investor Relations, Mr. Vyom Agarwal.

I hope that all of you have had an opportunity to look at the company's financial statements and the earnings presentation, which have been circulated and uploaded at the stock exchanges. The company sustained its growth momentum, and it gives me immense pleasure to inform you that this has been yet another quarter of strong performance by our company, wherein we have again surpassed our projected growth targets.

We were yet again able to record our best ever quarterly performance in terms of revenues and profits. We continue to remain a long-term debt-free company, and the P&L performance and the balance sheet strength of the company is now significantly improved from the past, which seems to be sustainable across business cycles.

To brief you on the standalone financial performance of the second quarter of FY '24, the operational revenues grew by 36.83% on a year-on-year basis to INR672 crores with an EBITDA margin of 15.73%. The EBITDA during the quarter increased to INR105.75 crores in comparison to INR52.56 crores on a yearly basis, which is a growth of more than 101%. The PBT, and PAT, grew by 106% year-on-year to INR96.59 crores and INR73.71 crores, respectively while the PBT and PAT margin stood at 14.37% and 10.96%. This has resulted in our best ever ROE and ROCE levels at 28% and 38%, respectively, on annualized basis.

On a sequential basis, the operational revenue was more or less flat with 3.4% growth. However, EBITDA grew by 8.5%, PBT grew by 8.25%, and our PAT grew by 9.6%, as compared to quarter 1 FY '24 with margin expansion of 75 basis points during the quarter.

Action Construction Equipment Limited
November 10 , 2023

Page 3 of 16

It is important to note that despite the increased baseline, the company achieved its highest ever revenues, EBITDA, PBT, and PAT margins for the quarter owing to industry tailwinds and our sustained focus on cost efficiencies and customer-centric approach.

In the quarter gone by, we reiterated our dominant market leadership position and registered revenue of INR460 crores with margins of 15.5% on a year-on-year basis. The Crane segment registered a robust revenue growth of close to 30%.

Similarly, on a year-on-year basis, we were able to achieve almost 100% growth in our Construction Equipment segment, clocking a revenue of INR108 crores with margins at

12.72%. The Material Handling segment grew by 26% to INR44.72 crores with margins at 12.81%. And Agri segment, the revenue grew by 33% with a 4% margin profile. Further

r, for H1 FY '24, we've been able to grow our revenues by 33.61% to INR1,323 crores on a half yearly basis. On a half yearly basis, EBITDA grew by 107% to INR203 crores. PBT grew by 116%, and PAT grew by 118% to INR186 crores and INR141 crores, respectively. A couple of years back, we had set ourselves a challenging goal of delivering sustained profitable growth, and it gives me immense satisfaction to inform you that for the first half FY '24, the margin profile of the company stood at 15.3% EBITDA level, 14% PBT, and 10.6% PAT, which represents a healthy margin expansion of 500 basis points year-on-year. Our consistent strong performance is reflective of our strategic clarity, strength of our brand, capabilities of our team, and our ability to run the business. We have a clear and compelling strategy. And with our positioning in infra, manufacturing, logistics, and agri sectors, underpinned by strong operational excellence on our distinctive capabilities, we will continue to drive growth and create a purpose-led, future-fit organization. On the operational side, the global economy remains in a grip of marked slowdown. However, India remains a bright spot with buoyant tax collections, moderating inflation, credit growth uptick being some of the key positives amongst various other indicators. While public investment remains strong, consumption and demand has been relatively subdued, especially in the rural market on back of subpar monsoons and persistent food inflation, which saw a sharp slide during the quarter. Green shoots of recovery are visible with prospects of improved agri output, onset of festive season, increased FDI in manufacturing, sustained government spending on infrastructure, and private sector capex revival. All this augers well for our company. We believe that going forward, the demand scenario should remain strong, aided by government's unwavering focus on urban infra and rural infra. Further, we have completed 75% of the envisaged brownfield capex of INR90 crores to INR100 crores for the current year. And the expanded as well as the new facilities has been made partially operational in quarter 3. And we would be completely -- and would be completely commissioned in quarter 4 of the current financial year. The new manufacturing facility for higher capacity slow cranes that is Action Construction Equipment Limited
November 10, 2023

Page 4 of 16

truck cranes, crawler cranes, and rough terrain cranes will increase our capability to manufacture higher capacity slow cranes by approximately 4 to 5x, as we aspire to grow in the higher capacity crane segment in India with continuing infrastructure growth in the country. This new plant will simultaneously enable us to reduce capacities of forklift and tower crane business by about 40% to 50% each. Since currently, these activities are combined -- are in a combined plant and by shifting to a new plant we would unlock the capacity of these 2 segments as well. That is forklift and tower cranes. This capex will expand our capacities and will enable us to attain a revenue in the range of INR4,000 crores at full utilization levels. Going forward, we would like to revise our earlier guidance, and now we expect a growth of at least 25% in Cranes segment for the current year and reiterate the growth rates of at least 50% in Construction Equipment segment, 15% to 20% growth in Material Handling and Agri segments during this year. On the whole, we are now looking at a growth in excess of 25% with expansion into EBITDA margins as compared to last year. We hope that we are in a position to further revise these projections by the third quarter, which will be -- which will predominantly depend on the overall macroeconomic scenario, especially with the impending elections and the higher base effect. Further, we remain optimistic about the medium to long-term prospects of the company and be

lieve that our building blocks are firmly in place for sustainable growth in all the 4 segments where we operate, leading to expansion in top line, bottom line, and margins of the company. With this, I would like to open the call for questions-and-answer session. Thank you.

Moderator: We will now begin the question-and-answer session. First question is from the line of Satadru Chakraborty from Chakraborty Family Office.

Satadru Chakraborty : Congratulations to the management on a very good set of numbers. I have a couple of questions, more on the accounting side rather than the operational pieces. My first question is really around the inventory picture. So 2 things. I see there is a provision for slow-moving inventory taken out in the statement of cash flows for this quarter.

And I also see that there is certain increased inventories in this quarter as compared to the last quarter, also for this half year as compared to the last half year. Can you just provide me in

general what exactly is happening on the inventory picture? Are we producing much more than we are able to sell? Or is this really the raw material prices, which is hitting us or whatever clarification you can provide on this?

Sorab Agarwal : Yes. Regarding the slow inventory -- slow -moving inventory, Mr. Luthra will answer. But regarding the balance of the inventory, yes, our inventory in the current quarter has increased from about 90 days to 107 days. This is owing to the extra demand that we expected because of the upcoming festive season at the end of September. So this was taken care of in October.

Action Construction Equipment Limited

November 10 , 2023

Page 5 of 16

And so that's why the extra inventory build-up at the end of September because of festival season beginning from October and November, where we see increased sales. That is the main reason. And I'm very sure that in Q3 or tentatively end of Q4, we will be at normal levels and would be somewhere around 90, 95 days, where we generally are. And Luthra sab, regarding that provision or whatever for slow -moving inventory, you can answer that.

Rajan Luthra : Yes. As you said, basically, we keep on verifying more order inventories regarding whether it be a slow or they have not moved for a certain number of days or months, so -- and based on our review of these 6 months. Although there was not -- no such number coming for the last year, but there -- and we reviewed the number, it is a continuous affair, which we will do on a quarterly basis.

And when we observed that there are some of the inventories that have not moved for more than 9 months or so, so we have made just a provision. It is just a provision probably, and it is basically for 1 or 2 models, which are slightly -- has not sold in the previous 6 months or so.

Sorab Agarwal : Luthra sab, just to elaborate there, I would like to add. See, we do a lot of different types of machines and a lot of different capacities and variants within each type of range of cranes or equipment that we do. So sometimes, yes, certain slow -moving components get stuck, that we are expecting some orders, and then, they don't turn up in time. So yes, that is the provision.

How much is the value for that, Luthra sab?

Rajan Luthra : Yes, basically, as Mr. Sorab informed, this is only a provision. And once the machine will be used, which we are confident, it will be written off -- returned back to the books of accounts, and it is just a provision only, INR4.5 crores, INR4 crores or so.

Sorab Agarwal : INR4 crores. I hope we're able to answer your questions.

Moderator: It seems that we have lost the connection from the current participant. Next question is from the line of [Rashmika from Rekha Enterprises] .

Rashmika : Congratulations on a good quarter. I have a few questions. My first question is European competitors like Liebherr are entering the large scale business in India by setting

up

manufacturing facility. These European competitors have better technology than we do. So how are we going to compete with these European competitors in the large scale business given their better technology?

Sorab Agarwal : Okay. I'll answer your first question first. Sir, in the last 30, 40 years in our country, all possible competitors that can come, whether European, whether American, even Japanese are in the country. It depends. See, Liebherr, again, is one of the largest companies in the world as far as construction equipment.

I suppose they should be #2 after Caterpillar. They have a very wide range. So I'm sure they are planning for specialized mining equipment and -- to bring into India. Because in other segments like tower cranes and similar to us, they have tried to compete in the last 15, 20 years. They already had a facility, a small one.

Action Construction Equipment Limited

November 10 , 2023

Page 6 of 16

Practically, if I talk of tower cranes, we are the market leader there. Going there -- going to the technology part, whatever we are manufacturing in India and certain equipment, there's high -end technology. So our ability and especially, I would say, the factor of safety and safety devices, everything is at par to global standards. And going by that, we were also the first in the country to come out with an electric construction company in the form of a 15 -tonne Pick & Carry cranes.

And also, aerial work platforms -- self-propelled aerial work platform working at height of 21 and 27 meters -- 27 meters, which are perhaps one of the most complicated piece of equipment that we have evolved so far. It has a very complicated electronics involved because of the safety aspect because people are working at heights on these machines of 21 meters and 27 meters.

So we are abreast with technology in the world rather and started exporting machines in the last 2, 3 years. Our exports even in the current quarter surpassed our own expectations. And I think the first half itself, we have done actually more than 10% of our revenue from product sales.

As of now, rather, we are working on evolving 2 specific models of backhoe loaders and machine called telehandler, which is not sold in India, only for the export market. Technology is not an issue anymore, and most of the leading hydraulics and other similar technology companies have already start working and advancing in India. So we get support from them as well.

Rashmika: We were accounting for Chinese dumping. What is the minimum EBITDA margins we are expecting in the large crane business? Even accounting for Chinese dumping, what is the minimum EBITDA margin we are expecting in the large crane business?

Sorab Agarwal : Yes, sir. I will answer your question in 2 parts. I totally agree with you that in the large crane business, it is absolute Chinese dumping, which is happening. I mean the cranes are priced at half the price of what they were 15 years back, which was also a very competitive price. With steel going up from INR25, INR30 a kg to an average of INR60 a kg. With their import prices taking a hit because dollar was INR40, INR42 at that time in 2008 -09. And dollar is INR82 now, more than doubled. Absolutely, Chinese are dumping, and our government is also observing that very closely. We are very hopeful that in short to medium term, certain actions will be taken in that aspect.

But yes, even looking at the dumping and every thing, we are still hopeful of doing an EBITDA of upwards of 10% against these. This is in the current scenario, when they are dumping at crazy prices, and they've been doing that for the last 4, 5 years.

But with our experience of Chinese in the past, to capture the market and to control the market, they carry on this activity for 4, 5, 6 years, and it has already been 4, 5 years. So one of the sales already started increasing the prices in the last 6

months. Going forward, over the next 1, 2 years, the pricing has to move northwards, even for the Chinese. And definitely, for sure, some government support will also come in.

Action Construction Equipment Limited
November 10, 2023

Page 7 of 16

Rashmika: We have not done well in the Materials Handling business and the Agri Equipment business for some time now. Materials Handling is particularly surprising because manufacturing is booming in India, and you would expect the Materials Handling business to do well, but it has not done so.

So what is going to be our plan to reverse these 2 businesses and bring them back to growth and profitability? And what is your outlook for these 2 businesses, Materials Handling and Agri Equipment, for the next 2 to 3 years?

Sorab Agarwal : I agree that Materials Handling could have grown faster. If you look at the current year and especially starting with the current quarter, I think we've been able to grow at 26% on a year - on-year basis, compared to our Crane, which is at 29% a year. So it's actually lower than Crane, but growth in all facts can be faster.

And even in the beginning of the year, we have projected about 15% to 20% growth for our Material Handling segment. So I totally agree with you it can be faster than that. And we are working on all possible fronts to see that it grows faster than whatever rate we are growing at. Current year, we're expecting it to be in between 15% to 20%. But definitely, Q3 and Q4, I think we feel that the growth can be faster than this with all the corrections that we have put in place. And if I talk of the Agri Equipment, in a typical yearly basis, it has grown by about 33% there.

And on a whole year basis, we expect to grow by about 15%, 20%. In fact, going forward, the Material Handling will be faster than 15%, 20%. Agri will -- I believe that in the current scenario we'll be somewhere around 15% to 20% in the next 2 to 3 years.

Rashmika: Finally, we are already 1 month into the current quarter. How is demand shaping up? And how do you expect demand will shape up in the next few quarters?

Sorab Agarwal : Demand in October also with available festive season started and with the graph rising and everything falling. So demand was very good in October. We have moved into November.

And generally, in the Diwali month, slightly tapers off primarily because people get busy in the festivities and the festival and about 3 to 5 days are lost for the holidays. It slightly tapers off, then picks up again in December.

So October was good. November is in line with what happens every time in the Diwali month. The demand is very much there and staying strong. So we expect December to be -- it might top up the quarter. Quarter 3, definitely it is going to be reasonably bigger and better as compared to quarter 2 with the type of orders that we have in hand and the execution that is

happening.

And also, with our additional capacities coming into play in this quarter, that can also help us in doing definitely a much better top line than what we did in quarter 2, seemed to be in line.

Quarter 4, if you look at our company, traditionally, about 55% to 60% of the business happens in the second half of a year, that is quarter 3 and quarter 4.

Action Construction Equipment Limited
November 10, 2023

Page 8 of 16

And going by that -- and this has been happening for the last 27, 28 years year-on-year. So looking at that, definitely, second half will be bigger as compared to the first half. How big that would be? I think January will be the best time I'll be able to answer that, but definitely it is going to be bigger than the first half.

And then looking at that and what we have been able to achieve in the first half, we feel that earlier we had projected a growth of 20% to 25% annually. But I think it will be in the range of 25%. It can be even higher, but I think January will be

a better time to answer that question.

Moderator: Next question is from the line of Amol Rao from Kitara Capital.

Amol Rao : Congratulations on very good numbers. We seem to be outstripping our previous quarter's performance now by habit. So just a couple of questions, sir. One is, there was some chatter about change in emission norms for construction equipment. Is this still on the anvil? Or has the timeline not been finalized till now, sir?

Sorab Agarwal : Okay. Thanks for your lovely comments. And then, regarding the remission question. The BS - V emission norms for CEV, construction equipment vehicles, is supposed to kick in from April 1. And obviously, we are getting ready to be preparing for that. Most of our R&D bandwidth right now is occupied there.

And -- but yes, our association has moved with the ministry 3, 4 months back that this needs to be postponed by at least 6 months to 1 year, and we have had positive indications from them. We have had meetings at the topmost level with the Ministry of Road Transport and Highways.

And I was also personally there in 1 or 2 of the last meetings. So, hopefully, post -Diwali, we should see this getting deferred by at least 6 months, if not more. So this is the indication that we have. So this might get deferred to September or December next year instead April.

Amol Rao : And sir, because why I ask this question is because several years back when we had the transition to BS -IV, there was an increase in the cost of the equipment. So since we deal with the OEM -- engine of OEMs. What is the indication that they are providing that what could be the cost -- increase in cost for this compliance on their end?

Sorab Agarwal : See, I think it will be close to about a 5% increase, 4% to 5% depending on different engines and models. Because this is for engines, which are bigger than 50 horsepower. BS -IV norms for construction equipment vehicles were made applicable for engines, which are bigger than 50 horsepower. But once it is -- and 50 horsepower and smaller ones are left at BS -III.

But with this next upcoming days, the smaller 50 -horsepower from BS -III are going direct to BS-V and 50 -horsepower and bigger engines of BS -IV are going to BS -V. So BS -IV to BS -V, we are expecting 4% to 5%. But from BS -III to BS -V, 50 -horsepower, I think the impact is going to be even higher and should be in the tune of -- I think it's about, let's say, 10% less -- 5% to 10% depending on engines.

Action Construction Equipment Limited
November 10, 2023

Page 9 of 16

Amol Rao : Okay, sir. Sir, you alluded to the capex concluding in Q4. So that should basically help us with the high -capacity cranes. Sir, so should we be seeing some rollout this year or probably the rollout should be in quarter 1 or quarter 2 of next year?

Sorab Agarwal : See, there are things that we have done, sir. I will explain everything. One is that our -- like 100-acre investment park where we had land available. So we have set up a new facility, which is for high -capacity cranes -- slow cranes. This is one.

And then with respect to our fabrication capabilities, we have expanded and nearly doubled them with respect to our other equipment, somewhere we receive about 50%, somewhere 100%. So -- and in this new -- the 2 things I mentioned, one is expansion of capacity in our existing plants by expanding our areas and adding machinery where we have space available and land available with our 2 assets.

Now, going to the high -capacity crane, already we've started some work in this new facility. But it will be totally commissioned only by January, February. So should be -- we will actually start rolling out machines from there sometime in, I would say, maybe February or January,

close to that, even plus/minus 30, 40 days, here and there.

But we've already started work there with respect to the other components and fabrication, that has already been

now moved to the new plant. Now, what is going to happen, once the entire activity of the bigger capacity crane shift to the new plants in our existing plants, where we were doing these bigger cranes, higher capacity cranes and tower cranes and forklift? So this was 1 big single plant. So this will help us increase our capacity for tower cranes, which we have already been able to increase in this current quarter because, like I said, some part of the bigger cranes has already moved to the new plant.

And in the next quarter, again, our forklift capacity will increase. So not only that we'll have capacity to make 4 to 5x more numbers of bigger cranes. Our capacity to make tower cranes and forklifts will also increase by 40%, 50% by this redoing -- restructuring of a new plant coming in and the existing being used for other activities with the required machines, is 1 part. And second part is wherein we are -- for our existing capacities for smaller cranes and backhoe loaders and other machinery. So that capacity has already been put in. It has been made partially functional, and by December, it will be fully functional.

So from about 700 Pick & Carry cranes in a month, our capacity will be 1,000 to 1,100 in a month, okay? Let's say, from 8,000 or something annual capacity for Pick & Carry cranes, we will be upwards of 12,000 per year. So which is we partially activated with which we will be able to feed the current quarter, and we will be fully functional in the -- by end of this quarter. Simultaneously, our main assembly plant for the Pick & Carry crane, they are also under expansion. So that can also -- that will finish by end of quarter 4. So once that is done, then we are 1000 to 1,100 cranes capable totally. Today, we are capable of 800 to 900 cranes per month.

Action Construction Equipment Limited
November 10, 2023

Page 10 of 16

Amol Rao : That was most helpful. Sir, my last question was, we were hopeful that the resolution of that small confusion on the funding of the Ghana project -- government to government funding of the Ghana project, sir. So, sir, is there any development on that end? Or it's probably another 2, 3 months down the line?

Sorab Agarwal : Yes, as per the latest updates I have from my expert team, people who are looking after this project, so everything seems to be on track. We were expecting clearance within quarter 3. So as of now, this is the indication that we have. And it will be very unfortunate if it gets shifted to quarter 4.

Amol Rao: So we start shipping -- not shipping out, sorry, we help in the setting up of that plant probably in quarter 4, right? That's what you are testing, sir?

Sorab Agarwal : Only after -- you know our credit lines have been signed, they are available with us, but only after we receive our mobilization advances. We are not going to invest any money in Africa without the payment fee totally upfront.

Moderator: Next question is from the line of Suhrid Deorah from Paladin Capital.

Suhrid Deorah : First of all, congrats on a simply superb performance. I hope you continue to do well in the years to come.

Sorab Agarwal : We are working very hard, trying very hard.

Suhrid Deorah : Sir, actually, I missed your commentary, I dialled in a little late, but did you provide any visibility for FY '25? Or do you have any visibility for how next year might look considering it's an election year?

Sorab Agarwal : See, going by the overall feelings and sense, things are very boiled in the country. So I think that around the election year, election quarter, there might be some hiccups here and there between 10%, 20%. We really can't predict. But all of us have always noted that before the elections are over, the results, whichever way they go, and -- we are -- all of us are very hopeful that they'll go the right way.

I really don't see a problem and doing a 15%, 20% should not be an issue even

in the next year.

But saying that, again, I would say that Q1 would be a much better time next year to be talking on this. But I think we will still plan for a 15%, 20%, whichever way.

Suhrid Deorah : And do you retain your longer-term revenue was to get to double of FY '24 by FY '27?

Sorab Agarwal : Yes. From whatever level we finish at in this year, we'll be targeting to double our revenue in 3 to 4 years after that, so FY '24 finishes, so FY '27 will be 3 years. So FY '27, 3 to 4 years, again doubling of our revenue. It will totally depend not only on us, but also on the overall situation around the economic situation in the country, in the world.

And if the current government comes on in the form and -- the way they have been working and doing, I think it should be possible within FY '27, if not FY '28. Because if I start now for

next 21 -year plan for FY '24, we will double up. So from INR1,200 crores, we are looking at
Action Construction Equipment L imited
November 10 , 2023

Page 11 of 16

INR2,400 crores, INR2,500 crores, and I'm sure we will end up much higher than that within the 3 years.

So it's anybody's guess that doubling up in 3 to 4 years would be there, should be happening. And we're also opening up these biggest 2 cranes. That will also add a new chicken in our new aerial work platform, so it will be good for us. We will be changing the market to electric cranes, the realizations are that to some extent BS -IV to BS -V upgradation will help us in further improving our prowess across the range because lot of machines are going from BS III to BS V.

And FDI in manufacturing, like I said in article 2 to 3 days back in The Economic Times, so that is also where we are increasing a t some point of all time hi gh. Again, releasing them in China. Infrastructure is our forte about 50%, 60% of our revenue. That has to continue. There's no other way ou r country can improve . So looking at all these positives, I believe it's doable, easily doable.

Suhrid Deorah : You mentioned the larger cranes, and I remember there was a -- there was some discussion of ADD or some announcement of ADD in the last months. So the impact of that will be beneficial to us, I'm guessing, you will be having higher volumes and higher margins a s a result.

Sorab Agarwal : I would say higher margins because the market today, about 800 to 1000 units, is divided between new imports and used imports with used imports coming from Middle East, Europe, and America, which is more than the new machines. An d the main factor is the prohibitive costs of import from Europe and America. We're the leading company for the product side. So with our expanded facilities, we have already delivered some machines, but we will be starting them in quarter 4 in a much mor e substantial way. So yes, the number will increase, but they are more bottom -line aggressions with respect to the margins we have had.

Suhrid Deorah : And then also, I'm guessing as construction equipment does better and is one with sort of phenomenal grow th. So as construction equipment also becomes a larger piece of the pie, is it fair to expect margins to overall move towards 20% EBITDA margins?

Sorab Agarwal : I would love to do that, but then we'll end up losing a lot of scope for competition. So I thin k we are already at about 15%. So sustaining and maintaining rate would be our first aim. And then, yes, if the market aligns we would definitely want to increase it by another 2%, 3%, 4%. We will not leave the chance, but we are going to be very calculate d in doing that.

Suhrid Deorah : And are you saying -- costs will -- at any rate is clear, right?

Sorab Agarwal : Other products which are more margin accretive, if it is 20%, I can't really say or comment. But yes, the margins and further...

Suhrid Deorah : Okay. And lastly, on the M&A side. Are all the transactions complete? Or is there something still pending?

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ction Construction Equipment L imited
November 10 , 2023

Page 12 of 16

Sorab Agarwal : Two small ones, as conveyed earlier, they have been done. And one is one off where it was a company, it was an NCLT, but being more SM E, the promoters have got a chance to again take it over and try to run it.

There are still 1 or 2 in the pipeline, which we've been discussing last 1.5 years. So that slow movement on account of -- the valuation trends between the 2 of us. It seemed we w ere closed about 1 year back. So let's see how it pans out. But we have kept our eyes and ears open, and we are right now also looking at -- because we want to -- this year, our exports will go to 8% to 9% of revenue.

And we have to take it to 10%, 15%, e ven higher going forward. So looking at that, we are also looking at -- and India will go to Tier 5 or we must say CEV -V emission standards, which are similar to European standards in the next year.

So keeping all that in mind, we are definitely looking a t some small acquisition, even outside the country, wherein we can go to mainland areas and different parts of the world. So, let's see, a lot of things are happening. It's a dynamic volume, so let's see how it pans out.

Suhrid Deorah : No requirements for any further equity, right? I hope.

Sorab Agarwal : We -- not as of now. We are -- actually, we have enough cash available with us. So nothing as of now for any of these things unless and until something major comes up, which I would imagine should happen in the next 1 or 2 years, but not in the next immediate future at least.

Moderator: Next question is from the line of Rajiv Maheshwari from Praj Investment.

Rajiv Maheshwari : Good afternoon, everyone. The first part of question is regarding there was some buzz in the media regarding some PLI scheme being given to the construction equipment sector. So can you update what's going on or whether it's still under discussion? Or is there any plan that the government is extending?

Sorab Agarwal : Yes. It is being discussed at the highest level as of now with the government. And the revised proposals with respect to different types of machineries and also including some components for construction footprint, which are still not done in the country or are required in high numbers going forward. So all that discussion is happening, and the government is also -- seems to be reasonably keen on the PLIs. So things are going on. So I think we should expect something over the next 2 quarters, I believe.

Rajiv Maheshwari : So it still will take around 2 quarters to materialize, that is the earliest we can expect.

Sorab Agarwal : The way things are moving, it can happen faster.

Rajiv Maheshwari : And in case if it happens, so what are the products which will be covered in that scheme as far as our product line is concerned?

Sorab Agarwal : We have tried to ensure that everything we are doing and certain things which we intend to do are covered in that.

Action Construction Equipment Limited

November 10, 2023

Page 13 of 16

Rajiv Maheshwari : Okay. So majority of the product line will be covered?

Sorab Agarwal : I would say nearly everything, yes.

Rajiv Maheshwari : And what is the update in terms of the commercial production of electric cranes? How are we going on that in terms of any orders or something?

Sorab Agarwal : Yes, you see it has been very unfortunate. We brought this in January. We showcased it at the exhibition. But I think the Government of India never expected that India will evolve its own electric construction equipment nearly at a similar pace with the world.

So our CMV announced, Central Motor Vehicle rules for electric CE, construction equipments, are still under formulation. They are nearly at finalization stage. Earlier, we were given to understand that they'll be done by June, the end of September. So we are very hopeful that we will finish in this quarter.

And without that, the only issue is that we will not be able to -- we are not going to sell the machines because there'll be no registration on it, and they cannot fly without the registration numbers. So hopefully, this should finish off in this quarter, and we should actually be closely be able to produce our electric cranes from Q4 onwards. That's what it seems as of now, but things can get delayed another 1 month or 2, here and there.

Rajiv Maheshwari : Okay. And any further orders or things in the pipeline in terms of government or defense sector?

Sorab Agarwal : It is a continuous process. Even in the last 2, 3 months -- 2 months, I would say, September, October, we have got orders for -- I think, 30, 40 orders for Pick & Carry cranes, and I think it was for the cranes higher because these workshops are the value add for getting another 60 -- the bigger -size forklifts, so each one of them costing about INR30 lakhs, INR40 lakhs from the airport were surfaced.

Another order for about 90 forklifts, I think, for 2 tonnes or 3 tonnes, that's more or less gone through. So it's a continuous process. It is happening. I mean, like I did mention earlier, certain things which probably gets invested early than the Army and the performance as well, then it like keeps on repeating.

So these things have been -- like I mentioned last 2 months, we've got orders of nearly the size essentially of 150 to 200 units of different types of machines from the Army and the Air Force, Indian Defense Services. And as I mentioned prior, currently, we are executing order of 18 numbers of the higher capacity slow cranes.

So these are rough terrain cranes, 40 -tonne capacity and 75 -tonne capacity, which actually we had to -- and this was new development for us, these 2 models, 40 tonnes and 75 tonnes, which are required by Indian Navy. So we were actually scheduled to finish execution within December. But I think it will finish within Q4, so Q3 and Q4.

Action Construction Equipment Limited

November 10, 2023

Page 14 of 16

So that was also a sizable order because the 40 -tonne machine, the bigger ones, they were each machine about INR2.5 crores, the followers about INR1.5 crores, together INR40 crores, INR50 crores, which is under execution as of now.

Rajiv Maheshwari : That's great. Good to see things moving on a regular basis on this side also, right? That's okay

from my side. And once again, congratulations for the super set of results.

Sorab Agarwal : Yes. As a matter of fact, if we talk of defense, just post -Diwali, we are building a machine for no-cost, no -commitment size. It happens in the Army's new development. And I think the cost of each of those machines is about INR35 lakhs, INR40 lakhs, and -- for machine, and the requirement is 1,800 units.

Rajiv Maheshwari : Okay. Because of late...

Sorab Agarwal : INR700 crores to INR1,000 crores worth of requirement for a particular specialized machine, which Army has got developed. We would be big player from the industry competing. We are one of them. And -- but yes, that will fructify and things will happen only in the next 1, 1.5 years because now it will go for trials, and it will happen for 6, 7 months, and then commercials. So I feel it is still 1, 1.5 years away. But once that comes out, again, I do lot of...

Rajiv Maheshwari : And in case if we get through, it will be very prestigious for the company as such also.

Sorab Agarwal : Yes, yes, yes. And most importantly, the type of work what these machines are doing. These machines are meant for the ammunition dumps, underground ammunition dumps retested all over the country for moving the ammunition in and out. It is also a very hardcore production machine, which will be used during wartime.

Rajiv Maheshwari : Because nowadays, what's happening in the market is any company linked to different sectors is running like anything. I'm talking in terms of the stock

price. So that's the flavor nowadays.

So any media report linking to defense is always good for the shareholders' efforts also. Any...

Sorab Agarwal : We have not printed anything on Defense and Air Force, so...

Rajiv Maheshwari : Actually, I was wondering that even in the -- we did not get any update from the -- this...

Sorab Agarwal : Sir, we were too busy making machines, increasing capacity. But I think all this news we will put it together on the website immediately.

Rajiv Maheshwari : Because normally, either it's shared with the stock exchanges or we can get it on the website.

So many things have happened in the last few months, but we were not aware. But anyway, if you can update it on the website, we are updated with it.

Sorab Agarwal: Sure, we'll do that.

Moderator: Next question is from the line of Deepak, an individual investor.

Action Construction Equipment Limited

November 10, 2023

Page 15 of 16

Deepak : Congratulations on a good set of results. In the last quarter, there were some discussions around some sort of outsourcing opportunity in a white labelling for export and maybe a kind of a play -around in the developed markets. Has anything been materialized there?

Sorab Agarwal : Nothing materialized so far. But like we did mention 2, 3 such prospects are in really good stages, so let's see. I really can't put a timeline to it, but with respect to certain sophisticated, complicated components as well as machines, these discussions are going on. And if everything goes well, we should be able to announce something in Q4.

Deepak: And the last question, sir, I mean -- sorry, I joined the call a little late, so if this was already answered. Any further update on the Ghana project where I know it got delayed by 1 or 2 quarters? But when can we see a materialistic revenue recognition in the coming...

Sorab Agarwal : We have seen a lot of advances in this current quarter, so that's what the update is. If that happens, then obviously, execution will start Q4 onwards. And -- but I think enough has been - - a lot of delay has happened from the government side in Ghana.

And I think the latest indication we have is that it will go through within this quarter with respect to our advances because all the credit lines have been established, the mobilization is on, so hopefully, it should go through in this quarter, and we should be able to start our execution in next quarter.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to the management for the closing comments.

Sorab Agarwal : Yes. Like we discussed, things are going good, and we should be able to lock at least 25% revenue growth in this year. And -- but I believe that it can be faster than that. And obviously, our margins have expanded and will continue to expand further. Let's see wherever that we can take them to.

And our capacities will totally be expanded and increased. Capacity will be put in place totally in quarter 3 and whatever is left within quarter 4. So that will also give us the ability to take our revenue to INR4,000 crores with respect to our capacity.

And in all probability, our electric cranes and aerial work platforms deliveries should also start off from quarter 4 onwards. Our focus on exports remains very much, and we'll definitely increase our revenue in the current year, contribution coming from exports, wherein our long - term targets are actually 10% to 15% if not more.

Defense business is robust, and we will continue to get orders more or less on a regular basis from different defense entities as of now. And we are going to be increasing our presence in

the higher capacity cranes very soon. And our short -term, medium -term prospects look to be okay. Long -term, everything is in place. So we're looking at 25% growth. That's it. And thanks a lot to everybody for joining on the

call. Yes. That's it from my side. Thank you.
Action Construction Equipment L imited
November 10 , 2023

Page 16 of 16

Moderator: On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Mar 2024

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Corporate & Registered Office
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Date: February 13, 2024

To,
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Subject: Earnings Call Transcript Q3-FY24 .

Dear Sir/Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith, Earnings Call Transcript (Q3-FY24) of the Company.

Kindly take the above in your record.

Thanking You.

Yours faithfully,
For Action Construction Equipment Limited

Anil Kumar
Company Secretary & Compliance Officer

Action Construction Equipment Limited - 1 - 07.02.2024
Q3 FY24 Earnings Conference Call

Action Construction Equipment Ltd .
Q3 FY24 Earnings Conference Call

Event Date / Time : 07/02/2024, 16:00 Hrs.

Event Duration : 69 mins 07 secs

CORPORATE PARTICIPANTS:

Mr. Sorab Agarwal
Executive Director

Mr. Rajan Luthra
Chief Financial Officer

Mr. Vyom Agarwal
President and Head of Investor Relations

Mr. Mohit Kumar
ICICI Securities Limited

Action Construction Equipment Limited - 2 - 07.02.2024
Q3 FY24 Earnings Conference Call

Q&A PARTICIPANTS:

1. CA Garvit Goyal : Invest Analytics
2. Nishant Parikh : Individual Investor
3. Amol Rao : Kitara Capital Pvt Ltd
4. Rashmika Srikanth : Rika Enterprises
5. Nihar Shah : Crown Capital
6. Suhrid Deorah : Paladin Capital
7. Puneet Zaveri : Individual Investor
8. Arushi Shah : Shushil Financial Services Pvt Ltd
9. Ashwin Dsouza : Individual Investor
10. Sarika K : Individual Investor

Action Construction Equipment Limited - 3 - 07.02.2024
Q3 FY24 Earnings Conference Call

Moderator

Good evening, ladies, and gentlemen. I am Pelsia, moderator for the conference call. Welcome to Action Construction Equipment Limited Q3 FY24 Earnings Conference Call. As a reminder, all participants will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touchtone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Mohit Kumar from ICICI Securities Limited. Thank you and over to you, sir.

Mohit Kumar

Thank you, Pelsia. Good evening. On behalf of ICICI Securities, I would like to welcome you all for Q3 FY24 earnings call of Action Construction Equipment. To discuss the result today, we have with us Mr. Sorab Agarwal, Executive Director; Mr. Rajan Luthra, Chief Financial Officer and Mr. Vyom Agarwal, President. I will hand over the call to the management for his opening remarks post which we will start Q&A. Over to you, sir.

Sorab Agarwal

Good evening, everybody and welcome to this earnings conference call for discussing the results for the quarter and nine months ended 31st December 2023. I take this opportunity to wish all of you a

fabulous new year with good health and happiness. Along with me, in today's earnings con call, we have our CFO Mr.

Rajan Luthra and our Head of Investor Relations, Mr. Vyom Agarwal. I hope that you all have had a chance and opportunity to look at the company's financial statements and the earnings presentation which have been circulated and uploaded at the stock exchanges.

Over the last few years guided by our focus on customer -centricity, execution, and agility in operations , we have been able to set our company on the course of a predictable and sustained high performance trajectory. And today, we have the opportunity to highlight our execution rigor through our robust performance. To brief you on the financial performance of the Q3 of FY24 on a standalone basis . The operational revenue grew by 36% on a YoY basis from INR 555 crores to INR 753 crores which is our best ever quarterly revenue so far. The EBITDA of the company grew to INR 125.89 crores as against INR 67.67 crores in the corresponding quarter last year. The EBITDA margins expanded by 415 basis points to 16.22%. The PBT stood at 14.76% at INR 114.58 crores and PAT margin was 11.41% at INR 88.52 crores. The PBT and PAT margins expanded 400 and 340 basis points respectively on a YoY basis.

Action Construction Equipment Limited - 4 - 07.02.2024
Q3 FY24 Earnings Conference Call

I am delighted to share that these are best quarterly revenues, EBITDA, PBT and PAT numbers in the history of our company. For the 9M ended FY24, the operational revenue grew by 34.34% as compared to a similar period of FY23 and stood at INR 2,076 crores with EBITDA of INR 329 crores which is 98% growth on a yearly basis. Our PBT grew by 105% to INR 300 crores. PAT stood at INR 229 crores, which grew by 110% on a yearly basis. The EBITDA margins expanded by 480 basis points to 15.44%, PBT expanded by 470 basis points to 14.09% and PAT margins expanded by 377 basis points to 10.77%.

Now, let me give you a sequential perspective. For the Q3 FY24, the operational revenues grew by 12% on a QoQ basis, the PAT during the quarter increased by 20% on a QoQ basis and the PBT and EBITDA numbers registered a growth of approximately 19% respectively with further expansion in profit margins. The Company sustained its growth momentum across all operating segments during the quarter gone by. In the Crane segment, we fortified our dominant market leadership position and registered revenue growth of 43% YoY to INR 552 crores with margins of 16.24% which expanded by 280 basis points. The Construction Equipment segment clocked revenue growth of 45% to INR 90.35 crores with EBITDA expansion of 143 basis points leading it to 11.7%.

The Material Handling segment grew by 9% and recorded a revenue of INR 48.3 crores with margins at 16.3% which expanded by 65 basis points. The Agri division was more or less flat and registered revenue of INR 62.4 crores while maintaining margins at 3.85%. Our consistent strong all -round performance is a testimony to our strategic clarity, strength of our brand capabilities, execution skills along with agility in running the business ; and most importantly, the determination and passion of our talented, purpose - driven team members.

On the operational side, the global economy remains sluggish largely due to structural weakness in the Chinese economy and in advanced economies. Growth is set to slow to 1.2% in 2024 from 1.5% in 2023 as per World Bank estimates. India remains a bright spot amidst slowing global economy with real GDP growing by an impressive 7.6% YoY in Q2 FY24. This was driven by multidimensional and purposeful policy interventions by Government of India with particular focus on Infrastructure and Manufacturing sector. The growth momentum India continues to be strong. We have taken global headwinds and higher interest rates in our stride. Consumer sentiment remains healthy and with improved capacity utilization across sectors for industries. These factors are ideal for an uptick in priv

ate CapEx and will continue to aid our future growth. This makes us believe that the demand scenario for our products should be further strengthened and will continue to provide strong growth momentum to our company in the medium to long term.

As discussed during the last con call, our CapEx plans are on target and the new manufacturing facility for higher capacity SLU cranes, that is truck cranes, crawler cranes and rough terrain cranes along with

Action Construction Equipment Limited - 5 - 07.02.2024
Q3 FY24 Earnings Conference Call

expanded capacities for pick and carry cranes, forklifts and tower cranes have been made partially operational in the previous quarter and shall become fully operational by end of Q4 of the current year.

Looking at the buoyancy in the Indian economy and keeping in mind our future expansion plans, the company has finalized to acquire additional 80 acres of land in close vicinity of our existing manufacturing setup as our existing land parcel of around 100 acres would have limited our growth prospects beyond INR 5,000 crores of revenue.

Looking ahead, we would like to upgrade our previous guidance and expect a growth of at least 30% - plus in Crane segment for the current year and reiterate our growth rates around 50% in Construction Equipment segment and 15% to 20% growth in Metal Handling and Agri segments during the year. On the whole, we are now looking at growth in excess of 32% with consolidation in margins at current levels for the company.

Further, our Hon'ble Finance Minister has presented the Interim Union Budget which sets out realistic and inclusive vision for the nation. A mix of judicious and bold policy moves has placed India in a sweet spot which bodes well for our Company in the medium to long term. The capital expenditure outlay has been stepped up by 11.1% to INR 11.11 lakh crores in 2024 -2025. Allocation towards capital expenditure and infrastructure layout will enhance opportunities for investment in sectors like railways, roads, urban infra housing and defense. With equivalent focus on the Manufacturing sector, our country is on the move and is moving fast to realize our Hon 'ble Prime Minister's vision of making India the third largest economy in the world within the next five years. I recall his famous words for all of us Yahi Samay Hai, Sahi Samay Hai, Bharat ka Anmol Samay Hai. We would like to assure all stakeholders that we are well prepared, future ready and remain optimistic about the medium to long -term prospects of the Company and believe that our building blocks are firmly in place for sustainable growth in all of our four business segments.

With this I would like to open the call for question -and-answer session, please. Thank you.

Q&A

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. Ladies and

Action Construction Equipment Limited - 6 - 07.02.2024
Q3 FY24 Earnings Conference Call

gentlemen, if we have any questions , please press * and 1 on your telephone keypad. First question comes from CA Garvit Goyal from Invest Analytics. Please go ahead.

CA Garvit Goyal

Good evening, sir. Congrats for a good set of numbers.

Sorab Agarwal

Thank you.

CA Garvit Goyal

My first question is on your guidance for FY24 actually and for next three to four years as well. So , looking at first 9Ms numbers and you also mentioned 32% growth for FY24. So , it seems you are comfortable to achieve INR 2,800 crores kind of revenues in FY24. So, what are the underlying factors across our segments that give the management the confidence in reaching the ballpark number of INR 5,600 crores in next

three to four years as per the earlier guidance ?

Sorab Agarwal

First of all, you have to understand that our Company is operating in infrastructure and manufacturing

space , apart from Logistics and Agri. But obviously, Infrastructure and Manufacturing being more prominent. I think the entire country's focus and the government's focus is on creating assets, doing capital expenditure, and focusing on increasing India's manufacturing progress. So , owing to all that in FY21 we had thought that , we were at INR 1,200 crores revenue approximately , we plan to double it by FY24, that is , make it INR 2,400 crores. But by FY23 we had already achieved INR 2,200 crores. So , it was much faster than what we had anticipated.

Going forward, looking at the momentum, looking at the growth prospects, looking at the overall scenario in the economy and let's say utilization levels of all companies Manufacturing sector and government's focus on Infra , we feel that this momentum is here to stay. Let's say, if we take FY23, INR 2,200 crores as our base, so we should easily be able to double it to INR 4, 400 crores by FY26. So , from FY23 to FY26, easily INR 4,400 crores. And going forward, yes, what you just said, that's also possible by FY27 doing some where close to INR 5,500 crores, INR 5,600 crores.

Action Construction Equipment Limited - 7 - 07.02.2024
Q3 FY24 Earnings Conference Call

CA Garvit Goyal

Looking at like Infra growth you mentioned . So, how do you see our product basket catering the different aspects of this expenditure? That is one. Considering that this CapEx growth is non-recurring in nature. Do you see any kind of demand slowdown after one -and-a-half year or two years for our products?

Sorab Agarwal

I really cannot comment on that. But like I said, let's say if I talk about the core portfolio cranes, they are used both infrastructure as well as manufacturing. So , about 50%, 60% is towards infrastructure and construction, including real estate. And balance is hardcore manufacturing. Both these things are growing . And the machines have a life , depending on the machine between 8 years to 12, 13 years depending on the usage and let's say the maintenance of the machine. I think in our country, not for the next three, four, five years. I don't think we expect a slowdown. Rather the whole world is focused in a way that India is one of the best investment opportunities with respect to growth. We also have a population which is consuming and it is pretty big in size. So , I don't see. That's why we have about 100 acres industrial park where we are currently set up and we have consumed about 80, 85 acres there with our recent expansions. We realized that which has given us a capacity today of achieving revenue up to INR 4,000 crores. And we realized that the additional land which was available, we could only go up to INR 5,000 crores. So , keeping in mind our future plans, that is why even we have decided to go ahead and buy about 80 acres more land parcel , so that land availability in chunk is not a hindrance to our future growth.

CA Garvit Goyal

Understood, sir. Coming on the innovation side, like you mentioned, the electric crane. So , what is the status of that product and what are the development on this side? That is one. And secondly, what kind of demand outlook do you see in the upcoming quarter for this particular product?

Sorab Agarwal

We have had a lot of interest in the last 8, 10 months , ever since this machine has been available with us. Everything is ready. We are ready to go to the market. We have been ready for the last three, four months , totally. Unfortunately, as mentioned in the earlier con call, we are still awaiting the CMVR , Central Motor Vehicle Rules , to be formulated for electric construction equipment which have been pending. As of now, they're pending at Ministry of Road Transport and Highways. And we expect that to

Action Construction Equipment Limited - 8 - 07.02.2024
Q3 FY24 Earnings Conference Call

go through any time. So as soon as that happens, we can start delivery. Maybe it can happen in this

quarter. That's what it appears to be. Apart from that, our other technical innovation which is also first in India is the aerial work platforms, self-propelled aerial work platforms, 21 meters and 27 meters height. Going forward, obviously, we'll be adding more models to it, a 40 meters, 44 meters model. So, there also, we are ready to go to the market and we expect to start deliveries within February or early March.

CA Garvit Goyal

So, this February and early March ?

Sorab Agarwal

Yes.

CA Garvit Goyal

So, are these rules any kind of certification? What kind of these things are like ? Can you put some color?

Sorab Agarwal

I will. Yes, I've understood your question. See any vehicle which flies on the road, which travels on the road like a car, commercial vehicle, HCV. So, they need to have a registration number, an RTO number. To get a registration number, you need to be certified as per CMVR rules, Central Motor Vehicle Rules, that your vehicle is safe and meets all the regulations for motor vehicles so that it can safely fly on the road. So, the rules are CMVR rules and the certification is given by Automotive Research Institution of India, ARAI or ICAT and other three, four such agencies. So, we are just waiting for the CMVR rules. As soon as we get it, we have the draft rules and our machines totally comply with it. So, once the final rules are gazetted, we will just take a certification from ARAI after the inspection, and we can sell our machines so that they can also travel on road and they can have a registration number.

CA Garvit Goyal

Understood, sir. And one last question, then I'll go back to the queue. We have observed a significant improvement in our margin profile QoQ, for last, I think four to five quarters. So, could the management elaborate on the reasons behind this improvement? Furthermore, do you believe the current margin can be sustained as we scale towards the revenue target of say INR 5,500 crores in next three years?

Action Construction Equipment Limited - 9 - 07.02.2024
Q3 FY24 Earnings Conference Call

Sorab Agarwal

The main reason behind this is the company's hard work and obviously operating leverage, which has played in our very strict and well-monitored cost controls in place with respect to any type of cost that we incur. I think this year, we expect to finish with a 15.5% -plus EBITDA level on a whole year basis, which is definitely much better, 11.33% was the EBITDA level last year. Going forward, I think it is sustainable. Obviously, there are some caveats. Unless and until there is some huge fluctuation in commodity price, I think that is the biggest risk that I see with respect to margins.

But on the better side, I would say that with every about INR 400 crores, INR 500 crores increase of annual revenue, I think we can look at further expansion of around 75 to 100 basis points with respect to our margins going to operating leverage. So, once from current years, let's say even if we do a 32%, maybe upwards of INR 2,800 crores, maybe touching close to INR 2,900 crores, obviously that will unfold by end of March and going up to INR 5,000 crores and beyond. So, I feel that with every INR 500 crores -odd of additional revenue our margins still have a scope to expand further.

CA Garvit Goyal

All the best, sir. Thank you very much for the opportunity.

Sorab Agarwal

Thank you.

Moderator

Thank you. I request the participants to restrict with two questions in the initial round and join back the queue for more questions. Next question comes from Nishant Parikh, an Individual Investor. Please go ahead.

N

ishant Parikh

Good afternoon, sir. Congratulations, great set of numbers. I want to understand . How are we planning to foray into the defense sector and what products are we looking over there ?

Action Construction Equipment Limited - 10 - 07.02.2024

Q3 FY24 Earnings Conference Call

Sorab Agarwal

We have already started supplying to defense sector in the last three, four years and in a reasonably meaningful fashion with respect to our plans, especially in the last one, two years. Currently 2-2.5% of our revenue we are already garn ering from the defense sector. If I talk of the types of machines, which is the orders are under execution. The last big order under execution was about a INR 500 crores or INR 550 crores. It was an MPT. It's a multipurpose tractor. It was a 4x 4 special purpose built with different type of attachments which the army required . So, that we have executed in the last one year. And currently, there are some special 8-ton forklifts, about 60 numbers which is under execution.

There's special purpose -built cranes for Medium Range Surface to Air , MRSA project on each of them costing about INR 70 lakhs, INR 80 lakhs which is under execution. Then there are 60-ton truck mounted crane which is purpose built on the army 8x8 special vehicle. 8x8 or 6x6, I'm forgetting. So , each one of them costing about INR 1.5 crores to INR 2 crores. These are used for the bigger missile handling like Agni , Prithvi, the heavier missiles. So , they need a 60-ton crane at a particular radius. Similarly, on a regular basis, we are about to receive an order of around 99 and another order of around 66 two -ton, three -ton forklifts. Very recently Army, which is a very big win for us, that the requirement is more than 330 units of forklifts which we had supplied this similar model to them six -seven year back , seven -eight years back.

So, about 330 units of this forklift , and this has come under proprietary. So that means we are the only bidders and obviously inflation adjusted, we can quote over the last seven, eight -year price and the army will buy from us. So , this is repeat business of something we did six, seven years back, seven, eight years back. As of now, one of the biggest requirements where we are working with the army is for 1,800 numbers of , it is called a RTFLT, Rough Terrain Forklifts. It's really not an RTFLT. They call it that. It is a special purpose telehandler, wherein our company and one of the other bigger manufacturers in the country, two of us participated on an NCNC basis. No Cost, No Commitment . We made the prototype machines over the last one year and these machines were fielded in the month of November, December.

I'm very happy to tell you that we have been technically qualified after all the trials that happened in Leh Ladakh , very rigorous trials. They also open up the strip down the machine, put it together, do everything apart from checking the endurance in minus 20-30 degrees. So , we are very hopeful that over the next six months. So , this will be our biggest order in terms of value from the army, which we are expecting, which can be close to anywhere between plus minus INR 700 crores.

Action Construction Equipment Limited - 11 - 07.02.2024

Q3 FY24 Earnings Conference Call

Nishant Parikh

So, Army orders will be double -digit as a percent of revenue going ahead? I mean, around 8%, 9% to 10%, you can say.

Sorab Agarwal

It is a little increasing very fast, if you see. Looking at that, I think what we are targeting is upwards of 5% to be conservative but we are working on most of the special requirements which the army has, which they were earlier importing or those requirements are not fulfilled. So, it can be anybody's guess, but I would peg it at 5% going forward over the next two, three years.

Nishant Parikh

Great sir. Last question. Are we seeing any organic opportunities going ahead? Sorry.

Sorab Agarwal

Sorry, I'll just finish. I just forgot something. Apart from that, we are currently executing rough terrain cranes special orders. Each machine costing between INR 1.5 crores to INR 2.5 crores for the Indian Navy. That is under execution. As a matter of fact, 5, 10 of these cranes would be supplied within this quarter itself.

Nishant Parikh

Oh wow. To the Navy as well.

Sorab Agarwal

Yes. Navy, Air Force, Army, all three. Apart from DRDO plus, plus, plus the base workshop, everywhere.

Nishant Parikh

Great. My last question regarding, are we exploring any inorganic opportunities going ahead?

Action Construction Equipment Limited - 12 - 07.02.2024
Q3 FY24 Earnings Conference Call

Sorab Agarwal

Yes, we were looking at, we have two small ones we have finished. That was one year back, one and a half years back. We discussed a lot on the past con call. We were looking at one more. But I don't think it is going to happen because we are not able to meet the price expectations of the seller. But going forward, we are looking for inorganic growth within the country and we feel that we'll have one very big opportunity coming soon over the next six months, one year. I really can't say. So, which will be a game changer for our company, especially in the Train segment. If something like that happens and we have indications that there's a possibility. Apart from that, we are now also looking at some acquisition in Navy mainland Europe.

Nishant Parikh

Great. Thank you, sir. And all the best for the future.

Sorab Agarwal

Thank you.

Moderator

Thank you. Next question comes from Amol Rao from Kitara Capital Private Limited. Please go ahead.

Amol Rao

Good afternoon, sir. Congratulations. It's a super performance once again and made a habit of delivering great numbers. Sir, just taking you up on the quarter. From last quarter, you mentioned that there was a

slight pile up of inventory because of the festive season which was being cleared up. That has been cleared up and that situation hasn't reoccurred, right?

Sorab Agarwal

Yes. As a matter of fact, we were short of machines eventually, by end of December.

Amol Rao

That's a good point in that.

Action Construction Equipment Limited - 13 - 07.02.2024
Q3 FY24 Earnings Conference Call

Sorab Agarwal

So, what I meant to say is that we could have done even more revenue. Apart from that, to be very frank with you, I think it's been about a year, a little more than a year, we had KPMG as our statutory auditors and now we have E&Y as our internal auditors last six months. These guys have also changed the process of reporting sales and made it maybe the strictest possible in the country. I do not know only for us. So, they have also been instrumental for reducing our sales that we report for the last two, three quarters. But nevertheless, the inventory is in control, and we expect to bring it down to a level which we had planned earlier. I think last year we finished at 99 days. Hopefully, we should be lower than that by end of this year. Maybe our target is about 90 days and our receivable days end of last year were about 26 days. So, we are already currently at about 21 days and we are happy about it that we were able to do a good job there. Creditors, it floats between plus-minus 90 days, 85-90 days. So, we are very much on target.

Amol Rao

Excellent. Sir, one observation about this quarter. Sir, our material handling business, we had our CapEx which we have been doing for the last six, eight months. Sir, is this jump in material handling dispatch because of this CapEx, some capacity has come in dispatches?

Sorab Agarwal

Dispatches of material, not metal handling

Amol Rao

Sir, even the forklift business was supposed to get some additional capacity.

Sorab Agarwal

Yes, I've understood your question. Definitely, it is adding to that because we made it partially operational, this CapEx in the last quarter. So that also helped us in achieving better numbers. And our crane dispatches have definitely increased because of that. And further, by end of March, it will be further streamlined when they're fully commissioned. To be very frank with you, the last leg, which will happen by June end that will I think now eventually make us capable for 1,200 cranes in a month. Currently, we are at 900 to 1,000. For material handling, because we were setting up a new plant for some other product so the capacities were to get unlocked here. So that has also happened and I'm sure

Action Construction Equipment Limited - 14 - 07.02.2024
Q3 FY24 Earnings Conference Call

going forward even metal handling numbers you'll see much better growth than 15%, 20% on a yearly basis.

Amol Rao

All right. sir, you also alluded to some clarity coming on the emission norm deadline. Has that clarity

emerged or is it still not clear whether the government is going to stick to this?

Sorab Agarwal

No, the draft notification has already come through. It happened, I think, in end of December and it was to be gazetted end of January. I'm sure it would have been gazette, and as per that the new emission norms for construction equipment, that is CEV V from CEV IV will become applicable now from. It has been delayed by nine months. So, from 1 April, it has been shifted to 1 January 2025.

Amol Rao

Excellent. Thank you so much and wish you all the best. I'm sorry, one question if I can squeeze in.

Moderator

I'm sorry to interrupt you, sir. Could you please join back the queue, sir?

Amol Rao

Sure. I'll do.

Moderator

Okay. Thank you, sir. I request the participants to restrict with two questions in the initial round and join back the queue for more questions. Next question comes from Rashmika Srikanth from Rika Enterprises. Please go ahead.

Rashmika Srikanth

Hi, congratulations on an excellent quarter. I have a few questions for you. My first question is, in the previous conference call you indicated that we'll be selling the large crane, the crawler crane, the

Action Construction Equipment Limited - 15 - 07.02.2024
Q3 FY24 Earnings Conference Call

altering crane that we are entering into at EBITDA margins of 10% -plus. Our overall EBITDA margins are at least 15% -plus. So, if we are going to sell these large cranes at EBITDA margins of 10% -plus. Does it mean that they'll be margin dilutive? Does it mean that they'll be margin dilutive and not margin accretive? That is my first question.

Sorab Agarwal

What is the second question? Should I answer the first question? Okay, I'll do that. Crawler cranes and truck mounted cranes, we are already...

Rashmika Srikanth

What about my first question?

Sorab Agarwal

Yes, that's what I'm answering now. The crawler cranes and truck cranes business currently is around 10% margin and we've expanded our capacities from the capability of seven, eight cranes per month. Now, we can do about 30 -40 cranes in a month which will become totally functional in this year and I'm sure from doing five, six cranes in a month. Once we go to 20, 30 cranes in a month, or let's say 200, 300 cranes on annual basis, 400 cranes. The operating leverage will again kick in here, like you've seen in all other businesses, whether it was the backhoe loader, or whether it is the pick & carry cranes, or the tower cranes. And the margins will fall finally in sync with the company at about 15 %, 16%. Apart from that, the Chinese have been dumping these cranes for the last five, six years at ridiculous prices.

That is the reason that the margins are here at about 10%. But obviously, they cannot continue to do so

going forward. Only for the reason, because they are suffering very much in their own countries and their other markets because of the slowdown within China and especially in the construction and real

estate sector. So, all that will play very well for us. Hopefully, I believe that in the next one and a half years, our margins should stabilize along with the company. That's my belief. Apart from that, there is something else which I really can't disclose to you. So, we should be in a position to making some really good announcement over the next one to two months, which will change the game for bigger cranes, for our company and for our country as well.

Because right now our country has become dependent on the Chinese machines in the last four, five, six years for the bigger cranes. I think that will start to change in the next year and we would lead that change. So, I really can't disclose more than that. So, maybe in the next one to two months, we'll come

Action Construction Equipment Limited - 16 - 07.02.2024
Q3 FY24 Earnings Conference Call

out with a very good announcement. And this announcement will also help us improving our margins. So, that's all I can tell you at the current juncture.

Rashmika Srikanth

Okay. My second question is, the excellent performance of this quarter was almost completely driven by cranes. I am talking QoQ, not YoY. Now, QoQ, what went wrong? Firstly, what went wrong with the construction equipment segment? Why was there a degrowth in this particular quarter compared to the previous quarter? And secondly, what specific steps are you taking to increase the sales growth of materials handling and Agri equipment segment? Specific steps is what I am looking for.

Sorab Agarwal

Okay. So first, to answer your question on backhoe. I don't think anything went wrong. Because if you look on YoY basis, we were able to grow around 45%. So that means same time last year and this December we grew 45%. Yes, on QoQ basis, there were 15%, 16% dip in the revenue. That was primarily because most of the backhoe loaders are sold in the retail market. All the retail buyers and hirers, they are very conscious that they do not want to buy the machines in December, they want to buy them in January. So that was one of the reasons that QoQ basis, we witnessed a small dip. But if you look at the YoY basis, I think we are very much on track. We forecasted about 40%, 50% growth in this segment, and we are very much on track.

I think when the year finishes, we would be 50% plus again in this segment. Metal Handling, we had projected 15-20%. Agri, we had projected 15-20% and we are very much on track. So, if you look at the 9M growth for metal handling, we have grown by about 14%, 15% already. If you look at Agri, we have grown about 18%. So, I fail to understand from where you get the idea that it's not growing.

Moderator

Thank you, sir. Next question comes from Nihar Shah from Crown Capital. Please go ahead.

Nihar Shah

On the overall basis, I understand that we have 32% growth expected. I missed your introduction commentary where you even guided for crane and construction revenue growth. Can you just give me that number, please?

Action Construction Equipment Limited - 17 - 07.02.2024
Q3 FY24 Earnings Conference Call

Sorab Agarwal

Let me pull out that paper. See, overall basis, we should be growing maybe slightly more than 32% in this year, but let's say 32%. Crane would be 30%, construction equipment would be 50% and both metal handling and agri would be 15% to 20%.

Nihar Shah

Okay, sir. Going forward, do you expect any one particular segment to be more concentrated on?

Sorab Agarwal

Traditionally, we started as a crane company and we had the first mover advantage. So even till -date, crane is our biggest segment. And the country is growing, the market

is growing, the economy is

growing. So, it is definitely a little biased towards the cranes. But we feel that the growth, yearly growth in our construction equipment segment would generally be much faster than crane segment. So, even if you look at the nine months in the current year, I think the crane has grown by 33% so far. But construction equipment has grown by 72%. But the overall contribution of cranes to our revenue is much more at about 70% -plus as compared to 12% of construction equipment. But the growth rate of construction equipment will be faster than cranes because there our base is already much bigger and we are already at about 63%, 64% market share. Because we are the market leaders and we are growing with the market. But in construction equipment, we have an opportunity to even take up some market share from competition.

Nihar Shah

Okay, sir. Just to reconfirm that by FY26, we are hoping to do INR 4,400 crores in revenue?

Sorab Agarwal

FY26, INR 4,400 crores, and if everything goes well, FY27 plus -minus about INR 5,500 crores.

Nihar Shah

Okay. Thank you and all the best.

Action Construction Equipment Limited - 18 - 07.02.2024
Q3 FY24 Earnings Conference Call

Sorab Agarwal

Thank you.

Moderator

Thank you. Ladies and gentlemen, if you have any questions please press * and 1 on your telephone keypad. Next question comes from Suhrid Deorah from Paladin Capital. Please go ahead.

Suhrid Deorah

Hi, good afternoon, sir, and congrats on another excellent quarter. I just have two clarification questions. I didn't catch, you mentioned some INR 700 crores order from the army. What is this for?

Sorab Agarwal

It's a special -purpose machine. It's called a RTFLT, Rough Terrain Forklift. Actually, the product is called a telehandler. So, Army had this requirement of a very special, very compact, one-and-a-half, two tons lifting capacity. Each machine costing somewhere between average about INR 35 lakh plus taxes about INR 40 lakhs, INR 45 lakhs. And they wanted 1,800 numbers because this is a special purpose -built, the specifications, the height, the gradient capability, and the overall dimensions. This product was not available off the shelf. So, it was specially evolved for this requirement by us, and it was fielded in the Army for trial. These trials are called NCNC. No Cost No Commitment trials. We have been technically everything has gone through. The technical approval is more or less happened. I mean, the paperwork is happening. Over the next three to four months, already, the bid and everything is in place. So, we are very confident it will commercially go through because we are the only Indian bidder and our competition is with a foreign company. So, we are very hopeful it will go through. So that is about 1,800 units, an average price around INR 35 crores. You can very well multiply and calculate.

Suhrid Deorah

This one order will be a one -time order or this is something that will be repetitive?

Action Construction Equipment Limited - 19 - 07.02.2024
Q3 FY24 Earnings Conference Call

Sorab Agarwal

Just like forklifts, normal forklifts, just like other machines which the army repeats. I'm sure this is one of those products because this is going to be the future of main metal handling in Army bases, camps, apart from underground ammunition dumps.

Suhrid Deorah

Okay. And this is to be executed over what period of time?

Sorab Agarwal

Can you just repeat your question, please? Pardon me, please. I couldn't understand the question.

Suhrid Deorah

This order is to be delivered over what period of time?

Sorab Agarwal

I think we'll get two to three years. That is what. I don't remember the exact bid documents , but I think there's two to three years. So , if it goes through over the next, let 's say three to six mont

hs. Let's take six months. So , let's say by July, August or whenever. So , I'm sure we can start execution by Q3.

Suhrid Deorah

Got it. My second question was referring to a comment you had made on a previous call, you were earlie r talking about some international deal or either an M&A transaction or some sort of agreement where there will be contract manufacturing or something of that nature. Is there any progress on that?

Sorab Agarwal

Yes. In the recent past we have started supplying backhoe loaders to an American company, North American company, which is selling it in the South American continent, and we are doing contract manufacturing for them, for backhoe loaders. It's basically OEM . They have picked up one of our standard export models and we have configured it for them. Something similar has already initiated in Turkey where we have just supplied the first units now. So obviously it will totally go through over the

Action Construction Equipment Limited - 20 - 07.02.2024
Q3 FY24 Earnings Conference Call

next three, four months. But again, in Turkey we have also started doing this OEM or let's say white labeling for tractor segment. We've already supplied some units and that too they were supplied in CKD form. I think this has started. So , this is some sort of, let's say contract manufacturing or OEM manufacturing or white labeling.

But apart from this, more importantly, I would say that we are about to tie up with one of the world players for a product category to be made India for the Indian market and also for the glo bal market, which I think in that product segment can be a game changer. Unfortunately, I cannot say more than that. If everything goes well, we should be in a position to announce this maybe as early as March

because most of everything is already negotiated and done with.

Suhrid Deorah

Okay. I think that is very clear. Thank you so much and I really wish you all the best. Thank you so much again.

Sorab Agarwal

Thank you. Bye -bye.

Moderator

Thank you. Next question comes from Puneet Zaveri, an Individual Investor. Please go ahead.

Puneet Zaveri

Thank you for the opportunity and congrats on a very good set of numbers. Just wanted to check on an update on the order with the Republic of Ghana. What has been the status and is there any update on that?

Sorab Agarwal

Yes, we were very hopeful as the indication given to us that the money would have come through in December, January. Our agreements with executing banks are in place, but unfortunately, Ghana has defaulted on some of the payment obligations and their IMF loan has come through about, I think 1.8 billion. First tranche is already released. I think it'll take another two, three, four months before the system normalizes and they are able to. But we are on priority number one with respect to this project from

Action Construction Equipment Limited - 21 - 07.02.2024
Q3 FY24 Earnings Conference Call

India, even in the Indian embassy in Ghana. That's what I understand. We are just waiting for the payments to come through because we do not or cannot start any execution in Africa without payment certainty. Some companies like JMC and AF CON, their money is stuck in Africa.

Puneet Zaveri

Understood. This is a little broad view question on material handling and agri. Specifically, we've seen construction equipment do very well over the past two years. I think the way that you guided QoQ construction equipment has come back very well. Can you give us some granular details on material handling? What do you see in the next few quarters? Or where do you see it going? Do you see this growth rate to come up from 15 %, 20% to higher rate, which we've seen in cranes and construction equipment at a much higher rate?

Sorab Agarwal

Yes, I think it should start to happen in the next year from Q2 onwards,

but especially Q4 onwards next year. Because we are working at totally upgrading our range of equipment, material handling equipment to world-class levels with respect to every aspect of the machine. These products, we expect to launch Q3 latest by Q4, because work has just started on that. So, I think that will further help us garner more market share and obviously take advantage of increasing market. But till such time, yes, we are very much focused on further strengthening our infrastructure. With respect to that, the sales are not increasing at the pace we would have wanted them to be. But yes, in saying that also I would say that we've been projecting 15%, 20% and we've been getting that. But yes, just believe me, I'm more dissatisfied than what you are.

Puneet Zaveri

All right, so that's all my questions. Thank you so much for your time and all the best for the next year.

Sorab Agarwal

Thank you.

Moderator

Thank you. Next question comes from Arushi Shah from Sushil Financial Services Private Limited. Please go ahead.

Action Construction Equipment Limited - 22 - 07.02.2024
Q3 FY24 Earnings Conference Call

Arushi Shah

Hi, thank you for the opportunity. I have two questions. In our agricultural segment, we have seen a dip in the volume. So, is that supposed to come up like the volume degrowth, turning into a growth trajectory? And also, there has been a rise in the price realization.

Sorab Agarwal

Ma'am, if you can repeat your question again and be a little louder? Something is not right with your line.

Arushi Shah

Hello? Better now?

Sorab Agarwal

I think so, yes.

Arushi Shah

So, we've seen a degrowth in the agricultural equipment volume. So, when is that supposed to turn around and turn into a growth trajectory? And also, have we taken a price increase for the agricultural equipment? And my second question is, what are CapEx plans agreement short-term and medium-term? If you can give some color on that?

Sorab Agarwal

Let me first answer your first question because your second question, in any case, I was not able to make out. We will discuss it after first. There is really no degrowth in terms of revenue from the Agri sector. Yes, the numbers have been a little down because I think in the last quarter we were focused more on, let's say, last two quarters on the bigger horsepower tractors. So, that was the reason. So overall, revenue growth has been there, but maybe the number growth might seem to be muted or on a little lower side. And price increase, obviously, because we are a small player in the Agri or the tractor segment, as compared to all other people. So, we follow suit with respect to other big players. And time and again, alongside, we do a price increase in the same thing. What was the second question?

Action Construction Equipment Limited - 23 - 07.02.2024
Q3 FY24 Earnings Conference Call

Arushi Shah

Can you give me an outline of your CapEx plans for short and medium-term?

Sorab Agarwal

In the current year, I think we'll be doing to close to about INR 100 crores plus-minus. And next year, I would say, with respect to expansions further, it'll be close to INR 50 crores, INR 60 crores. And apart from some maintenance CapEx. So maybe totally, it can go up to. Luthra, totally next year, maybe INR 8,000 crores again?

Rajan Luthra

Excluding land , what all are we doing , this is excluding land.

Sorab Agarwal

Yes. Apart from that, I just mentioned that we have finalized to take over a big chunk of land. So , that would be close to about INR 160 crores and INR 170 crores of expenditure, some part of it will go through within this year. Most of it in the next year. That is separate, because that is for future expansion.

Arushi Shah

Okay. If I could just squeeze on a macro question, like, if at all, what are the headwinds we see for our business? I'm sure we are very well braced with the infrastructure policy of the government. But what are the basic headwinds, if at all, and how are we positioned?

Sorab Agarwal

I really do not see any much headwinds at the current juncture. But obviously, there is always a slip between the cup and the lid. Maybe if Vyom or Luthra would want to answer this , if something comes to your mind ?

Vyom Agarwal

Action Construction Equipment Limited - 24 - 07.02.2024
Q3 FY24 Earnings Conference Call

Yes, sir. I think the major headwind could be the commodity , commodity inflation, something that we had seen post -COVID. There was a huge rise in the commodity prices, specifically steel.

Sorab Agarwal

But, Vyom, I luckily, if there is huge fluctuation with a lag of two, three months, we are generally able to pass it on to the customers. Right?

Vyom Agarwal

Yes, of course.

Sorab Agarwal

What other thing comes to your mind, Luthra?

Rajan Luthra

I don't think so. Right now , geopolitical situation, I don't think so, it is moving in an advised direction. But that is the only thing, what we can think of.

Sorab Agarwal

And that can affect our export, future export targets a little bit especially . Because we've seen a little slowdown in export only in the last quarter. Especially because of logistics. Because logistics costs increased two, three times and certain orders were delayed for execution. So, yes, geopolitical things, especially happening at the seas, apart from a little slow down here and there in the world, can affect our export plans, where we want to go to 10% and then 15%. That is a small risk , yes .

Arushi Shah

Okay. And our dividend policy continues to remain in place?

Action Construction Equipment Limited - 25 - 07.02.2024
Q3 FY24 Earnings Conference Call

Sorab Agarwal

Yes. I'm sure with company growing further and earlier we were distributing between 5 -10% of our net profits. So going forward, we will go, I think, from 10% to maybe even higher up to 15%, 20% of our profits.

Arushi Shah

Okay. Thank you so much, sir, and best of luck and congratulations for the numbers.

Sorab Agarwal

Thank you.

Moderator

Thank you. I request the participants to restrict with two questions in the initial round and join back the queue for more questions. Next question comes from Ashwin Dsouza, an Individual Investor. Please go ahead.

Ashwin Dsouza

I just want to inquire about the land parcel that we are planning to acquire. Like, is it already done or is there some expected time frame by which it will be confirmed?

Sorab Agarwal

See, the agreements are already done, the advances have been paid and the final payments, and let's say the transfer of title deeds and all that is expected to go through some part of it within March this year and the transaction to be finished by May of this year.

Ashwin Dsouza

Okay. My second question is more related to maybe new products. I am sorry if somebody has already asked this, but I just wanted to understand. Are there any new segments? The infrastructure profile of the country is changing, okay, where new things have been done. Are we looking at maybe creating new products from our perspective to address to such opportunities?

Action Construction Equipment Limited - 26 - 07.02.2024
Q3 FY24 Earnings Conference Call

Sorab Agarwal

Yes, definitely, we are working on that. And in the same breadth, I would say that our electric crane, which we introduced, is a totally new segment in terms of nobody. It's like a blue-sky territory. So, that hopefully should get commercialized with this quarter. Aerial work platforms, we will be the first India and always have that first mover advantage. So that again is getting commercialized in this quarter.

Apart from that, another new product, Telehandler, that again we expect to commercialize within this quarter. Rough terrain cranes. Right now, we have started with a 45 tonner and a 75 tonner. So obviously we have started delivering them in this quarter, especially to the Indian Navy, like I mentioned. Going forward, we will also have a 20-ton, 25-ton and a 30-ton model to further and a 50-ton, 55-ton to augment the entire range. As of now, practically nobody's doing that India. We have to depend on imports.

We are also working on another new product called a Reach Stacker, which is used for container handling. Loaded container handling, 40 -tons, 45 -tons weight up to four or five high. So , with import - export increasing, especially, I would say going forward, exports increasing. So , the logistics and the container stations, already they use such machines. They're big machines, each costing about INR 2.5 crores, INR 3 crores. So , we are right now working at evolving the technology for the same, and it has already been done. So hopefully, the prototyping will be done over the next one year, and then maybe one and a half years down the line that will come up.

I'm sure there are some more products in every category that we do. I'll have to just quickly revisit my mind if I missed something. I'm sure there are one or two things I would have missed. But if you talk of a segment, I would say Aerial Work Platform and Telehandler and Rough Terrain Cranes and Reach Stacker . They're totally different segments in which we were not there .

Ashwin Dsouza

Okay. Thank you very much and congratulations to the management and the entire company on the excellent performance that you guys have been delivering. Okay. Keep it up for the future. Thank you very much.

Sorab Agarwal

Thank you.

Action Construction Equipment Limited - 27 - 07.02.2024
Q3 FY24 Earnings Conference Call

Moderator

Thank you. Next question comes from Sarika K, an Individual Investor. Please go ahead.

Sarika K

If you can share the volume growth under crane segment strategically?

Sorab Agarwal

What do you want from us? Earning growth?

Sarika K

Volume.

Sorab Agarwal

I've not been able to understand your question, I'm so sorry.

Sarika K

Okay. What had been the share of the volume growth in 43% has been the overall the growth under crane segment for this quarter. How much had been on account of volume?

Sorab Agarwal

Okay, on account of volume. You're talking with respect to only the crane segment?

Sarika K

Yes.

Sorab Agarwal

Do we have answer to that , Vyom ? With respect to your earnings presentation, I'm sure you give the

crane numbers. I don't have the earnings presentation in front of me unfortunately.

Action Construction Equipment Limited - 28 - 07.02.2024
Q3 FY24 Earnings Conference Call

Vyom Agarwal

I'll just give the volume numbers.

Sorab Agarwal

Just give me the volume numbers.

Vyom Agarwal

Yes. So, cranes , nine monthly volume numbers have grown from 4627 .

Sorab Agarwal

No, not nine monthly . She's talking about the 45% growth in cranes . So, we are talking about December 2022. No, not this. What am I saying?

Vyom Agarwal

Just a second. I'll fetch that.

Sorab Agarwal

December 2022 number for cranes. Do you have that earnings presentation?

Vyom Agarwal

No, we have given the 9M on the presentation, but I will just fetch that.

Sorab Agarwal

Nine months. So, let's answer on the nine months. Sorry . What are the crane numbers?

Vyom Agarwal

On the nine monthly basis, compared to last year, the number was 4627. And currently, 9MFY24 number is 6135.

Action Construction Equipment Limited - 29 - 07.02.2024
Q3 FY24 Earnings Conference Call

Sorab Agarwal

So, this seems to be in sync .

Vyo

m Agarwal

Yes. For the construction equipment, the number has grown from 490.

Sorab Agarwal

Let's stick to this. 1,508 divided by 4,627. So , we have seen 33% increase in numbers and same is the growth with respect to revenue. More or less similar. Maybe there is a 1% difference in the revenue part.

Sarika K

Okay . So, I believe majority actually of the jump which we actually have captured has been on account of the higher range cranes which have been introduced off late, and the pickup which we have actually captured.

Sorab Agarwal

No. What I'm saying is , for cranes of all types for us, in the first nine months we have sold 32.5% more in numbers. In revenue terms, it is 33.15%. So , more or less they correlate. So that means either whether because of product mix or whether because of pricing., the number of cranes sold is more or less equivalent to the number of the revenue that has increased.

Sarika K

Okay . So, the new cranes which we actually aspire to introduce. What's been the impact of those cranes and overall revenue that crane does?

Sorab Agarwal

Yes, they will help us increase the average price realization.

Action Construction Equipment Limited - 30 - 07.02.2024
Q3 FY24 Earnings Conference Call

Sarika K

For that reason, I actually wanted to understand , how much had been on account of volume in the Q3 and how much further we can go from here on?

Sorab Agarwal

I think we will do a separate call. We can organize this with Mr. Luthra or Mr. Vyo m. Because we have limited time on this call to start calculating data right now .

Sarika K

No issues. Secondly, coming to the capacity utilization in the construction equipment segment. Where do we stand now?

Sorab Agarwal

We are currently at about 50 -60%. We can do about 2,400 units of these machines annually. And currently, we are at 50 -60% utilization.

Sarika K

Right. And when we aspire foreign acquisition, what would be the size? Is it going to be closer to INR 1,000 crores?

Sorab Agarwal

See, there are two like I said. One would be a much smaller one which we are looking at in Europe. We are also looking at some. There's a consultant in place. And we are looking at some different targets, talking to a lot of companies , so that we have a base in Europe and we can make some machines for the European market in India and sell them through this company. One is that. And second, I really can't put a number to INR 1,000 crores. But I think it is going to be a big acquisition. The one in India, if at all it happens.

Moderator

Thank you, sir. That was the last question for the day. Now I hand over the floor to management for closing comments.

Sorab Agarwal

I think a lot of interesting questions today. And a lot of you congratulated us for our numbers. I hope and pray that the country keeps on doing well. We also fall in track like we already are. And keep on performing the way we have been doing in the past, in fact in the last two, three years. I would say that our economy right now is very buoyant, especially owing to manufacturing and infrastructure sectors and focused. Our company is very well placed to capitalize on the growth and the buoyancy which is there currently in the market. We are expecting at least a 32% revenue growth in the current year with around a 15.5% -plus EBITDA margin on a whole -year basis.

Our capacities have increased and will be more or less fully commissioned by end of March which will help us further grow our business. Our defense business has been reasonably robust and the orders that we got in the past, some of them have been executed, balance are under execution. New bigger orders are in pipeline for the next year. I believe that our short-term

and medium-term prospects are very well in place. We are very confident for the long-term prospects of the company. As conveyed earlier between FY23 and FY26, again keeping FY23 as base from INR 2,200 crores, we really expect to double ourselves by FY26 to INR 4,400 crores and going forward to up to INR 5,500 crores in FY27. With that I would like to thank you all for joining the call and thanks a lot. Bye -bye.

Rajan Luthra

Thank you. Thank you everybody.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a good day.

Sorab Agarwal

Thank you.

Moderator

Thank you, sir.

Call: May 2024

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Date: May 28 , 2024

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Subject: Earnings Call Transcript Q4FY24 /FY24 .

Dear Sir/Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith, Earnings Call Transcript (Q4FY24 /FY24) of the Company.

Kindly take the above in your record.

Thanking You.

Yours faithfully,
For Action Construction Equipment Limited

Anil Kumar
Company Secretary & Compliance Officer

Page 1 of 20

"Action Construction Equipment Limited
Q4 FY'24 Earnings Conference Call "
May 22, 2024

MANAGEMENT : MR. SORAB AGARWAL – EXECUTIVE DIRECTOR –
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. RAJAN LUTHRA – CHIEF FINANCIAL OFFICER –
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. VYOM AGARWAL –PRESIDENT –ACTION
CONSTRUCTION EQUIPMENT LIMITED

MODERATOR : MR. ANUPAM GUPTA - IIFL SECURITIES LIMITED

Action Construction Equipment Limited
May 22, 2024

Page 2 of 20

Moderator: Ladies and gentlemen, good day, and welcome to the Action Construction Equipment Limited Q4 FY '24 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anupam Gupta from IIFL Securities Limited. Thank you, and over to you, sir.

Anupam Gupta Yes. Thanks, Muskan. And it's my pleasure to host the management of Action Construction Equipment to discuss the fourth quarter FY '24 results. Representative management, we have Mr. Sorab Agarwal, Executive Director at Action Construction; Mr. Rajan Luthra, CFO; and Mr. Vyom Agarwal, President at Action Construction. To start off, I'll hand it to Mr. Agarwal for the opening remarks, post which we'll have the Q&A. Over to you, sir.

Sorab Agarwal : Yes. Thank you, Anupam. Yes Good afternoon, and welcome, everyone, to this earnings conference call for the fourth quarter and the year ended March '24. Along with me in today's earnings con call, we have our CFO, Mr. Rajan Luthra, and our Head of Investor Relations, Mr. Vyom Agarwal.

I hope you have had an opportunity to look at the company's financial statements and the earnings presentation, which have been circulated and uploaded at the stock exchanges. This has been yet another year of strong and relevant performance by our company, and we have been able to deliver [aspirational 01:44] return ratios with better quality and consistency in earnings while maintaining a strong balance sheet position.

Our ROCE and ROE for the last year stands at upwards of 42% and 30%, respectively. Let me take you through some of the highlights of these results. To begin with, it gives me immense pleasure to report that we have achieved INR2,911 crores operational revenue in this fiscal and recorded our highest ever sales, profits and margins in the year gone by. Our growth of 35% is significantly ahead of the market in our 4 sectors.

Our EBITDA margin for the year expanded by 510 basis points to 16.5% from 11.4% last year. And PBT expanded by 470 basis points to 14.9% and PAT increased by 380 basis points to 11.3%. In absolute terms, EBITDA grew by 94% to INR479 crores as against INR247 crores in the preceding year. We were able to increase our profit before tax by 97% from INR219 crores in FY '23 to INR433 crores in FY '24.

Similarly, our PAT also increased from INR161 crores to INR328 crores, whereby registering a growth of 103% in the last year. To brief you on the financial performance of the fourth quarter of FY '24, the stand-alone operational revenues stood at INR836 crores for the quarter, which is up 11% sequentially and grew by 36.4% year-on-year basis.

Action Construction Equipment Limited
May 22, 2024

Page 3 of 20

The EBITDA for the quarter stood at INR150 crores, whereas the PBT and PAT were at INR132 crores and INR98 crores, respectively. Our company was able to expand EBITDA margins to 17.53%, which is an expansion of 131 basis points sequentially and 446 basis points year-on-year. The PBT grew to 15.51% which is an expansion of 75 basis points sequentially and 377 basis points year-on-year. And the PAT grew to 11.46% which is an

expansion of 308 basis points year -on-year. The strong margin profile was led by capacity utilization, favourable product mix, improved price realizations, along with efficient cost contr ol measures and softening of commodity prices. We continue to be long -term debt free with sufficient availability of liquidity for the future.

Further, the Board of Directors

have recommended final dividend of 100%, that is INR2 per share for the year end ed 31st March '24. Now moving on to segmental business performance. We have strengthened our role as a market leader in crane industry with our consistent efforts. We are scaled the business to over INR21,06 crores in this fiscal -- in the last fiscal. Las t year, our Cranes business has registered a strong growth of 37.75%.

The growth was both in value and volume terms. Our number of Cranes has increased by 37% from 6,584 cranes in FY '23 to 8,970 cranes in FY '24. In Cranes segment, we have been able to grow our profit by 76% to INR343 crores with a margin expansion to 16.3% versus 12.77% for the last year. Further, we maintained the growth momentum in 3 segments, wherein we have surpassed our projected growth.

The Construction Equipment segment has clocked a yearly growth of 55% with revenue of approximately INR387 crores a nd increased margins at around 12.84% versus 9.5% on a yearly basis. The Material Handling segment recorded revenue of 8.6%. And so that INR184 crores is margined at 13.2% as compared to 12.33% last year.

The Agri division registered revenue of around INR237 crores, growing by 12%, with a marginal improvement of 75 basis points at EBITDA levels. The company has also expanded its global footprint and increased export sales by 72% year -on-year. The contribution of export sales to the overall revenues has inc reased to 8.5% as compared to 6.7% in the last year. We expect that going forward in the medium term, the export segment will contribute 10% of the overall revenue, which is in line with our long -term target of 15% to 20% contribution.

Looking ahead, India is one of the fastest growing economy in the world and its prospects remain very strong for the medium to long -term ahead. The infrastructure growth story continues to play a significant role in the economic growth and will have a multiplier effect on the economy. Our strategic positions in 4 sectors of infrastructure, manufacturing, logistics and agri will provide necessary emphasis to our growth trajectory.

It is crucial for us to highlight that our organization revenue is supported by all the above 4 sectors. Manufacturing and logistics contribute approximately 25% of our revenue, while agriculture and export each account for 8% to 9%. The real estate sector makes up at around 10% and institutional sales is about 3%. The Construction & Infrastructure r e presents the remaining 35%.

Action Construction Equipment L imited

May 22, 202 4

Page 4 of 20

This balanced revenue distribution is the outcome of our strategic effort over the past year to steer the company towards countercyclical domains. Further in the last year, company has expanded its business in the defence sector by securing prestigious orders to supply specialty design forkl ifts, rough terrain cranes and truck mounted cranes for the Indian Armed Forces. Our relentless innovation and commitment towards developing new products empower us to deliver such spe cialized equipment under the government's Atmanirbhar Bharat and Make in India initiative. We are confident that going forward, this dynamic line of activity will contribute in excess of 5% to our revenue in the medium to long term. It will not be out of place to mention that we are expecting some of our biggest orders so far from the Indian Defence Forces over the next few months.

In the past year, we have successfully completed our capital expenditure as planned, and our Cranes division 's capacity has inc reased by 46% from 9,000 units to 13,200 units annually of different types of cranes, while the Material Handling segment's capacity has grown by 50% from 1,800 units to 2,700 units annually. This expansion underscores our commitment to strengthen our core business.

Looking ahead, within the current year, we plan to further enhance our operational capabilities with moderni

zation and automation, aimed at boosting our capabilities and market competitors. In line with our focus on product improvement, we are upgrading ou r offerings to meet the revised CEV IV emission norms, it will be effective from January of 2025. This transition is not only about compliance but also about elevating the overall performance and eco-friendliness of our products. Our proactive approach and relentless focus on quality and reliability enhancement will facilitate to position us well in the export markets for sustained growth and long -term success.

Going forward, in the first few months of FY '25, we expect muted growth due to ongoing

General Election in the country, followed by monsoon season. However, on a whole year basis, we are optimistic and expect a growth of at least 15%, 20% in our Cranes, Material Handling, and Agri portfolios. For the Construction Equipment segment, we are looking at a growth rate of 30% to 40% on an increase basis.

On the whole, we are looking at a 15% to 20% growth in our top line for FY '25 with further possibility of margin expansion. We hope we are in a position to revise these projections at the end of second quarter, which will predominantly depend on the results of the General Elections, policy continuity and the onset and intensity of the monsoons. Furthermore, we remain highly optimistic about the medium to long-term prospects of our company, and are committed to deliver our growth projection.

We will continue to aggressively pursue cost savings and implement strategic pricing actions, ensuring that we both protect and expand our market. We believe that our foundational strategies are firmly in place, setting us on a path of sustainable growth across all our operational segments. This approach will lead to expansion in our top line, bottom line and overall margin profile, driving value for our investors as well as stakeholders.

Action Construction Equipment Limited

May 22, 2024

Page 5 of 20

Thank you. And now I'd like to open the call for the question-and-answer session.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Garvit Goyal from Nvest Analyst Advisors. Please go ahead.

Garvit Goyal : Good evening sir, Congratulations for good set of numbers. Sir, basically, you have reduced our guidance for FY '25 due to some external factors. But the factors that you have mentioned may result in deferment of demand for few months, but it should accordingly end up with higher demand in second half, considering the positive demand from the industry, which you also mentioned in last quarter con call. So, considering this, why are we giving a very conservative guidance of 15% to 20% for FY '25.

Sorab Agarwal : If you notice, we generally give a conservative guideline because for our base to be very clear with respect to what is achievable easily and what can be achieved. So that is why going by our trend, we are seeing 15% to 20%. And I believe we should be able to exceed it, primarily for the reason that, hopefully, the current government will continue again. So, all the focus and impetus on the growth of the country will continue.

And secondly, from 1st of January 2025, we have five norms. For construction equipment, they are called CEV V. So, CEV V, CMVR norms will be applicable. So we expect that in the end of quarter two and especially quarter three, there will be a lot of pre-buying for machines, which are moving straight from BS -III to BS -V. Currently, we have two types of machines. One, we are already in BS -IV regime and about -- I would say, about 40% of the company's machines which are in BS -III regime.

So all of this is going to BS V and there is going to be a substantial price increase, especially from BS -III to BS -V. So the numbers, there'll be a lot of pre-buying. So we are very hopeful, it will definitely

be better than that. But on the safer side, I think the middle end of second quarter is the best time to project the more easily possible growth trajectory.

Garvit Goyal : Understood, sir. And sir, previously mentioned that upcoming launches of some new products like Electric Crane and Aerial Work Platform, so where the company anticipate gaining a first mover advantage in India. So could you please provide an update on the status of these product launches?

Sorab Agarwal : Yes, the Electric Crane has been ready with us. Unfortunately, the government regulation -- wherein the regulation would have been formulated for the registration of this license with Indian RTOs. It got delayed and now it will happen only after elections. We have been trying to meet and I've also met the Ministry of Road Transport and Highways for a number of times on this. So we are very hopeful that this will go through in June now.

So hopefully, we will be able to start to sell our Electric Cranes by July onwards, which has been ready with us for quite some time now. The Aerial Work Platforms, more or less everything is in place and the product has been productionized. So we expect to start delivering this product. Earlier, we are planning to do it beginning of March, but due to some supply chain constraints. But now I think this will start to happen in the month of June with respect to deliveries of our new product Aerial Work Platform.

Action Construction Equipment Limited

May 22, 2024

Page 6 of 20

And in the same breadth, I would like to say that we are also working on a new model of next -

generation cranes, which we believe can be a game changer. So that we're already working on and within this current financial year, we expect to introduce that. Apart from a Reach Stacker, which is a much bigger version of a forklift, you can say in a way, capacity of 40, 45 tons for container handling.

And we are also working on a special model of Backhoe Loaders. As a matter of fact, it is currently under and we expect to launch it sometime in July, August. So this is a very special Backhoe Loader equal wheel, all-wheel steering, which is popular outside the India -- outside the country, and we are especially designed it for the export market. It has no market in India. Similarly, we are very hopeful that in July, August, we'll be able to launch new telehandler, which has been designed again, especially for the export market. It has no market in India. It is again equal-wheel and all-wheel steering and all-wheel drive.

Garvit Goyal : Following up this discussion, basically, last quarter, you mentioned, I think, a product crane that is currently getting imported from China, and we were expecting to launch that product in two to three months. So, what is the status of that?

Sorab Agarwal : See those products up to 75 tons capacity, 80 tons capacity, we have been manufacturing for the last 10 years. It is just that in the last 4 years, 5 years the market has increased. The Chinese were able to sell more than us because of their very aggressive pricing. So herein we were expanding our capacity from 4, 5, 6 units a month or let's say, 50, 60 units in a year to 400 units. It has already happened and our capacity is in place now.

So this year we will see increased results. So we will be able to if not triple actually double our sales in these bigger cranes within the current year that is what we believe. We should from a figure of approximately around 40, 50 units I think we will cross a figure of 100 units can be much more for this year.

Garvit Goyal : Understood. Sir, and just last question on our margin. So you mentioned last quarter like margin sustainability basically depends upon how the commodity prices will prevail. So looking at the current scenario where commodity prices are rising so can you help me to understand how do you -- how do you think EBITDA margins to shape up in FY '25 from

current levels of 14%?

Sorab Agarwal : See, obviously, if the commodity prices are increasing you see they are within range 2%, 3%, 5%, 7% up down that is easily manageable, but obviously like in the year FY '22 or -- I mean FY '23, sorry the Ukraine war or just before that then it was mayhem. So those types of scenarios are very difficult to immediately manage, but generally we are able to pass on any commodity increase with the lag of 2 months, 3 months for our customers.

In any case, we take our annual pricing. We're still looking at all the actions that we take to control our pricing -- our selling prices, I think the 16% plus scenario is hopefully here to stay. And with our revenue further increasing in this year there is only scope of further improving our margins.

Action Construction Equipment Limited

May 22, 2024

Page 7 of 20

Garvit Goyal : Understood sir. Thank you very much sir and all the best for the future.

Moderator: Thank you. The next question is from the line of Jaspreet Waliya from Clock Wine. Please go ahead.

Jaspreet Waliya: Sir in the last couple of calls you have been mentioning of the changes you're doing in the material handling business. So if you could just tell us what changes have been done and what do you think would be the impact of those changes in the coming years? Would you be able to drive higher growth in this business in the coming 2 years, 3 years?

Sorab Agarwal : Yes. We are very sure that the rate of growth in the material handling segment is about INR180 crores, INR190 crores for us, it will be faster than what it has been in the last 1 year or 2 years and primarily it was inefficiencies within the system of the company and we worked all across within the segment with respect to our plant manufacturing and upgradation and now things are on line with respect to, I would say, the quantity of production as well as further improve quality and performance of the machine.

And going forward from first of January onwards with the new BSV regime, we also plan to introduce a totally new range of material handling machines especially forklifts which will be even better upgraded to meet international level of performance as well as styling. So that is also in the pipeline to happen in January next year.

So everything is on track and we are very hopeful that this year we'll grow faster than what we've been doing. It has been growing, but at a slower pace. So hopefully we might even exceed 20% growth this year in that category.

Jaspreet Waliya: Got it, sir. Sir, as of now what part of the forklift market in India are you able to address and the products that you are going to introduce going forward, would they increase the addressable market size?

Sorab Agarwal: See, currently we are doing forklifts up to 12-ton capacity which we're manufacturing in India. And obviously there is also a niche market about 20%, 25% of the market which is addressed by forklifts imported into India from premium brands like Toyota or even Hyundai or Volvo. So it will also give us access to the premium segment with our upgraded machines and our intention is to sell the upgraded machine not only in the premium segment, but even in the regular segment to gain the market share.

Jaspreet Waliya: Got it, sir. Sir, in the last call, you mentioned that you're talking to a big brand for manufacturing a particular product in India for the Indian market as well as for the world, so what is the status of that initiative, sir?

Sorab Agarwal: It is in very advanced stages. More or less everything is true. It is just that we have an NDA so really can't disclose. There is some further, I would say, a technical -- it's not really a technical problem, but it's something in the interest of the joint venture that we'll be delaying this formation of the joint venture of announcement by maybe another two quarters, three quarters

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which I really can't disclose to you. But it is in the interest of the joint venture and the overall sustenance and profitability of the venture.

Action Construction Equipment Limited

May 22, 2024

Page 8 of 20

Jaspreet Waliya: Got it. So you also alluded to some -- making some large announcement in the crane market, which would have an implication on the -- on your business in cranes, so has there been any progress on that front?

Sorab Agarwal: See, in cranes we are leaders. Pick and carry cranes, tower cranes and now trying to become big in the bigger segment cranes that is 60 tons, 70 tons and bigger where the Chinese have taken over the market in India and we have set up and expanded our capacity. So that is only news in place, but yes in saying this definitely something -- some big things are lined up in defence sector because last year about 2.5% of our revenue came from defence at about approximately INR 68 crores.

And in the opening of this year we had pending orders worth about INR 65 crores and in the next -- over the next 2 months, 3 months we are expecting some really big orders from the defence which I also mentioned in my opening address. So they could be variable in the tune of INR 400 crores to INR 700 crores, maybe slightly more. So maybe this year can be the game changing year for us with respect to contribution of defence with respect to our company.

Jaspreet Waliya: So, I think you were referring to some acquisition in the crane segment?

Sorab Agarwal: I was referring to what?

Jaspreet Waliya: Some acquisition opportunity in the crane segment.

Sorab Agarwal: Yes. Things are going on. They are in the liquid state. As soon as they solidify and something is up for obviously we are a listed company so it will be informed, but...

Jaspreet Waliya: That will be outside India or in India?

Sorab Agarwal: We are actually open for inorganic growth in the country and outside country also. We have a couple of targets in mind within the country and obviously which is work in progress. And outside the country we want to acquire a smaller company with a good product which we have in mind. I can't say any more than that. We have already located some companies.

And so that - they can help us swing more faster into the export markets. So that we can start doing white labelling for our own company outside India and also moved some of the specific export products to that company apart from their own products which are manufactured in their country.

Moderator: The next question is from the line of Ankur Jain from Future Investment Private Limited. We can't hear you. Hello?

Sorab Agarwal: I think we can go to the next question and maybe he can come back in the queue.

Moderator: The next question is from the line of Aman Soni from Nvest Analytics Advisory.

Aman Soni: Sir, we were supposed to get some crane license for export. So, what is the update on that?

Sorab Agarwal: You're talking about some crane license for export?

Action Construction Equipment Limited

May 22, 2024

Page 9 of 20

Aman Soni: Yes, sir.

Sorab Agarwal: I don't think there's any such requirements. In India, we follow BIS standards. And obviously, the countries wherein we are exporting to, we make sure that we are meeting the regulations of that country. But there is no requirement for any specific export licenses.

Aman Soni: Particularly about the newer crane products that we are targeting into the export market. So, are we noting any requirement to getting the export license for those products that we are

looking for?

Sorab Agarwal : There is no need of any export license apart from maybe some export benefits that we get, if you're talking about those licenses, then obviously -- Luthra sir, what are the different -- we get some benefit on exporting, right, 1% or 2%?

Rajan Luthra : But I don't think there is any requirement of any

license for exporting. This is a freely

exportable product. As regards export incentives, definitely, these all products are covered in that export authenticity. So, once we start exporting, we will get the export benefit automatically. So, there is no requirement for any export

.Sorab Agarwal : There's no requirement as such for any export license from the country. And we take adequate care, whichever country we are supplying the machines to whether cranes or any other machine, to make sure that we meet their homologation requirements. And as a matter of fact, we -- over the last 3, 4 years, we've evolved special left-hand and right cranes also for some of the Middle East and African markets.

Moderator: The next question is from the line of Garvit Goyal from Nvest Analyst Advisors.

Garvit Goyal : My question is answered. Thank you very much.

Moderator: The next question is from the line of Rajeev M from Raj Investments.

Rajeev M : First of all, I would like to congratulate on the very good set of results. I have a couple of questions. First question is, I see a rise in interest expenditure. So any specific reason for that if you compare it with the previous quarter or the Y-o-Y comparison?

Sorab Agarwal : I think primarily it is more to do with the interest rate being higher in the last year, but I think Mr. Luthra will be a better person to take that question.

Rajan Luthra : Yes, there are 2 reasons for increasing interest expenditure. One is the increase in the average cost of borrowing because you must be aware that RBI has been giving the rates steadily for last 1.5 years, that is 1 factor. Second thing, we have gone aggressively on discounting of supporting our vendors, especially MSME vendors and which payment terms have been brought in faster, not at free of cost, but definitely, we are getting discounts on the payments. So, we are leveraging the alpha between the cost and the discount for that. So that is why the interest cost is slightly higher.

Rajeev M : So would this be a one-off effect in this quarter or going ahead it will come in the same range of INR8 crores, INR10 crores?

Action Construction Equipment Limited

May 22, 2024

Page 10 of 20

Rajan Luthra : It will be in the similar range because the practice is still continuing, and we are trying to further leverage our financial stand to get a more discount from a vendor by gaining the advanced payments and supporting them to maintain our supply chain issues.

Rajeev M : So we are benefiting in terms of the discount channel?

Rajan Luthra : Yes, that's right.

Rajeev M : Okay. Another thing is, Mr. Agarwal, you had mentioned about the election effect. So I would like to know, if we compare the month of April and May, so has it been materially impacted in terms of the work because of the election? Or how is it lying going forward means for the first 2 months?

Sorab Agarwal : That is only what happens. First 2 months have definitely been slightly muted as compared to the momentum that was there till March. And what we have also noticed in the past is during the election month, those 2, 3 months, the market, let's say, the buyers, even if they have requirements of work, they just go on to wait and watch more -- parts of the market. So that is what we are experiencing. I'm sure 4th June onwards things should come back to normal cycle.

Rajeev M : Okay. So the impact will be for the first 2 months and then maybe the demand would again come back for those who have built it up?

Sorab Agarwal : Sure, because there is no material change aspects, which has happened. And we are also very confident that on a year-on-year basis, we should be doing reasonably well even in the current quarter.

Rajeev M : And the final question is any update on the Ghana part, which was stuck up, I think, because of some funding from the World Bank or something. So any update on that?

Sorab Agarwal: Yes, G

hana has not bottomed through so far. We were very hopeful that was the commitment which we were getting from Government of Ghana. Current situation is that there has been some default from Government of Ghana with respect to certain credit lines given by Exim Bank. And this project was supposed to be funded by Exim Bank.

So that default or the dispute between the Government of Ghana and Exim Bank has not been resolved. And Ghana is about to get some IMF release package with -- on the basis of which they are going to fulfil their requirements with Exim Bank. So, right now, it is in a status quo

type of scenario that even we do not know whether it will happen in 1 month, one quarter, or 2 quarters. But the order on us very much stands. And but even we are not getting any clarity that when it will get solved within this quarter and next quarter. So that is the current situation.

Rajeev M : It is still in the pipeline, or it's stuck up as of now?

Sorab Agarwal : As of now it is stuck up, but one thing which I can tell you is that because, obviously, we do not want to go ahead or do anything without our payments being secured, so that will be very foolish because this line of credit, our security was coming from Exim Bank for all our Action Construction Equipment Limited

May 22, 2024

Page 11 of 20

payments although we have signed agreements with EXIM Bank, but the disbursements are not happening because of the default of Government of Ghana.

So everything has gone into a limbo as of now. So maybe in the next one or two quarters, if improved or as soon as their IMF thing goes through, something will happen. But yes, on the brighter side, whenever, let's say, over the next 3 months, 6 months, we are not in a position to answer now. But whenever this happens, we will stand at a slight advantage because the commodity cycle, you know the way it was 1 or 2 years, has turned in our favour. So our additional setting of the plant and supplies -- our margin profile will become even better as and when it happens.

Rajiv M: And this year, sales was close to INR900 crores. So when do you expect to touch the one four-figure mark in which quarter on the lighter note? What's your expectation?

Sorab Agarwal: My mind would tell me quarter 3, but we would love it if it happens in quarter 2, which I don't think it will happen, but -- and also monsoons are there, but you never know. Right now, the markets are like stock markets, anything can happen.

Rajiv M: But hopefully everything going well, Q3 we'll be able to touch the INR1,000 crores?

Sorab Agarwal: I think we should come in close vicinity or should be in a position to touch. I see no reason why it should not happen. In any case, first of our any year is about 45%. Second half is 55%, H1 versus H2. And the range is 40%, 45% going up to 60%, 65%. 40%, 45% in the first half, 60%, 65% in the second half. So I'm sure we should be somewhere there in the second half.

Rajiv M: But of late, we are doing very good even in the monsoon quarter, which was observed last year. So you never know, keeping fingers crossed.

Sorab Agarwal: That's what I said, you never know because what is happening, what I feel is because of this election quarter, there would be pent-up demand. So you never know that second quarter might also turn out to be even better than our expectations.

Rajiv M: Yes, yes, because the demand for the April and May maybe postponed to the second quarter.

Sorab Agarwal: Yes. So I mean all possibilities are there. But due such time it converts into Action, really can't say much.

Rajiv M: Well, Action is known for action. So hopefully, it would happen maybe Q2 or Q3.

Sorab Agarwal: Yes. We are also taking out a way to how at least August onwards things can start improving fast because the C EV -- BS V transition, so we will make all the customers aware by July or August that they are going to have a co

st impact of 12% to 15% from January onwards. I'm

sure things will look up. We have been managing to do it. We'll manage to do it again. The scenario is supporting us so I see no reason.

Moderator: The next question is from the line of Anupam Gupta from IIFL Securities. Over to you, sir.

Action Construction Equipment Limited

May 22, 2024

Page 12 of 20

Anupam Gupta : Sir, the first question is on the margin front. If we look at this year, the expansion, which you have seen sold 300 basis points at EBITDA level. Almost half has come from gross margin expansion and the half has come from operating leverage broadly. So within -- so within, let's say, if we look at the gross margin part, how much would you attribute to, let's say, better pricing environment because of the strong demand, how much could be, let's say, a better mix between the products since you are gradually upgrading your product portfolio as well.

So if you can just give a picture there. And within that as well, how do you see that changing in the next couple of years in terms of, let's say, if it is strong demand, how do you see that in the next couple of years in your pricing ability?

Sorab Agarwal: I think, Anupam, you've really asked a very hard question. And that was detail with respect to product mix or with respect to our pricing vis-a-vis operating leverage and obviously commodity pricing, I think to put the exact percentage, I have not seen that data so far. But maybe Vyom or Luthra Sahab, if we have any light on that?

Rajan Luthra : So the major impact has come because of the two factors. One is the volume increase and the

shift towards the higher or new generation conveniently higher tonnage cranes. That is the 1 which has contributed.

Sorab Agarwal: We can -- because of our operating leverage and let's say, customers shifting towards product mix, towards higher tonnage, our margins are slightly better. But I showed some part exactly, not able to quantify right now. We can calculate that and get back to you. It also come from commodity, which definitely happened a little bit in the quarter 4.

Rajan Luthra : And definitely, there was some advantage of the price also, and which I think was numbers...

Sorab Agarwal: Like I said, Anupam, I think we don't have an exact answer as of now. We can work on it and get back.

Anupam Gupta : Sure. That I understand, number is fine. But let's say, in your sense when you are actually selling the product to the customers, has your pricing power improved or that is not the right inference one should make?

Sorab Agarwal: So it has definitely improved. We also improved our prices by 2%, 3% on first of January. And the total effect would have started coming in the month of March on the deliveries. So pricing power is very much with us. But to be very frank with you, at the EBITDA levels, at which we are, our intention in the current year is not to focus mainly on further expanding the margins. I'm sure it will happen automatically with operating usage. But our focus in the current year is to increase our market share in pain, which has been stagnant. And last year, primarily due to -- because our capacity -- additional capacity, especially for Pick-n-Carry cranes only came into play December end. Now with capacities in hand, I think we are looking more towards numbers then expanding margin, which will happen automatically. The number of cranes increasing. So our fixed cost getting distributed.

Action Construction Equipment Limited

May 22, 2024

Page 13 of 20

Anupam Gupta : Understood. That's helpful sir. Second question is on the future capex, which may come in. So we obviously now are well covered for cranes and material handling. I think construction equipment, you have reached about 70% or 75% sort of utilization if actually the number right now...

Sorab Agarwal : Probably we're at about 55% to 60% in construction equipment right

now.

Anupam Gupta : So capacity is 1,500, right? And we did you -- that you did 1,100 something approximately total...

Sorab Agarwal : But I'm talking about the current utilization. I mean, this is not the last year's utilization. It is top of last year, then obviously, I think about 1,150 -- what is the total number of construction equipment?

Anupam Gupta : The last year, the total construction equipment numbers were around 1,156.

Sorab Agarwal : So last year, it was close to 63%, 64%. Currently, it is at 55%, 60%. So what I'll do, I'll quickly elaborate all the 4. In cranes, currently, we are working at about 75%. We can produce, let's say, close to about 1,100 cranes in a month of different types put together. Total capacity -- annual capacity is 13,200. And we are working on it to take this capacity beyond 18,000. And this will happen within this year, hopefully by Q3. This is work in progress, on which we'll be spending about INR70 crores, INR80 crores in this year.

Material handling, earlier our capacity was 1,800, which is now 2,700 units. And last year, we did about 1,500, 1,600 units. So there, again, we have enough space for the current year.

Construction equipment, our capacity is 1,800, and we did 1,150. So we feel we are comfortable there.

And our plan for construction equipment with minor capex with respect to our fabrication capacity and assembly capacity. This can easily increase 50% further from here or maybe slightly more at a very short notice 2, 3 months. So Construction Equipment, I feel we are -- we are covered. And as and when we feel that we are touching peak capacity about 150 units per month, we will immediately start to work on expanding this, which is possible in 3 months, as I told you. And in Agri, in any case, we are working at less than 50% -- about 35%, 40%. So there is no issue there.

Anupam Gupta : Understood. And all of this is happening at the same 3 locations which you have? There's no additional location that you plan for?

Sorab Agarwal : One main location is about 100 acres complex, where most of the activity is happening. And our current revenue capability is about INR4,500 crores with all the expanded facilities currently. So -- and we did close to INR2,911 crores last year operating revenue. We have capacity to go up to INR4,500 crores which is available to us already. And by the end of quarter 3, I believe this will be announced close to INR5,500 crores of revenue.

Anupam Gupta : Okay. Understand. And sir, just 1 last question. So obviously, exports is a big focus and you talked about some white labelling which you are wanting to do and possibly some acquisitions

Action Construction Equipment Limited

which you want to boost your exports. So the question is why is inorganic required, why can't it be done in-house with you? So is there any technical requirement or a market reach related requirement which forces you to do an acquisition? Or is there something else?

Sorab Agarwal : I'll take this question in 2 ways. First is current white labelling. We are doing for an American company. I think we discussed last time also in our conference call, and also for a Turkish company for backhoe, as well as tractors. With American company for backhoe. And the second part of your question was -- acquisition.

All said and done. A product going out of let's say, American or a European continent to South America, South Africa or Middle East, there is a better price and perception. So that is what we want to capitalize on. Our intention is to spend maybe up to INR100 crores, INR200 crores. We have identified some targets and take over that company. They are already doing a good job in their own products at about 10%, 12% EBITDA level.

So that continues whatever we are doing. Some of the specific export models and products we white label for this company. And use the brand name to

end out to different parts of the

world through their network, before further we expand it. So we believe that the time to penetrate into different markets with the European or American brand -- for the brand. And the possibility of margins being expanded is much more if we use the strategy.

And these products, obviously, which we are a white label, most of everything will be produced in India. So it is Indian cost and selling price becomes European or American which is much higher than anything. So we say we have a lot of advantage. Apart from that, this particular company will take over. So obviously, at a component level or even some machine model level, the same can also be done in India and send there. So the cost itself for this company will reduce. It will either help this company to further increase their margins or we'll be able to sell more because of being more competitive.

Anupam Gupta : Understood. That is pretty clear. And just one last question, if I may, sir. On the transition the BS V from January '25, so in all the transition basically, especially for the engines part of it, in-house you have achieved that level of emission Right? Or is it still pending -- how will you source that new engine?

Sorab Agarwal : We use some in-house engines, but primarily -- for construction equipment, I'm talking about. But primarily construction equipment and cranes, I mean, all type of equipment. But we buy engines or use engines right from Simpsons, which is a Amalgamation Group company, to Kirloskar, to Mahindra, to Cummins, to Tata Motors, Ashok Leyland, Volvo, Eicher, maybe one or two names I might have missed out so obviously, the engine wherein we use from these manufacturers because they are already even currently fulfilling a BS VI, so it's not an issue. And our BS V engine, currently, we had upgraded our own engines to BS IV, which was more to do with tractors. And it is work in progress as of now. So hopefully, by quarter 3, we should have our own BS V engines as well.

Management: Anupam, Vyom this side. I would like to answer to your first question, wherein you had asked for the breakup of the incremental EBITDA levels of approximately 500 basis points. So see,

Action Construction Equipment Limited

May 22, 2024

we have been saying that with the increased capacity utilization, every INR500-odd crores of revenue at around 75 basis points to our bottom line 75 to 100. Owing to that, we can see incremental EBITDA levels of around 125 to 150 basis points because of increased capacity utilizations.

Commodity and cost controls results in another 150 -odd basis points, and the balance is because of the market price increases and the better product mix that we have been able to deliver to the customers.

Moderator: Thank you. The next question is from the line of Mehul Mehta from Nuvama PCG. Please go ahead.

Mehul Mehta : Congrats on great set of numbers. Can you please update in terms of market share at the end of the year in Backhoe Loaders? Where do we stand?

Sorab Agarwal : See, unfortunately, we do not have right now the exact number of machines till March end. But hypothetically, putting it, it would be more or less correct. I think it would be somewhere close to 2.6%, 2.7%. I think 2.6% to 2.7%, something like this, maybe 10 basis points on the upside only.

Mehul Mehta : And, the final question in terms of narrow down of pricing gap compared to our leader market share in backhoe loaders? How would we have narrowed down over the year?

Sorab Agarwal: Sir, you will have to repeat your question. I couldn't figure out what you're trying to ask.
Mehul Mehta : Our leader, in order, how would we have narrowed price gap? Like how would we have like over the year?

Sorab Agarwal: But see, there's a reasonable price gap between the market leader and us. And we have currently no intention of narrowing the price gap because we

want to increase our numbers.

And that is a model we have been following for the last one year because at the current price -- because about 80% of the Backhoe Loaders are sold in the retail segment or the hiring segment, which is run on a monthly or a yearly basis.

So at the prices of our -- let's say, the main market leader -- prices that they are selling. So the viability of a rental company or a small or a small hirer is becoming very difficult in current stage. Whereas at our pricing level, there's a liability to the product on running it on rental or a monthly or a yearly basis.

So I think currently, we are comfortable with our pricing. Last year, we were also able to expand our margin to more than 12% in the back hoe loader segment. And going forward with further increase in numbers, I'm sure this will expand further. I think we are competitively placed as of now, and we are not trying to narrow down the market.

Mehul Mehta : Yes, sorry for this. I'm done. Thanks for your explanation. Thank you.

Moderator: Thank you. The next question is from the line of Zubin from Ambit Investment Advisors . Please go ahead.

Action Construction Equipment Limited

May 22, 2024

Page 16 of 20

Zubin: Hi, sir. So, you've spoken about all the segments. If you could just speak about the agriculture side. So basically, the agri equipment side for FY '25, how do you see this segment, going through, and also, if you could break it down in terms of tractors separate and for farm equipment separate and in the terms of the harvester sides separate. So what is the outlook for FY'25, if I ask from your point of view?

Sorab Agarwal: We are again looking at 15% to 20% growth on revenue basis. And last year, again, we had planned for that, and we were quite confident, but unfortunately, it did slow down quite a lot in the -- in quarter 4, March quarter. And we also had some announced inventory management with respect to our dealers carrying the number of tractors and all that.

So on account of that, we did not reach out 15%, 20% mark, but had to stop at 12% growth. But we are hopeful this year, we'll cover up. And we are also focusing quite a lot here with our bigger horsepower tractor models for the export market. And our recently evolved 20, 25 horsepower smaller model, which is very popular, outside India for smaller applications and off-grid applications.

So we are hopeful that we will do a 15%, 20%. Obviously, we would love to do it faster than that, but somehow, we've not been able to do it. So I really don't want to commit or say anything. And with respect to the -- second part of the question was with respect to Harvester and...

Zubin: Yes, sir. So I just wanted to know, one, if we could provide the breakup in terms of the total -- you've given the total volumes. But for Harvester separately, if I can get the volumes? And what is the sense with respect to the farm mechanization. Are we seeing farm mechanization taking place? Or how -- or is it slow? So what is the outlook going forward?

Sorab Agarwal: I think the mechanization part is definitely happening and happening at a good speed. And that is happening not only in farm, all across to be very frank with you. And for the breakup part of it, I think Vyom you can answer. And also one more thing that I'd like to inform that we were doing small implementing rotavators, which we have discontinued in the middle of the year because we realize that was really not much revenue accretive or it was more of a burden than this thing. So we've discontinued the rotavators part. I think Vyom you can elaborate it.

Vyom Agarwal : So, tractor numbers for the last financial year stands at around 2,462 and harvesters is 137. Now the balance number was a little bit of rotavators that we did in the last year in the first half but as already explained, because of the low ticket and low-profit nature of that business,

business,

in principle, the management decided that we would like to come out of these small ticket implements business. And focus more on the larger tractors and the smaller garden tractors of 22, 25 horsepower. So, this was the breakup in year.

Zubin: And if I could just add, so apart from harvesters, as you spoke about rotavators, you've exited. Do you all plan to introduce any further products in this farm mechanization space since you said that this is a segment which is seeing good traction?

Vyom Agarwal Yes. So, definitely, we had 1 big harvester, which was a ACT60 model. And then we have now started developing ultra-lightweight combines because in the paddy fields, these

lightweight combines are gaining more popularity in the Indian market as well. And we see that there is a market gap which can be fulfilled by us. So now we have 3 models in Harvester. One is the normal Harvester, then we have Ultra and then we have Ultra Plus combined. So we are now going into the lightweight category of the Harvester.

Sorab Agarwal: And we have started to deliver it, right, Vyom?

Vyom Agarwal: Yes, Sir.

Sorab Agarwal: We've started delivering.

Zubin: Right, sir. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Suhrid Deorah from Paladin Capital. Please go ahead.

Suhrid Deorah: Hi, sir. Congrats on continuous strong performance. I had a question regarding calendar year 2025 with this transition to the BS5. So two points. One is that I would imagine that there will be a lot of pre-buying and you also talked about Q2, Q3 being strong because of this pre-buying. So in effect, you are basically pulling forward demand from next year as a result of this. So is it not fair to expect that the volume next year will generally be not as exciting in terms of growth?

Sorab Agarwal: I don't think so. It never happens like that. We've seen a lot of pre-buying but that will be in 40% of the number of equipment we do. The balance, 60%, we don't expect any much pre-buying because transition from BS4 to BS5, the price gap would be maybe 2% to 5%. It is to be more in the 40% segment. And especially, I would say they're in the return or smaller focus category and the Pick-n-Carry cranes, the Hydra type. So I don't foresee that.

Suhrid Deorah: You're saying 60% of products will not be affected?

Sorab Agarwal: Yes, because another thing is because I'm sure we'll be short on deliveries in quarter 3 because as it is, the demand scenario starts to increase September onwards, September and onwards. So it will be coupled with this prebuying. So maybe there'll be a lot of order booking, a lot of things happening, whatever best we can deliver will be happening. But post that also, genuine requirements are not delayed. It is just that something will get postponed. I don't think it will affect as such.

Suhrid Deorah: You said BS IV to BS V, the price effect is 2% to 3%, which is 40% of your product portfolio?

Sorab Agarwal: 2% to 5%.

Suhrid Deorah: And 60% of your product portfolio is BS III to BS V?

Sorab Agarwal: No, it's the other way around. 60% is 2% to 5% and 40% will be 12% to 15% where we can expect a lot of prebuying.

Action Construction Equipment Limited
May 22, 2024

Suhrid Deorah: Okay, 12% to 15%. Got it. And the other question was, you were mentioning in the last quarter's call about a potential tie-up with a foreign company for white labelling or some sort of partnership in India. Is there any update on that, that you would like to share?

Sorab Agarwal: It is also work in progress and things are going in the right direction. But we have -- in the meantime, in the last, I think, in three quarters, we have started white labelling, like I mentioned earlier also, for one American company and one Turkish company. That

has already

initiated in the last two quarters. And there are some more opportunities, even bigger than these ones, which are currently under negotiation.

Suhrid Deorah: So the white labelling is you manufacture on your exports under their brands. Is there any other -- are you exploring other partnerships for the Indian market also?

Sorab Agarwal: Yes. There is -- today, everybody wants to come to India. And if they're not selling in India or if they are selling, they still want to partner with somebody to be able to produce the right cost to take it out of India. If you practically look around in our space, whichever Indian companies over there in the last 10, 15 years being taken over by foreign brands or multinationals, even Tata Hitachi is now more Hitachi than Tata or L&T Komatsu is more Komatsu than L&T or JCB long back has taken over Scott's equity or L&T Case now becoming totally CASE Construction, plus, plus, plus.

Any small, big company outside India, if they are looking for development of their products or white labelling any one of our existing products, if they come to India, perhaps we are one of the only options. So a lot of things are happening on multiple fronts, and I'm sure we'll keep on adding value to our export portfolio.

Moderator: The next question is from the line of Dhvij Patel from Fintest Capital.

Dhvi Patel : Congratulations on a great set of numbers.

Sorab Agarwal : Thank you.

Dhvi Patel : Sir, I just wanted to understand, since we are foraying into the defence as well...

Sorab Agarwal : Could you speak a bit louder please?

Dhvi Patel : So I was saying, as we are foraying into defence as well, so can yo u shed some light on what orders we are expecting? And how much we expect it to contribute to the top line?

Sorab Agarwal : For the defence business, right?

Dhvi Patel : Yes. Just for the defence business, for FY'25.

Sorab Agarwal : Yes. See, I'll start with last year. Last year, we executed a business worth approximately INR68 crores, which is approximately 2.5% of our total revenue. But this year, we started with orders and order backlog of INR65 crores. So definitely, our defence business is going to be much more than what we did last year. So, I think it easily -- we started with INR65 crores, it will easily cross INR 80 crores, INR100 crores , maybe more.

Action Construction Equipment Limited

May 22, 2024

Page 19 of 20

But simultaneously, let's say, certain specific requirements or bids which were being pursued in the last one to two years. So we are expecting two, three very big orders, one of them being our biggest ever from defence . And these combined orders can be to the tune of INR400 crores to INR700 crores. So we expect to receive these orders over the next maybe 2 months, 3 months max, maybe even earlier than that.

So that could change the contribution of defence drastically. We were targeting 5%. So we will easily exceed that, hopefully, in this year if these orders go through firstly. And then our pipeline for future is nice because again, these big orders are again repetitive type of purchases.

But out of this INR400 crores to INR700 crores, all of it will not be executed in this year. So maybe about INR50 crores to INR100 crores we might be able to catch in this year and the balance will take it down to next year, but still already INR65 crores in hand, another INR30 crores, INR40 crores, INR50 crores will come and let's say these bigger orders were able to execute INR1,500 crores . So we can actually do INR100 crores to INR200 crores worth of defence business in this year. If I just calculate the percentage it might go beyond 5% in the revenue contribution.

Dhvi Patel : Yes. So I was asking is because, for example, let's say, we conservatively figure out that monsoon might not be that great for us. So do you think defence might carry our order book during t

hose crucial months?

Sorab Agarwal : Your voice is actually a little less, and I could not figure out, monsoon and what not?

Dhvi Patel : So I was saying, let's say, we are being conservative and monsoon is muted for us -- the monsoon months , they're muted . So do you expect defence to carry our order book for those months?

Sorab Agarwal : See, because if we get this order over the next two months to start execution for one of the orders can start, yes. It can play a role in quarter 3, if you get it in the next one or two months, one of the orders . But the other order will require actually three months of preparation before we can start execution because of certain components and different set of components with respective supply chain.

But I don't expect quarter 2 to be muted even with or without defence , because I believe that there will be enough pent-up demand from quarter 1. So I don't expect quarter 2 to be muted.

That's my gut feel. Rather I feel 4 June onwards, things will go back to track.

Moderator: Ladies and gentlemen, due to the time constraint, we will take this as the last question for the day. I now hand the conference over to the management for closing comments. Over to you, sir.

Sorab Agarwal : Thank you. I think last year was one of our best years with respect to our largest maximum revenue, record profits, and even with respect to margin profile, we've been able to do a good job. And going forward, we'll be working very hard to maintain and obviously also focus on

Action Construction Equipment Limited

May 22, 2024

Page 20 of 20

increasing our market share as well as margin profile in the right mix to be able to further increase our revenue and maintain our growth profile.

And we are currently further working on adding new products like we discussed during our meeting, like Reach Stackers and rough terrain crane, we have introduced special models for export market for backhoe and telehandlers. So we'll not only be adding new products, we will

also be adding new geographies internationally within the current year so that our export drive into a larger number of countries continues.

And we are hopeful that we will be able to double our revenues over the next three years, and we'll be targeting that. And in saying this, I would also like to say that -- we are also targeting a 3x over five years. So from the current levels going up to a 3x level over the next five years is what we're targeting at. And hopefully, the election results will be positive for the country, and the growth momentum will continue. Thank you.

Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Rajan Luthra : Thank you, everybody.

Vyom Agarwal : Thank you , all.

Call: Aug 2024

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Date: August 06, 2024

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Subject: Earnings Call Transcript Q1FY25 .

Dear Sir/Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith, Earnings Call Transcript (Q1FY25) of the Company.

Kindly take the above in your record.

Thanking You.

Yours faithfully,
For Action Construction Equipment Limited

Anil Kumar
Company Secretary & Compliance Officer

Page 1 of 20

"Action Construction Equipment Limited
Q1 FY'25 Results Conference Call "
August 01, 2024

MANAGEMENT : MR. SORAB AGARWAL – EXECUTIVE DIRECTOR –
ACTION CONSTRUCTION EQUIPMENT LIMITED

MR. RAJAN LUTHRA – CHIEF FINANCIAL OFFICER –
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. VYOM AGARWAL –PRESIDENT –ACTION
CONSTRUCTION EQUIPMENT LIMITED

MODERATOR : MR. CHINMAY KABRA – EMKAY GLOBAL FINANCIAL
SERVICES .

Action Construction Equipment Limited
August 01 , 2024

Page 2 of 20

Moderator: Ladies and gentlemen, welcome to the Q1 FY '25 Results Conference Call of Action Construction Equipment Limited, hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand over the conference to Mr. Chinmay Kabra, Emkay Global Financial Services. Thank you, and over to you, sir.

Chinmay Kabra: On behalf of Emkay Global Financial Services, I would like to welcome you all to discuss Q1 FY '25 earnings of Action Construction Equipment. The company is represented by Mr. Sorab Agarwal, Executive Director; Mr. Rajan Luthra, Chief Financial Officer; and Mr. Vyom Agarwal, President.

I will now hand over the call to Mr. Sorab Agarwal for his opening remarks, post which we will start with the Q&A session. Over to you, Mr. Agarwal.

Sorab Agarwal: Yes. Thank you. Good afternoon, everybody and welcome to everyone to this earnings conference call for discussing the results for the quarter ended June '24. Along with me in today's earnings call, we have our CFO, Mr. Rajan Luthra; and our President, Mr. Vyom Agarwal. The company's financial statements and earnings presentation summarizing the performance of quarter 1 FY '25 have been circulated and uploaded on the stock exchanges, and I will take you through some of the key highlights of our performance in the quarter gone by.

The company has maintained its growth momentum in the first quarter of the current fiscal year. Despite the big event of general elections, we have been able to register our best ever Q1, that is April to June quarterly performance. It is the best ever in the company's history. This has been a quarter of resilient performance by our company, and I'm delighted to share that the financial year has started positively for us even in the wake of general elections.

We continue to focus on improving product security, while fortifying our execution prowess and distribution strength to reinforce our competitive position. We're able to sustain our growth in terms of revenues and profits on a yearly basis. In the last two years, we have delivered high growth across our business segments and have improved our key operating metrics that are the best in the industry now.

Further, as a company, we have built long-term competitive advantage to our capabilities of doing complex operations in-house efficiently. We have a great level of fungibility in our back-end operations, such as fabrication shops, machining centers, paint shops, etcetera. These plants are equipped with state-of-the-art machines which are capable of doing operations that make two different products that we manufacture.

Hence, for better and efficient allocation of expenses, and as advised by statutory auditors, BSR and Company, that is KPMG as popularly known, we have merged our crane, construction equipment and metal handling segment into one segment for all our future Action Construction Equipment Limited

August 01 , 2024

Page 3 of 20

accounting and communication activities. This has been done since all our segments were growing significantly, with similar margins, and the exact allocation of back-end expenses and accounting was getting complicated due to the fungible nature of our operations.

Now to brief you on the financial performance of Q1 FY '25 on a yearly stand-alone basis. The operational revenues grew by 12.82% to INR734 crores with an expansion of 212 basis points in EBITDA margin to 17.11% from 15%.

The EBITDA during the quarter increased by more than 28% to INR125.50 crore

as against

INR97.5 crores. The PBT grew by 24.87% to INR111.42 crores and PAT grew by 24.46% to

INR83.71 crores as compared to INR67.26 crores last year. The PBT and PAT margins now stand at 15.19% and 11.41%, expanding by 147 basis points and 107 basis points, respectively, for the quarter on a stand-alone basis.

Margin expansion continued, driven by operating leverage, better product mix and improved price realizations, efficient cost control measures and favourable commodity prices. This is one of our most robust performances given the anecdotal evidence of our sales plan in the first quarter.

On a sequential basis, that is quarter-on-quarter, the revenues recorded a drop of 12% on account of tepid business momentum owing to general elections. The EBITDA, PBT and PAT have contracted minorly sequentially by 85 basis points, 70 basis points and 33 basis points, respectively.

Moving on to the segmental performance. The company has sustained its growth momentum across all operating segments. In the crane construction equipment and metal handling segment during the quarter gone by, we registered consolidated revenue of INR619.67 crores as compared to INR575 crores in Q1 of FY '24.

Both the revenue and volumes are up by 20% year-on-year. The margins also expanded to INR103.76 crores vis-a-vis INR83.66 crores, thereby registering a growth of 24%. The agri division clocked revenue of INR42.96 crores while registering a margin of 3%. Going forward, with further advancement of monsoon across the country, adequate water reservoir levels, better liquidity and consumer credit availability, we expect the demand momentum to improve in the agri space.

On the operational side, we wish to inform you that in-principle agreement has been reached with Kato Works Limited, a Japanese global construction equipment manufacturer of mobile cranes and excavators, to establish a 50-50 joint venture in India. The joint venture intends to produce medium and large-sized cranes, mainly truck cranes, crawler cranes and rough terrain cranes, for the growing Indian market. And in future, the JV also plans to utilize the technology which will be cultivated by the expertise of ACE and Kato to introduce a wide range of value-added products for the export market.

This joint venture will help us to establish a business foundation for the larger crane segment, which will steadily grow as a pillar of our medium- to long-term growth strategy. Our Union Action Construction Equipment Limited

August 01, 2024

Page 4 of 20

Finance Minister presented the first budget of Modi 3.0 government, largely an extension of the existing budget aimed at realizing the vision of Viksit Bharat by 2047.

In line with this vision, the central government adopted fiscal discipline and invested strategically in capital expenditures, prioritizing long-term economic growth through investment in infrastructure, rural development, employment and skilling.

The central government moved to keep capex spending unchanged at 3.4% of GDP, amounting to INR11.11 lakh crores, along with a provision of INR1.5 lakh crores to the states, as long-term interest-free loans will aid in infrastructure development and the central assistance of INR2.2 lakh crores under the PM AWAS Yojana Urban 2.0 augurs well for our company as we stand to benefit significantly from these allocations.

Looking ahead, India remains as one of the fastest-growing economies and prospects remain very strong for the period ahead. Cranes, construction equipment and metal handling business has done well and is poised well for future growth with government thrust on attaining sustainable growth in manufacturing and focused on faster execution of infrastructure projects. We expect the demand for cranes and CE segments to gain buoyancy and accelerate post monsoons.

Keeping in mind the continuous focus on government infrastructure development and efforts

to strengthen the manufacturing sector, we hereby reiterate our earlier guidance and expect a growth of 15% to 20% on a consolidated basis with sustained margins. We hope that we are in a position to revise these projections by end of second quarter, which will predominantly depend on the overall macroeconomic scenario.

Further, with our capabilities built up and process optimizations in place, we remain optimistic about the medium- to long-term prospects of the company and remain focused to deliver on our sustained growth agenda.

With this, I would like to request the moderator to open the call for question and answer session.

Moderator: The first question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal: Congrats for a good set of numbers. My first question is on the EBITDA margin. So if I calculate your EBITDA margins excluding other income, there is impact of 300 basis points on a Q-on-Q basis. So I want to understand the reason for the same, because as I remember in the

previous con call, while answering to my question on EBITDA margins, you said we will sustain 16% EBITDA margin in the coming quarter. So what happened suddenly that there is a fall in our EBITDA margin, sir?

Sorab Agarwal: If you compare it to the last quarter, I think the margins have gone down by about 80 basis points.

Garvit Goyal: So I think you are including other income for the purpose of calculation. If I exclude other income, then I calculate, then there is a dip, that's what I -- I'm trying to understand.

Action Construction Equipment Limited

August 01, 2024

Page 5 of 20

Sorab Agarwal: How much is the EBITDA margin coming out as per your calculation?

Garvit Goyal: With 13%, sir. If I exclude other income.

Sorab Agarwal: 13%. Luthra, can you answer this one? Because I am a little confused right now.

Rajan Luthra: In regard -- in this quarter, there have been some additional -- the material cost has slightly gone up and beside that some expenses related to admin expenses have slightly gone up, which -- I think which will be taken care of in the coming days, and we have made some -- normally, we make provisions in the slow moving and other inventories in the second half and the third quarter. So -- but we are keeping in view that we have started making provisioning it from the first quarter itself. So these are the reasons for the slight dip, but these are only -- I should say the temporary...

Sorab Agarwal: Is the gentleman referring to quarter -on-quarter or year -on-year?

Rajan Luthra: Quarter -on-quarter.

Sorab Agarwal: I think another reason is that about INR100 crores of revenue due to a tepid quarter because of elections, which we had forecasted also. So a little off the operation, deleveraging has happened. But on the whole, what I see is that our PBT, the PAT margins and the way we calculate are more or less similar. The INR100 crores will definitely have some effect on the margin, so that could have also added to.

Rajan Luthra: Yes.

Garvit Goyal: And sir, what is included in other income? Major portion of...

Sorab Agarwal: Yes. Carry on...

Rajan Luthra: Other income is typically more of income from the investments of what we do, plus some rental incomes.

Garvit Goyal: So are these going to be sustainable in upcoming 9 months, or what is the case?

Sorab Agarwal: As the market is growing, and I think we know the math and most of the investments are on the debt funds and bonds and also. So I think the margins will be -- the income is sustainable, other income is sustainable.

Garvit Goyal: And sir, you mentioned material cost increase. So are we able to pass on the same in upcoming quarters?

Sorab Agarwal: All our material costs, they're able to pass on. There was a slight increase in price of steel, but luckily, again, it has gone down in the last 1, 1.5 months, so I don't think we will do

an interim

passing on offset increase in steel price, which happened in the last 2,3 months. So it is again cooled off in the current month. But going forward, we do our annual price increase, which we will do in the coming month of January, or 1st of January onwards. This will also be coupled with price increase on account of CEV VBS V norms where the costs are going down.

Action Construction Equipment Limited

August 01, 2024

Page 6 of 20

Garvit Goyal: Got it, sir. Sir, secondly, we are currently at 85% utilization in crane segment. So are we looking to add further capacity in FY '25 for cranes?

Sorab Agarwal: No. Currently, we are not at 85%. In the last quarter, we were at about 65% utilization in the cranes sector.

Garvit Goyal: If I take the run rate of the quarter to the annualized basis, that's how I was calculating it. You're saying it is 65%.

Sorab Agarwal: I'm telling you we are at 65%. So you will have to believe me on that. We can make 13,200 cranes. And -- yes, yes, yes. So we are -- in the last quarter, we were at about 65% utilization.

So we have enough leg room. But in any case, the capex which is also currently happening, by quarter 3, our cranes capacity will increase to anywhere between 15,000 to 18,000 cranes. So we will have further additional capacity available to be used maybe quarter 4 onwards and especially in the next year.

Garvit Goyal: Got it. Got it. And sir, lastly, on the agri segment, our volumes are getting reduced, so are you witnessing any tough competition in this category? Or it is only the demand-related issues and

in the coming -- like we are expecting good monsoon here, so the demand will recover?

Vyom Agarwal: Yes. Garvit, Vyom this side. See, the growth in our agri segment has been somewhat subdued. And even the tractor industry is experiencing a flat trajectory. And the industry, as per CRISIL estimates, is also expecting a single-digit growth in the current financial year.

Despite this, as a company, we are projecting around 15% growth in this segment, and we remain optimistic that with the increase in the MSP for crops, along with the good monsoons which are -- we are witnessing across the country and improved liquidity and consumer credit availability, along with the initiatives which the government has taken in the recent budget, all these factors will enhance demand momentum, particularly during the festive months of September and October.

So going ahead, yes, we are very hopeful that this segment will perform well, and we'll be able to register a growth in tune of 15% going ahead. Competition, there is no such competition because our numbers are very small. So the industry size is huge. So we have a complete industry to go ahead and play along.

Garvit Goyal: Got it, sir. Got it. That's it from my side, sir. All the best for the future. I hope you will always -- like you are always doing, you will outperform your numbers.

Sorab Agarwal: So I would just like to say here that I'm just looking at the segment also, and I'm a little surprised how you calculated 300 basis points. But I think we will also work this out.

Garvit Goyal: Sir, actually, I think my calculation is correct, so -- we can do it offline also. That's not a problem.

Moderator: Thank you. The next question is from the line of Jasdeep Valia from Clockvine Capital. Please go ahead.

Action Construction Equipment Limited
August 01, 2024

Page 7 of 20

Jasdeep Valia: So the scale-up in the Construction Equipment segment has been a little bit lower versus the expectations you had from this business, let's say, 2, 3 years back. So what are the issues you faced in scaling up this business in line with your aspirations? Is there a problem in product performance, or you find it difficult to build distribution and service network?

Sorab Agarwal: I would slightly differ here again, because last year I'm not wrong we did about 45

% to 50%

increase in this segment, in construction equipment. And this year, with respect to special construction equipment, backhoe loaders and those, we are looking at least a 30% growth. So we are definitely growing from our base with respect to our numbers. The issue is not product performance at all.

The product is performing well and very well accepted. It is just that, obviously, there is a market leader and as much as it shows, it sells simple logic is working. But I think we are very close to coming out of that barrier and hopefully soon we can become number 2 in this segment, we are very confident. We are on track. Last year, we grew 40%, 50%. Exactly, I don't remember. 30%, 45%, 50% something like that. And this year, we will again be growing about 30% -- that's our plan -- if not more.

Moderator: Thank you. The next question is from the line of M.B. Mahesh from Kotak Securities. Please go ahead.

M.B. Mahesh: Just a slightly different question. When you look at your -- when you speak to your dealers and channel partners, has there been any indication of a tightness in credit supply from lenders for both the construction equipment as well as for the agricultural products? And if yes, was there any geography which they seem to be worried about?

Sorab Agarwal: Not really, not in the last quarter. I don't think on account of financing. I think the quarter before that, there was some indications, but there was no indication from our channel partners or other people because we also do some direct sales in some pockets like Bombay City as well as Delhi NCR. So I don't think we experienced anything like that.

M.B. Mahesh: So no tightness in -- no tightness in underwriting or credit rejections and stuff?

Sorab Agarwal: No, not with respect to our line of business, but I can maybe relate to let's say, the biggest competition in the construction equipment segment that we had, because as I explained earlier, they might be facing some problem because their NPA levels are much higher as compared to our portfolio. Our portfolio is obviously very small because the cost of their machine and the viability has been going down over the last 5, 6 years. They have been increasing NPS with our competition the largest one. So maybe this news that you are hearing might be from their end.

M.B. Mahesh: Okay. So I'm just saying, is that causing some slowdown to business and stuff?

Sorab Agarwal: No, I don't think so.

Moderator: Thank you. The next question is from the line of Ashish Golechha from Growth Sphere Ventures LLP. Please go ahead.

Action Construction Equipment Limited

Ashish Golechha: Congratulations for walking the talk. Sir, my first question was if you could give us some, what you should say, background. We will -- you had basically given that by Q2 or Q3, you would be basically in talks with respect to an acquisition which you said that you are working. And the second thing we wanted to know with respect to the exports percentage as a percent, what are the prospects going ahead with respect to the export market and the defense, sir?

Sorab Agarwal: Yes.

Ashish Golechha: I hope my questions are clear, sir, and I'm audible.

Sorab Agarwal: Yes, yes. See, with respect to the acquisitions that we had in mind out of India. So work is already progressing on that, and if everything goes well, maybe -- I think we have mentioned quarter-to-quarter, so maybe over the next 1 or 2 quarters we might have some news for you.

But in the interim, we have already announced our finalization of joint venture, principal finalization with Kato Works wherein within this year, the agreements and everything will be finished and the partnership will be formed, and will start to function in the next year. And what is the second part of your question?

Ashish Golechha: Sir, second part of the question was with respect to export

s and on the defense side, what are the prospects going ahead?

Sorab Agarwal: Yes. See, on the export side, last year, we increased about 8% with regards to the revenue contribution. And hopefully this year, again, it should be close to 8%, if not slightly more.

Obviously, on an increased base, it will grow again 15%, 20% because the company is expected to grow at least 15%, 20%. With respect to defense, last year our contribution from defense team at 2.5% of revenue.

And this year, we are hopeful that it might be in excess of 3.5% at least. It could be much more than that. It totally depends on a slightly bigger order we are expecting from defense in the next -- maybe within quarter 2 or quarter 3. It totally depends on the timing of the order. If we are able to put -- if we get it in quarter 3, then the execution will be more -- certainly much more than 3.5%, 4%, 4.5%. But if you get it in quarter 3, it will be limited to maybe 3.5%.

Ashish Golechha: Sir, I wanted to understand, you said that the exports you are basically targeting between 15% to 20%. And how many years we can expect this target to get achieved?

Sorab Agarwal: I think this 15% to 20% target, we can look at in the next 3 to 4 years.

Ashish Golechha: Sir, one last question before I wrap up. Sir, before 2 or 3 calls, you had mentioned that if anything with respect to the budget or infrastructure activity from the government, if anything gets slowed down, how are we basically taking that into consideration for our next 3 years plan? Because if anything happens on that front, that can be a significant, what you should say, hit for us? And how are we basically taking that risk into account?

Sorab Agarwal: That is why about -- like we said we had started diversifying a little into defense, a little into exports. And today, infrastructure contributes about 35% of our revenue, 10% is real estate. So that's about 45%, 50% from infrastructure and real estate, and with real estate is 10%. Yes, Action Construction Equipment Limited

August 01 , 2024

there is a slowdown on account of government spending with respect to infra. I'm sure there will be some effect on us.

But everybody is looking at the revival of private capex. So I'm sure just in case if any such thing happens, which I don't foresee because the government in the last 4, 5 years has only tripled its budget on infra. I think from INR3 lakh crores, INR4 lakh crores, now it is nearly INR11 lakh crores this year. So I see no reason why the budget will be going down with the country -- if the government wants the country to grow and to create assets.

And -- but just in case if anything like that happens, in any case, there is already revival in private capex, and going forward, it is expected to increase. So that will chip in because machines are required for all type of construction or development activities. And yes, if the government budget remains or keeps on increasing, the rate has been at a 10%, 20% every year or even faster. And with private capex kicking in, I see that going forward, the -- let's say, short-term, 1 to 2 years, maybe some 2 to 3 years, it is going -- it should ideally be a great run because then we will be firing on all cylinders.

Moderator: Thank you. The next question is from the line of Krishna, Niveshaay. Please go ahead.

Krishna: Yes. Sir, so my first question was like your view on the pick and carry markets. And on the same, I wanted to ask of the pick and carry crane...

Sorab Agarwal: Your voice is a little garbled. I do not know, maybe because a speakerphone or something. If you can be a bit clearer.

Moderator: Yes. He's got disconnected. I will be connecting the next line. It's from the line of Aman Soni from Nvest Analytics Advisory LLP. Please go ahead, sir.

Aman Soni: Sir, what is the status of EV cranes?

Sorab Agarwal: EV cranes, I think last time, as we had mentioned

, everything is ready. We have sold some units, but the government CMVR approvals are still awaited. We should be getting them any time, that is the indication we have. Whether it happens this month or next month is anybody's guess. But we are ready, but there is a lot of interest. Very recently, we had a big team of L&T construction visiting us at our plants. So they were also very keen on that when companies like Tata Projects and the Reliance Industries. Everybody is very keen. We're just waiting for the CMVR go ahead. Hopefully, it should happen this month, next month.

Aman Soni: But what time line will you give?

Sorab Agarwal: I mean it's not in our hands. The Gazette has to be approved regarding the registration guidelines for electric vehicles under the central motor vehicle rules. So we are expecting it to happen. The indication that we have, it should happen anytime. So whether it happens this month or next month, we really can't comment.

Aman Soni: Understood, sir. And sir, you mentioned the next 3 to 4 years export target is to be 20% of the total revenue. I think last year, we did 8.5%. So what is the target for this year?

Action Construction Equipment Limited

August 01, 2024

Page 10 of 20

Sorab Agarwal: This year again, it's similar, 8%, 8.5%, obviously on an increased base. And I think it will be start increasing further in the next year. This year, I think it will remain at about 8%, 8.5% of the increased revenue base.

Moderator: Thank you. The next question is from the line of Vinay Kumar Daggolu. He is an individual investor. Please go ahead.

Vinay Kumar Daggolu: Can you elaborate a little bit on this electric crane thing. Is there a chance that the margins would be better for the company if it takes off and business really takes off in that segment, that's number one. Number two is, can you also elaborate a bit how your defense business is panning out?

Sorab Agarwal: Which business is panning out? What do you say?

Vinay Kumar Daggolu: Defense.

Sorab Agarwal: EV Cranes, margins. And second was?

Vinay Kumar Daggolu: Defense.

Sorab Agarwal: Defense. See EV crane, I think with respect to revenue, it is going to be definitely better, 60%, 70% more for the crane, because the cost of electric machines are better. And the customer is able to recover this for a lower cost of operation on account of fuel. So I think it will be a 3-year payback period. And our margins would also be better compared to our conventional diesel engine things with respect to electric cranes. And we are very hopeful that -- there's been a long wait, last nearly 1 year and then the elections came and obviously, that Aachar Sanhita was there and so I think if you get to -- because the -- it just has to go through -- the government has to go electric. The ARAI has already proposed to the government 1-year back, 1 and half year back.

With respect to defense, we have been increasing our business and our, let's say, medium - to long-term target is 5% to 10% revenue generation contribution from defense. So this year, hopefully, from 1.5%, we should be able to be somewhere between 3.5% to 4% in the current period.

Vinay Kumar Daggolu: Can I ask a follow-up question, sir?

Sorab Agarwal: Yes, yes.

Vinay Kumar Daggolu: Is there anything that has changed after the full budget last week for you as a company?

Sorab Agarwal: Nothing has changed. We would have loved things to have started moving faster. But I think it is raining very heavily in so many parts of the country, that -- but I'm sure 15th August onwards things will start to look better with respect to our business in particular.

Moderator: Thank you. The next question is from the line of Kaushik Poddar from KB Capital Markets. Please go ahead.

Action Construction Equipment Limited

August 01, 2024

Page 11 of 20

Kaushik Poddar: My question is Kato is in the similar line of business as you are. So what is the strategic significance of having a JV with Kato?

Sorab Agarwal: Can you just repeat your question? So the initial part what you said I think I missed out to understand.

Kaushik Poddar: Yes, the strategic significance of having a JV with Kato, though you are in the similar line of business.

Sorab Agarwal: Yes. See, we are doing cranes, crawler cranes and truck cranes, obviously, technology evolved by us, and see in the bigger cranes, there is a learning curve, and then the technologies upgrading, machines are becoming more sophisticated. Kato is one of the prominent names all over the world. If we talk about strategic significance because this joint venture is envisaged to produce these high-end cranes and even increasing our range beyond 200 tons with respect to truck cranes and especially crawler cranes.

We have bigger capacity cranes and proven technology -- access to proven technology to make these cranes. Second is these cranes for the Indian market, which is growing in tonnage as well as in numbers. Most importantly, these cranes, which are going to be evolved. So there are going to be export-specific models also, which will be sold globally through Kato network.

Kaushik Poddar: Okay. Okay, okay. And you have given a guidance of tripling your turnover in 5 years? I mean, is that. ..

Sorab Agarwal: We have discussed this in the last conference call. It seems doable, doing a 3x in the next 5 years.

Moderator: Thank you. The next question is from the line of Murali Marpina, she's an individual investor. Please go ahead.

Murali Marpina: Congratulations on a good set of results. I have 2 questions, actually. How is the momentum going on now, and what is the size of the order book as of now?

Sorab Agarwal: Momentum and order book, right?

Murali Marpina: Yes, yes.

Sorab Agarwal: The momentum since April, May, has been a little tepid. And unfortunately, it has been too much in the month of July. There's definitely some improvement, but definitely, we expect better. So hopefully, by 15th August and the rains have subsided substantially, things will start to look up, and it has been the same for us in the last 29 years of operations. So whenever it rains heavily, the things are generally slow, and it starts to turn sometime around 10 to 15th of August. So I think it's like in 10, 15 more days. And order booking with respect to the current business scenario is okay. So I mean, obviously -- yes, I won't say that the momentum is great as of now. But like I said, it will start improving around 10 to 15th of August. That's how it happens every year.

Action Construction Equipment Limited

August 01, 2024

Page 12 of 20

Murali Marpina: Yes. Okay. My second question is regarding this Kato Works. How is that -- how is, is like this 50-50 JV or like importing cranes? How are you doing like actually JV?

Sorab Agarwal: 50-50 joint venture and the cranes will be manufactured in India. So it is going to be made in India for the Indian markets. And also they are going to be exported outside using Kato network. And then just to answer a little more on the first part of your question. In any case, about 55% to 60% of our business happens in the second year -- second half of the year. So first half is around 40%, 45%. So generally starts to pick up around middle of August.

Murali Marpina: Okay. Yes, when can we expect this 4-figure revenue mark? Is it Q3 or Q4?

Sorab Agarwal: I think earlier we were thinking of Q3. I'm still hopeful that we are in position to achieve it in Q3. And I think it should be possible because we expect, because the emission norms are changing from BS IV to BS V for construction equipment, and they are called CEV IV to CEV V. So we expect prebuying to happen in quarter 3 starting from September. So I hope we are able to do it in quarter 3 only.

Moderator: Thank you. The next question

is from the line of Krishna from Niveshaay. Please go ahead.

Krishna: I'm audible now?

Sorab Agarwal: Yes, yes, you're audible.

Krishna: Okay. Sir, so my first question is a bit on the Pick-n-Carry industry size and what products of yours are considering Pick-n-Carry? So if there is lorry, loader, crane, truck crane, so are these all under we can carry? And if we see in India right now, about 15,000 cranes would be selling -- 12,000 to 15,000. And in China, this number would be about 1.5 lakh to 2 lakh. So do we see that kind of growth in India? And in India, if we see, the most cranes are about 15 tonnage of crane. But in our developed or the Chinese market, it's more about more than 30 tons crane. So what's your view on this industry? And similarly on the tower crane side?

Sorab Agarwal: Last year -- first of all, the categorization, I think pick and carry crane is a crane, which is on tires and is able to move with the load. It can pick and carry the load. So lorry loader cranes or truck cranes or crawler cranes are not part of the pick and carry category. Pick and carry crane is a very specific machine on tires, which can move on the load, which is our biggest segment

also. So within cranes, I would say that 90% of our cranes that we do are pick and carry, approximately 90%. So that's the category answer.

Last year, the market size was a little over 14,000 with respect to pick and carry cranes. And we cater to that. Chinese market, you are right, but I think with respect to cranes should be the domestic markets a little over a lakh crane. So going forward, India is developing. India is developing fast, and we have a good 5, 7 years ahead of us and maybe, as the vision given by the government, of 2047 being a developed country.

So yes, the numbers can increase. The numbers can increase very fast because cranes are a very basic necessity for lifting, shifting, erecting, moving, loading, unloading, doing any activity where development is happening or even -- to make a factory run, you need lifting, Action Construction Equipment Limited

August 01, 2024

Page 13 of 20

shifting loading and unloading. So definitely, crane numbers in our country are going to increase. First thing.

Krishna: So does China sell about 1 lakh to 1.5 lakhs of crane per year? If you could just give me clarity on that, if you have that information?

Sorab Agarwal: So obviously, the Indian market is going to increase, and that's what I said, it's going to be faster, hopefully, than what it is with growth coming in. Again, something simple. \$3 trillion or 3.5 trillion or \$4 trillion economy but we are going to be adding this size every 4, 5, 6 years. So you will need more lifting, shifting, loading, unloading of everything. So the crane market has to grow if the economy is bound to improve. There is no doubt in that aspect. Going to the segment, yes, in India, 15 tons is most popular. And I think in China, it's 30, 35 ton category. I think last year, we evolved a 35-ton crane, Pick and carry. Also, a 45-ton crane is under the planning with respect to pick and carry. And apart from that, we are doing truck cranes up to 60 tons. And this is where we are further -- we set up the new joint ventures, forthcoming joint venture with Kato, where we will also be producing even bigger cranes, truck cranes and crawler cranes.

So obviously, the market has been shifting, which we've already seen that in the last 1, 1.5 years. Already, there is a traction moving from 15 tons going to 20, 25 tons cranes, that is happening. So the share in total sale of 20, 25 tons has gradually started increasing. So going forward, it will go to 30, 35 tons as the projects become bigger, the loads become heavier. So that's the trend. That's how it happens. If you talk of the Indian market, when we started making cranes, the most popular was the 8-ton category.

And then by 2000, it was a

10-ton category. By 2005, it was a 12-ton category. By 2010, 2015, it was a 15-ton category, maximum selling. And now there's a shift towards the bigger size. So opening in the next 2, 3 years out the 20, 25 tons might become the most popular category.

Krishna: Okay. So how would the realization improve as per tonnage?

Sorab Agarwal: Yes. We will improve because the prices of cranes in India are anywhere between 1 lakh, 1.5 lakh per ton. Let's say, an average 1 lakhs, 1.5 lakhs per ton. So less than 20 tons, it is approximately a 1 lakh a ton and 20 tons are bigger, it is approximately 1.5 lakh a ton. So the price utilization on the higher tonnage is definitely better because the metallurgy and the components and the engines and the hydraulics they become much heavier and the costs are higher. So let's say, a 15-ton crane, a pick and carry hydra type would cost about 15 lakhs, 16 lakhs. So that's about 1 lakh a ton. But a similar type of crane in a 20-ton we are talking about is 20 lakhs, 30 lakhs.

Krishna: And sir. So like as there are 2 type of crane now, the hydra or the Faranna that we talk about. And then there are some new generation Crane which has similar tonnage...

Sorab Agarwal: Hydra Crane is a nickname for the new generation Crane.

Action Construction Equipment Limited

August 01, 2024

Page 14 of 20

Krishna: Okay. So there is how much price difference? Because I think Faranna has more safety features. So that's why corporates are preferring that. So how much is the price difference? And if you could have some view on the rental difference as well.

Sorab Agarwal: The price difference approximately between an old generation and a new generation or, let's say, a hydra to a new generation is, for a similar tonnage, approximately 50% to 60% more. And market in the last 8, 10 years has been shifting. Earlier, the share of new generation crane was only, let's say, 5%, 10%. Now today, it is close to about 35%. In the last 7, 8 years, the market for new generation cranes within the pick and carry segment has become 35%, which is also slightly higher price, like I said, 50%, 60% more expensive than single tonnage.

Because of the -- generally, they are 4 x 4 drives, so they are more efficient. And also with respect to safety, the operator cabin is in the front. So let's say, the operator -- and it's definitely better for safety because visibility is better. And then they are equipped with sophisticated electronic overload systems, these cranes. As the market is also moving towards the new generation crane, the price realization here again will increase.

And within this segment, they are also moving towards, like I said, 20 ton-plus category. So there, again, a price increase possibility. So going forward, I can tell you that in value terms, there will be more growth price terms rather than volume. Volume will grow, will grow fast also for some years, but the value growth will be more.

Krishna: Okay. And sir, on the rental, if you have something in terms of hydra versus new crane.

Sorab Agarwal: Again, similar. See, when the price of the machine increases by about 50% to 60%. That's how the rentals also -- rentals of new generation cranes are higher about 50% to 60%.

Krishna: Okay. So that is similar. So the rental would be higher for that.

Sorab Agarwal: Yes. That is similar.

Krishna: Okay. And if you could speak something on the tower crane market, that would be great.

Sorab Agarwal: The tower crane market is again booming. Most popular is 5 to 6 tons range because that is used standard. But with the -- in the last 3 years, 5 years, a lot of prefabricated construction and especially steel structure construction has started happening to shorten the delivery times of the projects. So there are the 10 ton and 16 ton tower cranes have become very popular. So our numbers in tower cranes have been steadily increasing. And this year

again, I think if

everything goes well, we should do a 20% to 30% increase in our tower cranes, if not more, particularly tower crane numbers.

Last year, we produced 500 -something. And this year, we are very hopeful to be somewhere around 700 to 800 mark. The year before that was 300 -something. The tower crane market is going fast. In tower cranes, I would say primarily 90% of the cranes are used in the real estate segment or in civil construction. That's about 90%. 10% are also used for other type of construction or different types of civil structures. And even, for example, any type of civil

Action Construction Equipment Limited

August 01, 2024

Page 15 of 20

sector, I would say, like a metro station or a bullet train station or anything else. But 90% is hard core real estate. And I think real estate is also flying in our country as of now.

Vyom Agarwal: And Krishna, Vyom this side, I would like to just add a little bit to the new generation and the traditional hydra that you had asked. Now see, the market is also shifting towards new generation cranes, and we are pioneers in that crane. And we have also launched our NX series, which is our multi-activity cranes, which would mean that the owner can do 2 operations with one crane. So at ACE we are changing the way craning is being done in India. And we will patent these technologies, which cannot be done by any other competition. So we have a clean runway and a great lead over all our competition outside. And tower crane, as Mr. Sorab has already explained, it's a booming industry in India, and it's -- it's a very complicated equipment to engineer because of the aerodynamics involved in the operations of the machine. And we are pioneers in this as well.

Sorab Agarwal: So I think adding to your NX point, I missed that. See, we have these gone ahead of all type of cranes or new generation cranes. And in the last 3, 4 years, we've introduced even the cranes, it is called NX, which is even further more advanced as compared to new generation, a multi-activity crane. So they do pick and carry as well as, let's say, a man basket, man lift operation, a pick and carry or, let's say, a truck crane type 2 operations. So they're multi-activity cranes. So we're changing the way India cranes actually in those things.

Krishna: So if I could just have a last question if you allow?

Sorab Agarwal: And all these NX cranes and even the EV crane. So obviously, we have exclusive patents. So nobody can think of trying to copy our designs.

Krishna: So can I just have a last question if possible?

Sorab Agarwal: Yes, yes, please.

Krishna: Maybe my question is like how do you see -- see the like construction equipment business. So like say, backhoe loaders are selling about 60,000 in India, but cranes are only about 16,000. So can that pick up to backhoe loader? And why backhoe loaders volumes have grown so fast rather than cranes? Can I have some clarity on that?

Sorab Agarwal: The backhoe loader market is not 60,000, I would differ there. I think the backhoe loader market in India is about 40,000 to 50,000. And definitely crane numbers will increase further, like I said, with the economy growing and if India is to add \$3 trillion, \$4 trillion, \$5 trillion every 5, 6 years to its economy. So you can very well imagine the number of cranes or how they're going to increase. And further on, there is a life -- there's a 10, 12-year life attached to either a construction equipment or even a crane. With the numbers increasing down the line,

the replenishment market will also keep on increasing.

Moderator: The next question is from the line of Ashwin A lbert Dsouza , an Individual Investor.

Action Construction Equipment L imited

August 01 , 202 4

Page 16 of 20

Ashwin Albert Dsouza: Yes. Sir, I don't know if I'm repeating this question, but this was related to the new land that was acquired in the beginning o

f the year. My questions on that is like what's the current

status? And do we have any near -term or medium -term, long -term plans as to when we will be operationalizing the land and production will be commenced, okay? That was the only question, sir.

Sorab Agarwal: Yes. See, in quarter 4 last year that was, we made agreemen ts to secure this land, 2 pieces of land totaling about 82 acres approximately. And hopefully, within quarter 2, these lands will come into our possession and will be capitalized in our books. Most probably in quarter 2.

There is very rare chance that slid es to quarter 3. And out of this -- the smaller chunk, around 22 acres, we intend to start development there as early as maybe quarter 4 within this year to increase our capacity for certain type of cranes further .

Moderator: The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal: Just one question. How is this quarter going on in terms of any slowdown due to monsoon? So do you see any major impact as compared to same period last year?

Sorab Agarwal: Definitely we should be doing better than same period last year. Now how much better, that time only will tell. Things are looking okay. Definitely, the month of July has gone by, and it was definitely pretty okay and healthy as compared to last year. So things are on track.

Garvit Goyal: Do you see any up beat Q-on-Q?

Sorab Agarwal: Do we see any...

Garvit Goyal: Outperforming Q -o-Q because this quarter also was affected due to elections, right? So that's why I was asking.

Sorab Agarwal: Yes. See, as of now, if you a sk me the current scenario, let's say, sitting on 1st of August, I think it should be somewhat similar with respect to growth. But -- but like I said, 15th August onwards, things start to change, and there is a prebuy also, which is -- which will kick in i n September, October this year, Diwali is also earlier, it is in October. So it can definitely be faster, but I think for the whole year, and I think end of August, end of September is the best time to judge the whole year.

Moderator: The next question is from the line of Kamlesh Jain, Lotus Asset Managers. Please go ahead sir.

Kamlesh Jain: First, one question on the part of, let's say, our proposed JV with Kato. So on that, regard, like I say, what addressable market you are looking at? Currently that the y are operating in? So we are pioneers and the leaders in the cranes part. But what additional markets like we are looking and how much incremental revenues we can be targeting more next couple of years or 3,4 years?

Sorab Agarwal: See, we are leaders in p ick and carry cranes, tower cranes in the country. But unfortunately, we are not leaders in truck cranes or crawler cranes in the country, primarily because in about 5, 7 years, this market has been dominated in the Chinese players because of very sharp co sting

Action Construction Equipment L imited

August 01 , 202 4

Page 17 of 20

and bringing in the latest technologies. So basically what we'll be looking to target here is 3 types of cranes, Truck Cranes, Crawler Cranes and Rough Terrain Cranes . In the tonnages of around, I would say, about 50 tons going up to 200 tons, which has also become a growing market in India now. So that is the addressable market here with respect to the tonnages. With respect to revenue, this JV should become functional sometime next year.

And I think achieving the INR300 crores to INR400 crores turn over over a period of 2, 3 years from inception could be possible even that is the market is available. And with exports also kicking in, because the JV is also going to make cranes which are going to be exported. So the eventual potential should be upward s of at least about INR1,000 crores over the next 4, 5 years, I think.

Kamlesh Jain: And lastly, sir, on the -- so there is a lot of buzz about this automation in the warehousing, so

a

lot of, like say, self -operated cranes, all those equipments are gettin g a lot of traction in the warehousing. So are we looking to expand our footprint there as well?

Sorab Agarwal: The automation in the warehouse, we are talking more of AGVs, which are automatic guided vehicles, and racking systems which are automatic loadi ng and unloading . So we are definitely

not in that line of business, but we are into warehousing, so you never know what happens in 1 or 2 years down the line.

Moderator: The next question is from the line of Rajiv Maheshwari from Raj Investments. Please go ahead.

Rajiv Maheshwari: My question is more from the shareholders' perspective. We had a stock split, I think, some saying 15 or 16 years back. So with the prices rising over last couple of years, do we have any plans or have you discussed anything in terms of the stock split going ahead?

Sorab Agarwal: Yes, our stock is already at INR1. So...

Rajiv Maheshwari: The stock rate is INR2.

Sorab Agarwal: Sorry, INR2. I'm so sorry. But I'm sure patient shareholders will be rewarded over time. Our Board keeps on discussing that time and again because there is nothing concrete that has been formulated or approved by the board, so I really can't talk about it. But yes, going forward, we can expect it.

Rajiv Maheshwari: That discussion has been going on. So in when would it come? It's again a question of once the decision takes place. But if it's done, it's beneficial for the long-term shareholders also and it gives more liquidity to the counter itself because it's already closed to 1,200, 1,300, but anyway since it's in discussions, so I just wanted to know that. Second part is we had some promoter selling some time back. So was it more on the account to ensure some marquee investors or FIs is getting into it? Or it was just into a usual course or how was it like? What was the reason?

Sorab Agarwal: See, it was more to do with marquee investment coming in because liquidity was less on the counter like you mentioned. And first of all, your idea about stock split is well taken and let

Action Construction Equipment Limited

August 01, 2024

Page 18 of 20

me take it to the board. And yes, it was marquee investor who entered to the company and the promoters sold close to a little over 1%. I think it was 1 or 2 months' time.

Rajiv Maheshwari: So going ahead, do you have any such arrangement to get some more investors in, or it's done for the moment as of now?

Sorab Agarwal: I think it is done for the moment because promoters -- we are holding more than 65% stake in the company, and I -- and there is no intention of any reduction in the stake holding of the company at the current even in the short term or I would say medium term.

Moderator: The next question is from the line of Krishna from Niveshaay.

Krishna: So my question was like how much higher tonnage cranes we are right now producing? And how do you see the higher tonnage market in India? And just a brief on that.

Sorab Agarwal: You're talking about the truck crane, crawler cranes or you're talking pick and carry.

Krishna: On the pick and carry and the truck and crawler cranes.

Sorab Agarwal: See, we are producing, I think, about 10% of our production should be higher than the 20 tons and above. I don't have the exact number as of now. Obviously the bigger cranes, the 50-ton, 100-ton, the total market size has gone to 700, 800 cranes. I'm talking about the truck cranes and crawler cranes in the country. And there, we are -- like I said, we do about 40, 50 cranes annually. We are looking at 300, 400 cranes annually. And pick and carry crane, like I said, market will move to high tonnages. It was already moving and new generation is already about 35%, 40% of the market.

Krishna: So right now, what's the highest tonnage of crane that we are making?

Sorab Agarwal: Currently, we are doing a 35 -- you're tal

king about pick and carry or...?

Krishna: In all segments?

Sorab Agarwal: In pick and carry, we are doing a 35 ton, which is the biggest crane. In tower cranes, we are about to launch a 20-ton -- 25-ton crane. Currently, it is a 16-ton crane. In lorry loaders, we are doing a 50-ton meter crane. In truck cranes, we are doing up to 60 tons. We want to take it to 110 tons. In crawler cranes, we're doing up to 80 tons. We have introduced 180 ton, but obviously we'll come out with a new 100 ton, 150 ton and a 250 ton. And truck cranes, like I said, is about 110 tons. So these are tonnages we are looking.

Krishna: Okay. And how do you see this market growing, because a lot of Chinese cranes are coming in right now?

Sorab Agarwal: Yes, the market has grown pretty well in the last 5, 7 years. And see what was happening in India, until 6, 7, 8 years ago as these bigger cranes were mainly used cranes being imported into the country. So -- and the Chinese have converted this into a market of new cranes by offering very special pricing. So the market has actually grown in the last 7, 8 years. And Indian manufacturers were left waiting, especially TIL and all. But I think we have taken the

Action Construction Equipment Limited

August 01, 2024

chance on ourselves to start selling about 300, 400 cranes over the next 3, 4 years in this market. The bigger crane market, the truck crane, the crawler crane, the heavy cranes I would say.

Moderator: The last question is from the line of Rashmika from Sai Enterprises. Please go ahead.

Rashmika: I have a couple of questions. My first question is -- the joint venture with Kato in Japan, what is the joint venture for? The joint venture manufactures cranes. What kind of cranes can be manufactured by the joint venture? I thought we manufactured the entire range of cranes from small cranes to large cranes. So why do we need this joint venture? What is going to be our percentage holding in it? Is it focused on export or on the domestic market? And what is the projected revenue of the joint venture in 2027?

Sorab Agarwal: The joint venture is a 50% -- 50-50 joint venture between both our companies. I've actually answered most of your questions during the call, but I'll answer them again. It is a 50-50 joint venture. The joint venture will be producing bigger capacity cranes, in truck cranes and crawler cranes and rough terrain segments, which we are not producing currently. So that means 150-ton crane and 200-ton cranes, which we are now doing 110-ton cranes and 80-ton crane in truck crane category.

And the joint venture is for both domestic as well as international markets. So with this joint venture, we intend to make cranes for the domestic industry as well as for export through Kato network, which I had earlier confirmed -- conveyed in one of my answers. The revenue expectation is close to INR300 crores to INR400 crores. The 2, 3 years -- see the joint venture will start to function next year by FY '26. By FY '28, we expect INR400 crores and maybe in 5, 6 years maybe crossing even INR1,000 crores.

Rashmika: Sir, my second question is, couple of conference calls back, you said that there will be an announcement about the large crane business which will be a game changer for both India and ACE. The announcement was due in 1 month. But it has still not been made. Is an announcement still on the anvil? And when is it likely to be made?

Sorab Agarwal: So this is about this Kato crane only, that we'll start producing bigger cranes of better technology in bigger numbers for India and outside India market. It is the same announcement you're referring.

Rashmika: The joint venture will be focusing on what type of cranes? What type of cranes will be manufactured by the joint venture?

Sorab Agarwal: It will focus on truck cranes, crawler cranes and rough terrain cranes. And maybe down the line, even all

terrain cranes, but that has not been planned so far. But yes, definitely, 3, 4 years down the line, even all-terrain cranes.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Action Construction Equipment Limited
August 01, 2024

Sorab Agarwal: Yes. Thank you. Like I mentioned in the beginning, we were able to do pretty well, even beyond our expectations, looking at our capex quarter, especially due to elections. And going forward in the current year, we are hopeful of at least 15%, 20% growth, if not more. We should definitely be in a position to further advise with respect to our -- revise our projections by end of quarter 2 or early quarter 3, and we are hopeful that we have positive news for you. And we look forward to growing in this year with a 16% to 17% EBITDA margin, which looks really sustainable. And we are expecting good sales in quarter 3 on account of prebuy because of transition to BS V norms. And the short-term, medium-term, long-term fundamentals and potential of the company seem to be on track with respect to our growth agenda. And with this, I would just like to end the call. Thank you.

Moderator: On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Call: Nov 2024

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Date: November 15 , 2024

To,
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Scrip Code: 532762 The Manager Listing
National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai -400051
CM Quote: ACE

Subject: Earnings Call Transcript Q2FY25 .

Dear Sir/Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith, Earnings Call Transcript (Q2FY25) of the Company.

Kindly take the above in your record.

Thanking You.

Yours faithfully,
For Action Construction Equipment Limited

Anil Kumar
Company Secretary & Compliance Officer

Page 1 of 17

"Action Construction Equipment Limited
Q2 FY'25 Earnings Conference Call "
November 11, 2024

MANAGEMENT : MR. SORAB AGARWAL – EXECUTIVE DIRECTOR –
ACTION CONSTRUCTION EQUIPMENT LIMITED

MR. RAJAN LUTHRA – CHIEF FINANCIAL OFFICER –
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. VYOM AGARWAL –PRESIDENT –ACTION
CONSTRUCTION EQUIPMENT LIMITED

MODERATOR : MR. RAGHUNANDHAN – NUVAMA WEALTH
MANAGEMENT

Action Construction Equipment Limited
November 11, 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the Action Construction Equipment Limited Q2 FY '25 Earnings Conference Call hosted by Nuvama Wealth Management. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raghunandhan from Nuvama Wealth Management. Thank you, and over to you, sir.

Raghunandhan: Thank you, Neha. Ladies and gentlemen, good afternoon. On behalf of Nuvama Wealth Management, we are pleased to invite you to the Q2 FY '25 Earnings Call of Action Construction Equipment. We thank the management for giving us the opportunity. From the management team, we have Mr. Sorab Agarwal, Executive Director; Mr. Rajan Luthra, Chief Financial Officer; and Mr. Vyom Agarwal, President, who will represent the company. We will begin with brief opening remarks from the management, and then we can move on to the question-answer session. Over to you, sir.

Sorab Agarwal: Yes, good afternoon. Good afternoon, and welcome, everyone, to this earnings conference call for discussing the results for the quarter and half year ended September 30, 2024. Along with me in today's earnings conference call, we have our CFO, Mr. Rajan Luthra, and our President and Head of Investor Relations, Mr. Vyom Agarwal. I hope all of you have had an opportunity to look at the company's financial statements and the earnings presentation, which has been circulated and uploaded at the stock exchanges.

The company sustained its growth momentum, and it gives me immense pleasure to inform you that this has been yet another quarter of strong performance by our company, wherein we have been able to increase our top line with expanded margin profile. In the backdrop of challenging environment, we were able to record our best ever quarter 2 performance in terms of revenues and best ever margin profile and profits.

By balancing growth initiatives with prudent financial practices, we have been able to deliver strong returns while continuing to invest in capacity expansions with cutting-edge technologies. In the quarter gone by, we have improved our working capital efficiency and further fortified our balance sheet, which gives us the flexibility to seize growth opportunities in the future.

To brief you on the stand-alone financial performance of second quarter FY '25. The operational revenues grew by 12.2% on a year-on-year basis to INR754.34 crores with an EBITDA margin of 18.04%. The EBITDA during the quarter expanded by 268 basis points and increased to INR142 crores in comparison to INR105 crores on a yearly basis, which is a growth of 34.47%. The PBT expanded by 199 basis points to INR126 crores, and the PAT expanded by 127 basis points to INR94 crores on a year-on-year basis. The PBT and PAT margins stood at 16% and 11.97%, respectively. On a sequential basis, the operational revenue was more or less in line with our estimates with a 2.82% growth, and the company was able to

Action Construction Equipment Limited
November 11, 2024

Page 3 of 17

grow its EBITDA by 13.3%, PBT by 13.32% and PAT by 12.73% as compared to quarter 1 FY '25 with margin expansion of around 150 basis points during the quarter.

The company has achieved its highest ever EBITDA, PBT and PAT margins for the quarter owing to sustained focus on cost efficiencies and customer-centric approach. In the quarter gone by, we sustained our growth momentum across all operating segments. The contribution of cranes, material handling and construction equipment segments stood at 92% of our total revenue and we

reiterated our market-dominant position while registering consolidated revenue of INR693 crores as compared to INR612 crores in quarter 2 FY '24, which is a

growth of 13.11%.

The company recorded sales of 2, 863 units in the quarter, which is up by 9% year -on-year. The profits also increased to INR127 crores vis -à-vis INR91 crores, thereby registering a growth of 39.77% on a year -on-year basis. The revenue contribution of agri stood at 8%, and we registered a revenue of INR61.27 crores with a margin of 3.85%.

Further, for the first half of FY '25, on a half yearly basis, we've been able to grow our operational revenues by 12.5% to INR1,488 crores. On a half yearly basis, EBITDA grew by 37.72% to INR267 crores and PBT grew 27.9% and PAT grew 26.32% to INR237 crores and INR178 crores, respectively.

Three years back, we had set ourselves a challenging goal of delivering sustained profitable growth, and it gives me immense pleasure to inform you that for first half FY '25, the margin profile of the company stood at 7.28% EBITDA, 15.34% PBT and 11.49% PAT, which is the highest ever in our history.

Our consistent strong performance is reflective of our strategic clarity, strength of our brand, capability of our team and the agility to run the business. We have a clear and compelling strategy. And with our positioning in infra, manufacturing, logistics and agri sectors, underpinned by strong operational excellence and our distinctive capabilities, we will continue to drive growth and build on a purpose -led future -fit organization.

In the last quarter, the company strengthened its presence in the defense sector by securing prestigious orders to supply custom -built forklifts to the Indian armed forces. Further, we are on track to receive our largest ever single order valued at over INR400 crores from the Ministry of Defense. This milestone will drive Defense segment's revenue contribution beyond 5% for the years FY '26 and '27, aligning with our medium to long -term goal of achieving 5% to 10% share of overall revenue from the defense sector.

Looking ahead, India remains as one of the fastest -growing economy and its prospects remain very strong for the period ahead. The FY '25 Union Budget raised capital expenditure to INR11.11 lakh crores, marking a 17% increase from FY '24 estimates of INR9.5 lakh crores.

This capex amount constitutes 3.4% of India's GDP for FY '25, reinforcing the government's commitment to infrastructure development and growth -oriented spending having a multiplier effect on the economy. The budget allocation focuses on critical infrastructure sectors with roads and railways receiving significant portions. The road sector was allocated INR2.78 lakh crore.

November 11 , 2024

Page 4 of 17

crores and the railways was allocated INR2.52 lakh crores. This allocation emphasizes the government's strategy to bolster connectivity and logistics, which is critical for sustaining long-term economic growth and supporting Viksit Bharat vision for 2047.

The manufacturing sector has also been recognized as a critical driver for sustainable economic growth, especially as India works towards becoming a global manufacturing hub. The infrastructure and manufacturing focus of the government bodes well for our company and sustained demand of cranes, material handling and construction equipment.

The company currently has a revenue capacity of around INR4,500 crores, which is set to increase by an additional INR600 crores through the ongoing capacity expansion, bringing the total to over INR5,100 crores by quarter 4 of current financial year.

With this enhanced capacity, the company remains optimistic about the medium - to long -term prospects and remain focused to deliver on its sustainable growth agenda. Going forward, we would like to reiterate our earlier guidance of 15% -plus growth in cranes, material handling and

construction equipment segments for the current year and expect agri segment to grow 10% to 15% during the year.

On the whole, we are looking at a growth of around 15% plus with stability in EBITDA margins at current levels. In the medium to long term, we are optimistic about the prospects of the company and believe that our building blocks are firmly in place for sustainable growth with a healthy margin profile going ahead. With this, I would like to open the call for question - and-answer session. Thank you.

Mod erator : Thank you very much. The first question is from the line of Aman Soni from Nvest Analytics Advisory LLP. Please go ahead.

Aman Soni: Congrats for a decent set of numbers despite extended monsoons. Sir, my first question is on the agri segment. Like in last quarter, we talked about due to extended monsoons this quarter should be good for agri segment and we grew Q -on-Q basis. But if we see Y -on-Y basis, the volume numbers have decreased from 818 to 724 this quarter. So could you please help us to understand the reasons behind the same?

Sorab Agarwal: Yes, Vyom, you'd take that question? Vyom, you're taking that question?

Vyom Agarwal: Yes. Aman, as we compare on quarter -to-quarter, sequentially, our agri numbers have -- the

revenue of the agri has increased by 42% as compared to June quarter ending and September, if we compare that, and when you compare with H1 of last year and with respect to the half yearly numbers this year, last year, there was a big export order from an African country, which we were executing in the first year. And because of the global headwinds, some export order has been deferred to the second half of this financial year. So I'm very confident that we'll catch up with that number.

And on the whole, for the year, we are projecting a growth of around 10% to 15% for the agri segment when it comes to the overall revenue. Yes, the numbers might see -- the volume numbers are seeing a little bit of a dip year-on-year that is because one of the segments of Action Construction Equipment Limited

November 11, 2024

Page 5 of 17

rotavators that we have discontinued from last year to this year, so this year, we do not count any rotavators in our agri sales. A little bit of an impact is because of that.

Aman Soni: Understood, sir. Secondly, on our guidance, like in last quarter, we were talking about 15% to 20% range, but now sir has mentioned like 15% -plus. So despite tough first half, we delivered a growth of around 12.5% and second half is expected to be good as far as the construction industry is concerned. So why we are talking about 15% -plus? Why we are not talking about like upper side of the guidance that we have earlier given?

Sorab Agarwal: See, our guidance last year -- in the last quarter was 15% to 20%, and I believe it is still similar. That's why we're saying 15% -plus. Because, unfortunately, we were expecting the momentum to pick up post 15th August in the last quarter because the rains also started to subside, but it kept on raining, and obviously, the election results, the outcome was not as positive as was expected. So we are just planning for a contingency. We are very hopeful of doing 15% -plus. And there is an easy chance it can reach up to 20%. But to be on the conservative side, we are saying 15% -plus.

Aman Soni: Got it, sir. And sir, lastly, if you see CFO EBITDA ratio for first half, this is merely at 8%, majorly due to some current liabilities. So can you tell us that what is the reason for those liabilities getting repaid quickly and the CFO EBITDA ratio is getting down?

Sorab Agarwal: You will have to take that question.

Rajan Luthra: Yes. Basically -- typically, the liability is basically the payments to MSME vendors. So we have been preponing our payments to MSME vendor, which has reduced the liabilities which is part of the current liabilities. Going forward, we expect t

hat probably by the year-end

probably the numbers will be as similar to what we did for March '24. So it is only a temporary phenomenon to support our vendors to all those things. But going forward, I think we will be having the same numbers.

Mod erator : The next question is from the line of Akshay from C D Integrated Services Limited.

Akshay: Congratulations on the good set of numbers, sir. Sir, my question is what is our competitive edge in the Construction Equipment segment, like in cranes, tower cranes, mobile cranes and all these things? So apart from the other players, domestically -- I think domestically, there is not much competition, there are very few players, but internationally, China's dominance is very strong in this sector.

So how do we see our competition and what is our competitive edge, be it whether it is the quality or the spare part availability or the price, what is our competitive edge? And the follow-up question on that would be, we have consistently seeing the -- our EBITDA margin increase for the last 10 years from 3% to 5% operating EBITDA margin to currently 13% to 15%. So going ahead in the 2, 3 years down the line, where do we see our EBITDA margin?

Sorab Agarwal: Okay, the first part of your question -- rather, I will start with the second part of your question.

See, our competition for all the products, we do different types of cranes, whether it is pick-and-carry cranes or tower cranes or crawler cranes or truck cranes or lorry-loader cranes or

Action Construction Equipment Limited

November 11, 2024

Page 6 of 17

construction equipment different type, whether it is a backhoe or a road machinery or a forklift, our competition is mixed. Indian companies as well as international companies, which are operating in India.

And obviously, some very few international companies which are importing and selling. So most of these international companies are manufacturing in India, and that is where our competition lies.

And our key strength, ever since we started this company about 29, 30 years back has to be -- has been to focus on the right product, right specifications, good reliability, good performance,

better than competition wherever possible, which is one of our strengths, coupled with a very cost-effective value for money proposition of price for the customer because India remains a price-sensitive market.

Now it is becoming a feature sensitive market also, so we are trying to provide those enhanced features even at a better price. And finally, it's a machine. So you need service, payers, product support. And anybody who is able to give a turnaround time of less than 24 hours or ensure that the machine is up and running as soon as possible, if there is any breakdown or any issue which is reported. So I believe that we are doing all the 3 things right, whether it's with the product, offering the right product, offering at the right price, which is cost effective and good support.

And that has been the reason that over the years, we have -- I would say, nearly 20 years now, we have been the market leaders in crane, and we are very hopeful to grow our market share in the current year by at least 1%, 1.5%, if not more. And going forward, we target to reach even Cranes segment up to 70% market share with pick-and-carry, and I'm sure we'll do it. It'll take more effort, it'll take more energy, but I'm sure it's possible.

And the second part of the question was with EBITDA margins, yes, we were struggling 10 years back with our EBITDA margins because the markets before 2014 had become very slow. And then gradually, our margins started to improve with operating leverage and utilization increasing, which continues to happen even today. So with further operating leverage kicking in, there is definitely more scope of improving our margins further.

But then I think as a company, we have to make a choice whether to

remain competitive or

cost effective in the market or continue to keep on increasing prices. So that call we will be taking over the next, I would say, 2, 3 quarters that maybe we will -- whatever is the operating leverage benefit, we start passing it out to our customers and not increase our prices further. We have not decided on it so far. But I think over -- by the end of this year or in the first half of next year, we'll have to take a conscious call in that direction.

Akshay: Okay, sir. Okay. Very good explanation on that. And sir, my second question is about the joint venture with the Kato Works. So what is the development on that front? And which type of product segment we are targeting on that?

Sorab Agarwal: Yes. Kato is one of the big Japanese manufacturer for cranes, it is more than a 100-year-old company. And where we are tying up with them in a joint venture to manufacture bigger

Action Construction Equipment Limited

November 11, 2024

Page 7 of 17

capacity cranes, especially crawler cranes, truck cranes and rough terrain cranes. And it is -- in principle, we have already informed about our arrangement that we are in the process of setting up a joint venture.

So definitive agreements are being negotiated currently, and we are hopeful that by early quarter 4, all this process would be finished. And we would be setting up a joint venture, maybe within quarter 4 itself or early next financial year in quarter 1 FY '26. And we intend to start producing machines within 6 to 8 months of that. So we will have some revenue from the joint venture in FY '26, and it will start to go full steam in FY '27. That is the plan as of now.

Akshay: Okay, sir. And at the end of the FY '25, our capacity would be around INR5,100 crores revenue. So any further plans on capex on the end FY '25?

Sorab Agarwal: See, our capacity will be INR5,100 crores. In saying this, I would like to add that with a very nominal capex, this can further be increased by INR600 crores, so I think which we will not exercise in the current year. But if it appears so maybe in quarter 4 of this year or quarter 1 of next year, we will think of doing that further enhancing it by another INR500 crores, INR600 crores, but as of now, yes, our capacity is INR5,100 crores revenue capability.

Moderator: The next question is from the line of Saurabh Kataria from Max Life Insurance.

Saurabh Kataria: Just wanted to -- part of the question -- I think, part of the answer you already gave in the previous question, but in the margins that we are seeing in the current quarter, is there a mix angle as well? Is there an element of higher-value cranes also coming in, which are driving the margins higher?

And therefore, sustainability is also going to be higher? And second part is also, as regards, you mentioned that INR600 crores additional to the INR600 crores that you mentioned initially, so INR5,700 crores, INR5,800 crores can be done with minimal capex? And post that, if any, what is the -- do we have land, et cetera, in the current site or do we have to look for that? If you could sort of guide us on that as well.

Sorab Agarwal: Yes. First part of your question regarding -- definitely, there is an angle of product mix, which has added to our EBITDA margins in the last quarter. And going forward, this product mix benefit will be there because higher tonnages crane, even in the pick-and-carry segment, within this segment, are gaining more traction.

And apart from that, another contributor to our good performance with respect to profitability was -- I would say, that the commodity prices, especially steel, were a little off, and we were able to benefit from that, which is still continuing in the current quarter. But I think post Diwali, there has been some strengthening of prices. But I'm sure we'll be able to manage that with our upcoming price increase, which is due in 1st -- on 1st of J

anuary. So product mix did add commodity prices softening with -- especially with respect to steel did help us do a good profitability.

Action Construction Equipment Limited
November 11, 2024

Page 8 of 17

And the second part of your question, INR600 crores will become operational in quarter 4. And with nominal capex, this can be increased by an additional INR600 crores to reach INR5,700 crores. You've understood it right.

And thirdly, with respect to land, at our existing main facility, which is close to about 100 acres. So after these expansions, there will be a scope of constructing more but to a limit of maybe INR500 crores to INR1,000 crores more. So let's say, from our existing piece of land, at best, we will be able to go to close to maybe around INR6,500 crores plus/minus.

But additionally, we have acquired -- because looking at the growth potential and the prices of lands were going up very fast. So we have already done agreements for about 82 acres of land. These are 2 different chunks. One is about, I think, 21 acres, other is about 61 acres. So the 21 acres has already been registered in the company's name and we have possession of that land. The balance 61 acres chunk, hopefully, we should be in a position to bring it on to the books of the company and take physical possession in quarter 4. So this land would be for future growth of the company, and they are very close to our existing premises. The smaller piece is all of 5, 7 minutes away, and the bigger piece is about 30, 35 minutes away from our main premises. Apart from that, we have also applied for another 48 acres of land with the government in a different state.

We want it to be more centrally located going forward with respect to our exports and to further improve our logistics costs for the supply to South India and East India. So maybe -- and that's the reason we've also asked for another chunk of about 48 acres of land, which we've applied for. And we are very hopeful it will go through. It has been recommended. So that is with respect to lands for future planning. And this land which I'm talking about all put together, 61 acres and 21 acres and the 48 acres would actually be more than what we are currently using. I hope that answered your question.

Saurabh Kataria: Got it, sir. Yes, it does. And best of luck for the future.

Sorab Agarwal: Yes, thank you.

Moderator: The next question is from the line of Mudit from IIFL Securities Limited.

Mudit: Sir, regarding your margin expansion. So you mentioned, firstly, product mix and the commodity prices. So it is possible to quantify, which is the major factor, either in percentage term or anything? Because gross margins itself has increased, whatever the EBITDA margin has increased. And secondly, is there any specific reason for short-term borrowings increase if you see from FY '24 to this half year?

Sorab Agarwal: Yes. See, I think the margin expansion could be equally attributed to both the factors, the product mix as well as the commodity benefit which we got. And the short-term borrowings, I think Luthra -saab, you will be in a better position, but still, I'll give you a flavor. It has more to do with that, again, the MSME payments, which as per the new norms we have brought to par. And generally -- and our creditors have been reduced by about 5, 7 days in the last 1 or 2
Action Construction Equipment Limited
November 11, 2024

Page 9 of 17

quarters. So that is the reason. But the short-term borrowings, again, we'll bring back to nominal or nil level by end of March. Luthra -saab, do you want to add anything there?

Rajan Luthra: I think you have covered all the points. Besides that, we have some -- made some payment for the land also, advanced payments to the -- what land you referred to.

Sorab Agarwal: So it's a mix, but this is, I think, again, by end of quarter 4, I think we would again be back to square o

ne. In any case, we are into negative net debt territory. We have I think, Luthra -saab, investments and cash to the tune of INR700 crores to INR800 crores available on our books.

Rajan Luthra: Yes, we've got investment of INR785 crores and a debt of INR140 crores, so net of INR610 crores...

Sorab Agarwal: So we still have net investments and cash of INR610 crores.

Rajan Luthra: That's right.

Mudit: Okay. Got it, sir. And just a follow-up to that. The higher product mix, the favourable product mix that you said that is entirely because of the higher tonnages crane, right?

Sorab Agarwal: No. Again, see it is a mix. It is not only the higher tonnage crane, but some of our NX-series Cranes, which we had introduced 3, 4 years back. But obviously, they were priced a little higher. They were multi-activity cranes. And after corona around the time, people were a little hesitant in adopting technology at a higher cost, which has started happening now.

So it is attributable to the tonnage mix, obviously, which is shifting as a cycle, it keeps on happening every 5 years, 7 years. And now it is happening 20-tons and above category. And apart from that, also, you can attribute some part of it, not, I would say, a major part of it, to adoption of multi-activity cranes, which our company had introduced 3, 4 years back. And I'm very happy to tell you that we have patents on these cranes, so nobody can literally copy them or introduce them.

Mod erator : The next question is from the line of Aditya Kumar from Old Bridge Asset Management.

Aditya Kumar: Congratulations on a very healthy set of numbers. So sir, my question is on the volumes front, first. So this -- especially on the Cranes, Construction Equipment and Material Handling segments that has been consolidated. So there in that segment, we have seen close to 9% volume growth. So can you just elaborate like which are the -- which of the main categories have contributed to that 9% growth? And how -- especially, how has the Cranes segment especially performed here?

Sorab Agarwal: Yes, I think the main contribution has come from forklifts, cranes and I think last quarter, the construction equipment was more or less flattish because construction equipment is primarily used only in infra construction activity that is the backhoe loaders and rollers. And that activity was suffering quite a lot because of rains whole of last quarter. So I would say most of the contribution in growth has come from cranes and forklifts. Right, Luthra, sir?

Rajan Luthra: That's right, sir.

Action Construction Equipment Limited

November 11, 2024

Page 10 of 17

Sorab Agarwal: Yes, yes, yes.

Aditya Kumar: Okay. So if I look at the overall industry and the competition, so this quarter, the industry and the competition has -- if I'm correct, has degrown a bit in the Cranes segment. But if your Cranes segment volume has grown, then how would your market share be -- would be currently in the pick-and-carry cranes?

Sorab Agarwal: Yes. I'm sure our market share would have been affected positively. And I did mention, I think in one of the answers before this that we are very hopeful that in this year, we should be able to increase our market share both in tower cranes as well as pick-and-carry cranes by at least 1% or 2% points, which would be only clear by end of the year. Because last year, we were struggling on account of capacities and especially in the first half of last year, we were losing orders on account of deliveries not available with our company.

And the situation got rectified only end of quarter 3, quarter 4 last year. So our capacities are in place, by Q4 will be further expanded. So we are very hopeful that there will be a positive impact on our market share by end of this year, both in pick and carry as well as tower cranes.

Aditya Kumar: Any sense on market share number, specific number, what would be the

current market share

number we will be having on the pick-and-carry side? Like you mentioned like 63% market share in the presentation. So is it the same, similar number or has it increased?

Sorab Agarwal: I think it's dynamic. Monthly, quarterly, it keeps on shifting between 62%, 64%, to be very frank. So on an average by the end of the year, it turns out to 63%. I think 1%, 1.5% increase is possible within this year. So it could go to 64%, 65%. That is what is possible and it seems balanced. We'll have to achieve it to confirm it.

Aditya Kumar: Any specific target market share you are having for this segment in the future?

Sorab Agarwal: We want to be 70% in pick-and-carry cranes.

Aditya Kumar: Okay, okay. And sir, on the construction equipment side, backhoe loaders. So for last 2 years, the performance has been -- has significantly improved on -- in this side, on the backhoe loaders side. So what would be -- and you guided like you would be increasing the market share significantly from here on? Like you would -- you were having like 1% or 2% market share and you would be increasing. So what would the would be the current market share in the backhoe loaders segment?

Sorab Agarwal: Market share is still similar, around 2%, 2.5%. And to be very frank with you, in the last quarter, we have not done good numbers in backhoe loaders, primarily because of 2 aspects.

Infra activity was very low because of excessive rains, which continued well into September.

And also because our exports of this product, the Construction Equipment segment products

were a little affected.

So we will do a catch-up in second half of this year with respect to construction equipment.

And we would -- generally, we were expecting a higher rate of growth for construction equipment, maybe 30% to 50%, 40%, but this year might be a little sideways with respect to Action Construction Equipment Limited

November 11, 2024

Page 11 of 17

construction equipment maybe only a 10%, 15%, which time will tell once we've finished quarter 3 and quarter 4. But it's prominently due to weak performance, which we were not able to do in the first half of this year.

Moderator: The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal: Congrats for a decent set of numbers. Sir, like you mentioned that you will be having capacity of INR5,100 crores by the end of this financial year. My question is like how the ramp-up will happen, like with this kind of capacity at the beginning of FY '26, how do you look at FY '26 and FY '27 in the terms of execution or ramping up this total capacity?

Sorab Agarwal: See, last year, as I was just mentioning, we suffered on a count of capacity not being available.

And we lost on the opportunity of increasing our market share in our core products in FY '24.

So keeping that in mind, we had increased our capacity. And within the current year, we had further planned to increase our capacity, which is already underway. So I believe that in future, whenever we are touching about 80% of our capacity, will be our normal norm that we will try and increase some capacity.

So that we're not taken aback. And luckily, our country is growing fast. And the government has big plans, already INR11 lakh crores in the current year budget, which is 3x of what it used to be 5, 7 years back with respect to capex. And going forward, we believe and understand that by 2030, this INR11 lakh crores would be looking more like INR20 lakh crores, INR22 lakh crores into capex by government.

So we do not want to lose out at any stage with respect to the capacity that we have and that is the reason why we were building it. Yes, this year has been slightly slower as compared to what we would have planned. But it was evident that first half will be slow mainly because of elections and then obviously, monsoons. And second half has already started picking up and

about 55% of our revenue generally comes in the second half.

So looking at all that, I think this year, if we do a 15%, 20% growth, so that will be somewhere

INR3,400 crores plus/minus. It could be INR100 crores, INR200 crores on either side. I would feel the positive side. And hopefully, we should be getting closer to our capacity that we have created within FY '26 because in any case, we had committed or we had planned that between FY '23 to FY '26 we will triple our revenue. So from INR2,200 crores in any case, we have to somehow try and achieve INR4,400 crores by FY '26.

Garvit Goyal: Understood, sir. Like at the beginning of, I think, FY '24 also we were kind of expecting a growth of 25% CAGR for next 3 years, right, so is that target intact?

Sorab Agarwal: See, first is FY '23 to FY '26, then is FY '24 to FY '27. I feel currently, we are focused on FY '22 to -- FY '23 to FY '26, INR2,200 crores to INR4,400 crores. God willing, if things start to shape up and this whatever the 3, 4 months of tepid growth or -- which has happened post elections because the sentiment has got affected a little. I'm sure everything will catch up in the next 3, 4, 5 months, and things will again start to roll in FY '26. So we will try to achieve both, but the first one seems more doable.

Action Construction Equipment Limited

November 11, 2024

Page 12 of 17

Garvit Goyal: Got it, sir. And sir, in other income, like in last quarter also, you mentioned there is some rental income. So is it like we are renting the cranes or what is this rental income?

Sorab Agarwal: I think in -- within Action Construction Equipment Limited, we have some crawler cranes, which are on rental. Luthra-saab, if you can elaborate this?

Rajan Luthra: That's right, sir. We have very small number for crawler cranes which is given on rent. So that is what that -- as we are not competing with our customers, see, they probably don't give a products on rent, but because some of the OEMs want us to give us -- want to deal directly on some of the machines we give it. So the revenue is very small. If I look at revenue for the rental income will be as low as INR8 crores to INR9 crores, that's all.

Garvit Goyal: Understood, sir. And sir, you mentioned in your opening remarks about the defense order, single largest defense order that you are expecting. So how much time would it take, like can we expect in this quarter only?

Sorab Agarwal: Yes. I think the indication that we have, it is already in the draft stage, and we should -- if

everything goes well, we should be receiving the order within November. It is a INR400 crores-plus, close to about INR420 crores order. It is our single largest order. And also, obviously, the largest order we've ever received from the Army. Apart from that, we are also expecting another INR20 crores, INR25 crores order within November from the Army for a different type of product.

So -- but yes, this -- and this INR400 crores order, we will have close to 3 years to execute it, but we want to execute it within FY '26 and FY '27 in the next 2 years. So INR200 crores additional revenue addition is easily possible on this account from defense, which will take defense business contribution in our overall revenue to more than 5%, maybe close to 6%, 7% in both the years.

Garvit Goyal: Understood, sir. And like it must be based on the tenders, right? So what kind of margins we can expect here?

Sorab Agarwal: The margins are more or less in sync with the company's margins. And -- because, obviously, we cannot be overcharging anything, and we are definitely a very patriotic type of company.

So we will -- it is in sync with the company margins.

Garvit Goyal: Got it. And lastly, on the electric cranes, like what are the updates on that? Like by when are we looking to launch that product or scaling up the product?

Sorab Agarwal: The -- see, product is already

available. The only thing the regulations are missing. So again, it is expected that within November or latest by December, the notification, which has come with respect to CMVR regulations for this electric construction equipment should get notified and we can sell it and get it registered. The customers can buy and get the machines registered, which is a norm. So I think ramping up will start maybe second half of December or maybe within January, definitely and the electric cranes will start to gain more traction.

Action Construction Equipment Limited

November 11, 2024

Page 13 of 17

Garvit Goyal: Understood, sir. That's it from my side, sir. All the best for the future. Hope you will deliver for -- what you are known for.

Sorab Agarwal: Thank you. We will also try our level best. That's why somebody was asking 15% or 20%, it's better to be cautious than to be over bullish. So if this year has been slow, so there is no harm in accepting it is slow. But like I said, second half is 55% of our revenue and in good years, it can also go beyond 55%. So let us hope a miracle happens in the second half.

Mod erator : The next question is from the line of Nirav Vasa from Portfolio Managers. Please go ahead.

Nirav Vasa: This is Nirav here from ASK Investment Managers. Sir, I have a couple of questions. The first question is pertaining to increase in cost of engines. So basically, what we have seen is that there has been rating change and there has been a significant increase in the cost of power gens. So wanted to check, for us, engine being a critical component, what has been the increase in our costs for that part?

Sorab Agarwal: See, I'll tell you, Nirav. With respect to power generation or gen sets, there have been regulations which have come in, and I think they are now controlled by CPCB IV, if I'm not wrong.

Nirav Vasa: Yes.

Sorab Agarwal: We are not in the power generation segment or gen sets, but I think it is CPCB IV. Similarly, in our equipment they are regulated by CMVR, Central Motor Vehicle Rules, under the CEV category, construction equipment vehicle category. And engines less than 50 horsepower are at BS III level, emission -- Euro III, you can see or BS III. And engines bigger than 50 horsepower are currently at BS IV.

On 1st January, there is a transition. BS III engines are going directly to BS V and BS IV engines are going to BS V. And yes, there is going to be a cost increase. The last cost increase was in I think September -October '21 when some engines went from BS III to BS IV. But now all engines are going to BS VI emission norms, which will put us at par with the European norms, better than Japanese and American because they're still at BS IV or Euro IV.

We'll be at Stage V. And there is a significant increase for the engines which are going from BS III to BS V. So the cost of the machine can go up anywhere between, I would say, 11% to 15%. Average, we calculated will be around 12%. The machines which are going from BS IV to BS V, there'll be a cost impact of 5% to 6%. So from 1st January onwards, like I'll just repeat again, engines going from BS III to BS V, there will be a cost impact of around 12%, average. Machines going from BS IV to BS V from 1st January onwards, there will be 5% to 6% increase. And about 60% of our machines are going from BS III to BS V.

Nirav Vasa: Got it. And sir, like because of this price hike, which I believe most of your customers must be knowing. Are we sensing any prebuy to happen or maybe has there a scenario wherein your customer has given you some kind of advance and booked the equipment and has asked for the delivery to be done at a later stage?

Sorab Agarwal: It has already started happening post Diwali till 4th there were holidays. It has already started happening. The number of orders and inquiries have started

increasing. And I think in this

week itself, we are going to be releasing our new price list, which will become effective from 1st of January, which will give a very clear and realistic indication to customers and we've told all our salespeople to inform all the buyers who are waiting for buying machines over the next 2, 3 months that their cost is going to go up by 5%, 6% to up to 12%.

So in case they want to save on it, they can prebuy. So we are hopeful that we can expect a 15%, 20% additional sales on this account; balance, time will tell. Man proposes, God disposes. We are ready with our inventory. We are ready with our planning.

Nirav Vasa: So effectively, if a customer gives you an advance in December and tells you that machinery needs to be delivered in February, is that possible?

Sorab Agarwal: Technically, it is possible if we have stock available and that stock is uploaded on VAHAN.

So I'm sure there will be some carryover stock. Some customers might be able to do it. But the -- but any order for delivery, which we want to take in January or February will be subject to availability. So if we are sold out within December for a particular model, then we cannot. So the best bet for any customer would be to take delivery before 31st of December.

Nirav Vasa: Got it, sir. And sir, with regards to procurement of engines, like are our engine suppliers ready with the stricter compliance engines or how is it? Because they also have to do a lot of testing and compliance from government to get themselves certified.

Sorab Agarwal: Yes. See, it is not only the engine. With those modified engines, let's say, upgraded engines from BS III to BS V or BS IV to BS V, even we have to make machines and get our machines CMVR -approved from ARAI or iCAT, just like automobiles or commercial vehicles. This process has been going on for the last 2, 2.5 years in our engineering and R&D, and obviously, with the engine guys.

So all our prototypes, I would say most of our models have already received ARAI approval. There are some pending which we are expecting within November. Rather within the month of January, we are making some pilot lots of most of the models. And same will happen again in December to do away with any supply chain issue with respect to regular production when it comes on from January.

Nirav Vasa: Got it. And sir, with effective at the start of calendar year 2025, when we have the -- we will have probably the strictest emission norm compliance, how big can be the export market...

Sorab Agarwal: In the world.

Nirav Vasa: Yes. Yes, how can the big -- how can be the export market for us?

Sorab Agarwal: Yes. See, I'll tell you 2 things. The BS V standard, similar to Euro V, the Indian BS V is even more stricter than the European because, unfortunately, our government has picked out the most stringent norms and put it in our BS V for construction equipment. So our norms are a notch above BS V of Europe. And when we have to go to BS VI, it is going to be very, very

Action Construction Equipment Limited

November 11, 2024

easy because actually, most of the things are qualifying for BS VI to be very frank with you, first thing. Yes, definitely -- see, this Tier 5 or Tier 4 is in America -- Americas rather and Europe and Japan and some other developed countries, which are -- which have not been our target markets in the last -- in the past.

But going forward in the next 2 years, 3 years, even these markets, once we have totally adapted to the technology and perfected it, I'm sure these things will also come into our scheme of things, the developed markets with respect to export of our cranes or construction equipment. And we are very seriously looking at it.

And in the same breath, what we are also doing is the whole of this year and going into the next 6 months of the next year, we are working on upgrading the aesthetics and the look

and

feel of our machines. Most of our models to meet international standards like the machines, the way they are in Europe or in America. So that exercise will also get captured. So hopefully, in 1 or 2 years from now, we will also try and go into the developed part of the world with our machines.

Nirav Vasa: Got it, sir. And sir, with regards to the JV that we are intending to do with the Japanese partner, the scope and nature of the work would be like if you can elaborate a bit more, is it --

would that be restricted to contract manufacturing or how would that scope of work be?

Sorab Agarwal: I have understood your question, and I will answer it. It is not contract manufacturing. This is a 50-50 JV between ACE and Kato of Japan. This would be a manufacturing JV. So this JV will be manufacturing machines with technology from ACE as well as Kato. Kato will work on ACE technology machines to upgrade them at their R&D in Japan. And so the machines would be upgraded machines in sync with international standard and performance. And this is a manufacturing JV.

So this is the first type of machine which will be made, which are upgraded ACE machines with Kato technology. Second type of machines would be machines with Kato technology, which are totally similar to what Kato is doing in Japan. So the machines to be made with ACE and Kato technology will be sold by ACE in India with our current network or enhanced networks and the machines which are made totally on Kato design will be sold by Kato internationally. And if there is any market for those models within the country, ACE will be doing it.

Nirav Vasa: Got it. And sir, my final question is pertaining to the O&M revenues. I understand these are very, very mission-critical equipment's. What kind of potential do you see in the operations and maintenance part? And how big can this piece of revenue be for you?

Sorab Agarwal: See, I think Luthra-saab, our spare parts revenue is close to about INR50 crores, INR60 crores? Luthra-saab?

Rajan Luthra: It is around 4% of our turnover, sir.

Sorab Agarwal: 4% of our turnover. So I've understood your question, I'll answer it in 2 parts. We realize that the sales of our spare parts is reasonably underpenetrated in the market because over the years,

Action Construction Equipment Limited

November 11, 2024

Page 16 of 17

a lot of spurious players and alternate parts have come up. So we are working very strictly there so that our spare parts sales or spare parts contribution to our total sales revenue increases and our target is to increase it by 50% to 100% from what it is currently. I think it is possible. That's one part of the question.

And for this, we have come out with our DMS and a lot of other things, the service app is under planning so that a customer does not go out of the fold of our network with respect to service and parts.

Secondly, most of the O&M revenue, I would say, not O&M, we are not into O&M. We don't operate the machines. But most of the maintenance revenue goes to our dealerships, except for products like tower cranes or the bigger crawler cranes, which are sophisticated pieces of technology, and we handle it directly, not through dealerships. There, again, there is a scope of increasing that.

Moderator: The next question is from the line of Pavan Vanukuri, an individual investor.

Pavan Vanukuri: Okay. This is regarding the acquisition which you have -- I mean which you have mentioned in the previous conference call, sir. In Q2 or Q3, we were expecting an acquisition to happen outside India, right? So is it still in plan or are you still working on that or can you give some update on that, please?

Sorab Agarwal: See, we were very aggressively working on some acquisition plans outside India to increase our product portfolio and to also increase our penetration in that market, but something more important or more

interesting has come up, a better opportunity of trying to do the same thing which we were trying to do. And so in lieu of that, that acquisition we were looking outside India has currently been put on hold till such time this opportunity is totally understood and implemented by us.

So as of now, that acquisition outside India has been put on hold, and we are working on even a better opportunity. So hopefully, if everything goes well, maybe in quarter 4 or quarter 1 next year, we might be able to announce this -- even a better opportunity, like I said. And I cannot disclose anything more than that at the current juncture because these are very sensitive matters.

Pavan Vanukuri: Sure. Sure. I mean, if the JV with Kato Works going to help us achieve what we are trying to do instead of going with some acquisition, sir? Because Kato itself is going to support us in entering the export markets, right? So if...

Sorab Agarwal: No. Kato JV is a separate thing. It is for bigger cranes. This acquisition was for a different product category to get access to technology and to increase our presence, not only in India, but even in international markets. So the opportunity I'm talking about is totally different. And hopefully, if it goes through, which it will, as it seems, this will be much bigger than whatever anyone of us imagined.

Moderator: Ladies and gentlemen, we'll take this as the last question. I now hand the conference over to the management for closing comments.

Sorab Agarwal: Yes. Thank you. I think we have had a reasonable quarter amidst all the headwinds and excessive rains and the sentiment going a little lower because of the election results. But I think we've been able to pull off a reasonable job with respect to our last quarter results. And we expect that generally in sync with what I've mentioned earlier, that 55% of our revenue comes in the second half. So hopefully, that will play again, as it has in the last 29 years for us. And we will be able to maintain our margin profile.

We will be able to increase our revenue. And with some prebuying of BS III and BS IV machines happening as BS V kicks in, in January that should also add to our revenue growth in quarter 3 and on a whole year basis, I think we are committed to at least a 15% -plus scenario with respect to our revenue, which can reach up to 20%, that time will tell. And I think with this, I'd like to close the call, and I thank everybody for attending the call. Thank you.

Rajan Luthra: Thank you, everybody.

Vyom Agarwal : Thank you all.

Moderator : Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Date: February 13, 2025

To,
The Manager Listing
BSE Limited
5th Floor, P.J. Towers,
Dalal Street,
Mumbai -400001
Scrip Code: 532762 The Manager Listing
National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai -400051
CM Quote: ACE

Subject: Earnings Call Transcript Q3FY25 .

Dear Sir/Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith, Earnings Call Transcript (Q3FY25) of the Company.

Kindly take the above in your record.

Thanking You.

Yours faithfully,
For Action Construction Equipment Limited

Anil Kumar
Company Secretary & Compliance Officer

Page 1 of 14

"Action Construction Equipment Limited
Q3 FY '25 Earnings Conference Call"
February 10, 2025

MANAGEMENT : MR. VYOM AGARWAL – PRESIDENT – ACTION
CONSTRUCTION EQUIPMENT LIMITED
MR. RAJAN LUTHRA – CHIEF FINANCIAL OFFICER –
ACTION CONSTRUCTION EQUIPMENT LIMITED

MODERATOR : MR. CHINMAY KABRA – EMKAY GLOBAL FINANCIAL
SERVICES

Action Construction Equipment Limited
February 10, 2025

Page 2 of 14

Moderator: Ladies and gentlemen, good day, and welcome to Action Construction Equipment Limited Conference Call hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Chinmay Kabra from Emkay Global Financial Services. Thank you, and over to you, Mr. Kabra.

Chinmay Kabra : Good evening, everyone. On behalf of Emkay Global Financial Services, we are pleased to invite you to the Q3 FY '25 Earnings Call of Action Construction Equipment. I would like to welcome the management and thank them for this opportunity.

We have with us today Mr. Rajan Luthra, Chief Financial Officer; and Mr. Vyom Agarwal, President. I shall now hand over the call to the management for their opening remarks. Over to you, sir.

Vyom Agarwal: Thank you, Chinmay. Good afternoon, everyone, and welcome to this earnings conference call for discussing the results for the quarter and 9-month ended 31 December 2024. We take this opportunity to wish all of you a fabulous new year with good health and happiness.

Unfortunately, our Executive Director, Mr. Sorab, is under the weather and down with seasonal flu, hence he could not join the call today. Along with me in today's earnings call, we have our CFO, Mr. Rajan Luthra. We hope that all of you have had an opportunity to look at the company's financial statements and the earnings presentation, which have been circulated and uploaded at the Stock Exchanges.

With continued focus on customer centrality, execution and agility in operations, we have set ACE on the course of a predictable and sustained high performance trajectory. And today, we have the opportunity to highlight our execution rigor through our best-ever performance in the quarter gone by. Further, in the recently announced union budget of FY '26, the Government of India has sustained its intra focus with their capex spending estimated to remain above 3% of the GDP for the third consecutive year.

Productive capex to create infra assets is crucial for amplifying productivity, which will further fuel economic growth, enhance global competitiveness and accelerate development in the country.

Now to brief you on the financial performance for the third quarter of FY '25. On a stand-alone basis, operational revenue grew by 15.93% on a Y-on-Y basis from INR753.15 crores to INR873.1 crores, which is our best ever quarterly revenue so far. The EBITDA margins of the company grew by 27.4% to INR160.38 crores as against INR125.89 crores in the corresponding quarter last year.

Action Construction Equipment Limited
February 10, 2025

Page 3 of 14

The EBITDA margins expanded by 154 basis points to 17.76%. The PBT grew by 26.49% to INR144.93 crores against INR114.58 crores and stood at 16.05%. The PAT grew by 21.05% to INR107.15 crores against INR88.52 crores and stood at 11.87%. The PBT and PAT margins expanded by 129 and 46 basis points, respectively, on a year-on-year basis. We are delighted to share that these are our best ever quarterly revenues, EBITDA, PBT and PAT numbers in the history of our company.

For the 9 months ended FY '25, the operational revenue grew by 13.75% as compared to a similar period of last year and stood at INR2,361.07 crores with EBITDA of INR428.07 crores, which is a 30% growth. Our PBT grew by 27.37% to INR382.61 crores. The PAT stood at INR285 crores, which grew by 24.29% on a Y-on-Y basis. The EBITDA margins expanded by 202 basis points to 17.46%. PBT expanded by 151 basis points to 15.60%, and P AT margi

ns expanded by 86 basis points to 11.63%.

Now let me give you a sequential perspective. For the third quarter of FY '25, the operational revenues grew by 15.74% on a quarter-on-quarter basis. The EBITDA grew by 12.79%, PBT increased by 14.79% and P AT during the quarter grew by 13.54%.

The company sustained its growth momentum across all operating segments during the quarter gone by. In the Cranes, Material Handling and Construction Equipment segment, we have registered revenue growth of 15.19% year-on-year to INR795.73 crores. The margins also expanded by 375 basis points year-on-year to INR154.38 crores vis-a-vis INR108.1 crores by registering a growth of 42.81% year-on-year. The company recorded sales of 3,539 units in the quarter, which is up by almost 18% year-on-year.

The Agri segment clocked a revenue growth of 24% at INR77 crores, while maintaining margins at 4.73%. Going forward, with adequate water reservoir levels and government's focus on agri productivity, the company expects the farm mechanization needs to continue creating demand momentum in the agri space.

Our consistent strong all round performance is a testimony to our strategic clarity, strength of our brand, our capabilities, our execution skills along with the agility in running the business, and most importantly, the determination and passion of our talented and purpose-driven team members.

On the operational side, the growth momentum in India continues to be strong and the recent repo rate cut by RBI will provide further relief to the borrowers. The global economy remains uncertain, and the recent tariff war has heightened the geopolitical risks further. India remains a bright spot amidst the global economy with a real GDP growth for next financial year projected at 6.7%. The risks are evenly balanced.

Commodity prices, especially steel, remained stable in the quarter gone by and the consumer sentiment remains healthy. As discussed during the last con-call, our capex plans are on target and the ongoing expansion will bring our total capacity to approximately INR5,000 crores by the end of Q4 of this year.

Action Construction Equipment Limited

February 10, 2025

Page 4 of 14

With this enhanced capacity, the company remains optimistic about the medium-to-long-term prospects and remain focused to deliver on its sustainable growth agenda. Further, our honorable finance minister has presented the union budget '25-'26 which set out realistic and inclusive vision for the nation. A mix of judicious and bold policy moves while maintaining fiscal discipline, lays down a strong foundation of a Viksit Bharat.

The share of capital expenditure outlay in total budget has been stepped up to 22.1% in FY '26 from 15.6% in FY '22. The government is focused on infrastructure, manufacturing, power, logistics and housing sector development, which augurs well for our company. Going ahead, with our capacities build up, we are well prepared, future-ready and remain optimistic about the prospects of the company in medium to long term.

Also, we would like to reiterate our guidance of around 16%-plus growth in Cranes, Material Handling and Construction Equipment segment for the current year and expect Agri segment to remain flattish during this year. On the whole, we are looking at a growth of around 15%-plus with a stability in EBITDA margins at current levels.

With this, I would like to open the call for question-and-answers. Thank you.

Moderator: The first question comes from the line of Rohan Mehta with Ficom Family Office.

Rohan Mehta: So what is the current duty structure for cranes below 100 MT? And if in case there are any, what are your expectations going forward with respect to the changes in this?

Vyom Agarwal: I'm sorry, Rohan, the line was a little disturbed. Can you please again go ahead.

Rohan Mehta: Yes. So I wanted to know the current duty structure for crane below 100 M

T and what are

your expectations regarding any changes going forward?

Rajan Luthra: See, basically, I understand you are talking about custom duty. That's right?

Rohan Mehta: Yes. That's correct.

Rajan Luthra: See, right now, the basic custom duty on import of fully finished crawler cranes is 7.5%. And as we have mentioned in the last con-call also that there has been a lot of dumping of these products by the Chinese company in India, especially heavy cranes related to crawler crane or

truck mounted cranes having capacity of more than 40 ton and above. So -- we have -- the Government of India has already initiated inquiry against -- to find out whether the Chinese players are dumping their products from India or not.

They are already in an advanced stage, and we are also partly helping the government in their investigation. It is already gone for investigation and there have been summons issued to give their costing and all those things. We're expecting a favorable reply somewhere in the, you can say, probably March end or mid of April, in which we expect the government will be putting an antidumping duty on those products.

Rohan Mehta: Got it. And one final question. How do you assess the current demand environment for your products? Essentially, are you seeing any sort of a slowdown in the demand for cranes?

Action Construction Equipment Limited

February 10, 2025

Page 5 of 14

Vyom Agarwal: Yes, Rohan, so the current scenario, the demand scenario remains quite healthy, as I have mentioned in my address. India is in a very bright spot. And with the current budget, we have seen that government has reiterated their stand on infra, allocating more than 3% of the entire GDP and especially the -- these reforms which are coming in the housing sector with Pradhan Mantri Awas Yojana coming in and more and more reach going to the rural areas along with water and sanitation facilities getting upgraded.

So the whole urban infra space is getting revamped. And the demand scenario remains healthy on the infra side. But most importantly, apart from infra, the kind of products that we make are also very widely used in manufacturing industry. So we believe that certain steps, which have been taken that will revive the private capex also going forward.

And our equipments are used wherever there is lifting and shifting. So whether it is logistics, whether it is manufacturing or infra, we believe that we are in a very good shape going ahead.

And the demand scenario definitely remains healthy at the ground level.

Moderator: Next question comes from the line of CA Garvit Goyal with Nvest Analytics Advisory LLP.

Garvit Goyal: I want to understand on our export. While we understand domestic demand is driven by infra, manufacturing and real estate. But considering the geopolitical tensions and expected trade war, do you see any risk to our internal targets? Because I think while giving the medium-term guidance, we are accounting for exports in a decent manner. So can you put some color on that? Like how exports are going to shape up from here?

Vyom Agarwal: Yes. So definitely, going back a few quarters, we had set our targets for the export and the defence business to reach somewhere around 15% to 20% of our overall this thing. So this was made as a conscious effort to move the company towards a countercyclical domain. And we are very much on target there.

However, in this year, because of -- for various factors, whether it was sea freight, whether it was geopolitical issues going on and now the recent tariff things. This year, exports have been slightly sticky. And last year, however, we were able to close at around 8%. This year, it will be slightly less than that. But from a medium - to long-term perspective, I think 15% to 20% coming from defence and exports seems very much on track for us.

Garvit Goyal: Looking at the current environment, so do you see

the situation is going -- situations are going

to improve in FY '26 as far as the exports are concerned?

Vyom Agarwal: Yes, we are very hopeful that it should happen. And in fact, we are very confident that it should happen because it seems to be a very temporary phenomenon. And moreover, from January '25, the revised emission norms which is CEV 5 norms have also kicked in. So once we have started manufacturing these cranes and other equipment as well, apart from agri, they are migrated to CEV 5. And now we can think about taking these equipment to the mainland Europe as well as America.

So this, I believe, in FY '26, the situation will further improve. And as I said that in the medium term, going from 15% to 20% from export and defence seems very much achievable.

Action Construction Equipment Limited

February 10, 2025

Page 6 of 14

Garvit Goyal: Understood. And sir, like half of Q4 has already gone. So looking at the current environment, where do you see like FY '25 ending up from here in the terms of top line, sir?

Vyom Agarwal: So again, in the address, we have already reiterated our guidance. In fact, so we are looking at around 16% plus growth in Cranes, Material Handling and Construction Equipment segment.

Agri to remain flatish. And overall, we are looking at a 15% to a little ahead from that with stability in EBITDA margins, yes.

Garvit Goyal: In Agri segment, earlier quarter, I think we were guiding for some growth, right or I'm wrong?

Vyom Agarwal: Yes. So actually, if you see, we have done well in agri when it comes to last quarter. But the first quarter of this year was quite slow compared year-on-year because there was a base effect of a big export order, which we were executing last year Q1. So we are still to catch up with that.

And hopefully, we can grow in agri, but for the time being, we are saying that we would remain flattish. That time will tell if we can grow in agri, yes.

Garvit Goyal: And the guidance of doubling our top line of FY '23 in FY '26, that is intact, right?

Vyom Agarwal: So we said that whatever we had achieved in FY '23, we are going to do that by FY '26. More or less, that's the medium-term guidance, and we are sticking to that as of now.

Moderator: Next question comes from the line of Rashmika with Rika Enterprises.

Rashmika: I have a few questions. This quarter has been heavily influenced by pre-buying. To that extent, demand will be flatter in the future. Also in the latest budget, the government has reduced capex expenditure from INR11.5 lakh crores to INR11.2 lakh crore. That is a negative for us. So how do you see demand going forward in the next 12 months?

And how has demand behaved in this particular quarter 4? We are already halfway through the quarter that is why I'm asking. So how has demand behaved in this quarter and how do you see demand going forward in the next 12 months?

Vyom Agarwal: Thank you, sir, for the appreciation for the numbers. And as I've said that the demand on the ground remains healthy. As far as to answer your prebuying thing, if we see Q3 year-on-year for Cranes, Material Handling and Construction Equipment, we have delivered a growth of around 18% in terms of volume.

And for Agricultural Equipment, we have delivered a growth of 24.36%. On a blended basis, our volumes have grown by 19%. And on a 9-month comparison, our blended volume growth has been close to 10.5%. So we would -- there is no reason to believe that this growth will not continue in the future.

Going ahead, these numbers can even better from where they are. And going on to the budget thing, see, government is very much focused on developing infra for which they have allocated a reasonable amount of capital, which is in excess of 3%, and they have been doing it for the last 3 consecutive years.

Action Construction Equipment Limited
February 10, 2025

Page 7 of 14

And there is another

metric to look at it. Now the share of capital expenditure outlay in the total budget that has stepped up from FY '22, it was around 15% and to FY '26, it has gone up to 22%. So this spending is going to hit the markets -- I mean, to hit the ground.

And at the same time, because of last year, the government came out with revised numbers because the spending target could not have been achieved because in the first quarter, we had the general election thing. So now with everything off the back, the spending is going to continue from here, and it gives us real confidence that going ahead, our growth trajectory will be sustained.

And the private capex is also going to pick up with the announcements in the budget, I believe that the consumer sector is also going to benefit quite a bit from there. And with manufacturing segment picking up, I believe that the growth story is here and the kind of portfolio that we have, the cranes, the forklifts, warehousing equipment, they will show and continue to improve on their growth trajectory going ahead.

Now with respect to this prebuying thing. See, it is very difficult to pinpoint the reason for the growth in Q3. Was it because of the festive demand? Was it because of the prebuying? Or was it because of the pent-up spending that hit the market post monsoon season? So we would like to believe that the demand scenario is very much in place and quite healthy on the ground.

Moderator: Next question comes from the line of Mudit with IIFL Capital.

Mudit: Yes. So if you see your gross margins, so your gross margins has itself expanded, if you see both Y-o-Y and Q-o-Q and almost that has flowed into your EBITDA margin. So in your commentary, you mentioned that steel prices have almost remained stable. And if you look at derived blended realization, it has slightly fallen if you see on a Q-o-Q basis. So what has led to this gross margin expansion?

Rajan Luthra: See, basically, these margins expanded because of a number of factors. One is the product mix. If you talk about the net realization has been -- come down because this quarter, we had a volume of smaller cranes, 14 tons, 15 tons are much more because of shifting from BS III to BS V norms, that slightly pulled down the average price realization overall.

But because of cost efficiencies and the operating leverage and other factors, cost reductions and whatever we have done and value engineering, et cetera, so that has contributed to the increase in the gross margins.

Mudit: Okay. So -- but if you see the percentage increase in gross margin, it has not completely

flowed into EBITDA margin, excluding other income, if you see. So is there has been some expenses one-off or...

Rajan Luthra: Yes, there were some expenses -- one-off expenses in the current quarter because normally, the third quarter is slightly on a higher side because of Diwali and other festivals, yes.

Mudit: Okay. Okay. Got it. And any update on KATO JV, so going on track and any progress upon that?

Action Construction Equipment Limited
February 10, 2025

Page 8 of 14

Rajan Luthra: See the -- that is going on the right track, as we mentioned in the previous calls also that this has been some delay on account of some unavoidable circumstances, which we are -- which will be beneficial for the company in the long run. So that has been delayed. But the negotiations and that process is already on. Probably that may -- we will be able to complete either by March or you can say -- or it may spill over to next quarter. But I'm sure it will not spill over the second quarter of this FY '26, but probably it will be concluded in the coming -- this quarter or mid of next quarter, maximum.

Mudit: So revenues will start flowing into from second half of FY '26?

Rajan Luthra: Yes, definitely.

Vyom Agarwal: Here, Mudit, I would like to just add a little bit that we intend to start the production in this JV

y, let's say, Q3 FY '26 or maybe Q4 FY '26. So somewhere those lines, these time lines are similar to what we had mentioned in the last con-call. So things are on track with respect to that. The full steam production will happen in FY '27. There will be some revenue, which can be recognized in next financial year, maybe 2, 3 months there, that time will tell, but FY '27 should be a full stream revenue.

Moderator: Next question comes from the line of Aman Soni with Nvest Analytics Advisory LLP.

Aman Soni: What is the margin guidance for Q4 and FY '26?

Vyom Agarwal: Sorry, Aman, can you please repeat that, we didn't catch it?

Aman Soni: Margin guidance -- EBITDA margin guidance for FY '26 and Q4 FY '25?

Vyom Agarwal: So we would like to have a little bit of stability in the current EBITDA margins. Of course, there is a scope because of operating leverage and pricing actions. There is a scope of a little bit of expansion also, but as of now, we would like to guide that the EBITDA margins will remain stable at the current levels.

Aman Soni: And when you say current levels, it is Q3, current quarter levels, right?

Vyom Agarwal: Yes.

Rajan Luthra: That's right.

Moderator: Next question comes from the line of Vijay Pandey with Nuvama.

Vijay Pandey: Congratulations for a good set of numbers. Sir, I wanted to check with you what are the main export markets are you targeting to get North America, Europe and in Europe, which major countries? That will be my first question.

Vyom Agarwal: Yes. So basically, we are exporting to countries like Latin America, some of the CIS countries, some African countries and, of course, Southeast Asia and Middle East. So that is the segment where we are currently exporting. Mainland North America and Mainland Europe, as I mentioned, that there is an emission gap.

Action Construction Equipment Limited
February 10, 2025

Page 9 of 14

Now from January in the current quarter only, India has migrated to CEV 5 norms. Now our machines are at par and can be sold in these nations. So once we get our machines certified, we will definitely be opening our territories there. But as of now, we developed Mainland Europe and Mainland America, we do not have it. But having said that, we have started doing our groundwork there.

Vijay Pandey: Okay. Okay. That's helpful. And secondly, sir, in the third quarter, I think that there's been a big jump in other expenses of around INR18 crores or INR19 crores. If you can help me understand where that difference coming from, that will be very helpful?

Vyom Agarwal: So I think Luthra saab can take this question in a little bit more detail. But as we have just mentioned that traditionally, Q3, we have a little bit more expenses, which happens on account of the festive season. But Luthra saab?

Rajan Luthra: Yes, right. As already explained in the previous question that third quarter, we actually now have dealer meet and festive expenses comes into picture because we start planning for the next year also in the third quarter. So that is what it is. But I think going forward, it will normalize and will be in line with the last quarter only.

Moderator: Next question comes from the line of CA Garvit Goyal with Nvest Analytics Advisory, LLP .

Garvit Goyal: Sir, can you give us an update on the e-cranes, like what is the kind of developments happening at that side? Like is it going to contribute significantly in the upcoming year ?or where is the status now?

Vyom Agarwal: So Garvit, if I've got the question correctly, you're talking about the electric cranes, right?

Garvit Goyal: Yes, sir. Electric cranes only.

Vyom Agarwal: Yes. So as you are aware that we are already ready with the product and we are awaiting the CMVR guidelines, which is pending some final paperwork. So once that is through, I think we'll be able to take our machines to the markets for that. And as far as the enthusiasm

in the

customer space goes, we are pretty excited about this product.

Some of the big companies who are particularly bothered about the ESG scores, they have given us a very encouraging review of these cranes. And apart from that, there are a lot of manufacturing sectors which would need a crane, which does not run on an internal combustion engine. So the feelers from the market space and the customers are very, very encouraging. As soon as we have the CMVR guidelines, I think we'll be good to go.

So this space is very much active here. As of now, we have sold a few numbers in areas where there is no registration required. So for example, if the crane is running in a closed territory, there is no registration required. So in those segments, some very few single-digit numbers have gone and the customers are pretty happy with the result.

Garvit Goyal: And sir, who are the other players in India doing the same like electric cranes and how big the market size is?

Action Construction Equipment Limited

February 10, 2025

Page 10 of 14

Vyom Agarwal: So as of now, I think we are the only ones who have the electric mobile crane. In fact, we are the first in India to launch a fully electric construction equipment. That's the reason I believe the government was also not ready with the exact CMVR guidelines because these are different when it comes to vehicles and passenger cars, the construction equipment follows a different path.

So we are the only ones who have it. And as I said, the market size, as of now, it is very difficult, the whole crane market size is open, but how much of the customers can migrate, that time will tell.

Moderator: Next question comes from the line of Shaleen Seth with Seers Fund Management Private Limited.

Shaleen Seth: I have 2 questions. First is on the capex. You -- can you put some color on the capex for this year and next year?

Vyom Agarwal: Yes. So in 9 months FY '25, we have done a capex of close to INR90 crores to INR95 crores. And with this, we are expected to reach a capacity of INR5,000 crores to INR5,100 crores. Now this will hold us in a good space. But with nominal capex, we can further increase this INR5,100 crores to, let's say, INR600 crores more. That is possible in the near future. So as of now, the current capacity by the end of this quarter, which will be operational, will be close to INR5,000 crores to INR5,100 crores.

Shaleen Seth: Okay. And any color on the land deal of 82 acres in total?

Vyom Agarwal: So in that 82 acres, somewhere around 22 acres is already there, done. It is there in the books. And for the balance 60 acres the agreements are going on.

Shaleen Seth: Okay. Perfect. If I can take one more question?

Vyom Agarwal: Yes, please.

Shaleen Seth: Sir, JCB very recently announced that they're coming up with hydrogen engines. And I think TAV is definitely going to be a market for them. So do you have any perspective on that?

Vyom Agarwal: See, these -- whether it is hydrogen engine, whether it is electronic cranes, these are alternative energy sources, which definitely as a country, we have to adopt. And definitely, that's the way forward. Because fossil fuels are not the things of future. Having said that, our powertrains that we have, we buy engines from almost everyone in India whether it is Tata Motors, Ashok Leyland, Volvo Eicher. You can name a company who manufactures engines in India, we buy it from them, courtesy our equipment, which ranges from a 15-horsepower tractor to 180 ton crawler crane.

So given the product range that we have, our requirement of engines of various power and various stock combinations is huge. So we are in touch with almost all the engine manufacturers, and we'll be very open to adopt any stable technology as and when it hits the market.

Action Construction Equipment Limited

February 10, 2025

And it will not be out of place t

hat we were the first ones in India to actually get going on electric equipment. So as soon as some of the manufacturers have a stable hydrogen cell or hydrogen -powered technology for a powertrain, we are very much interested in that going ahead.

Ultimately, Shaleen, it is not only about we launching a crane with the technology; ultimately, it's about the operation of that cranes also. So just for the announcements sake, I don't think so that's the right approach. But how far the entire infrastructure is ready to run that crane on the road, on the site, that's also very important.

Moderator: Next question comes from the line of Vishal with Swan Investment .

Vishal: Sir, my question is regarding the CEV products, what kind of increase in the realization we expect with these products across the lines?

Vyom Agarwal: So it totally depends upon the equipment. But generally, what we expect is around 8% to 15%, let's say, in that range.

Vishal: Okay. And by when -- what time we will -- we are expecting to fully move our product line to CEV 5?

Vyom Agarwal: So we have started manufacturing CEV 5 equipment. And as soon as our -- there is some inventories, which are lying with us. And as soon as we are done with them, we'll be completely moving on to the CEV 5.

Vishal: Okay. So when we say 8% to 15%, so similar kind of cost increase also there or is it moving towards CEV 5 will be a bit slightly margin -accretive for our side?

Vyom Agarwal: See, as of now, we would say that we would like to stabilize our margins at the current place because in the last 3, 4 years, you must have seen that we have expanded our bottom line quite swiftly. And now it is totally up to us that whether we want to keep focusing on competitive landscape, produce cost -effective equipment or keep on pushing the price increases.

So I believe in the next 2, 3 quarters, we will start to take a price calibrated approach. But as of now, the thing that is on the top of our mind is to stabilize the margin profile of the company where we stand and if possible, it can expand a little bit from here.

Vishal: Okay. And don't you think with the rise in exports because the opportunity for us in CEV 5 size will increase in export markets, so then it is -- it will be a price -accretive business. Am I right in this understanding?

Vyom Agarwal: Yes. Because see, when we talk about CEV 5 norms, it is not only about the emissions. Along with CEV 5 migration comes a host of safety features as well as electronic communications, which are integrated with the machine. And the market is also now getting feature -sensitive.

So going ahead, when you add a lot of electronics to the machine with enhanced features and as you correctly said that the export markets, which will also open up in years to come, I

Action Construction Equipment Limited

February 10, 2025

believe that overall, on the overall, on the medium to long term, this movement should be favorable for us from the bottom line perspective.

Vishal: Okay. Can you also throw some light on our KATO JV, what kind of tonnage products we will be launching through this JV? What will be the realization we are targeting, things like that?

Vyom Agarwal: Yes. So I will give the line to Luthra saab for that, please.

Rajan Luthra: See, basically, the JV, what we are planning with KATO WORKS is related to heavy cranes.

When we say heavy crane, it is the crawler cranes, truck mounted cranes and rough cranes.

These are products which we are already manufacturing. So what we are expecting to do is that once -- and we are competing with the Chinese players who are dumping these products in the market at a very throwaway prices, so it is difficult to match their prices.

Although we are making money in this product, but not to that level of what other cranes and what we are doing on. So that is why we are selling less. So with the whole objectiv

e of

making JV was to first introduce Japanese technology in these products because they command -- Japanese technology will command a premium over the Chinese player, the first part. Second is by government putting anti -dumping duties on Chinese products and their cost will increase, which will give us more leeway for increasing our sales.

What we are doing is, this JV has 3 components. One is that they will be improving the technology of these products and so they become a Japanese product, which is selling in India, plus we will be manufacturing those cranes which are not right now in our product portfolio, 200-ton cranes to 250 -ton cranes or a better technological product, which will be exported by the KATO WORKS to all the countries where right now we are manufacturing and selling.

So it has got both components -- win-win position for both us and KATO because with this, the cost will go down overall for the KATO also and for us, it will not only improve the technology, improving our market share in this line, but also export opportunity directly opens through KATO WORKS because they will be selling this product in the international market.

Vishal: Fantastic, sir. Sir, so in the current market, can you roughly estimate what would be the market size of these kind of products which you want to explore through KATO?

Rajan Luthra: See, if you look at the market size of these -- last year, the overall India -- in India, it was 900 cranes, all put together, between 900 cranes to 1,000 cranes.

Vishal: Okay. And roughly, what will be the realization per unit for these cranes, it will be close to INR80 lakhs, INR90 lakhs, INR1 crore or plus or...

Rajan Luthra: It will be more than INR1.2 crores.

Vyom Agarwal: Vishal, approximately the market size in terms rupees will be close to INR1,500 crores, plus/minus. And we have just addressed the market size in India.

Moderator: Next question comes from the line of Kewal Shah with MK Capital.

Action Construction Equipment Limited
February 10, 2025

Page 13 of 14

Kewal Shah: I joined the call a bit late, so I just wanted to ask, in your previous quarter conference call, you are expecting some defence order. So can you throw some light on that, update on it?

Vyom Agarwal: Yes. So we are expecting one of our biggest defence orders. It should have come by now, but it is just held up with some paper works and should be here, I believe, within this quarter.

Kewal Shah: So any ballpark revenue expected from that order, if you can give?

Vyom Agarwal: So once we get this order, we will be having approximately 24 to 30 months to execute, and we firmly believe that the revenue will start flowing in from next financial year.

Kewal Shah: Okay. And the second question is that how much revenue growth we have seen because of this quarter because of BS V compliance? So any revenue increase we have seen in this quarter because of that?

Vyom Agarwal: No. Because up till 31st of December, the earlier emission norms were active. So barring a few proto machines, we have not sold them because the regulation came into effect from 1st of January. So till the 9 months, CEV 5 was not into the picture.

Kewal Shah: So because of this, have you seen any pre buying in this quarter?

Vyom Agarwal: Yes, definitely, there has been some action, but it's very difficult to pinpoint and quantify the numbers, but the market has been very, I would say, the undercurrents are very, very strong. The market is healthy and the sentiments remain good.

Moderator: Next question comes from the line of Ravindra, an individual investor.

Ravindra: My question is, what is the average work life span of a pick-and-carry cranes? And what is the demand on account of these cranes being phased out in volume terms?

Vyom Agarwal: Sorry, sir, can you please repeat the question?

Ravindra: Sure. My question is, what is the average work life of a pick-and-carry cranes? As the replacement demand -- what are the current cranes procured on account of replacement in the current fiscal?

Vyom Agarwal: Yes. So a typical life span of a pick-and-carry crane is around 7 to 8 years. It totally depends upon the way you use them and the way you maintain them, can also extend up to 9 to 10 years if you're using them properly. But unfortunately, in India, the kind of environment in which these machines operate in, it's very challenging.

So typically, a span of 8 to 9 years is very fair to assume. Going by that volume numbers, I think if we date back 8 to 9 years, I would say we don't have an exact number of how much market is coming from the replacement side, but I would say around 15-odd percent should be there, 15% or maybe, let's say, 20%, but I don't have the exact number. But I'm framing my answer on the basis of the volumes, which were there 8 to 10 years back.

Moderator: Next question comes from the line of Nirmal, an Individual Investor.

Action Construction Equipment Limited
February 10, 2025

Page 14 of 14

Nirmal: Sir, in the last conference call, you talked about that you have put foreign acquisition on hold and you are pursuing something better in India. So any development on that part?

Vyom Agarwal: Sir, we are still working very actively. And as soon as something concrete happens, of course, everyone will be made aware of the development.

Nirmal: So can it happen by next quarter?

Vyom Agarwal: Very difficult to pinpoint. But as I said that as soon as something concrete happens on the ground, I think we would be very happy to share it with everyone.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that co ncludes this conference.
Thank you for joining us. You may now disconnect your lines.

Call: Jun 2025

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Date: May 30, 2025

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CM Quote: ACE

Subject: Earnings Call Transcript Q4FY25/FY25 .

Dear Sir/Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith, Earnings Call Transcript (Q4FY25 /FY25) of the Company.

Kindly take the above in your record.

Thanking You.

Yours faithfully,
For Action Construction Equipment Limited

Anil Kumar
Company Secretary & Compliance Officer

Page 1 of 17

"Action Construction Equipment Limited
Q4 FY'25 Earnings Conference Call "
May 27, 2025

MANAGEMENT : MR. SORAB AGARWAL – EXECUTIVE DIRECTOR –
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. RAJAN LUTHRA – CHIEF FINANCIAL OFFICER –
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. VYOM AGARWAL –PRESIDENT –ACTION
CONSTRUCTION EQUIPMENT LIMITED

MODERATOR : MR. SANTOSH YELLAPU – ANAND RATHI SHARE AND
STOCK BROKERS LIMITED

Action Construction Equip ment L imited
May 27, 202 5

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the Action Construction Equipment Limited.
Q4 FY '25 Earnings Conference Call hosted by Anand Rathi Sh are and Stock Brokers Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Santosh Yellapu from Anand Rathi Share and Stock Brokers Limited. Thank you, and over to you, sir.

Santosh Yellapu: Good afternoon, everyone, on behalf of Anand Rathi Institutional Equities, we are pleased to invite you to Q4 FY '25 Earnings Conference Call of Action Construction Equipment Limited.

I would like to welcome the management and thank them for the opportunity. We have with us today, Mr. Sorab Agarwal, Executive Director; Rajan Luthra, CFO; and Vyom Agarwal, the President from Action Construction Equipment Management.

I shall now hand over the conference over to Mr. Sorab Agarwal, Executive Director of Action Construction Equipment. Than k you. And over to you, sir.

Sorab Agarwal: Yes. Good afternoon, and welcome everyone to this earnings conference call for the fourth quarter and year ended March 2025. Along with me in today's earnings con call, we have our CFO, Mr. Rajan Luthra; and our Head of Investor Relation, Mr. Vyom Agarwal. I hope you've had an opportunity to look at the company's financial statements and the earnings presentation, which have been circulated and uploaded on the stock exchanges.

Last year, FY '25 has been another y ear of strong and resilient performance by our company. And we have been able to yet again deliver our best ever quarter with better quality and consistency in earnings, while maintaining a strong balance sheet position. Let me take you through to some of the highlights of the system.

To begin with, it gives me immense pleasure to report that on a stand -alone basis, we have achieved a total income of INR3,420 crores in this fiscal and recorded our highest ever yearly sales and profits in the year gone by. Our growth of 14.47% is ahead of the industry in our core sectors.

Our EBITDA margin for the year expanded by 148 basis points to 17.52% from 16.04% last year, and PBT expanded by 138 basis points to 15.88% and that increased by 83% to 11.8%. In absolute terms, EBITDA grew by 25% to INR599 crores as against INR479 crores in the preceding years. We were able to increase our PBT by 25% from INR433 crores in FY '24 to INR543 crores in FY '25.

Similarly, our PAT also increased from INR328 crores to INR404 cro res, thereby registering a growth upwards of 23% in the last financial year. To brief you on the financial performance of the fourth quarter of the last financial year on a stand -alone basis. Total income stood at INR967.55 crores for the quarter, which is up 7.16% sequentially and grew by 12.98% on a year-on-year basis.

Action Construction Equip ment L imited
May 27, 202 5

Page 3 of 17

The EBITDA for the quarter stood at INR171.26 crores whereas the PBT and PAT stood at around INR160 and another INR118 crores, respectively. Our company was able to sustain expande d margin profile and the EBITDA margin stood at 17.7%. The PBT an d PAT margins also expanded to 16.59% and 12.24%, respectively.

The strong margin profile was led by better realization, favorable product mix along with efficient cost control measures. We continue to be long -term debt free with sufficient

availability of liquidity for future growth. The Board of Directors has recommended a final dividend of 100%, that is INR2 per share for the year ended 31st March 2025.

Now moving on to the se

gmental busi ness performance. We have strengthened our role as a market leader in crane industry. And with our consistent efforts on a stand -alone basis, we have scaled our cranes, metal handling and construction loom business to over INR3,090 crores in the fiscal, go ne by.

And this segment has registered a growth of 15.5%. The growth was both it's value and volume terms. Our numbers for crane metal handling and construction equipment have increased by 14.75% from INR11,643 crores in FY '24 to INR13,360 in FY '25.

In this segment, we have been able to grow our profits by 25.36% to INR564 crores with a margin expansion of 18.26% versus 15.58% for the first year. The Agri division registered revenue of around INR230 crores with margins at 3.73%.

Further in the quarter gone by, we were awarded our company's single largest order till date to deliver 1,121 rough terrain forklifts, Telehandlers with attachments and the company necessities at a total value of INR420 crores to Indian armed forces. The Fed order marks the pivotal step towards modernizing India defense infrastructure and empowering indigenous manufacturing.

Our relentless innovation and commitment towards developing new products empower us to deliver such specialized equipment under the government Atmanirbhar and Make in India initiatives. We are confident that going forward, supplies to the defense will contribute to around 5% of our revenue in the medium to long term. Our strategic position in the core sectors of infrastructure, construction, manufacturing, lo gistics and agri will provide necessary impetus to our growth trajectory.

It is crucial for us to highlight that our organization's revenue is obviously supported by all the core sectors. Manufacturing and logistics contribute approximately 45% to our revenue, while agriculture accounts for 7% to 8%. Real estate makes up around 12% to 13%, and construction and infrastructure sectors, the remaining 35%.

The balanced revenue distribution is an outcome of our strategic efforts over the last 5, 6 years to hear the company towards countercyclical domains. In the past year, we have successfully completed our capital expenditure as planned expanding our capacities.

Action Construction Equip ment L imited

May 27, 202 5

Page 4 of 17

Our crane capacity now stands at 13,200 units, while the metal handling and construction equipm ent capacities are at 2,700 units and 1,800 units, respectively. Our blended capacity utilized for cranes, metal handling and construction equipment stands at around 70%.

Going forward, we plan to further enhance our operational capabilities with moderniz ation and automation, aiming to boost our capabilities and market competitiveness. In line with our focus on product improvements, we have successfully upgraded our products to meet the revised CV5 Emission norms. And the new safety norms as per AIS 160 Ph ase II, which has come into effect.

This transition is not only about compliance, but also about elevating the overall performance and eco -friendly of our products with focus on safety and operator comfort as well. On the macro front, India continues to s tand out as the fastest -growing major economy. Despite prevailing global uncertainties, our GDP is expected to grow at a steady pace of around 6.5%. This momentum is backed by strong macroeconomic fundamentals, including easing inflation and a supportive stance by the Reserve Bank of India on interest rates. Resilience in domestic consumption, coupled with government's sustained focus on capital expenditure continues to drive India's economic trajectory.

However, external risks remain, such as rising trad e barriers, disrupted global supply chain and an ongoing geopolitical and ongoing geopolitical tensions. To sustain growth amid these challenges, India was capitalized on it's internal stress and remained agile and adapting to evolving global landscape.

With I

ndia now standing as the world's fourth largest economy, we are confident of our nation's potential to evolve into a global sourcing hub for goods as well as services. As we move into FY '26, we anticipate a subdued start to the year due to geopolitic al issues, tariff - related conflicts and especially implementation of CEV 5, that is BS V emission norms with price implications for customers.

Nevertheless, we remain cautiously optimistic. For the full fiscal year, we are targeting top line growth of app roximately 14% to 15%, while maintaining a stable margin profile. We will revisit and refine these projections by end of second quarter, depending on how effectively the

industry navigates the aforementioned challenges. Looking beyond the near term, we are confident of our company's medium - to long -term growth prospects.

We are steadfast in executing our strategic road map, focusing on cost efficiency disciplined capital allocation and strategic pricing initiatives. To enhance both competitiveness and profitability. Our core strategies are well defined and robust, enabling sustained growth across all segments ultimately creating long -term value for our investors and stakeholders.

With this, I would like to open the call for questions and after session. Thank you.

Moderator: Thank you very much. The first question is from the line of Garvit Goyal from Nvest Analytics Advisory. Please go ahead.

Action Construction Equipment Limited

May 27, 2025

Page 5 of 17

Garvit Goyal: Sir, congrats on good set of numbers. My question is on guidance part only. As compared to Q3 con call, when the doubling guidance was reaffirmed. Can the management clarify this inconsistency in guidance and what has changed now that our growth guidance literally got half than what we were aspiring to do in FY '23.

I agree you have mentioned 3, 4 reasons already, but my point is simple. It is very much evident that most of these reasons were already there, when we interacted last time. Despite that, you had shown a decent confidence of doubling FY '23, when in FY'26. So please let us know, what went wrong in these 2 to 3 months that suddenly, that confidence is vanished now?

Sorab Agarwal: Confidence has definitely not vanished. And like I did mention in my speech or address that being cautiously optimistic. We were very hopeful that between FY '23, FY '26, we will double larger. But I think it appears that we might just fall a little short. It is the truth. So there's no denying the truth. But yes, definitely, if we look at FY '22 to FY '25, we have doubled ourselves from INR1,600 crores that we've done in excess of double.

So I'm sure, if not the third year definitely somewhere in between the third and the fourth year we'll be able to do that. And yes, we were projecting about approximately a 20% growth, if I'm not wrong, right, Vyom for the next year.

Vyom Agarwal: Yes.

Sorab Agarwal: So we have projected that this year, current FY '26 would be close to about a 20% plus minus. But looking at the scenario and the overall momentum apart from certainly the rains and the monsoons also sitting in a little early -- so I think, it will be prudent to give the right guidance, which is 14% to 15% as of now for the current year.

Garvit Goyal: Okay, sir. And secondly, you mentioned in your opening remarks like defense is going to be 5% of our revenue in medium term. So is it like we are a bit down in the term of execution timeline? Because I remember, I think some time back, we have also quoted that exports plus defense cumulatively going to be 15% of our revenues, right? So can you put some color on that, what is the net pipeline by when we are targeting? And what is the percentage we are targeting here?

Sorab Agarwal: Hopefully, defense alone within this year should be close to 4% or a little over 4% for us in FY '26. And definitely, in FY '27, it will be 5% or beyond because

this particular order that we

have got about INR420 crores. So execution will start sometime in September or October. So there are a lot of formalities and trainings and things that have to be done before that.

So exhibition cannot start before that. So we'll be executing maybe close to INR80 crores, INR90 crores plus/minus in this year, and the balance will go into the next year. And we have a 3-year timeline there. So like I said, in the current year, about a 4% from defense can be the contribution to our revenue, apart from another 5%, 6% coming from exports. So both put together, contribution from defense and exports in the current year will be 9% to 10%.

And yes, our medium to medium -term target is to take it to between 10% to 15%. So I think we are on track. Yes, we did suffer a little setback in our exports in the year gone by. It has

Action Construction Equipment Limited

May 27, 2025

Page 6 of 17

dipped the contribution because 1 or 2 of our main markets suffered on account of their own economic growth. But yes, still in the current year, FY '26, we'll do a 9% to 10% exports and defense together. And hopefully, in the next financial year, we'll be able to take it forward further.

Garvit Goyal: Got it. And then sir, we mentioned about the DES norms, right? What kind of impact are we witnessing in? Is it going to be a temporary kind of -- or are we seeing it will be continuing for next, let's say, 2 to 3 quarters, and that is why we are pretty much losing on the revenues in the financial year?

Sorab Agarwal: We are talking of the emission now, BS III, BS V, right? So I think it is a temporary phenomenon because what has happened, some prebuying has happened in quarter 3 and I would say, December and especially in quarter 4. And apart from that, let's say about 60% of our product pricing has increased by about 12% to 13%.

And the balance, 40% has increased by about 5% to 6%. So the balance 40% is not a problem. That price has easily been adopted by the market. But yes, where the price has gone up by 12% to 13%, which is about 60% of our produce. So with our experience of what we saw in -- when the industry moved from BS III to BS IV with respect to engines bigger than 50 horse power in 2021, which is a 2 -, 3-month settlement period, out of which I feel that April is gone and we are more or less May is finishing.

So hopefully, the pain should be in this quarter only with respect to the acceptability of the increased pricing because what also happens, you have to understand that about 50% of our customers are rental or hiring companies.

So they also need to renegotiate and work out their rental prices with their end users and customers. So it is a little time consuming and the price increase this time is not 2%, 3%, 4%, but, about a 12% to 13%. Obviously, they need to adjust their rentals by about 12% to 13% with the end users. And that is the effect in all probability that we are seeing.

So hopefully, it is a, I would say, a localized phenomenon within this quarter. And generally, Q1 and Q2 are similar. So -- and as it is, we do about 55% to 60% of our revenue in the second half. We believe that second half could be much faster this time as compared to the first half.

Garvit Goyal: So are we giving any degrowth in first half? Or it can be a Y-on-Y muted?

Sorab Agarwal: See, the first half, I don't think so. Q1, maybe a little bit here and there, but I think it is still a little premature to answer that. We have a whole of June pending. So there could be possibly a little degrowth if at all, on a year-on-year basis in Q1.

Rajan Luthra: But here, Garvit I would just like to add one more thing that the company is focused very strongly on the bottom line. And on year-to-year growth, you can see some margin expansion as well.

Garvit Goyal: Actually Sorab mentioned in the opening regards margins will be, I think, in the similar range.

So you are saying it will be on that upside, right? So what is...

Action Construction Equipment Limited

May 27, 2025

Page 7 of 17

Sorab Agarwal: If you try and compare year-on-year, then you will see a growth, because when we say that we are going to maintain a stable margin profile we're referring to the last quarter, which is already on a year-on-year.

Garvit Goyal: Got it. Obviously. I think last one was a bit inaudible, Yes, sir, you were saying something?

Sorab Agarwal: Yes. Vyom, I was thinking it might be a little premature, would be similar or maybe slightly expanded. That's what we feel because whatever price increase has happened on account of BS V, we have pushed it into the market.

Garvit Goyal: Got it. Got it. And sir lastly, on the overall demand outlook, particularly domestic side, we know exports are challenging now. I want to hear from you, are you seeing any kind of slowdown or slowdown in government capex or any delaying the releasing of the payment from the government side that will fix the growth in the government capex. Anything like that you are witnessing, which can temper our growth apart from the export side?

Sorab Agarwal: Nothing from the government side with respect to capex plans or especially payments and all. And as a matter of fact, the budgeted estimates are definitely higher than the revised estimates of last year above INR11 lakhs crores with respect to the capex for this year.

So there, we are not seeing anything. Yes, there has been a slight slowness with respect to the inquiry and order levels, especially in the, let's say, the last 20 days, I would say rather Pahalgam attack, there has been something and especially after this conflict that happened at the border. But I'm sure it will normalize.

Garvit Goyal: Understood, sir. All the best for the future. Hope we will be achieving the guidance that we have done next year, already done in the past as well, and we will be keep on doing that.

Thank you, sir.

Moderator: We take the next question from the line of Vijay Pandey from Nuvama.

Vijay Pandey: A couple of questions. First, on the our selling price, our average realization. So our average realization for the Grain Construction Equipment and Material Handling business has gone up by 2% in fourth quarter. I just wanted to check we said that a mission norms created a 5% to 6%, for 5% growth on price increase. So I just want to check, where this delta coming from?

Sorab Agarwal: See that would surely be product mix because very few BS V, CEV V machines were sold and delivered in Q4. And the overall impact for BS V will start to come in from this quarter. That rather -- even in April, a lot of deliveries were happening, which were for BS III first half of April, I would say, because the registration of these vehicles is allowed until June end. But yes, definitely in the month of May and the month of June, it is purely BS V. So you will

see the price realization improving with respect to sales prices, which have increased. And like I said, the prices increased approximately in the range of 5% to 12%. So the blended increase that you can see is about 7% to 8%.

Action Construction Equipment Limited
May 27, 2025

Page 8 of 17

Vijay Pandey: Okay. Blended increase will be around 7% to 8%. Secondly, sir, if you can help us think about what is your margin expectation because we did 18% margin in second quarter and third quarter, but it has now slide below 18%. So do you expect it like do we expect 18% level to be maintained? Or is it will be like 18% is the slow level should we consider? Or is it a mid-level or like top level? What should we take 18% for FY '26?

Sorab Agarwal: See, in the December quarter, we did about -- 17.76% and in the March quarter, we did 17.7% and in the last year, March quarter, we did 17.53%. So they are all hovering between 17.5% to 17.7%. That has been the range 17.5% to

17.7%.

And on a whole -year basis, last year, we did 17.5%, 17.52%. So I would say that where we should be able to maintain our margins between 17% and 18%. And yes, it's an extra operating leverage comes in, in the second half of this year. Then we might be able to better it also. But as a guidance, I would say it's between 17% to 18%.

Vijay Pandey: Okay. And lastly, so our previous guidance was INR4,400 for FY '26. Should we expect this to be achieved by FY '27, like there shouldn't be any delay beyond that, FY '27, we should be able to achieve them?

Sorab Agarwal: I think so in all probability. I see no reason why it should not happen. And I mean I thought we were on track to do it. If not a INR4,400 crores maybe INR4,200 -- INR4,300 crores within FY '26. But unfortunately, things have started looking different. And especially now so with most of the industry is also looking and thinking on the tariffs and plus/minus, whatever, whatever. But yes, definitely by FY '27. And in saying that, obviously, we have targeted and had conveyed that we will do it in 3 years, but like you're saying, yes, definitely, it will be exceeded and it will be 4 years, but it should definitely be exceeded in 4 years. I'm sure we will exceed INR4,400 crores.

Vijay Pandey: Just help us understand how -- what is our -- like in terms of sales, what is our share in terms of lemon green cranes, hydra cranes and what is our expectation moving forward?

Sorab Agarwal: See in Hydra Cranes, our market share is more than 75% -- and the other side, the new generation, our market share currently is 51%. And going forward, in Hydra we have more or less at peak. So it is going to be somewhere there only with the market being a 1% or 2% on the upside only -- but we are very confident that in the new generation craze, our market share will increase.

And internally, obviously, we've targeted much more to reach it to make it similar to Hydra Cranes. But I'm sure within this year, we should be able to increase at least 3% 4% in the new generation trade, which are lemon green in color now.

Vijay Pandey: Okay. And what will be their contribution in the industry -wide for Hydra cranes, how many in India these generally, since a new -gen crane sales in India?

Sorab Agarwal: You're talking of overall volumes?

Action Construction Equipment Limited
May 27, 2025

Page 9 of 17

Vijay Pandey: Yes. The industry volumes?

Sorab Agarwal: Close to about 15,000 units. Both of them put together and out of this, about 30%, 35% will be new generation sales.

Moderator: We take the next question from the line of Divy Agrawal, Ficom Family Office.

Divy Agrawal: So a few questions. Firstly, could you provide an update on the anti-dumping duty investigation of the Chinese sailing boats, both above and below 100 metric tons? Because in the previous call, you had indicated the process was at an advanced stage. So for the current status compared to the last quarter?

Sorab Agarwal: We were very hopeful that we should get a judgment within April. But unfortunately, the final hearing was deferred 2x within April. And now they are obviously, there also plant visit involved in the final investigation. So the plant visit is happening the end of May, and we are hopeful that in the first 10 days, the hearing will come up in the month of June.

So hopefully, we should have a final order within June or later by July. And I think as per their own internally set targets and guidelines, June should be -- June is also the deadline for the department as well. So hopefully, we should see the judgment on this anti-dumping within June. But then we are definitely the finance ministry takes another 2, 3 months to put it in

effect. So probably in quarter 2, it should be put in place.

Divy Agrawal: Sure, sir. Secondly, sir, I wanted to know, have you seen any pickup in crane on the recently? Or are the inquiries arising

from any particular sector or end market?

Sorab Agarwal: See on the contrary, the scenario was a little subdued like I mentioned. So there is really no pickup or improvement in inquiries or orders rather so far in this quarter there has been sluggishness in the inquiries as well as orders.

Divy Agrawal: Okay. Also, sir, there seems to be an attraction from the winter-enabled sector. So what are the key constraints preventing us from scaling up in this space? Is it primarily due to our 4% cranes below 100 metric tons?

Sorab Agarwal: You're talking of the wind sector?

Divy Agrawal: Yes, right. Wind and renewable sector. Yes.

Sorab Agarwal: Renewables also includes solar. So a lot of cranes are using solar. For example, in this Gujarat, Khavda where Adani is doing this massive solar thing. Just to give you an example, so a lot of Pick & Carry cranes are used in solar rather it is more of Pick & Carry that is used in solar, first thing.

With respect to wind, the waves and the heights at which the generators and the members have to be, sections have to be installed are much higher and heavier also. So there you require bigger cranes. Cranes even going up to 200 tons to 300 tons, 400 tons which is not in our range with respect to truck crane especially or alternate cranes.

Action Construction Equipment Limited

May 27, 2025

Page 10 of 17

So that is the reason we are not operating there, because they are using bigger alternate cranes.

Generally and our crawler cranes, which are above 250 tons of 300 tons for such projects, which we don't have in India. Eventually, we will start to do through the joint venture.

Divy Agrawal: So, you are planning to do it?

Sorab Agarwal: Yes, maybe 1 or 2 years, 3 years down the line.

Divy Agrawal: Okay, sir. Lastly, sir, I just wanted to know how do you compare the cranes of your versus company versus the Chinese and German alternatives. Could you highlight any 2, 3 key positives and negatives, differentiating pointers relating to these operators?

Sorab Agarwal: See with response to Pick & Carry cranes, German or the Chinese do not make a similar cranes. So it is -- no difference. I mean, there's nothing to say because they practically don't do it. With respect to tower cranes, the cranes that we do or the Germans do or the Chinese do are very similar in terms of technology and in terms of safety and features and, or let's say, the grid quality or the factor of safety.

And with respect to the crawler cranes and truck cranes that we do, obviously, we do them of smaller tonnages like crawler cranes, we are not doing the really big ones. So -- but what we are doing are very similar in terms of capacities and capabilities as compared to what has made in the developed part of the world or what is made in China.

Divy Agrawal: So sir, what sets you apart from them?

Sorab Agarwal: We are an Indian manufacturer trying to sell in India, these machines. And obviously, with respect to the European or American our pricing is much better. But unfortunately, the Chinese have been dumping last 5, 6 years, like madness.

I mean their prices are at least 50% lower than what they should be, I've been looking at their historical prices, the imports into India, if we go back to 2008, '09, '10. So -- and that is why this DGTR investigation is going on for anti-dumping duty. Otherwise, if a prima facie case was not established the government would have never taken up the, let's say, the particular aspect for anti-dumping or safeguard duties.

Divy Agrawal: Correct. So it's basically in the pricing side in terms of technology building and strengthen also is only related to the pricing that we had differentiated, right?

Sorab Agarwal: Yes, mainly it's the pricing. Otherwise, the capabilities and the functioning and all is very similar.

Moderator: Next question is from the line of Rahul Ranade from Goldman Sachs Asset Management.

achs Asset Management.

Rahul Ranade: I just wanted to understand, so when you're talking about a 14%, 15% kind of a top line growth, and like you also mentioned, that is a 7% to 8% kind of a blended price increase, right? So are we looking at 7%, 8% kind of a volume growth? Would that be a fair understanding?

Action Construction Equipment Limited

May 27, 2025

Page 11 of 17

Sorab Agarwal: Yes. That is what is precisely that is going to happen. And we feel and believe that the volume growth could actually be more than this. and would actually be more than this. So that's what maybe in the second quarter, maybe around the first half -- end of first half, we might be in a position to revise the guideline.

Rahul Ranade: Okay. Okay. Got it. And to your mind, this kind of a little bit of a falloff in terms of volume growth, how much would you kind of attribute back to in terms of the prebuy that has already happened versus the current demand environment like you are seeing in that grid, like which would be the bigger factor?

Sorab Agarwal: I would say that the free bank that has happened is about 10% to 15% of our quarterly sales. It has not propounded to quarter 4 rather than end of quarter 3 and quarter 4 rather than Q1 of this year. And see another thing I would just like to say here is that obviously, it is not only the volume growth or the price growth, there would also be at least some market share growth for us going forward in this year. So that will also help us.

Rahul Ranade: Understood. Understood. But prebuy, like you said, 15% of quarterly growth. So that isn't a very material factor, right? That would be the right understanding? It's more of a demand-led uncertainty that has kind of holding us back in terms of the volume growth?

Sorab Agarwal: I think it is demand-led certainty, which we have felt in this quarter. And in this Q1 so far in the last 50 days. But I think, like I said, it also has to do with a little preponing of the sales, which has happened and new orders coming through a little slowly because of the price impact and then it was extended negotiations that are happening, which is actually a mix of -- really cannot pinpoint even we have not been able to understand what is the exact root cause, but it is a combination of prebuying happening. So comparatively a little lesser inquiries, coupled with the current inquiries not immediately converted to order because of a substantial price increase. So it's a mix of both these factors.

Rahul Ranade: Got it. And -- so I'm new to the company, so probably a reputation from previous call, but in the statutory P&L that I'm looking at, there is a line item in terms of expenses called impairment losses on financial assets. So what does this pertain to exactly?

Sorab Agarwal: Somehow viewers are not very clearly audible. And if you could just repeat your question and Luthra, if you can just take that question?

Rajan Luthra: Can you repeat that question?

Rahul Ranade: Yes, I was asking about impairment losses on financial assets line item in terms of the P&L in the statutory results. So I just wanted what this pertains to?

Rajan Luthra: Yes. Actually, this pertains to the accounting standard, which requires for providing for expected credit losses. So we are a very stringent policies regarding making provisions for the, if any, of the receivables become more than 6 months old, so keeping in that into consideration, we have been very, very stringent and providing.

Action Construction Equipment Limited

May 27, 2025

Page 12 of 17

These are only mainly provisions, which will be probably when the money comes back, may come back into the system, again, into the profit and loss account. Out of that only INR5 crores -- INR3.5 crores have been because of one export order of a government for 3 years back, there was a liquidity damage was there. So that way you written off. It

is a combination

of provision as a return off of one of the L.D Clause, which happened in one of these sales.

Rahul Ranade: Okay. But lastly then, this is expected to be written back and then probably a new provision gets created when new sales happen. So this will kind of continue to go on?

Rajan Luthra: Definitely, if you see compared with last year, the provisions have been going down, so because everything will provided for.

Moderator: We take the next question from the line of Richa from Equitymaster.

Richa: My question is related to defense and export businesses. I just wanted to understand what kind of margins do we enjoy in these segments? And how is the working capital requirement different, if at all? Like are there higher receivables and all?

Sorab Agarwal: Defense margins are more or less similar in line with our current company margins, maybe slightly on the lower side, but similar, let's say, band. As export margins are definitely slightly better than our company average margins.

And definitely, the working capital requirement both for exports as well as defense business is slightly more because the payments are in export, generally it's a 60 or 90 day LC generally, but there are obviously cases of advances as before shipment also -- but yes, with respect to defense, depending on the orders and the different departments would be anywhere between a 60-day to a 120-day cycle after supplies are accepted.

Richa: Okay. And sir, could you -- could you also share your capex guidance for the current year from what I understand, you already have more than INR5 billion -- INR5,100 crore kind of revenue

capacity. So would it be primarily maintenance capex? Or do you have big investment kind of plans for this year?

Sorab Agarwal: See, we like you rightly said, we already have INR5,000 crores plus crore, INR5,100 crore, INR5,000 crore plus availability of capacity. That is for various different types of products within the segments and also Agri. In the current year, FY '26, we are going to be doing a capex of somewhere between INR300 crores to INR350 crores.

Out of this, INR100 crores, we have earmarked for modernization and upgradation of our existing facilities and processes so that we come totally at par with the global manufacturers with respect to our general the process is done and the quality and the consistency.

And another INR100 crores is whether to be spend within this year has been earmarked for -- we have started setting up a new plant or expanding our capacity in a particular type of a crane.

So the total cost is about INR250 crores for that.

Action Construction Equipment Limited

May 27, 2025

Page 13 of 17

Out of this INR100 crores will be spent in this year approximately a little plus minus. The total cost will be about INR250 crores, a little plus/minus. The balance will be spent in the next year. And apart from that, an additional INR150 crores will be spent in the current year.

On account of the payment for different lines, which are under the procurement process. In the last year, we capitalized -- took over about INR51 crores worth of lands for our future expansion. And the balance of all the land tranches will be coming to us within this year. There will be a INR150 crore payout for lands which we are acquiring for our future expansion plans because the cost of lands are increasing reasonably fast.

So we thought it prudent and even during the time, when we did the agreement and now -- the prices have increased quite a lot. As a matter of fact, doubled in some cases already in the last 6 months, 1 year. So in the current year it's about INR300 crores, INR350 crores that we will be spending.

Richa: Okay. Sir, my last question is on the JV with the Japanese player -- do you have any updates on that? How is it progressing? Do you expect something to come by third quarter of FY '26 that you're expecting initially?

Or are there any kind of revised timeline?

Sorab Agarwal: I think we are very much on target to make it functional by Q3 of this year.

Richa: Could you also talk about -- I understand opportunity you said is around INR1,500 crores, but in the first 2, 3 years, what exactly are we targeting? And is it for export markets or domestic?

Sorab Agarwal: So INR1,500 crores for the joint venture with Kato, right?

Richa: Yes. That was the opportunity size, I think that you mentioned there.

Sorab Agarwal: The opportunity size total is close to about INR1,000 crores -- INR800 crores, INR1,000 crores. I think INR1,500 crores is quoted or whatever you have -- from wherever you have taken. And the immediate opportunity will be INR300 crores to INR400 crores on an annual basis.

Moderator: Take the next question is from the line of Mudit Bhandari from IIFL Capital.

Mudit Bhandari: The 13,200 capacity number that you mentioned, which is currently operational. So there is no undergoing expansion going on, on our existing land or new lands. So only the land we are purchasing we will focus on expanding capacity visits, let's say, beyond FY '27 or beyond that, right?

Sorab Agarwal: But in saying this, like I said, modernization and upgradation activities are happening. So there might be a little construction here and there, but that is not really capex for increasing capacity.

That is happening to better and improve our processes and totally modernizing them.

Mudit Bhandari: Got it, sir. Got it. And earlier, I think we mentioned for ADD that we are expecting rough terrain crawler and crane. So are they the same segment in which this final orders are pending?

And any expectations of range of amount of duty?

Action Construction Equipment Limited

May 27, 2025

Page 14 of 17

Sorab Agarwal: See rough terrain, I do not know -- it is not on rough terrain -- it is on truck crane and crawler cranes primarily. Truck cranes as well as crawler cranes and very difficult to put a figure to it, but let's say, the calculations, which we have done ourselves. So it should be somewhere in the vicinity of at least about 40%.

Mudit Bhandari: Okay. Got it. And -- but in any way?

Sorab Agarwal: But these are as per our calculations, not as for the department findings, everything will find you depending on the department findings.

Mudit Bhandari: Got it. Got it, sir. But in any case, truck crane and crawler cranes does not constitute a very

significant part of our overall consolidated revenue, right?

Sorab Agarwal: Today. But let's say, the overall size of these 2 types of cranes put together, our addressable size is close to about 800 machines, which translates into INR1,500 crores of INR1,600 crores of revenue. So our current would be -- I do not maybe INR60 crores, INR70 crores, maybe Luthra can correct me.

And this is the potential that our country has been missing out on because a lot of dumping has been happening from China in the last 7, 8 years. Ever since the market for such type of crane started increasing in India. With the Modi government's focus on infrastructure and bigger projects.

Countries started using new cranes and the Chinese started dumping at a very low this thing. And this is also the main reason that over the last 5, 6 years, a company like Tata, Hitachi stopped producing crawler cranes, company like Velco stopped producing crawler cranes. This Escorts form the joint venture with Tadano crane, whatever the joint venture never took off because the selling price was prohibitive.

This is from the letter they sent to everybody that company like TIL went into financial problems because of the Chinese dumping. And there was another company, ABG cranes. They were making crawler cranes they shut down. So practically, the Chinese with their very predatory pricing have totally taken off the Indian bigger crane industry in the last 7, 8 years, 9 years. And no

with hopefully, with the anti-dumping in place, I'm sure some of them will come back.

Mudit Bhandari: Okay. So we have from, let's say, INR13,200 crores, we have capacity to produce truck cranes and crawler cranes given that ADD is implemented any reasonable amount of ADD is implemented and we have let's say a...

Sorab Agarwal: We have capacity. In 13,400 we have capacity to produce actually 400 cranes.

Mudit Bhandari: Okay. And currently, out of 400, we are utilizing?

Rajan Luthra: This year, we have -- the FY '25, we have done a sales of nearly INR70 crores of these.

Sorab Agarwal: I think users that would be what about 60-70 units before the value in rupees, but number-wise, we did about 42 in the crawler crane. And 35 in the Truck Mounted cranes 77.

Action Construction Equipment Limited
May 27, 2025

Page 15 of 17

Mudit Bhandari: Okay. Okay. Got it, sir. And in on the white labeling, which you're planning or were executing. So is there any impact or whether we have started for some international clients or domestic clients that we were planning to do?

Sorab Agarwal: We have started some white label, but it is for comparatively smaller imports in a couple of countries. But yes, we have started that -- and hopefully, everything goes well in the next 3, 4 months, 2 months, I can't really put a listing to it. There's another very big, white labeling opportunity on the admin. So I think it is still 3 months of it. A lot of discussions are going on.

Mudit Bhandari: Okay. And it is a crane segment only?

Sorab Agarwal: It is a similar segment. Let's say, it falls within our construction with crane, metal handling and construction equipment sector. And we would not like to disclose what type of product it is.

Moderator: Next question is from the line of Kamlesh Bagmar from Lotus Asset Managers.

Kamlesh Bagmar: So just based on the numbers which you provided, like the cranes which are under the subject to ADD. So how much revenue we did? I know like say 42 crawler cranes and 35 truck-mounted cranes you mentioned about -- how much is the revenue?

Sorab Agarwal: INR70 crores, but Luthra. This number of truck cranes you were mentioning, this would also include some lorry loaders. Actual truck it would be 10 or 12 only. So if I'm not wrong, so it will be 42 plus 10, 12, maybe 52 to 53 such cranes, which are under the scope of ADD because we do another type of truck-mounted crane, which is called lorry loader, which is smaller in size and costs only about INR15 lakhs, INR20 lakhs, so it is mounted on a standard commercial truck, so if we exclude that, I think the number should be around 50, 52.

Kamlesh Bagmar: Okay. Okay. And sir, like on the revenue side, we have been maintaining like 15-odd percent as a growth. So how are things that are we confident to achieve that particular guidance for this year or next year?

Sorab Agarwal: I think doing a 15% should be really possible. And in the past, let's say, last 5 years, we've actually gotten used to doing above 30%. So let's hope those times come back. But yes, doing a 15% with our focus on different product categories and defense and export and now with the Indian market growing. I think that should be doable for most of the sector.

Kamlesh Bagmar: Yes. And I do appreciate your candid remarks with regard to the slowdown that you are seeing over the last 15, 20 days or a month, like is it majorly from the government side or the -- like say, the infra or the like say, real estate or other section there also you are seeing this now?

Sorab Agarwal: We have not seen, to be very frank, we've not felt anything from the real estate side. We have seen this or even from the infra side to be very frank with you, which is not from the real estate

or the in fra side, it has more to do with the hiring and the rental segment, which constitutes directly -- indirectly about 50% of our sales approximately.
So w

ith the increase in pricing, the hiring and the rental segment, just taken a step back and into more neg otiations with us also and also with their end users, where they provide these
Action Construction Equip ment L imited
May 27, 202 5

Page 16 of 17

machines on rentals because if the machines are going to become costlier by, let's say, about 12%. And obviously, their rentals also needs to go up. So it is a -- it is happenin g on both ends. Negotiation with us and negotiation with the users, who take these machines on rentals.
Moderator: We take the next question from the line of Garvit Goyal from Nvest Analytics Advisory.
Garvit Goyal: I just want to know the update on our e -cranes?

Sorab Agarwal: Which cranes?

Garvit Goyal: Electric cranes.

Sorab Agarwal: Yes. With respect to electric cranes, I mean we have been ready for the last 1.5 years or more. But in Jan, Feb, the Ministry of road transport highways guidelines for MBR a lso came. But it turned out there was some discrepancy in a couple of clauses which needed correction. So another 2, 3 months was spent on that.

And now everything is in place. So hopefully, we are expecting over the next 1 month, we will get our approval s for registration of electric cranes, and we would be able to sell them commercial.

Garvit Goyal: On the Kato side, you mentioned INR400 crores per annual opportunity, and we are starting it in Q3. So this year, how much revenue are we projecting from tha t?

Sorab Agarwal: I think for this year, the revenue should be to the tune of INR100 crores plus/minus.

Garvit Goyal: And it will entirely contribute to the top line sorry, bottom line, right. Because it's a JV.

Sorab Agarwal: I'm talking about top line. I 'm talking of the top line and because it is a 50 -50 JV. So Luthra, if I'm not wrong, we will not be able to consolidate the top line only the bottom line, right?

Rajan Luthra: That's right.

Garvit Goyal: So from the first year itself, are we expecting it to be a similar kind of margin that we are doing currently?

Sorab Agarwal: Yes, I think so.

Moderator: We'll take the next question from the line of Rashmika Rao from Rika Enterprises.

Rashmika Rao: I have two questions for you. My first question is, some time back, you said that you were bidding for 1,800 telehandlers to be delivered to the Army on that B and the foreign company were the only bidder for this contract. What is the status that bid? And when will we know whether we won the bid or not?

Sorab A garwal: I will answer your first question. this order of 1121 number telehandlers is the Army calls it RTFLT. Rough Terrain Forklift. It's the same tender you are referring to, 1,800 units. We were
Action Construction Equip ment L imited
May 27, 202 5

Page 17 of 17

the lowest bidder, and there was a foreign competitor JCB for this. So there was a provision of splitting of order in 60 -40 ratio.

If the L2 or the second lowest bidder was willing to match the price of the lowest bidder. And that's what JCB did. They match our price. So 40% order, the remaining of approximately 800 units, let let's say 600 -plus units has gone to JCB.

Rashmika Rao: Okay. My next question is, you have been telling us for a long time, the Agricultural Equipment division will turn around and deliver steady sales growth and profit growth, but it continues to disappoint quarter -after-quarter. When will take equipment is division finally turn around and start delivering sales and profit growth consistently, when will this happen?

Sorab Agarwal: See, obviously, they are delivering profits, but obviously not in tune with the company, they are just at 3%, 4% level. And we are working very hard in this direction. We have been doing that, but somehow the results have not been forthcoming. So we are at it as of now. That is the best I can tell you.

Moderator: We take the next question from the line of Vijay Pandey from Nuvam

a.

Vijay Pandey: Just wanted to check, sir, on the margin opportunity, what is your margin expectation for the recent order win. And like what is the starting the defense orders? They're starting as well as long term?

Sorab Agarwal: That -- are in tune with our country or company margins. So whenever we are bidding and

quoting we are keeping in mind the type of margins that we are doing. And that's how we are quoting for it. So -- and we've been able to become L1 so -- and we've been taking this big order. So it is in tune with our company markets.

Vijay Pandey: 17% to 18%, that is how we should think about it?

Sorab Agarwal: We can't pinpoint a percentage to it. Because it's a big order to be executed, but yes our gross margins are similar in line with the company's gross margins.

Moderator: We'll take the next question from the line of Aman Shah an Individual Investor.

Sorab Agarwal: Aman, we can't hear you really.

Moderator: Mr. Shah, the line is very unclear. Mr. Shah, I'm sorry to interrupt, but your line is breaking a lot. So you may take this question off -line. Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Santosh Yellapu for closing comments.

Santosh Yellapu: Thank you, everyone. On behalf of Anand Rathi Institutional Equities, which concludes today's call. We thank you all for your joining us, and you may now disconnect your lines.

Thank you.

Call: Aug 2025

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Date: August 19 , 2025

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Subject: Earnings Call Transcript Q1FY-2026.

Dear Sir/Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith, Earnings Call Transcript (Q1FY -2026) of the Company.

Kindly take the above in your record.

Thanking You.

Yours faithfully,
For Action Construction Equipment Limited

Anil Kumar
Company Secretary & Compliance Officer

Page 1 of 19

"Action Construction Equipment Limited Q1 FY'26
Earnings Conference Call "

August 11, 2025

MANAGEMENT : MR. SORAB AGARWAL - EXECUTIVE DIRECTOR ,
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. RAJAN LUTHRA - CFO, ACTION CONSTRUCTION
EQUIPMENT LIMITED
MR. VYOM AGARWAL - PRESIDENT , ACTION
CONSTRUCTION EQUIPMENT LIMITED
MODERATOR : MR. RAVI SWAMINATHAN - AVENDUS SPARK

Action Construction Equipment Limited
August 11, 2025

Page 2 of 19

Moderator : Ladies and gentlemen, good day and welcome to the Action Construction Equipment Limited Q1 FY '26 Earnings Conference Call hosted by Avendus Spark.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ravi Swaminathan from Avendus Spark . Thank you and over to you.

Ravi Swaminathan: Good afternoon , everyone. On behalf of Avendus Spark , we are pleased to invite you to the Q1 FY'26 Earnings Conference Call of Action Construction Equipment Limited. I would like to welcome the management and thank them for the opportunity.

We have with us today Mr. Sorab Agarwal, Executive Director ; Mr. Rajan Luthra, the CFO and Mr. Vyom Agarwal, the President from Action Construction Equipment Management. I shall now hand over the conference to Mr. Sorab Agarwal, Executive Director of Action Construction Equipment. Thank you and over to you, sir.

Sorab Agarwal: Thank you, Ravi. Good evening and welcome everyone to this Earnings Conference Call for discussing the results for Q1 ended June '25. Along with me in today's Earnings Conference Call, we have our CFO, Mr. Rajan Luthra and our President, Mr. Vyom Agarwal.

The Company's financial statements and the earnings presentation summarizing the performance of Q1 FY '26 has been circulated and uploaded on the stock exchanges and I will take you through some of the key highlights of our performance in the quarter gone by. As anticipated, in our previous quarterly commentary, the current financial year began on a subdued note. This was primarily driven by the implementation of CEV Stage V emission norms and enhanced safety certification requirements, which have aligned our industry with global benchmarks. These regulatory changes have led to a consequential price increase of 7% to 12% across majority categories of products. Additionally, the Indo -Pak border tensions and prevailing global uncertainties have further weakened customer sentiment towards capital investments. The situation was compounded by pre-buying of equipment in Q3 and Q4 of the previous fiscal year, along with the early onset of monsoon, all of which contributed to a muted demand in the quarter under review.

Amidst the challenging operating environment as stated above, the company delivered resilient performance during the quarter and we were able to achieve targeted margin profile. We continue to focus on improving product superiority while fortifying our balance sheet and
Action Construction Equipment Limited

August 11, 2025

Page 3 of 19

distribution strength to reinforce our competitive position . In the last few years, we have delivered high growth across our business segments and our operating metrics are best in the industry now.

Now to brief you on financial performance of Q1 FY '26 on standalone basis. Our total income stood at Rs 703 crores, which is lower by 7.63% as compared to the same quarter last year. Despite the challenges, our margin profile expanded by almost 300 basis points and the EBITDA increased by more than 13.6% to Rs . 142.55 crores as against Rs . 125.5 crores. The EBITDA for the quarter stood at 20.28%. The PBT grew by 13.66% to Rs . 126.64 crores and the PAT grew by 15.67% to Rs . 96.83 crores as compared to Rs . 83.71 crores for last year's

corresponding quarter. The PBT and PAT margins now stand at 18.02% and 13.77% expanding by 338 basis points and 277 basis points respectively for the quarter on a standalone basis. Margin expansion for the company was driven by our cost efficiencies, soft commodity prices and price

increase that we had affected in the last quarter on account of general inflation and implementation of revised emission and safety norms coupled with increase in other income of the company. It is important to note that the first half of the year typically contributes around 40%-45% to our annual revenues with the second half generally being stronger as market condition stabilize. In H2 of last year, we saw a surge in demand driven by anticipated purchases ahead of the transition to new emission norms resulting in liquidation of older inventory within Q1 of FY '26. Looking ahead, we expect market activity to normalize from Q2 onwards.

Moving on to segmental performance, in the cranes, construction equipment and material handling segment during the quarter gone by, we registered consolidated revenue of Rs. 605.43 crores as compared to Rs. 690 crores in Q1 FY '25. However, the margins expanded to Rs. 107.83 crores as compared to Rs. 103.76 crores which leads to an expansion by 279 basis points for the division. The agri-revenue increased by 8.26% on a year-on-year basis to Rs. 46.51 crores as compared to Rs. 42.96 crores.

Going forward, with retreating monsoons, early festive season, better liquidity and consumer credit availability, we expect the demand momentum to improve across our product range. Looking ahead, the macroeconomic fundamentals of the Indian economy remain resilient despite global headwinds marked by geopolitical tensions, evolving trade policy dynamics and heightened uncertainty and volatility in the operating environment. Lower inflation, reduction in interest rates and liquidity support by RBI coupled with tax cuts announced in the recent Union Budget are expected to support growth in the coming quarters.

Cranes and construction equipment and metal handling business has done well in the recent time and is poised well for further growth with government's trust on attaining sustainable growth in manufacturing and focus on infrastructure projects. There has been short-term turbulence but the demand for construction machinery is expected to normalize post-monsoons and we expect the medium to long-term growth momentum to continue. However, we will

Action Construction Equipment Limited
August 11, 2025

Page 4 of 19

communicate our guidance post the monsoons depending on the overall macroeconomic scenario, settlement of geopolitical issues and the festive season sales trend.

Further, with our capacity built up and process optimization in place, we remain optimistic about the medium to long-term prospects of the company and remain committed to deliver our sustained agenda of growth.

With this, I would request the moderator to open the call for question and answer session.

Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Puneet Javeri from Javeri & Co. Please go ahead.

Puneet Javeri: Hello sir and thanks so much for the opportunity. I just wanted to understand, in this quarter you mentioned that there were some new emission norms and that's the reason why a lot of pre-buying happened in Quarter 3 and Quarter 4. So, currently, has that continued in quarter 2 or do you see that demand has come in between July and August? I know you can't give any numbers but the conversation with the customers, has that already happened that you are seeing that the demand is back to a certain level compared to the second half of last year?

Sorab Agarwal: Yes, Quarter 1 was a dampener because of the price increase and obviously the technology change especially from BS III to BS V. So, a lot of customers especially for machines having engines smaller than 50 horsepower were very skeptical about the electronic engine going straight from mechanical to electronic and that seems to have settled. Even the price increase seems to have settled in now with a

reasonable number of deliveries for BS III to BS V compliant machines which has happened. So, things seem to be stabilizing there and yes, the inquiry level, I would say especially in the last 10-15 days, 20 days started to normalize a little. Yes, only thing is this is more or less peak rain time happening and the rain starts to recede post August 15. So, that's when things really start to improve and by middle of September, they are more or less normal. That has been the normal trend over all the years in the past. So, yes, things are looking a little better.

Puneet Javeri: And sir, the expectation that Quarter 2 will largely be flat compared to the same time last year?

Sorab Agarwal: Yes, I think so. You know it has always been like that generally and looking at the current scenario coupled with global uncertainties and a general sentiment. So, it should be flattish, maybe slightly more but the best time to comment would be with respect to Quarter 2 would

be I think another one month down the line. Action would have started to happen.

Puneet Javeri: And sir, could you give us some picture on your exports? Currently, I think in this quarter, you sold roughly 2,337 construction equipment and material handling equipment. So, out of that, if
Action Construction Equipment Limited
August 11, 2025

Page 5 of 19

not a direct number, could you give us what was the export revenue in this quarter and how is it shaping up?

Sorab Agarwal: I think the export revenue in the current quarter was close to around Rs. 27 crores and it is shaping up well. So, in terms of what our expectation for the whole year for export, last year we had gone down to 4% of our total revenue contribution and this year it appears that it can easily go up to 6%-7% and so that is for exports and like we have always said coupled with defence, so 3%-4% for defence in this year 6%-7% for exports. So, let's say about a 10% contribution can come from both of these put together and like generally in the past our median term target was about 10%-15% from these two segments put together. So, hopefully we should be hitting a 10% mark this year.

Puneet Javeri: Got it sir. And in terms of margins as well, is your exports currently at similar margins to domestic because your domestic, your overall margins have actually now hit a life high I think at over 20%. So, how should we look at margins for the export? Is it similar generally because it's a little higher than domestic but if you specifically if you can give us some color?

Sorab Agarwal: Yes, definitely the export margins are slightly better than the domestic margins and this 20% there has been a reasonable contribution in this quarter from the other income. So, I think, I believe that they should stabilize for overall margins somewhere around 16%-17%.

Puneet Javeri: And the final question in terms of you know both defence as well as one of your, you had a Ghana project as well. So, if you can give us some update on that for defence. I think you mentioned it in your presentation as well that you'd gotten a single order. How much of that is already executed up until now, if you can give us some update and when do you expect this to fully finish and would it be in the next two years? And you also had a Ghana project I think sometime last year but I think it had gotten stuck because of the government there. Is that still on or is that now that seems distant to start at least in the near term?

Sorab Agarwal: First I will answer with respect to Ghana project. I think it is in a limbo as of now. It has been like that for the last 1.5-2 years and till such time there is financial clarity, we really don't know how to proceed about it although our agreement with the Exim Bank of India and the three-party agreement everything is in place but the funding has been stopped. So, obviously as of now we see no light there. With respect

to defence, yes we did receive our single largest order. I think it was in the last quarter and execution is stated to start Quarter 3 but in a small way because there are a lot of requirements with respect to training and a lot of documentation that needs to be done for this which is happening. The order is in place everything is fine. So, hopefully in Quarter 3 we'll start executing and it will pick up steam in Quarter 4. So, we'll get some contribution within this year from maybe about Rs. 50 crores -Rs. 60 crores -Rs. 70 crores of business we'll be doing out of this order in this year and most of it will go into the next year. So, maybe most about 50 so let's say or 200 crore execution in the next year and whatever will be the balance will go into the year after that. So, about I would say 50 cores -60 cores in this
Action Construction Equipment Limited
August 11, 2025

Page 6 of 19

year 200 crores in the next year and the balance 100 plus whatever will go into the year after that.

Puneet Javeri: And sir, have you participated in any more tenders or are you expecting any more tenders to come from at least from the defense space in the orders that you want to get for in this year? Is there something that you're already doing in Quarter 1 and the start of Quarter 2?

Sorab Agarwal: Yes, but this right now the business I am going to talk about is basically with Ashok Leyland defence because there's a lot of projects which are happening integrated on a Tata or a Leyland vehicle. So, the order we are about to get is again a good order not very big but let's say close to about 45 crores -50 crores, it's already done. And another one, similar one another 90 odd machines after this which would be again close to 70 crores -80 crores is on the anvil. So, yes things are progressing there. In the interim we are, I think nearly finalized some more 602 model cranes which we had supplied to army recently that is in the pipeline. Very recently we have executed orders for BRO again for backhoe loaders and for motor graders again there is this time one of the biggest requirements they have come out within a single tender. So, yes things are happening and I foresee this as some sort of a continuous pipeline of around maybe 3% to 4% on a yearly basis to continue.

Puneet Javeri: Thanks a lot, sir. Thank you for the opportunity and for being so transparent. Thanks a lot.

Sorab Agarwal: Thank you.

Moderator: Thank you. The next question is from the line of Ritesh Chordia , an Individual Investor . Please go ahead.

Ritesh Chordia: Good afternoon sir.

Sorab Agarwal: Good afternoon.

Ritesh Chordia: Sir, in the last quarter we have taken part in the Bauma Munich exhibition . So, do you have any takeaways especially with respect to the European order export market post the exhibition ?

Sorab Agarwal: Yes, we had participated in Bauma in April . We got very good response and the main purpose was to showcase our products and especially get dealerships distributors and similar partners in different countries or maybe get better ones in the countries we are already operating in. So, yes a long list of possible future dealers distributors has been drawn up and we're working on it. We have established a couple of new ones and we have also been able to establish a couple of dealerships within Europe as well , especially for our smaller tractor , the orchard tractor which is which is very popular there . So, I think very soon again in the next 2-3 months we are going to be participating in , I think it's called Agritechnica or whatever which is especially for agriculture in Europe . We intend to participate there as well .

Action Construction Equipment Limited

August 11, 2025

Page 7 of 19

Ritesh Chordia: Okay sir. Best wishes.

Sorab Agarwal: Thank you.

Moderator: Thank you. The next question is from the line of Aman , an Individual Investor . Please go

ahead.

Aman: One of your peers known as Escorts . They gained a market share of around 150 basis point , so like so what's happening , so have you lost any market share in the current segment?

Sorab Agarwal: No, not really . I will explain it to you . See, the pick and carry cranes consist of two types of cranes . One is a hydra type , the old generation and the new generation . The split between hydra and new generation is approximately about 55 % - 60% for the hydra type , about 35% - 40% for the new generation type . Within the new generation the market share between the Escorts and our company is similar. We are about 50 %-51% rather , they're close to over that 49%-50%. And the other type which is about I would say 55% -60% of the market , the hydra type, there our market share is 70% plus. I would say maybe in the range of 70 %-75% and those are the machines which have majorly gone from BS III to BS V, which have 12 %-13% price increase and not 5 %-6%-7% price increase . And those machines primarily go to the retail segment , to the industrial areas , to the rental companies and transporters and handling people working in the industrial areas and manufacturing sectors . And this is the part of the market which has been , which was in some sort of a suspended awareness in the last 2-3 months and that's why the numbers have not been so healthy . So, because we have more than 70% market share here and this market shrank the maximum because of CEV BS V effect , so that is the reason you are temporarily seeing maybe a 1% or 2% share here and there . By the end of this quarter everything will normalize . As a matter of fact we might be slightly a little up only . As soon as these hydra type of cranes the market normalizes which has started happening .

Aman: Okay, sir. And the second question I had is on the construction equipment side , what is the outlook for the rest of the year and we are seeing any government CAPEX in the future ?

Sorab Agarwal: Yes, quite a lot . See construction equipment and road machinery side of our business we are hopeful that that should be able to grow at least 30 %-40% this year and only 3-4 days back our minister Mr. Gadkari, Minister for Road transport and Highway , he's conveyed that the process for releasing orders for roads and all going to be sped out very quickly . So, 2 lakh crores worth of orders have been released but 7 lakh crore would be released very quickly and in the next year he's planning for 10 lakh crores . So, I think with respect to especially construction equipment and road machinery , I think there should be good times ahead .

Aman: Okay. Thank you .

Action Construction Equipment Limited

August 11, 2025

Page 8 of 19

Moderator: Thank you. The next question is from the line of Deepak Ajmera from IGE India . Please go ahead .

Deepak Ajmera: Thanks for the opportunity . On the volume side, since you said Q3 and Q4 was like early buying because of the transition , so this year we will be looking at like degrowth in volume by the year end or how should we look at ?

Sorab Agarwal: I don't think so because the second half is definitely much better for us and all the rains and everything most of the issues would have been settled including the BS V. So, I don't think we would be looking at volume degrowth or anything , as a matter of fact there should be

contribution with respect to price increase which has happened , coupled with some volume growth . But yes the exact quantum of what growth we should be looking at for this year let's say a reasonably precise number I think the best time would be end of second quarter to come out with that .

Deepak Ajmera: Got it. What is our strategy on the price increase and how much we are planning to increase in Q3 say Q4 and by when we can expect the transition is fully over in terms of price increase ?

Sorab Agarwal: Transition from our side with respect to price

increase started happening in April and

obviously there are no old stocks left anyway not even with our dealerships and they could not have been registered post June. So, price increase has been pushed , market has come to terms with the price that has been increased because of increased safety requirements and especially the tier 5 the CEV BS V emission norms and so the effect is already showing somewhat in the last quarter numbers which we have released and they'll be more pronounced in the current quarter . And generally on account of inflation and other expenses increasing , we take a price increase every January . So, apart from what we have done in April, I don't see any price increase till December and the commodity prices also as of now remain reasonably under control. So, I see no need for pricing . Until and unless there is a very swift movement in steel or some other major commodity price , I don't foresee any further price increase in the current year.

Deepak Ajmera: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Aditya from Old Bridge Mutual Fund. Please go ahead .

Aditya: Hello sir, good evening and thank you for the opportunity . Sir, my first question is , sorry if I am repeating the question as I joined the call a bit late . So, my first question is on the gross margins , so this quarter we have seen gross margins expand considerably to 34% kind of a number . So, is this all due to the pricing increase that we have taken place ?

Action Construction Equipment Limited

August 11, 2025

Page 9 of 19

Sorab Agarwal: Yes, it's a mix of a lot of things but yes, especially price increase and reasonably accommodative commodity prices , all put together . But yes , you can say definitely the major factor is the pricing increases .

Aditya: Okay. So, how much of this would be sustainable going forward and where do you see this gross margin stabilizing for the year ?

Sorab Agarwal: I think this is totally sustainable and as we have communicated earlier . So, I think around gross margins of anywhere between 33 % to 35%, let's say, 34%, what you mentioned is actually the ballpoint plus minus a percentage from there are sustainable .

Aditya: Okay, sir. Just on that , with this new engine emission norm change , how much would be the price increase that we have taken a vehicle and how much can commensurate to that how much would be the cost increase for the particular vehicle that we make ?

Sorab Agarwal: The price increase we have taken from machines which were below 50 horsepower . So, that is BS III to BS V, is close to about 12 % to 13% and machines which went from BS IV to BS V is close to about 6% to 7% and the price increases are accommodative of this approximate gross margin .

Aditya: Okay.

Sorab Agarwal: Otherwise , if you would have just passed on the price increase , our gross margins would have gone down .

Aditya: And one last thing on the tower cranes . Sir, in this quarter so if we see the overall cranes construction equipment segment volumes , volumes were down by 21%, what would be the case for tower cranes if we look at a Quarter 1 FY'25 last year or over last quarter as well , if you can give some volume numbers for the Q1 FY'25 and Q4 FY'25?

Sorab Agarwal: Tower crane , year -on-year Quarter 1 to Quarter 1, tower crane have increased from 144 to 167 . Real estate side of our business has been holding up . So, even when we look at the overall industry not only our Company but let's say all other segments of construction equipment wherein we are not present also, for example earth moving year-on-year has held up , material handling which includes our types of cranes primarily has gone down a little and owing to that 50 horsepower the price increasing 12 %-13%, an engine from being mechanical straight away going to the high -end electronics . So, this is the biggest sufferer . If you look at material

terial

processing type of equipment , again the volumes have held up . If you look at concrete machinery , concrete pumps , transit mixers, again the volumes have held up . So, I think this is a temporary phenomenon with respect to the price increase coupled with the pre-buying that happened . So, like I said the tower cranes have gone up and most of the other categories within us, even if you look at the forklifts the numbers have gone up by about 10% on a year -on-year

Page 10 of 19

and they were primarily driven by pick and carry cranes on account of pricing and other factors put together , pre-buying.

Aditya: All right . Thank you so much, sir.

Moderator: Thank you . The next question is from the line of R ajeev Maheshwari from Praj Investment . Please go ahead .

Rajeev Maheshwari: Good evening , everyone . Thanks for giving me an opportunity for asking the queries . The first update which I want is , it's been almost a year when this Kato JV was formally announced in the stock exchanges , but somehow the official statement on the finalization has still not come up. So, can you just update me on the same ?

Sorab Agarwal: Yes. It is very much under progress and we are hopeful that within this quarter or early next quarter , the agreement would be concluded in totality and work can start . So, we are targeting to start work in Quarter 3.

Rajeev Maheshwari: Okay. Another part regarding the Q1 Result is the other income has come up around I think Rs. 50 odd crores . So, what exactly is this other income which has come up in the numbers increasing by Rs. 50 crores ?

Sorab Agarwal: This is more to do with the investments the company has made over the years with accumulated cash and I think Mr. Luthra would be the right person to shed more light on it .

Rajan Luthra: Yes, sir. You are right , this is the income generated on the investments what we have made . We have surplus cash what we generate from a business , we do investments and all those and do not pump into a working capital and just save it for a future expansion .

Rajeev Maheshwari: Okay. Coming to the July '25 sales , can you give me the numbers how many equipment and machines we have sold in the month of July this year ?

Sorab Agarwal: I don't think we would be having July data with us right now , Luthra sir, do you have it ?

Rajan Luthra: The July numbers are you can say more or less similar to June numbers and overall if we talk about the main , all put together I will have to work it .

Sorab Agarwal: Maybe Mr. Luthra you can send the numbers to Mr. R ajeev Maheshwari , right ?

Rajeev Maheshwari: Yes.

Sorab Agarwal: We will send it across.

Action Construction Equipment Limited
August 11, 2025

Page 11 of 19

Rajeev Maheshwari: No problem. The number for July '25 or maybe till 10th of August is the same if we compare to year or year July 2024 .

Sorab Agarwal: We will send that to you, otherwise I don't have them in front of me.

Rajeev Maheshwari: No, if you can just give me a fair estimate that it's flattish or it's a degrowth or it's a growth that would serve and Mr. Luthra can send me later on, not an issue.

Sorab Agarwal: It should be similar with a slightly negative bias , I am sure.

Rajeev Maheshwari: Okay, maybe with a negative bias , it's on the similar lines. One thing you told in the beginning of the call is , I think three of the orders in which we are almost done or on the verge of getting it, one was you told is in tie up with Ashok Leyland and the other one was some motor grader order and another third one was Rs. 70 crores to Rs. 80 crores . So, can you throw a light on these orders in a details and when exactly do we expect to get a formal announcement for the same ?

Sorab Agarwal: Yes, I think first is with Ashok Leyland, with respect to 54 special machines which are again for the Army, they are call

ed HRV which is more or less through , the only thing army wants another 90 and looking at let's say the lead time for the components for putting it together we are not able to confirm the delivery . So, 54 machines which is more or less confirmed and the 90 machines order we are hopeful that over the next week , 10 days , we are able to try and our people are working on it how to catch up on the delivery part which the army wants because otherwise liquidated damages and other things come into play and yes , there is a tender for motor graders which has come up . We are very hopeful we'll be in a position to get it , but that's in the process . But apart from that another 2 -3-4 things are also happening .

Rajeev Maheshwari: Okay, so lots of things are there which are expected to maybe come into the normal domain maybe next month or so . And any organic or inorganic growth which we are looking currently or any discussions going or we are through all those things as of now?

Sorab Agarwal: Now, we are looking at inorganic growth and we are working very actively on some proposals . So, hopefully over the next 1 or 2 quarters as things progress we would like to update as and when know there is something concrete , but definitely we are looking at some inorganic proposals and we're also looking at some organic and especially some white labeling , small ones have started . There was a reasonably big proposal on the anvil with respect to white

labeling but unfortunately the tariffs have played spoiled sport in the last 10 -15 days .

Rajeev Maheswari: The Trump tariffs .

Sorab Agarwal: The Trump tariffs, yes. As of now , this one very big proposal which was, it was a very good thing to happen the way it was shaping up over the last 7-8 months . And we were nearly there .

Action Construction Equipment Limited

August 11, 2025

Page 12 of 19

It was sort of done but nevertheless I am sure it will come back again , but not in a hurry , till such time --

Rajeev Maheswari: So, is it still on with the tying gap or it's off the radar ?

Sorab Agarwal: No, the discussions were happening . Everything was in place . It has been suspended as of now till such time further --

Rajeev Maheswari: Okay. And one final update , I read in somewhere that the Ministry is considering of putting tax on the construction equipment from the Chinese imports and all . I read in somewhere is it coming into some discussion or reality or it is just a rumor or something like that ?

Sorab Agarwal: Finally , I think the Indian government has understood that certain categories of machines and construction equipment are facing very stiff challenge from Chinese pricing , subsidized pricing is the right word because you know India is at a price disability of 30 %-40% at least because of the benefits they get in China apart from a 15 %-20% lower commodity pricing for their self -consumption within China. So, government has been very active on that and they have been thinking of a lot of tariff and non -tariff barriers . This article you are referring to is especially with focus to hydraulic excavators which are produced by Tata Hitachi, L&T, Komatsu, Hyundai plus plus in the country . And the government is serious on it and generally when Mr. Gadkari says something he follows up upon it . The government is looking at in all directions one is , tariff and non -tariff , how it is possible that the indigenous industry can grow faster and bigger . They are also you know to some extent looking at incentivizing the industry as they have incentivized other sectors , but I cannot say any more than that at this juncture , especially with respect to incentivization . In our own case , last year we had initiated the DGT R proceedings with respect to anti -dumping duties on heavier and bigger cranes which are made in very few numbers in the country or not made, so that is also in the process . We were expecting

it to finish by June-July, all the final hearing submissions everything has happened .

So, hopefully that should also see the light of day within August or Latest by September .

Rajeev Maheswari: So, if these things fall in place in terms of the construction industry as a whole and if these things formally happen in terms of the anti -dumping duty and so then it will be a really good boost for the domestic sector as well as our company as a whole in terms of that reduced competition and more realization from the revenues ?

Sorab Agarwal: Yes, especially with respect to the Chinese machines where our company faces stiff competition for crawler cranes and truck cranes. And competition for tower cranes , yes, it will be a very good scenario to be in and over the years , over the next 3-4-5 years , it can lead to a Rs. 500- Rs. 1000 crores revenue addition only on account of these type of machines and we are very hopeful all of this will go through . And if you look at the excavator industry , Chinese entered 5-7 years back and in 4-5 years , 6 years they have taken 25% -30% market share . So, if they are not checked today , they will go to 50 %-60% and eventually they will make the Indian

Action Construction Equipment Limited

August 11, 2025

Page 13 of 19

industry , excavator industry sick , just like they have done in the past , two of our cell phones or other industries . They take over the ridiculous prices , ridiculous credit terms . So, it is a very good thing to happen that the government at the senior most levels has taken notice of this and are proactively planning for this .

Rajeev Maheswari: Okay, right . Let's hope this Swadeshi movement takes a leap and it helps everybody that's all from my side .

Sorab Agarwal : It has to , it has to . Thanks to Mr. Trump , it has to .

Rajeev Maheswari: Right. Thank you , Mr. Agarwal.

Sorab Agarwal: Thank you.

Moderator: Thank you. The next question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead .

Ravi Swaminathan: Sir, thanks a lot for taking my question . My question is regarding the growth which we had seen in the past five years had been stupendous , we had tripled our revenue . Over the next 4-5 years , what are the top 2-3 sectors that you think might be driving the growth for ACE and what kind of growth one should think of is the question that I have in the mind .

Sorab Agarwal: Obviously , our growth is primarily driven by the manufacturing and the infrastructure and obviously both of them are of prime importance and concern to the government . So, hopefully

we are in safe hands . Now that the government especially with respect to the current geopolitical scenario and the tariff scenario the only way for the government to spruce up the sentiment as and when it goes down or starts to dampen a little is to focus more on infrastructure because that is where they can do direct spending and we anticipate and we are very hopeful that and Mr. Gadkari has already said 3-4 days back that the spending on infrastructure project is going to increase immediately . So, hopefully all of that is going to gel well for us going forward in our country with respect to manufacturing and infrastructure because most of our machines are made and developed for this scenario and the government is definitely focused on the 2047 Viksit Bharat, so that is not possible unless and until you know self-reliance and manufacturing is increased in the country coupled with focus on infrastructure and making world-class infrastructure. One of the major disabilities India has as compared to China is also logistics cost which is higher than China. So, by improving infrastructure even the logistic cost goes down . Apart from that , yes, our focus on more defense business and export markets will further help us grow a little in times to come . We have been doing that . Yes there has been this quarter has been

a little slow on account of primarily pre-buying and the cost factor and the technology factor. But such hiccups are sometimes good . They wake you up . They bring you out of complacency , they check your agility , so I hope all of that happens .
Action Construction Equipment Limited
August 11, 2025

Page 14 of 19

Ravi Swaminathan: Got it, sir. And private sector I mean as of now it doesn't fully fired like steel CAPEX etc. but if it does , can it make a big delta to your topline , bottomline ?

Sorab Agarwal: Yes, definitely , it will fire . It has to fire , if you were talking about our growth . So, we wanted to triple ourselves between FY'23 and '26 and unfortunately we have a little slowness we had in the last year on account of elections and this year because of the emission norms or whatever but I am sure one year here and there , so as conveyed even last time , so maybe it will not happen in three years tripling of our revenue , it will happen in 4 years FY'23 to FY'26 and then we had also thought, sorry doubling , and then we had also talked of tripling from FY'23 tripling by FY'28. So, maybe things can be get preponed, postponed by a year here and there but I think as a country and as a company, I think everything is moving in the right direction and all our medium term , long term things are pointing to growth and hopefully we are able to capitalize on that and in the recent past as well included . We have increased our capacities , we are capable of Rs. 5,000 crores plus . We did close to Rs. 3,300 crores . So, we have excess capacity available . Apart from that we are operating around close to about 100 acres of land , for future growth and expansion we have taken about 138 acres of land . So, going forward , first of all we have 30 %-40% extra capacity available to increase our revenue without any CAPEX, significant CAPEX and then even for future CAPEX after that we have most of the land available . And land is one of the most costliest resources when you're doing CAPEX today . So, I think we have put all our blocks in place things are looking good. So, let's see how it pans out .

Ravi Swaminathan: Got it, sir. Thanks a lot .

Sorab Agarwal: Thank you.

Moderator: Thank you. The next question is from the line of Vinay Maheshwari from IGE. Please go ahead .

Vinay Maheshwari: Thank you for the opportunity . Can you please elaborate some colors over the current CAPEX going on and how could be the commissioning timelines ?

Sorab Agarwal: See, for our capacity expansion which we had planned , most of the CAPEX has happened and is in place and our capacity is now the revenue capacity is about a little over Rs. 5,000 crores but apart from that in the current year , we have envisaged the CAPEX of over Rs. 100 crores with respect to further modernization and upgradation and introducing more robotics etc . into our setup , so that we are able to compete in the global stage with respect to our export markets and also bettering our products and quality for the Indian market . So, that's about a little over Rs. 100 crores . And apart from that , the lines which I mentioned we have to make some balance payments for those lands , so that will be close to about Rs. 130 crores plus minus outflow that will happen in this year . We did have plans to further increase our capacity, for a particular type of product which currently we have put on hold for the next 3-4 months . So, we
Action Construction Equipment Limited
August 11, 2025

Page 15 of 19

are continuing with the land development and the other part of it . I think the major part of that expansion should take shape in the next year . So, that expansion is close to about I think 250 to 300 crores of CAPEX and but yes most of that will be happening in FY'27 and FY'28.

Vinay Maheshwari: Got it. Is there any particular area where we are facing any kind of bottleneck as of now ?
Sorab Agarwal

: Yes, sir. The market to come back to its same spirits , nothing else , for the markets to bounce back and I am sure it will happen because the festival season is a little early . So, September onward things should be good with respect to capacity our readiness , our products the upgradation within the products I think we are totally geared up for the future and hope it is good as it has been in the past .

Moderator: Thank you. The next question is from the line of Kartik from Multiple E equity . Please go ahead .

Kartik: Good evening . Thank you for this opportunity . So, just wanted to understand one thing , when I look at Vahan volumes , what would be the time gap between wholesale dispatches and Vahan registrations or they would be fairly one-to-one basis?

Sorab Agarwal: I think there is a lag of one -to-two months at least . Minimum would be one month , average put out you can easily say 45 days to 60 days because they are delivered to the dealerships then to the customer and then the registration application so the Vahan data is representative but not of the current factual , it is with a lag of 1.5 -2 months.

Kartik: Okay, got it . Thank you so much . That is from my side . Thank you .

Moderator: Thank you . The next question is from the line of Kushal Dhuri, an Individual Investor. Please go ahead.

Kushal Dhuri: Hi sir. My question is in relation to the previous one only . So, for July, the IPO data was showing volumes of some 577 units . So, you mean to say that might be higher than what you have been dispatched ?

Sorab Agarwal: Let's say July 577 Vahan would mean machines which were delivered to customers . Let's say in June or within July. So, this data is because sometimes registration happens immediately , sometimes it happened with a lag of 10 -15 days . Then sometimes at our end , let's say the delivery to the dealership and that dealership holding some stock for some time . So, it is skewed by 1 or 2 months . So, very difficult to put a number to it , but may be next time when we have a con call, we will figure out a correlation for the last 4-5 months , maybe that could be helpful to all of you .

Action Construction Equipment Limited
August 11, 2025

Page 16 of 19

Kushal Dhuri: Okay, thank you . But on a year -on-year basis has there been any change in the volume for the month of July, is it lower or same , the volume number ?

Sorab Agarwal: I don't have the July number, but they were similar to June number for us. July is the heaviest, the rains are at fiercest, and the peak of rain happens in July, but they were similar to June. But unfortunately, we have numbers for June and before, we don't have July number right now.

Kushal Dhuri: Okay. Thank you.

Vyom Agarwal: Kushal, Vyom this side. I would just like to add a little bit to the Vahan data , I mean Vahan number which you and Kartik also asked . See there are certain number of machines which we manufacture they do not go on the Vahan data . So, for example, tower cranes . They do not get registered . So, our numbers will have a little bit of a disparity with respect to the Vahan data and as per Sir that there will be a lag . So, Vahan data may not be the right or I would say the exact parameter to look at us because some of the machines which are not getting registered are also in our portfolio .

Kushal Dhuri: Vahan data would be signifying more of the retail sales , right ?

Vyom Agarwal: Yes, sir. It will be more or less the registration sales , yes.

Vyom Agarwal : But it will not have crawler cranes and tower cranes and in fact some of the forklifts which we do and they are may be running inside a factory premise which may or may not be registered .

Sorab Agarwal: Even for some people do not take registrations which are running inside closed premises .

Kushal Dhuri: Okay and one last query from my side, any developments on the registration of electric cranes?

Sorab Agarwal: Yes, development is happening . Our approvals are pending with the ARAI, the CMV R authority. I think last hitch some Exide battery approvals with respect to electric vehicles are pending at the end of Exide, so we are hopeful it should get through quickly.

Kushal Dhuri: Thanks a lot, sir.

Sorab Agarwal: Thank you.

Moderator: Thank you . The next question is from the line of Jenil from Prudent Corporate Advisory. Please go ahead.

Jenil: My question was regarding the industry outlook . So, there are numerous forecasts or something about the non -agri segment about cranes , construction equipment growing by around mid single digit to some forecasting by growing it by double digits or so . So, what do

Action Construction Equipment Limited
August 11, 2025

you think these segments like cranes or construction equipment can grow? What can the industry growth and what can the Company see in its volumes too?

Sorab Agarwal: In our last call, you know being a little conservative we had projected 14% to 15% of growth, but looking at the current juncture I think it would be prudent that we take this call by end of quarter 2 to give a more realistic picture and it would not be wise to come out with a number at this juncture. So, once there is more clarity on every front including the BS V emission norms acceptance which has happened and the numbers will normalize and the second half of the year will start where the numbers actually start to normalize the government focus coming back to infra, all the basic things coming into place so I think it won't be prudent to give but yes, one thing I can tell you for sure now just let's forget our Company for a second but let's talk of the industry. The earth moving industry has been flat year-on-year for the first quarter, the road machinery industry has been flat. The concrete or concrete carrying or concrete processing that has increased by about 16%, so that is more of civil structure and real estate plus plus plus. The material processing is flat and cranes were a little down and the main was 50 horsepower and below which is what we have been able to pinpoint at. So, I would feel that we would like to answer that only at the end of September when the second quarter has gone by, to be able to give you a more predictively correct answer.

Jenil: You said something about construction equipment or some segment growing by around 30% or so. Sorry, I missed it.

Sorab Agarwal: 16%, that is the concrete industry. When I say concrete, I am talking of batching plants, concrete pumps, transit mixers, so the concrete part of the construction equipment industry has grown by about 16% in the last quarter year-on-year.

Jenil: So, that's it. Thank you.

Moderator: Thank you. The next question is from the line of Puneet Javeri from Javeri & Co. Please go ahead.

Puneet Javeri: Thanks so much for the opportunity again for this. One question, you mentioned that of course the guidance will come at the end of Q2, so we'll wait for that. But your previous plan was of course double revenues to roughly about 4,400 crores in FY'26 and Rs. 5,500 crores in FY'27, but given your capacity roughly about Rs. 5,000 crores revenue, when should we expect the additional if any capacity that you will need because by FY'27 you will be very close to almost 95% utilization. So is the Rs. 100 crore CAPEX number of this year including that or do you have to do a lot more CAPEX either the end of this year or the start of next year to get to additional revenue capacity of Rs. 5500 crores and above, that's the only question.

Sorab Agarwal: For the first part of your question, so hopefully this 4,400 crores instead of FY'26 should happen by FY'27 which I clarified even in the last call, tripling from our FY'23 revenue and

Action Construction Equipment Limited

August 11, 2025

taking it to Rs. 6,600 crores should happen by FY'29. So, that means we have capacity, enough capacity till FY'27 that is end of next financial year. But in any case in the next year we will start to expand our capacity which I did mention making a new plant for particular type of product entry, so which will give us an additional revenue of maybe around close to Rs. 1,500 crores plus minus, but that will start to do next year. Early we were thinking of starting to do it in the second half of this year but we start to do it next year once you know there's more certainty because today already we have Rs. 5,000 crores worth of capacity and you know generally for us keeping the land parcel out which we have more or less acquired, so let's say a Rs. 100 crore investment can generate about Rs. 800 crores to Rs. 900 crores worth of revenue for us. Right Vyom, that is how it works out.

Vyom Agarwal: Yes sir, you were right.

Sorab Agarwal: So, our CAPEX to revenue capability is about 8x-9x which we will start to exercise in the next year again looking at the scenario.

Puneet Javeri: Got it sir, but so essentially because you mentioned that you're at least about 14% to 15% growth this year and of course you'll revise it, so I just thought that you were a little conservative because you already done Rs. 3400 crore of revenue in FY'25 and even a 15% growth will be Rs. 4000 crores. So, the guidance of Rs. 4400 crores by FY'27 just seems very conservative because we should be able to touch Rs. 5000 crores at a minimal growth rate as well right, so that's where the question was coming from but thanks so much for the clarification.

Sorab Agarwal: Yes. Things are little different from what they were perceived, so keeping everything in mind but you can be rest assured we will leave no stone unturned in terms of doing a more revenue and losing it out on account of CAPEX or capacity, I think we are very well geared for that in our minds and we will deploy our money as soon as possible, as fast as possible as soon as the opportunity is there. So, you should be very comfortable from that aspect and we have enough

software to make sure that we don't lose out on the market share or the growth potential .

Puneet Javeri: Got it. So, thanks so much for your opportunity.

Sorab Agarwal: Thank you .

Moderator: Thank you. Ladies and gentlemen , as there are no further questions , I now hand the conference over to Mr. Ravi Swaminathan for closing comments .

Ravi Swaminathan: Thanks a lot everyone . On behalf of Avendus Spark, we will conclude today's call . We thank you all for joining us and you may disconnect your lines. Thank you.

Sorab Agarwal: Thank you everybody . Thanks a lot , bye-bye. Thank you.

Action Construction Equipment Limited

August 11, 2025

Page 19 of 19

Moderator: Ladies and gentlemen , on behalf of Avendus Spark and Action Construction Equipment Limited that concludes this conference . Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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Date: November 13 , 2025

To,
The Manager Listing
BSE Limited
5th Floor, P.J. Towers,
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Mumbai -400001

Scrip Code: 532762 The Manager Listing
National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai -400051

CM Quote: ACE

Subject: Earnings Call Transcript Q2FY-2026.

Dear Sir/Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith, Earnings Call Transcript (Q2FY-2026) of the Company.

Kindly take the above in your record.

Thanking You.

Yours faithfully,
For Action Construction Equipment Limited

Anil Kumar
Company Secretary & Compliance Officer

Page 1 of 16

“Action Construction Equipment Limited Q2 /H1 FY’26
Earnings Conference Call ”

November 07, 202 5

MANAGEMENT : MR. RAJAN LUTHRA - CHIEF FINANCIAL OFFICER ,
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. VYOM AGARWAL - PRESIDENT , ACTION
CONSTRUCTION EQUIPMENT LIMITED

Action Construction Equipment Limited
November 07, 2025

Page 2 of 16

Moderator : Ladies and gentlemen, good day and welcome to Action Construction Equipment Limited Q2 FY'26 Earnings Conference Call.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference has been recorded.

I now hand the call over to Mr. Divyam Jain from B &K Securities. Thank you and over to you, sir.

Divyam Jain: Good afternoon , everyone. On behalf of B &K Securities, we are pleased to invite you to the Q2 FY'26 Earnings Conference Call of Action Construction Equipment Limited. I would like to welcome the management and thank them for the opportunity.

We have with us today Mr. Raj an Luthra – the CFO and Mr. Vyom Agarwal – the President from the Action Construction Equipment Management.

I now hand over the call to Mr. Vyom Agarwal. Thank you and over to you, sir.

Vyom Agarwal: Thank you, Divyam. Good afternoon and welcome everyone to this Earnings Conference Call for discussing the Results for the quarter and half year ended 30th September 2025.

Along with me in today's Earnings Call , we have our CFO – Mr. Rajan Luthra. I hope that all of you have had an opportunity to look at the Company's Financial Statements and the Earnings Presentation which have been circulated and uploaded at the stock exchanges.

As anticipated, the current financial year commenced on a relatively soft footing for the construction equipment industry impacted by the transition to new emission norms and a temporary moderation in infrastructure development activities due to extended monsoons. The first half of FY '26 has broadly played out in line with our outlook with a modest decline in Q1 followed by a stabilizing flattish performance in Q2. This trajectory reinforces our assessment that the most challenging phase is now behind us. Importantly, we are witnessing early indicators of recovery underpinned by a resilient domestic macro environment and strong policy continuity. The government's continued emphasis on infrastructure creation, reduction in direct and indirect tax burdens, improving liquidity conditions, softening interest rates and progressive duty reforms in support of the Make in India agenda collectively signal a constructive demand environment ahead.

To brief you on the standalone financial performance of the 2nd Quarter of FY '26:

Action Construction Equipment Limited
November 07, 2025

Page 3 of 16

The total income was flattish on a year -on-year basis at Rs. 782.18 crores with an EBITDA margin of 19.40%. The EBITDA during the quarter expanded by 137 basis points and increased to Rs. 151.75 crores in comparison to Rs. 142.19 crores on a yearly basis, which is a growth of 6.72%. The PBT expanded by 157 basis points to Rs. 137.49 crores and the PAT expanded by 131 basis points to Rs. 103.87 crores on a Y-on-Y basis. The PBT and PAT margins stood at 17.58% and 13.28% respectively. On a sequential basis, the total income increased by 11.27% and the Company was able to sustain its expanded margin profile despite a challenging environment in H1 FY '26. The contribution of cranes, material handling and construction equipment segment stood at 94% of our total revenue and we reiterated our market -dominant position while registering a revenue of Rs. 694 crores, which is flat as compared to Q2 FY '25.

However, in the quarter gone by, we have strengthened our market share. The company recorded sales of 2,348 units in the quarter, which is down by 18% Y-on-Y. The margins sustained at 18.16% and stood at Rs. 126 crores. The revenue contribution of the Agri segment stood at 7% and we registered a revenue of Rs. 47.13 crore

s in that segment.

Now, talking about the half -yearly performance :

For the H1 FY '25, we have been able to register a total income of Rs. 1,485 crores, which is down by 4% approximately Y-on-Y. On the half -yearly basis, EBITDA grew by 10% to Rs. 294.30 crores. The PBT grew by 11.13% and the PAT grew by 12.7% to Rs. 264.13 crores and Rs. 200.70 crores respectively. Despite headwinds in the sector, we have been able to deliver sustained profit growth and for H1 FY '26, the margin profile of the Company expanded by almost 240 basis points and stood at 19.82% EBITDA , 17.78% PBT and 13.51% of PAT. On the policy front, the government continued emphasis on fair trade and manufacturing self - reliance is encouraging. The recent recommendation to impose anti -dumping duties on certain cranes import i.e. crawler cranes and truck cranes from China is a significant structural positive for the domestic construction equipment sector including our Company. For several years, the Indian market has seen aggressive pricing and supply from overseas players which at times created distortions and discouraged meaningful investments in advanced local manufacturing. A corrective framework therefore not only protects against unfair dumping but also strengthens the long -term foundation for Indian OEMs to scale, innovate and compete globally. This move complements the broader Make in India agenda and ensures that value creation, technology development and employment stay anchored within the country. As a 100% Swadeshi company, we are deeply committed to domestic production and localization and we see this as a long -term tailwind for our heavy cranes business and our industry. Looking ahead, India remains one of the fastest growing major economies supported by policy continuity, resilient domestic demand and a strong infrastructure and manufacturing push. Continued government focus on capital investment, logistics, modernization along with rising private sector participation and increasing mechanization provides a positive multi -year demand outlook for the construction equipment industry.

Action Construction Equipment Limited
November 07, 2025

Page 4 of 16

While H1 required prudence and agility, the medium to long -term fundamentals remain intact. Sustained public CAPEX, easing cost pressures, improving liquidity and signs of private investment revival are laying the foundation for recovery. With our strategic initiatives, operational discipline and customer -focused execution, we are well positioned to benefit as demand strengthens across our core markets. With the strong pre -buying seeing in H2 FY'25 creating a high base, we expect the current year to normalize gradually and generally 55 %-60% of our revenue is generated in the second half of a financial year.

That said, we retain a constructive and disciplined outlook. As demand recovers through the year, we are anticipating achieving flattish to single -digit revenue growth in FY'26 supported by sustained operating performance. We also expect a modest expansion in EBITDA margins versus last year, driven by cost efficiencies, product mix improvements and operating leverage as volumes scale. Over the medium to long term, we remain positive on the opportunities ahead and confident that the building blocks for sustainable profitable growth are firmly in place. Our focus remains on strengthening our capabilities, expanding our product and technology platforms and further enhancing customer value creations as we scale responsibly and profitably. With this, I would like to open the call for questions. Thank you.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Rashmika Rao from Rekha Enterprises. Please go ahead.

Rashmika Rao: I have a couple of questions to ask. My first question is, in Quarter 3 and Quarter 4 of this year, the base year sales number becomes

comes very high because of pre -buying last year. So, will we be able to beat those numbers in Quarter 3 and Quarter 4 this year? Or are we looking at a year of de-growth in FY '26? What is your growth outlook for FY '26? Is it going to be a year of de - growth given the tough comparables for Quarter 3 and Quarter 4? What is your growth outlook for FY '26?

Vyom Agarwal: Hi, good afternoon. Thank you so much for the question. As I have already mentioned in my address, the demand outlook has started to improve and this year has exactly panned out as anticipated by us. So, we anticipated a modest beginning to the year, which happened with a modest decline in Q1, which was followed by a stabilizing performance in Q2. And we would like to view Q2 as the first sign of recovery, wherein the rate of decline has clearly moderated. So, we have every reason to believe that the demand will keep on improving from here on, starting from middle of Q3 and going strong into the Q4. So, one thing is that all the worst

things are now behind us with the extended monsoons and the transition from BS -III to BS -V, along with the price pressures that were there in the system. Now, that is behind us and the macro s, on the macro front, everything seems to be falling into place with lower interest rates and liquidity back into the system. I believe the only thing is the pace of execution of projects. Once they start to pick up, then there is no reason why the demand should remain subdued. And we are already seeing very encouraging signs from the market towards the adoption of the new Action Construction Equipment Limited
November 07, 2025

Page 5 of 16

technology along with the price changes that has been pushed. I believe on a full year basis, the industry volumes may be slightly close or on a slightly negative bias from here. But as we have guided that going ahead this year could be flattish to a single digit growth year for us. And we have no reason to not believe in that.

Moderator: Thank you. The next question is from the line of Suraj Malu from Catamaran . Please go ahead.

Suraj Malu: Sir, in the backhoe loader segment, can you help understand how many units were sold this quarter versus last year at the same quarter and the market share in that?

Vyom Agarwal: So, I believe backhoe loader segment we have done well and Luthraji will have the exact numbers. But backhoe loader on a quarter on quarter basis, I think we have increased our numbers by around 35 % to 40%. Here, the base is slightly small. And on a year -on-year, there has been an increase of 15 % to 20%. Luthraji?

Rajan Luthra: We did about 280 numbers.

Suraj Malu : This quarter?

Vyom Agarwal: Yes.

Suraj Malu : And then, where do you see your market share in in 6 months ?

Rajan Luthra: This quarter we have done is 168.

Vyom Agarwal: These are just the backhoe loader numbers, not the construction equipment numbers.

Suraj Malu: Right, sir. Just the backhoe loader, it is 168 this quarter ?

Rajan Luthra: Yes.

Suraj Malu : Got it. And then, where do you see the market share in this segment in the next three years? Because this is the largest segment in the construction equipment and that is the next focus area, right?

Vyom Agarwal: Yes. So, currently our market share stands close to 2.5 % odd which we would like to stabilize and increase gradually towards 5 % to 6%. And then finally, we would like to take it to double digits from there on.

Suraj Malu: Got it. And how do you see the acceptability of this product?

Vyom Agarwal: I think it has been very encouraging ever since we have launched our upgraded backhoe 3-4 years back. The feedback that we got from the customers as well as our dealer /channel partners

Action Construction Equipment Limited

November 07, 2025

Page 6 of 16

was very encouraging. The only thing is that with this transition that happened from CEV 4, backhoe was at CEV

4 , which went to CEV 5. The price increases were there in this segment, which has been very smartly tackled by us. And we are seeing some good adoption at the customer level for these products. Productivity wise, I think it is, I would like to claim that it is one of the best in the industry.

Suraj Malu : Got it. Thank you very much.

Moderator: Thank you. The next question is from the line of Yash from IIFL. Please go ahead.

Yash: Hi, sir. Good afternoon.

Vyom Agarwal: Hi, Yash. Good afternoon.

Yash: I had a few questions. So, what is the realization change quarter -on-quarter for our core and non -core units like the Agricultural equipment, quarter -on-quarter?

Rajan Luthra: Quarter -on-quarter, there has been an increase in the major sector. The pick and carry crane is about nearly 15 % to 20 %, mainly on account of change in emission norm from BS -III to BS -V and BS -IV to BS -V. Till June of this year, most of the players were selling the old inventory lying with the dealers and all those things. So, real impact of price increase has come only in this quarter. And going forward, this is one way. Agri is more or less a similar price. There is no significant increase in the Agri, except for the reduction in the GST rate, which is again passed on to the customers. So, nothing on the Agri. Agri price realization remains the same for the quarter and definitely in our major business, which is pick and carry and other construction equipment, there has been a significant price increase and real impact of transition from CEV 3 to CEV 5 and CEV 4 to CEV 5 has come into play in this quarter only. And going forward, that is what is going to remain.

Yash: Okay, sir. And what is our capital allocation strategy, like given that we have excess cash of the

mutual fund. So, what is our strategy going forward? Are we going to do like CAPEX or dividend or buyback? What is our capital allocation strategy?

Rajan Luthra: As of now, as you are aware that we are in an expansion phase, not for the current, but for a medium and long term, we are going for an expansion mode and we have acquired two pieces of parcel of land last year and one big chunk of land of nearly 86 acres of land will be acquired probably in this year, which will require about nearly Rs. 200 crores of money to acquire the land. But that will, and going forward as discussed in the previous concall also, the revenue from the present facility, it touches around 4,400 plus and will start expanding into the parcel of land what we do. So, going forward is a dividend, we are already paying a dividend and going forward also we can expect increase in dividend rate and balance is still, and third activity what we are going forward, going on is the improving in the robotics and mechanization and quality

Action Construction Equipment Limited
November 07, 2025

Page 7 of 16

improvement projects for keeping the Company way ahead for the technological improvements and for the export market. With the India adopting C EV 5 norm, now the whole world is open for export market, the world is open. So, that is bound to take time, but we are just spending, investing in the quality improvement projects mainly for the, so that our machines are as good as any European machines or American machines so that we can compete in those markets.

Yash: Okay, sir, and like what is our export revenue share as of now?

Rajan Luthra: This year we have about 4% to 5% export we did this year, but if you compare this six months as compared to previous six months, the corresponding last six months, there has been nearly a 30% increase in the export from there, but if you compare with the average company revenues, but still it is around 4% to 5% only, which is below expectation, below target, I should say, medium to long term target is to at least reach 8% to 9% of the Company revenue would come from here and the balance the

7% to 8% from the defense only.

Yash: Okay, sir. Thank you. I will join back the queue.

Moderator: Thank you. The next question is from the line of Deepak Ajmera from IG E. Please go ahead.

Deepak Ajmera: Yes, hi. Thank you for the opportunity. Yes. So, Deepak this side. So, any update on the Ghana project?

Vyom Agarwal: Ghana project has been kept on a back burner because of certain geo issues which are going on between the governments at the macro level. We are all in readiness for execution of that project.

But given the territory, I think we would not like to move ahead without having advance payments or confirmed LCs in our hands. So, we are just waiting for that and the situation has been at a similar level for the last, I believe, 18 - 24 odd months. So, we continue to wait and we do not want to risk our financial assets without having confirmed payments in our hands.

Deepak Ajmera: Got it. Secondly, our defense execution, so have they started?

Vyom Agarwal: So, there are various projects in defense which we are executing. And as Luthra sir indicated, our medium to long term target is to get around 8% to 10% coming out of exports and 5% to 8% coming out of defense. So, there are a number of projects which we are doing. In the last concall also, we had indicated that there are special pick and place kind of cranes which we are doing with DRDO along with Ashok Leyland Defense and Tata Advanced Systems. So, that is very much on the cards. One of the orders is getting executed. And hopefully, in this quarter, we should get a couple of new orders of those special cranes. As far as the rough terrain forklift order goes, which we got in Q4 last year, which is the single biggest order in the history of the Company around Rs. 420 odd crores. Now, that order, when the machine was tested and the order was placed, again, there is an emission norm change between the testing and the ordering and finally, the execution of the order. So, we are waiting for a small NOC which has to come

Action Construction Equipment Limited
November 07, 2025

Page 8 of 16

from the Ministry of Defense that we can supply them a particular emission or rather BS -IV emission norms forklift. As soon as we get that NOC, the execution from our end will begin. It should have been there in Q3, but unfortunately, I think it will get pushed over to Q4. So, that is also one of the reasons why we have kind of tapered down our guidance for this year.

Deepak Ajmera: Got it. And the flat to single digit kind of a growth what you are guiding off is in to value terms or volume terms?

Vyom Agarwal: Into value terms.

Deepak Ajmera: So, what has been the price increase from last year to this year?

Vyom Agarwal: Here it is on two different levels. Below 50 horsepower engines, they have migrated from a BS -III era to CEV 5. There the price increase has been on a higher side, let us say northwards of 12%. Depending upon models, it can be 12%, it can be 13%-14% also depending upon models and the specifications of the machine. However, when you talk about migration from CEV 4 to

CEV 5, there the price difference has been a little less. So, on a blended basis, you can say that it would be close to 8-9% price differential which has come on account of change of the technology.

Deepak Ajmera : Got it.

Vyom Agarwal: It is a broad blended on the Company's average on the Company sales because there are certain machines which have not even migrated. Something like a tractor, something like a tower crane, a crawler crane, they have not migrated because they do not fall under these emission norms.

Deepak Ajmera : Got it.

Vyom Agarwal: So, on a blended basis, you can say that around 8%-9% of the price increase might come in.

Deepak Ajmera : Got it. Okay, thank you.

Moderator: Thank you. The next question is from the line of Shubham Harne from Purnartha Investment Advisers

. Please go ahead.

Shubham Harne: Hi, good evening. I just wanted to understand what is our strategy for the Agri business? I can see that the margins are kind of low and what is our plan going ahead?

Vyom Agarwal: Yes, sir. Unfortunately, we have not been able to deliver on the agenda on the Agri side. If you see our numbers year-on-year, but that is more to do with some of the export orders which got executed last year. And going ahead, we have a big export order. When I say big, it is in three digit tractor orders which we have got recently and should be executed in this quarter as well.

Action Construction Equipment Limited

November 07, 2025

Page 9 of 16

as the next one. So, I believe by the year end, we will be doing the catch up on the Agri and Agri's growth will be in line with what I have said. In fact, I am very confident that in Agri we will achieve growth in terms of volume as well as value because there is no clear-cut price increase there. So, I am very hopeful that in Agri we will definitely attain better results in H2.

Shubham Harne: And what can I understand what sort of horizon we are looking at maybe 2 years or 3 years down the line?

Vyom Agarwal: So, our first aim is to actually stabilize our position in the India, in Indian states. So, we are not present across the country, we are only present in certain pockets and we will try to deepen our presence in those pockets and post that we will try and slowly expand into the nearby areas. That is the broad strategy in the Agri business domestically. However, we are focusing on the export segment in the Agri where in certain countries India exports a lot of tractors and we have already seeded our tractor in those territories, again getting very good response from the channel partners there. And I believe that strategy should keep us in a good space on the bottom line as well as on the topline front. And we have been constantly participating in the exhibitions overseas to gain traction on this ground. So, all in all put together I believe this division should perform from here on because I think all the other building blocks are in place. So, a good product at a right price is definitely at place. I think the only thing where we are floundering is the channel vintage because most of these Agri, especially the tractors, they are being sold by the channel partners. So, OEM sells it to the dealer who in turn advances the tractor to the farmer. So, once you are advancing the tractor you need to have strong presence in the local district or the taluka level along with some financial power to advance the tractor which I believe we are lacking. But now I am sure with a stable channel network for the last 3-4 years slowly and gradually we will build up this competence as well and the growth will come on the domestic side too.

Shubham Harne: Correct. And my final question is I can see that for 8 to 12 quarters our volumes are almost nearby stable. May I know at what sort of capacity level, utilization level we are at?

Vyom Agarwal: You are talking about the construction equipment, cranes and material handling, the capacity utilization level, am I right?

Shubham Harne: Yes, you are right.

Vyom Agarwal: So, around 65% blended capacity utilization we are working at today. Tractor is definitely low, it is around 30%-35%.

Moderator: Thank you. The next question is from the line of Nihal Shah from Prudent Corporate Advisory Services. Please go ahead.

Nihal Shah: Hi, good afternoon. Thank you for the opportunity, sir. So, I had a couple of questions. One on the part of CAPEX. So, we have seen a lot of government initiatives that are promoting

Action Construction Equipment Limited

November 07, 2025

Page 10 of 16

consumption. And so, do you think that CAPEX part of government spending can take a pause and the private consumption hasn't been that encouraging as well in the first half?

If so, what is

your view on that? Because we are very closely associated with that.

Vyom Agarwal: So, in Q2, of course there were some extended monsoons and the intensity of monsoons was also high this year. So, we had seen that there was a little bit of a slowdown on the infra structure development activity. But the government is persistent on the infra development side. And on the macro side, as you correctly said that they have given certain levers, which has boosted the consumption in the economy. Now, once the consumption starts to increase, the private CAPEX is definitely going to return on the table. And we have already seen some signs that the demand will scale up going ahead. And it gives us very encouraging signs, because see, this is what has happened in H1 is something that we had already anticipated. And the flatness in the Q2 definitely gives us a lot of confidence that going forward in Q3 and Q4, we will have a very good demand in front of all of us.

Nihal Shah: And another question was, in the cash flow statement, I can see a huge increase in the inventory. So, was that because of delayed deliveries because of this GST cut or something like that?

Vyom Agarwal: No, not really. Actually, these are September end numbers. And if we see this time, the festive season was slightly early. So, we had taken a decision that we will be keeping some inventories before the festive season. So, there was certain inventory into the system, which I'm sure will normalize by the end of this quarter.

Nihal Shah: Okay. Thank you very much.

Moderator: Thank you. The next question is from the line of Suraj Malu from Catamaran Ventures, LLP. Please go ahead.

Suraj Malu: So, in this quarter, I see that the average selling price in the construction equipment and crane segment has increased by around 22% YOY, whereas the price increase is due to norms changes on an average 12% to 13%, right? So, can you help understand the balance group?

Vyom Agarwal: There are a couple of factors that play out here. Number one is, of course, the price increase, which we have taken because of the technological changes, which we have discussed earlier in the call. The other major factor that has happened is the change and the favorable change in the product mix for us. So, let us address this with respect to the pick and carry crane segment. So, pick and carry crane, around 60% of the pick and carry crane plus minus was the erstwhile Hydra crane, which was a very, very cost effective lifting solution for the country and around 40% of the cranes was the new generation crane, which was slightly expensive. Now, new generation cranes went from BS -IV to BS -V, whereas the older generation of pick and carry crane, the hydra cranes, they went from BS -III to CEV 5 norms. So, there the price increase has been the maximum. But at the same time, since they were slightly cheaper, the market has taken some
Action Construction Equipment Limited
November 07, 2025

Page 11 of 16

more time to accept the price increase into their domain. So, you can say that the product mix has changed. And we have been able to increase our market share also in the new generation segment, where we and Escorts used to have a 50 %-52% kind of a market share. In the erstwhile hydra cranes, we had more than 70% of market share. So, in the numbers, when you see, we have the hit because hydra cranes have been hit. But on the realization side, you see that the realization is on the higher side because the share of the new generation cranes, which were expensive, they have increased. And hence, if you see the profitability has also sustained itself, keeping in mind the product mix because more mature the crane, better in technology the crane is, better is the realization for us. I hope I was able to answer that to you, Suraj ?

Suraj Malu: Yes, sir. So, before the contribution from new generation cranes was

40%. What was that now?

Vyom Agarwal: So, it was around 35 %-40%. It has now gone up to, let's say, 40 %-45% plus now. Even 50% now.

Suraj Malu: Understood, sir. Got it. You were mentioning about that you are seeing early signs of some CAPEX or positive things, right? So, when you mentioned this, like, what are the factors or parameters that you track that gives you confidence to say that?

Vyom Agarwal: So, definitely, it is the order booking. And barring this order booking also, see, on the macro side, if you see, project mobilization was on a slightly slower side because of the monsoons, which have started to pick up. The government has already started to award orders in some of the key states in the country, which gives us confidence in this demand outlook. And barring that, the other macros are already firmly in place. So, if you see, even before the general election, when the model code of conduct kicked in, we saw six months of slow period and then the Lok Sabha election, then the results came in and the economy was having very low levels of liquidity, as well as coupled with higher rate of interest. So, both of these factors have started to ease out a little. And with these GST cuts also coming in, like on some of the key sectors such as cement and all, somewhere down the line, the customers also have been given a relief on their working capital front. So, the overall sentiment in the customers with respect to spending on equipment, that seems to return. So, all these factors put together give us a lot of confidence that going ahead, we should see recovery. And traditionally also, if you see, H1 accounts for only 40% of our overall numbers. So, H2 traditionally is also strong. And this time, somewhere down the

line, we also believe with the strong replacement demand, which will kick in, I think there will be pent-up demand in the system also, which has to hit the market. So, that time will tell when it will hit, whether it will hit in Q3 or Q4. But I believe, the work that has to be done by a crane will be done by a crane. And with increased level of mechanization, reduced availability of labor for doing the lifting jobs, I believe there is demand. Yes, there is a temporary slowdown. And there is a temporary phenomena. But I believe things should ease out from here. And moreover, there is another structural positive going in for us, which is the anti-dumping duty, which has been proposed on the heavy cranes. So, once that volume will also start to come in, we already have our capacities in place. The plant has the capacity to push in Rs. 300 crores to Rs. 350 crores of revenue at peak capacity utilization. So, we are ready. We are the only Indian company in that domain left as of now. And we are ready for capitalizing on the market. So, I believe all in all, given our product positioning, we are very strongly positioned to benefit from the macro levers as well as the growth revival.

Action Construction Equipment Limited
November 07, 2025

Page 12 of 16

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Suraj Malu: Got it. And you are saying in this heavy crane, sir, like how much is the anti-dumping duty and now like what is the price difference in the Chinese products and your products?

Vyom Agarwal: So, in majorly the duty that has come on two equipment manufacturers, one is I think in the around 23 %-25% and on the other it is 52 %-56%.

Rajan Luthra: One is 26%, not two.

Vyom Agarwal: Luthra sir, has better knowledge on that subject, please.

Rajan Luthra: So, basically the anti-dumping notification has already come in. Government has already notified, but still to be implemented. As per that notification, one of the Chinese players, Zoomlion, will be having 26% and balance, all the Chinese companies will have around 52% anti-dumping duty. So, that is the as of now and this notification has to be notified by Ministry of Finance, implemented and which normally takes about

90 days for implementation, which

should probably happen in the last week of around between 15th to 30th of December, if they go for a last date or even earlier if possible. So, that is the impact of this. So, you can imagine how much the cost will go up for those Chinese companies who are importing these products in the market and which will definitely give a boost to us because we will be now able to, we can compete them not only in terms of pricing but also as we are going for a JV with a joint venture with a Japanese partner which will be also become effective only once this notification comes into play. So, with that JV, with the permission of JV with a Japanese partner, we will be having multiple advantages which will definitely give boost to the heavy crane business which is crawler crane, truck mounted crane and the rough terrain cranes.

Suraj Malu: Good. Thank you very much.

Moderator: Thank you. The next question is from the line of Riddhi Maru from Shatrunjy Investment Managers LLP. Please go ahead.

Riddhi Maru: Hello. Good afternoon, sir. Sir, actually the questions have been answered.

Vyom Agarwal: Okay. Thank you.

Riddhi Maru: Thank you.

Moderator: Thank you. The next question is from the line of Vijay from Nu vama. Please go ahead.

Action Construction Equipment Limited

November 07, 2025

Page 13 of 16

Vijay: Hi. Thank you, sir for taking my question. Sir, a couple of things just wanted to check. One was on the defense order which we have got. So, how much of this has been accounted for as of H1 FY'26 and how much will come in the second half?

Vyom Agarwal: So, I believe that you are asking about the Rs. 420 crore defense order for rough terrain forklifts. As I mentioned, we have not executed as of now in the H1 and we are waiting for a small NOC from the Ministry which is expected. And if we get it in this quarter, then we will start execution from the next quarter onwards. This is one of the reasons why I have just given a very conservative guidance because this was taken into account in our earlier calculations.

Vijay: Okay. So, do you expect this to like the revenue to come into the 4th Quarter or will be mainly into FY '27?

Vyom Agarwal: Mainly it will be spilt over to the next year.

Vijay: Okay. And secondly, sir, we say in terms of that Chinese cranes, so what is generally the price differential between ours and theirs? And have we seen any incremental purchase over the last? I think it got announced in September. So, over the last two months, have we seen any incremental purchase either from Chinese or from us?

Rajan Luthra: Basically, the Chinese player as what we understand is are selling it at a price much, much lower than the cost of production. And probably, if you look, they are cheaper. But they sell not

cheaper, they sell it at least below 15 % to 20% of their cost. Because if you compare the Chinese, the price what they're selling about 10 years back and price to what they're selling today, the price will be nearly similar in spite of steel becoming double and dollar becoming double and all the inflation and everything. So, they have been dumping these products. That is why when we applied for the anti-dumping duties on those products, the government officials were able to see the cost difference, what cost we have and they are selling. That is why the anti-dumping duty has been notified at 26% and 52% to other players. So, besides the cost, if you can look at, not only cost they're putting into it, second thing, they're disrupting the market by giving credit from one year to three years to the customers, which is again very lucrative for a customer in terms of pricing and all those factors are already in there. I think with this notification implemented, we will be able to increase more because right now also we are selling these products in the market, but the volumes are very small. Majority has

been dominated by Chinese

players. Nearly 97 %-98% has been dominated by Chinese players. We are selling 3 %-4%. And going forward, what we feel that in the medium to long term, I think the 50% of the market should come to us in the coming 3-4 years' time.

Vijay : Thank you, sir.

Moderator: Thank you. The next question is from the line of Divyam Jain. Please go ahead.

Action Construction Equipment Limited

November 07, 2025

Page 14 of 16

Divyam Jain: Rajan sir, you mentioned that targeting a 50% market share in the heavy load crane segment.

Sir, as far as I have researched, last year, which is FY '25, India imported around 1,300 -1,400 heavy load cranes. Do we expect a similar number to be imported every year going ahead? What is the life cycle of the heavy load cranes? What is the replacement timeline for these cranes?

And how large of a market would FY '26 and FY '27 be in terms of numbers or units of these heavy load cranes and how much of them would ACE be able to take over?

Rajan Luthra: Actually, the market has developed in the last 4 -5 years only. Earlier, there was no such big demand for these because these are all heavy lifting machines ranging from 40 tons to 300 -400 tons. Out of the 1,300 numbers, the actual market for us will be somewhere around 800 -900 cranes per annum because above that is for 300 tons and all those things which right now we are not making. So, going forward, as I said, keeping in view the price and everything, we should expect 40 %-50% market share in the next couple of years. The life of these machines is again in the range of 8-10 years maximum because these are all heavy lifting machines. Some of them are already on the truck and the truck mounted cranes don't have life more than 10 years.

Divyam Jain: Right, sir. In terms of numbers imported or let's say purchased in India in terms of heavy load cranes, do you agree it will be around 300-400 or is it supposed to increase over a few years?

Rajan Luthra: The market is moving towards , going for heavy cranes because all those metros and all those things require heavy lifting. If you look at any metro site, you will find a number of these types of cranes already working on those sites. What I believe is probably in the coming years as the cities will expand and major metro like Delhi, Bombay and all those will be requiring much bridges, one bridge above the other, like what happens in the European countries. You may find two bridges going on the same road, one above the other. So, this all requires a heavy machine. I think the market should grow for these machines.

Divyam Jain: Right, sir. And in terms of margins, how would we be better in margins in the heavy load cranes rather than in the pick and carry cranes or any other cranes?

Rajan Luthra: I think the margins will be in line. Right now, the margins in these products are less as compared to regular pick and carry in other products. So, going forward, we expect that these will also have similar margins as other crane products.

Divyam Jain: If I can squeeze in one last question. So, what is the manufacturing cycle time for heavy load cranes? My question is related to the fact that why would we take on such a huge product cycle if the margins are not lucrative? That is it from my end.

Vyom Agarwal: Divyam, let me clarify this. First of all, this is an industry which has expanded in the last 3 to 4 years, let us say five years. Once the pace of construction has increased and the nature of construction had moved more towards prefabricated. So, this is too huge a size for us to remain out given our market leadership in the lifting business in the country. So, it makes all the more

Action Construction Equipment Limited

November 07, 2025

Page 15 of 16

sense for us to be in this segment. Now, this segment will grow progressively from here onwards as the cities expand as what Mr. Luthra also explained to you.

Now, you would say why we were

not so aggressive in the last 4-5 years because of the aggressive dumping by the Chinese players

into the Indian country. Now, with government taking note of it, they have already given the recommendation to the Ministry of Finance. The government will take its time before it is implemented. And by the time it is done, then our margins will be in line with the other construction equipment or the crane business. Then we will go full throttle against production of these machines. And we are already in readiness for this because before putting in such a kind of a recommendation, the government would like to come to our premise and they would like to see our readiness of catering the industry, whether we can cater the industry for these type of cranes or not, which they found satisfactory. And currently, the plant that we have set up has got a capacity to churn out a revenue of plus minus Rs. 350 crores at peak capacity utilization levels. Having said that, if the business goes to that level, which it will, and then, nothing stops us from going into the further capacity expansion for this segment. Also, having said that, we are already lining up a joint venture with Kato Works. Now, Kato works is a five-decade-old company when it comes to heavy lifting segment. So, with them joining hands with us, we will have access to Japanese technology, which any given day will be sold at a premium. So, a Japanese technology coming into the Indian setup of, I would say, with our cost competitiveness and the strength of Japanese technology, we are going to become a market leader in this segment and bring glory back to the country. And the margins will definitely be in line with what we have been doing. And you have seen that in our last 2-3 calls, we have been always saying that we will be expanding our margins. Going ahead also, given the challenging situation of what we have seen in H1, we have projected that there will be a minor increase in the operating margins going forward. So, not only we are looking at stabilizing our margins, we are looking to increase our margins from where we are. And this cannot be done if we leave aside a segment which will underperform. So, the margins in this segment will be definitely in line with what we do as a company, which we are looking to expand. I hope I am now able to articulate the answer in a better way ...

Divyam Jain: Right, sir. Makes much more sense. Thanks a lot. Those were my questions.

Moderator: Thank you. The next question is from the line of Deepak Ajmera from IG E India. Please go ahead.

Deepak Ajmera: So, as you articulated about the margin expansion, how can you just let us know how the magnitude of the expansion could look like?

Rajan Luthra: See, going forward, given our product mix and cost efficiencies which play, the margin, we see a scope of slight margin expansion. But going forward as the volumes pick up, because now we are sitting at a production capacity which can give us a revenue of almost Rs. 5,000 crore plus.

So, as the volumes pick up, the operating leverage will also kick in. And there is one anecdotal evidence also, if you see, when the technology change happened from for above 50 horsepower Action Construction Equipment Limited

November 07, 2025

Page 16 of 16

from BS -III to BS -IV, we had very smartly migrated our machines in a very cost effective technology and our margin saw bump up. Now, again, in the migration to a BS -V territory, we are very confident that with our solutions and the technology that we have gone to the customers with, it poses significant challenges to the competition. And at the same time, we will be able to, upgrade our margin profile from here on as well. Yes, the quantum and the speed will be dependent upon how quickly the volumes catch up.

Deepak Ajmera: Got it. And how the guidance for this year or upcoming year could

look like?

Vyom Agarwal: As of now, the current margin profile that we have posted in H1, I think there can be a small uptick from here.

Deepak Ajmera: Got it. Anything on the revenue side of guidance for medium term or let us say not for this year, next year?

Vyom Agarwal: Our medium to long term guidance remains intact, which we had projected that probably by the end of FY '27, we would be around Rs. 4,000 crores to Rs. 4,400 crores and from FY '29 to FY '30, we should be somewhere at around Rs. 6,000 crores to Rs. 6,200 crores. So, our medium to long term guidance is very much intact, because we believe that this is a very temporary transitory phase, where we have seen a shift in the emission norms and the market is somewhat slightly subdued because of the exorbitant price increases that has been pushed into the system. This will normalize. And going ahead, nothing has changed structurally except the imposition of anti-dumping duty, which is a long term structural positive for us. So, nothing has changed on the ground and whatever we have lost in the last six months, I think with the pent up demand, we will make it up very quickly.

Deepak Ajmera: Okay, thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of the question-and-answer session. I would now like to hand the conference over to the management for closing remarks.

Vyom Agarwal: Thank you everyone for joining in. And just in case there are some questions which have been

left unanswered, please feel free to write to us. The email IDs can be found on the websites. So, please write to us, we will be more than happy to address any of the unanswered questions. Thank you so much.

Moderator: Thank you. On behalf of Action Construction Equipment Limited, Q2 FY '26, we conclude this Call.

Call: Feb 2026

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Date: February 09, 2026

To,
The Manager Listing
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National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex,
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CM Quote: ACE

Subject: Earnings Call Transcript Q3FY-2026.

Dear Sir/Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith, Earnings Call Transcript (Q3FY-2026) of the Company.

Kindly take the above in your record.

Thanking You.

Yours faithfully,
For Action Construction Equipment Limited

Anil Kumar
Company Secretary & Compliance Officer

Page 1 of 22

"Action Construction Equipment Limited
Q3/9MFY '26 Earnings Conference Call "
February 04, 2026

MANAGEMENT : MR. SORAB AGARWAL – EXECUTIVE DIRECTOR –
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. RAJAN LUTHRA – CHIEF FINANCIAL OFFICER –
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. VYOM AGARWAL – PRESIDENT –ACTION
CONSTRUCTION EQUIPMENT LIMITED

MODERATOR : MR. ABHISHEK TAPARIA – EMKAY GLOBAL
FINANCIAL SERVICES LIMITED

Action Construction Equipment Limited
February 04, 2026

Page 2 of 22

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '26 Action Construction Equipment Limited Conference Call, hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-screen phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Abhishek Taparia from Emkay Global Financial Services Limited. Thank you, and over to you, sir.

Abhishek Taparia: Good afternoon, everyone. I would like to welcome the management and thank them for this opportunity. We have with us today Mr. Sorab Agarwal, Executive Director; Mr. Rajan Luthra, Chief Financial Officer; and Mr. Vyom Agarwal, President.

I shall now hand over the call to the management for their opening remarks. Over to you, gentlemen.

Sorab Agarwal: Yes. Good afternoon, and welcome to this earnings conference call for discussing the results for the quarter and 9 months ended 31st of December 2025. We take this opportunity to wish all of you a wonderful new year with good health and happiness. Along with me in today's earnings con call, we have our CFO, Mr. Rajan Luthra; and our President, Mr. Vyom Agarwal.

I hope that all of you have had an opportunity to look at the company's financial statements and the earnings presentation, which have been circulated and uploaded at the stock exchanges. Innovation, value and trust are the pillars on which ACE has built its market leadership as a reflection of our engineering capabilities and our deep understanding of India's project site requirements. The company has recently unveiled an extensive suite of new generation technology powered equipment.

The new portfolio includes intelligent tower cranes, passenger lifts, AI-assisted pick and carry cranes, advanced aerial work platforms, high-performance telehandlers and a range of advanced material handling systems and robust construction equipment, reflecting ACE's sustained focus on new age technology, driving performance, reliability and safety across India's infrastructure and industrial sectors.

These machines offer higher productivity, enhanced safety and more intuitive operation, while ensuring reduced total cost of ownership for our customers. As India's infrastructure momentum accelerates, ACE remains committed to delivering world-class solutions that strengthen our nation's growth story.

Now to brief you on the financial performance for the third quarter of FY '26. On a stand-alone basis, the total income was flatish on a year-on-year basis at INR 888 crores approximately with an EBITDA margin of 18.5%. The EBITDA of company grew by 2.48% to INR 164 crores as against INR 160 crores in the corresponding quarter last year.

Action Construction Equipment Limited
February 04, 2026

Page 3 of 22

The EBITDA margin expanded 74 basis points to 18.5%. The PBT grew by 4.28% to INR 151 crores against INR 144 crores and stood at 17%. The PAT grew by 8.15% to INR 115.88 crores against INR 107 crores and stood at 13.04%. The PBT and PAT margins expanded by 96 basis points and 17 basis points, respectively, on year-on-year basis.

For the 9 months ended FY '26, total income declined by 3.21% year-on-year, reflecting the subdued performance in H1 and stood at around INR 2,373 crores. Despite this, EBITDA grew by 7.15% to INR 458 crores with EBITDA margin expanding by 186 basis points to 19.32%. Profit before tax increased by 8.54% to INR 415 crores with PBT margins improving by 190 basis points to 17.5%. Profit after tax stood at around INR 316 crores, registering a year-on-year

growth of 11%, while PAT

margins expanded by 171 basis points to 13.34%.

From a sequential perspective, in quarter 3 FY '26, operational revenues grew 15% quarter -on-quarter. Operating EBITDA increased 16.28% to INR 128 crores, while PBT and PAT rose by 9.9% and 11.5% quarter -on-quarter, respectively. Margins reflect a INR 5.5 crores provision towards additional gratuity and leave encashment arising from implementation of New Labour Codes. Excluding this, margin profile would have been even higher.

The contribution of Crane Metal Handling and Construction Equipment segment stood at 90% of our total revenue, and we reiterated our market dominant position while registering revenue of INR 763 crores, which has grown by 10% as compared to quarter 2 FY '26. The company recorded sales of 2,710 units in the quarter. The margins expanded to 20% and stood at INR 152.82 crores. The revenue contribution of Agri segment stood at about 10%, and we registered revenue of INR 89.44 crores.

Our quarter 3 performance, along with the sequential improvement in demand as the year progressed, has reinforced our assessment that the initial softness following the transition from BS III and BS IV to CE V V was temporary. Demand stabilized in quarter 2 and returned to normalcy in quarter 3. Quarter 3 sales has been particularly encouraging, especially when viewed against the higher base of quarter 3 of last year, which had benefited from prebuying of equipment.

Looking ahead, we expect timely project awards, improved on-ground execution, supportive policy measures and higher government spending to create a favorable operating environment for the company in the coming quarters. The India EU FTA and the proposed U.S. deal at the rate of 18% tariffs are structurally positive for Indian manufacturing, boosting both competitiveness and sentiment.

India is now better placed than key competing markets, especially China, and these developments are likely to reignite the China Plus One strategy, driving manufacturing growth, which augurs well for us. Further, the Honorable Finance Minister's Union Budget 2026 reinforces a growth-oriented and physically disciplined road map for India's development with a continued thrust on capital expenditure.

The Government of India has sustained its infra focus with capex spending growing at a CAGR of 19.4% over financial year '22 to financial year '27 budget estimate. The government has Action Construction Equipment Limited

February 04, 2026

Page 4 of 22

budgeted the capex spending at 11.5% year -on-year in FY '27 budget estimate to INR 12.21 lakh crores. The capex spend to GDP is healthy at 3.1%. Productive capex to create infra assets is crucial for amplifying productivity, which will further fuel economic growth, enhance global competitiveness and accelerate technological innovation in the country.

The budget prioritizes infrastructure and manufacturing through measures such as the enhancement of construction and infrastructure equipment scheme to promote domestic manufacturing of high-value and technologically advanced equipment.

The proposed infrastructure risk guarantee fund and the development of dedicated freight corridors, 20 new national waterways and 7 high-speed rail corridors as growth connectors, an outlay of INR 5,000 crores per city economic region over 5 years has been proposed to support infrastructure development in Tier 2 and Tier 3 cities through a reform and result-linked financing framework alongside incentives for municipal bond issuance and continued support of the AMRUT scheme.

These initiatives are expected to accelerate project execution, strengthen logistics, and drive sustained demand for the company. With our enhanced capacities and execution readiness, the company remains well positioned to capitalize on these opportunities, and we are optimistic about our medium - to long -term growth prospects. Also, we expect our top line to remain

in flatish

during the current year with improved margin profile as compared to the last year.

With this, I would like to open the call for question-and-answer session. Thank you.

Moderator: The first question is from the line of Garvit Goyal from Serene Alpha.

Garvit Goyal: My question is more on the industry side. What are you seeing in terms of the competition from the Chinese players? Are you seeing any kind of increase in their intensity in terms of more imports from China in the crane category?

Sorab Agarwal: We are specifically talking about the crane category?

Garvit Goyal: Yes, sir. More construction equipment and import?

Sorab Agarwal: See, Chinese players are reasonably aggressive. There is no denying the fact, and before going on to cranes, let me just brief you a little on the excavator market. Although, we are not present there, I'm talking of the tracked excavators. In the last 5 years, they've taken up 20%, 25% market

in India on account of their predictive pricing and the credit terms and all they offer. So yes, they are reasonably aggressive in terms of their pricing and their positioning strategy with respect to credit. Often, they keep it so attractive and lucrative that customers get attracted. Coming on to the cranes. See, obviously, the pick and carry cranes and, let's say, less than 30, 35 tons capacity, India is self-sufficient, and we produce more or less all the cranes in India, and we are the market leaders there. We face no problem from any Chinese company or any competition.

Action Construction Equipment Limited

February 04, 2026

Page 5 of 22

With respect to the bigger cranes, the truck cranes and the crawler cranes, yes, Chinese have been very aggressive in the last, I would say, 5, 7, 8 years, and with their pricing, again, predicated pricing and credit terms, so when the Indian infrastructure is growing, Indian manufacturing, let's say, the infrastructure construction market was growing.

The crawler crane and the truck crane market manufactured in India remains subdued only on account of the fact that the Chinese players were dumping at low prices at very aggressive credit terms. Not out of ways to mention that 4, 5 of the companies which were in the larger crane segments also shut shop in the last 4, 5 years, whether it was Tata Hitachi, they stopped making crawler cranes the last 5, 10 years, TIL was in some sort of financial problem.

Tadano in a joint venture in India did not start to produce even though they developed the cranes in India. Kobelco stopped taking the bigger cranes. We only have a pricing problem from the Chinese and there's another one ABG Cranes.

Looking at all this and because we were also in the bigger crane segment or heavy crane segment, we had applied for filed for protection or what you can say, study in Ministry of Commerce and a proper DGTR, General Trade Remedies proper assessment happened, and it was a public trial, you can say, and it lasted nearly 1, 1.5 years. Finally, duty was recommended on the Chinese cranes in the month of September. Unfortunately, for some good-bad reason, it has not been notified by the Finance Ministry.

Obviously, Finance Ministry was totally busy with their budget in the last 1, 1.5 months. We have been trying to seek time from them as to the reason why it has not happened or any additional information or anything is required.

Although, there is a very clear order from Ministry of Commerce, DGTR specifying the entire proceeding, which is public knowledge, it can be seen anyway. That is the situation what it is today that the antidumping duties, which were the DGTR findings and ruling is there, but they have not been notified by the government, which would have happened in December.

Garvit Goyal: In your opening remarks, it seems like industry environment is improving, right?

Sorab Agarwal: Yes.

Garvit Goyal: Considering both the cases, the industry

environment is improving on the other side, the Chinese

competition is rising. How do you see the growth outlook maybe in FY '27 and FY '28? Because we are having the capacity with us, right? What do you think about growth are you looking?

Sorab Agarwal: I've understood your question, you are mixing 2 things. With respect to our core business of mobile cranes of construction equipment that we manufacture in India, we have hardly any competition from Chinese. With respect to a particular segment of that business, which is heavy cranes, cranes bigger than 30, 40 tons, there is competition. As it is, we are small in that segment because the Chinese have captured it over the last so many years.

We were trying to increase the manufacturing capacity capability of our company and our country by getting that order. We really do not face any problem or competition from China or

Action Construction Equipment Limited

February 04, 2026

Page 6 of 22

Chinese aggression with respect to our core business. There is no problem there. Every thing is fine. We are expecting growth there. Yes, last 1, 1.5 years was slow, especially after the election results were a little not as per expectation.

Luckily, we were saved because of prebuying happening of BS III last year, I'm talking of last financial year. This year was slow because a lot of prebuying had happened, some extended monsoon, overall geopolitical plus, Mr. Trump and tariff sentiment. We were expecting some telehandler execution to happen from the government order, which got delayed. This is beyond our control.

With the market last 8, 9 months, 10 months, we were able to not really increase our revenue, but now things seem to be on track. The sentiment is very much there, and we are market leaders in our core segments. We do not face any threat, any competition from the Chinese

manufacturers with respect to our core business. We expect that we should be in positive territory year-on-year in this quarter and going forward in the next year.

Garvit Goyal: With respect to the ramp -up, I just want to understand. Right now, what is our peak revenue capacity that we have? How fast do you think we can reach close to that number?

Sorab Agarwal: See, our current capacity is upwards of INR5,000 crores. I think a little tweak here and there, it can go to INR5,500 crores to INR6,000 crores. We are at a revenue level of close to around INR3,300 crores, INR3,400 crores as of now. What we feel and what we have thought and planned that by FY '29 or latest by FY '30, we should be somewhere between INR6,000 crores to INR7,000 crores.

Like I said, we already have a capacity of close to INR5,500 crores. We are doing close to about INR3,400 crores plus/minus. Yes, we have capacity available for the next 1 or 2 years of growth, maybe more. As and when we see the opportunity that -- or the need to increase capacity, we will immediately work on it. We have got ample land available. In the current year, we bought land. In the last year, we bought land.

Now we have enough land, whether in Indore, whether in Faridabad for our future expansion. Hopefully, we can do it very quickly as and when required. Yes, I do not see any foreseeable expansion in the next 1 year apart from a lot of modernization and automation, which we are focusing on.

Yes, in saying this, I would just like to say that with respect to tower cranes, we have envisaged increase in capacity. Maybe in the next year, we will try and start to expand that, expand our capacity by setting up a new plant for tower cranes. That will be totally based on the momentum we see in the market and then accordingly we start to increase our capacity.

Moderator: The next question is from the line of Kaushik Poddar: from KB Capital Markets Private Limited.

Kaushik Poddar: Yes. Can you expand a bit on your defense as well as export capability or what you have in mind on both these

spheres?

Action Construction Equipment Limited
February 04, 2026

Page 7 of 22

Sorab Agarwal: Yes. See, both of them combined together, we feel that we can easily do a 15% type of revenue, defense as well as export business put together, maybe a 10% contribution coming from export on an increased base as well and a 4%, 5% coming from defense.

In the last year, we did close to 2% in defense. In the current year, again, we would be somewhere around 2% on the defense business, but in saying this, I would just like to say that currently, we have orders of approximately INR500 crores in hand, which have to be executed. Because of certain procedural delays, they did not go into execution and we start to go into execution now very soon.

What I can say that for the next year, we already have around INR500 crores or INR550 crores of orders. To put it in percentage of next year's growth, I mean, our defense revenue can go up to 8%, 10% in the next year, but it will not happen because obviously, it will be phased out or with respect to delivery. We expect that next year, we can go up to 4%, 5% contribution from defense, at least about 4%.

Going to exports, last year, we did 4% contribution from exports. This year, we are looking at somewhere around 6% to 7%, more towards 7%. In the current year, 7% exports and 2% defense will make it about 9% contribution to our business. Currently, 9%, so next year, we can be pretty confident it will be somewhere upwards of 10%. Our plan was 10% to 15%. The first benchmark, hopefully, we should be reaching in FY '27.

Kaushik Poddar: In this budget, there was some -- this incentive or something to be given for your construction equipment and all those things. Can you expand on that?

Sorab Agarwal: Yes. The Finance Minister did mention a call CIEScheme, that is Construction and Infrastructure Equipment scheme. To the best of our knowledge, because we have attended certain meetings in Ministry of Heavy Industry with respect to this and to the best of our knowledge.

This is a PLI scheme, wherein for the first time, focus is being given to construction and infrastructure equipment in India and especially to those equipment where our country relies mainly on imports of equipment or where the percentage of the demand fulfillment in India is more from imports, even if it is made in India, but let's say, still good quantities are being imported. That's the focus.

To indigenize or to do that in India, whatever is getting imported into the country. Obviously, most of it is from our neighbouring country only because of the price and policy. Here, this will be a proper PLI scheme with the incentives based on attaining revenues turnovers. FY '25 revenues and investments would become the benchmark.

FY '25 revenues will form a part of the added investments that would be required in the scheme -- sorry, FY '25 investments would be considered while becoming eligible for the scheme.

Hopefully, it should be out in the next 2, 3, 4 months, maybe it can be a favor in the absence of

the antidumping duty order, which we were expecting.

Kaushik Poddar: This new scheme that is to be come in 3, 4 months or something, will this be for newer products or for your existing products?

Action Construction Equipment Limited

February 04, 2026

Page 8 of 22

Sorab Agarwal: This is mainly for categories where our country is importing more than manufacturing in India or totally based on where products are totally being imported. If you look at it like that, crawler cranes and truck cranes will get included in this.

Kaushik Poddar: Basically, import substitution based on import substitution?

Sorab Agarwal: Yes. The heavier cranes, where we were expecting antidumping duty in all probability should get included in this, apart from categories like piling rigs, reach trackers, aerial work platforms, which are hardly being manufactured in our country, plus a lot of other machinery, road

machinery, construction equipment, smaller and bigger dumpers, smaller excavators, really big mining excavators, tunnel boring machines, ropeways, a lot of other things, which the country is really not producing in.

Kaushik Poddar: Tunnel boring is specifically mentioned in the budget. That's what I see.

Sorab Agarwal: Tunnel boring is how the entire process started because China stopped our machines.

Kaushik Poddar: Now these things, you are capable of manufacturing or you require some kind of expertise for manufacturing such things?

Sorab Agarwal: A couple of truck crane, crawler cranes, we are already there and a couple of other machinery categories, which are coming under the scheme. As it is envisaging and we have the capability to design and to manufacture that in India.

Moderator: The next question is from the line of Rochan Charan from Global Consilient Research.

Rochan Charan: My question is with regards to your margins on product-wise. Construction equipment on a quarterly basis has seen a lower growth as compared to the agricultural equipment, right? I just wanted to know out of these two, which one has a higher margin?

Sorab Agarwal: Construction equipment is definitely has a higher margin. Agri, we are struggling as a matter of fact, especially in the last quarter.

Rochan Charan: Do you expect any increase, like further growth, how much has been happened in this quarter in the agricultural equipment to continue?

Sorab Agarwal: First, we are focused on construction equipment or agri?

Rochan Charan: Agricultural.

Sorab Agarwal: I'll talk of both. See, construction equipment, this quarter, we are already at close to about 20% EBIT level, which I think is one of the best in the country and maybe in the world as well. I think we are touching our peak. Obviously, with numbers of our construction equipment and certain other type of equipment increasing going forward in the next 1 or 2 or 3 years, more operating leverage will kick in, and we will have the flexibility to either further increase these margins or pass on these benefits to the customers that we will decide in due course of time because I think at 18%, 20%, construction equipment business is at the right level of profitability.

Action Construction Equipment Limited

February 04, 2026

Page 9 of 22

Going to the agri equipment, yes, we were close to about 4%, 4.5% here and there generally at EBIT level, but due to certain provisioning and whatever, which Mr. Luthra can explain. Our profitability has gone down to about a percentage there in this last quarter, which I'm sure will bounce back. Yes, from there from 4%, 5%, our endeavor and target is that, that needs to go to at least 12% to 15% level so that it comes to some sort of a sensible margin profile over the years to come, and then we are definitely working towards it.

Moderator: The next question is from the line of Vijay Pandey from Nuvama.

Vijay Pandey: I have a couple of questions. First is, in terms of the guidance, our guidance is slight growth or is it flat growth for FY '26 for full-year? Does it include volume or is it on value terms?

Sorab Agarwal: Current year, I think we will be flat, flat to positive, but yes, flat. That is what I can tell you. It is in value terms. In volume terms, definitely some decline, but I'm sure we'll more than make up for it in the next year.

Vijay Pandey: Secondly, in terms of the PLI scheme. What is our expectation on which of the products will it and where we have the capability to supply it?

Sorab Agarwal: There is a PLI scheme, we would be focused on crawler cranes and truck cranes for sure and maybe some bigger rough terrain crane. Apart from container reach stackers, and piling rigs and maybe some aerial platforms because recently, we had started to do some aerial platforms. Till date, we have not done any piling rigs or

any reach stackers, but yes, we want to enter that line.

We have not manufactured any lifting rigs in India. We only do trading.

Truck cranes and crawler cranes, we've already been doing. I believe these 4, 5 products is what we will be focusing on if the PLI scheme comes. Obviously, if we are eligible for that, whatever the conditions the government of India will lay down for that, yes.

Moderator: The next question is from the line of Aditya from Old Bridge Mutual Fund.

Aditya: My first question is on the volumes part. We saw in the construction and crane segment volume dropped by 23%, but is that the case similar degrowth we have seen in tower cranes?

Sorab Agarwal: Not really. I think tower cranes has reasonably held up. Yes, for a couple of months in between, we saw a 10%, 15% dip on a year-on-year basis on a monthly level. I would say that tower cranes has more or less held up with respect to its numbers. It was more to do with mobile cranes and especially because of a lot of -- in quarter 3, quarter 4 last year, there was a lot of prebuying. That was the main reason which contributed to this issue.

Aditya: If I may ask, what would be the volumes you would have done in tower cranes this year as compared to last year?

Sorab Agarwal: See, in the first 9 months, we have already done close to about 500 machines, a little here and there. Last year, we did a little upwards of or close to 650 tower cranes. This year, we've already done 500 cranes. By the end of the year, we should be somewhere close to 680 to 700 cranes.

That is an 8%, 9% increase over last year.

Action Construction Equipment Limited

February 04, 2026

Page 10 of 22

if you look at the smaller, the self-erecting tower cranes, there, again, we did 161 units last year.

We've already done 113 in this year. Here again, we would be, let's say, 4, 5 percentage more than last year. Tower cranes closer to about 800 last year. This year, it will be closer to 900.

Aditya: What would be our capacity in tower cranes?

Sorab Agarwal: In the fixed tower cranes, our capacity is 800, 900 units. Once we do 700 cranes this year, so we will be touching close to about 80% capacity. That is also one of the main reasons which I mentioned that in the next year, we will try and expand our capacity for tower cranes. Because our current capacity is 800 -900, we are doing a small rejig so that our capacity comes closer to maybe 1,100 units, which can suffice for next year requirement. That is also one of the main reasons that we might envisage. We already planned for expanding our capacity in tower cranes in the next year, setting up a new facility.

Aditya: My second question is on the realizations part. In the agricultural equipment, we have seen significant jump in realization both Y-o-Y and Q-on-Q. We are reaching almost INR9,90,000 per unit in agriculture, so what's driving this?

Rajan Luthra: I will take the question. This is mainly because of the increase in the harvesters. Harvesters, now we have become #2 in the country and average selling price of the harvester is somewhere about INR21 lakh to INR2 lakh. We had a very significant growth in the harvester this current year. This has led to the increase in average realization in the agri department.

Aditya: In the agricultural volumes of 900, how much would we have sold harvesters?

Rajan Luthra: Harvesters, we have done around 410.

Aditya: This is for the quarter?

Rajan Luthra: For 9 months.

Aditya: 9 months then what is total agri for 9 months?

Rajan Luthra: Total agri and tractors, we have done slightly, 1,600 Tractor, is 471.

Aditya: We have done 2,000 units, I think, in agricultural equipment in 9 months. Out of that, we are saying 400 units are harvesters, right?

Sorab Agarwal: Yes.

Aditya: Then around 1,600 units are tractors.

Rajan Luthra: Then around.

Aditya: Just to understand the harvester market a bit better. I

if you say, we are the second largest player,

how big would that market be? What is our market share there?

Action Construction Equipment Limited

February 04, 2026

Page 11 of 22

Rajan Luthra: Our market share, the biggest is now the class, which has now been sold to Yanmar. The market will be somewhere about -- our market share will be around 30%.

Sorab Agarwal: Aditya, I'd just like to add one more thing. Here, we are talking about harvesters, we are only talking about track harvesters. We are not talking about the wheel harvester, which is manufactured in Punjab. We are talking about a very niche segment of track harvesters.

Rajan Luthra: The market I told you, only track harvesters.

Aditya: One last question is on gross margins. We have been posting really healthy gross margins of 32% to 34% range, probably more on 33% from the last 5 quarters to say. Earlier, we used to do anywhere around 29%, 30%. The jump of the delta that we have got of 2% to 3%, what would be the major reason driving it consistently? How sustainable is it going ahead?

Sorab Agarwal: Yes, I think it is a combination of 4, 5 things. Obviously, gross margin is a combination of sales price your material cost and obviously, the manufacturing expenses. With our cost efficiencies, which we are building in and automation and productivity improvement and our continuous focus on maintaining, ensuring and increasing our sales price and our input cost in terms of raw material. It is a combination of that. On all fronts, we have been gaining something, and that is what we have been -- it's reflecting in our gross margin.

I think going forward, it should be sustainable because there is a reasonable amount of pricing power and the market today understands that, yes, if the commodities go up here and down, especially steel, and which we have demonstrated in the last 7, 8 years that as and when there is a drastic increase in any input cost, it can be passed on to the market with a lag of 3 - 4 months.

I think gross margin profile should be sustainable. Going forward, with the operating leverage playing in because we already have capacities up to INR5,500 crores, which I mentioned. Further with increase in operating leverage going forward in FY '27 and FY '28, we will get an opportunity to further increase it, I believe, but that would not be our endeavor. Our endeavor would be that we get a better contribution from our agri business and improve it in the other way, not by increasing it further in the construction equipment of crane segment.

Rajan Luthra: Just I want to add the market -- because of the product mix also because market is moving towards telematics and what we have done, which nobody has done. That is also giving good margins.

Sorab Agarwal: There's something more I would just like to add that with the BS V, CE V V, and very recently, in the last 2, 3 months again, we have, in our cranes, introduced certain added features, AI-based features, safety and other features or different types of platforms, flexless transmission, which is the first in the country for pick and carry cranes or a single chassis crane where safety is enhanced.

Plus, we have really focused on operator comfort. We are one of the first companies in India. Rather, I would say, one of the first in India and maybe in the world with our ACE.Live app and telematics. It's not that we get some information on the machine, on the customer or our dashboards or different devices, we can talk with the machine and pass on some instructions and
Action Construction Equipment Limited
February 04, 2026

Page 12 of 22

some controls and parameters from our cell phones or tablets or laptops onto the machine, and some extended safety features, which we have added.

Obviously, the market is willing to pay a price for all these advanced features. We believe that not only a better price, which is definitely one of the

agendas of every company to maintain and sustain profitability, but these value-added features, which we are giving, whether on safety or whether on innovation or whether on the controls of the machine, in the next 6 months to 1 year or 1.5 years are going to be very instrumental in determining our future growth within the crane segment and other products in the country.

We are very hopeful that whatever we have done is more or less the first time it has been done in the world on pick and carry cranes and it is going to reap good results going forward. Already, we are seeing the change in product mix happening in the last 6 months to 1 year. This will, I think, work really to the benefit of the company in times to come in the next 1 year itself.

We are able to distinguish ourselves from any other manufacturers with respect to the offerings that we have. Today, our new generation cranes, we can very proudly say, have become fail-safe cranes. Basically, unless you actually want to turn off some system and have some accident with the crane, you cannot do it. You'll be protected from doing it. The operator skill level or, let's say, the safety conscience of the operator, that report can be generated by the machine learning that is going in through the data capturing, which is happening.

Moderator: The next question is from the line of Pankaj Tibrewal from IKIGAI Asset Managers.

Pankaj Tibrewal: Firstly, when you talked about the longer-term vision of '29 and '30 and you talked about INR6,500 crores to INR7,000 crores. In your thought process, how does the things add up?

Because we believe that there's a large opportunity on the earthmoving equipment side, Backhoe especially where JCB is a very large player, which is today market share-wise. When you look at the overall next 3 years, how does the things add up from different pieces and export also? If you can dwell on a little bit of more detail, it will be helpful.

Sorab Agarwal: See, we have been fluctuating between 8,000 to 10,000 cranes. I would say 7,000 to 10,000 cranes in the last 2, 3 years, if we going a little down in the last 1 or 2 years. I feel that if you put all the pieces together, how we will reach that revenue.

Over the next 3, 4 years, this about 9,000, 10,000 cranes will definitely go to 14,000, 15,000 cranes for us, not only organically, but also with respect to some incremental market share, which we will get because of a lot of good work, hard work and better features which we have introduced in the market in the last 6 months, 1 year, which we are very sure of, and we are seeing a traction already.

With respect to our construction equipment, which has backhoe and some road machinery, we feel from the current numbers, that will easily double up from here or maybe more than that.

Tower cranes, we again feel will more than double up from here. Material handling will more than double up from here. Exports and defense. Defense, we are seeing doubling up 100% in the next year on an increased base. Exports is increasing steadily.

Action Construction Equipment Limited

February 04, 2026

Page 13 of 22

Apart from that, there are some inorganic opportunities which are there with us, which we are pursuing. If everything goes well, obviously, in due course, it will become public knowledge.

All of that put together, I think reaching INR6,000 crores to INR7,000 crores kind of scenario over the next 3 to 4 years should not be difficult unless something major was to happen in the world economy or Indian economy.

Pankaj Tibrewal: This all growth will be funded internally, right? There is no need for an external capital, either a debt or an equity raise to be happening, right?

Sorab Agarwal: We are a debt-free company. Last year, we were able to bring ourselves to a 0 working capital scenario in our final balance sheet, although in the middle of the year. We are very hopeful by the end

of this year, again, we'll be able to bring ourselves to a 0 working capital. Plus, we don't have any debt, plus we have, I think, close to -- Luthra, you can correct me if I'm wrong, about INR1,200 crores on our books available to be deployed anyway.

In doing all of this, and we already have, like I said, capacity to go to INR5,500 crores and we will be close INR3,400 crores, INR3,500 crores right now. Obviously, once we are increasing our revenue, more profits will flow in. I don't think we should need any type of debt or any type of thing to double ourselves or even more than that, including some acquisitions.

Pankaj Tibrewal: Last but not the final question, any color on the ground level reality because as an industry, you are the first company to feel the slowdown or the excitement.

Sorab Agarwal: We are definitely improving. There's been a lot of traction December onwards. It took us by surprise. I think now, especially with the European FTA deal, just the sentiment obviously how much it will take shape, when it will take shape, but sentiment matters more than anything else.

There was already positivity in the air and in the business on ground in December. It continued into January, then the EU thing happened.

Now I think with the U.S., whatever swing of height has happened and a good budget with respect to manufacturing and focus on infrastructure. I think things will start to build up from here, hopefully, and we should also be playing along. I just hope that the 25%, 30% growth scenario comes back as soon as possible because it will be 1 or 2 years, and we are also feeling wasted.

Pankaj Tibrewal: That always is a part of the cycle. Good to hear that the ground reality has started to change for good.

Moderator: The next question is from the line of Mudit Bhandari from IIFL Capital.

Mudit Bhandari: My question is upon the margin. If I look at Q-on-Q, 2Q FY '26 to 3Q, our crane or equipment division realization, average selling price slightly decreased on a blended basis, even then our margin has expanded. Which product is driving that or how that is being done?

Sorab Agarwal: Luthra sir, were you able to figure out the question? Our selling price has decreased across which product category?

Action Construction Equipment Limited

February 04, 2026

Page 14 of 22

Mudit Bhandari: Across our non-agricultural product, total construction equipment segment on a blended basis.

Sorab Agarwal: Our price realization has increased, not decreased.

Rajan Luthra: I think it has increased.

Sorab Agarwal: Whatever data you're looking at is wrong, our price realization has only increased.

Rajan Luthra: Because in most of products selling price has increased.

Mudit Bhandari: If I calculate reported revenues by reported volume figures, so it's a blended realization.

Sorab Agarwal: There's a definite increase across all product categories, all product categories, non-agri in the last 9 months.

Mudit Bhandari: Which product has led to our margin improvement in this quarter?

Sorab Agarwal: The current quarter, I think it's more to do with the product mix, because what is happening, new generation cranes are becoming more popular than the traditional hydra cranes. In that, again, the higher tonnage cranes are becoming more popular. Tower crane again, is on a growth this thing. I think especially bigger pick and carry cranes, the new generation type and some tower cranes, that's further helping us in our margin profile.

Mudit Bhandari: If I look at current improved selling price, is this now accepted by customers post the changing norms of CE V?

Sorab Agarwal: Now that acceptability is very much in place. We struggled in quarter 1 and to some extent in quarter 2 on account of price acceptability. Now I think it is 9 months down the line, 10 months down the line. Now it has totally flown into customers. That is also one of the reasons that we

've

been able to improve our numbers in December, and we are very confident of this quarter because the price has flown down and acceptability is totally there in the market. It has been 8 - 10 months.

Mudit Bhandari: If, let's say, we get tower cranes, crawler cranes and truck cranes in FY '27 or so, then that will be an increased realization of increased selling price to our pick and carry crane or how is the difference in our selling price within these?

Sorab Agarwal: All the cranes are very different. Pick and carry cranes, the price range is anywhere between INR 15 lakhs, INR 16 lakhs to INR 30 lakhs, INR 40 lakhs, INR 45 lakhs. Truck cranes and all crawler cranes, start at INR 80 lakh, INR 85 lakhs and go up INR 2 crores INR 2.5 crores INR 3 crores depending on models. Most popular, I would say, in the range of INR 1.4 crores, INR 1.3 crores average. They are totally different types of machines.

Yes, there is the issue of price realization in the truck cranes and crawler cranes. That is the reason our market penetration is small because the Chinese are dumping at very low predatory pricing. Hopefully, with the antidumping duty, if at all they come or going forward with the CIE scheme, which the government wants to PLI scheme. I'm sure somewhere it will have some Action Construction Equipment Limited
February 04, 2026

Page 15 of 22

compensatory effect or benefit wherein we will be able to sell more machines as compared to what we are doing today.

Mudit Bhandari: Lastly, I think we mentioned we have a capacity of 400 truck and crawler cranes. Is that right?

Sorab Agarwal: Yes. We have capacity of about 400, we are doing close to 50-60, We were very hopeful that antidumping duty will come, and we will be able to utilize that capacity in the next 2, 3 years.

Unfortunately, it has not come. Now we are very hopeful that the PLI will come and we will be able to utilize at least 60%, 70%, 80% of that capacity. Let's see, let's keep our fingers crossed.

In any case, we had mentioned earlier that our KATO joint venture will be there in place.

Hopefully, we should be in a position to announce something very shortly wherein that joint venture definitive agreement shall happen and it will become operative. That will also help us in utilizing this capacity.

Moderator: The next question is from the line of Mihir Manohar from Trust Mutual Fund.

Mihir Manohar: Sir, Manufacturing, logistic and infra, mostly contributes to the 75 -80% business. I mean when I see the EPC order book building factories, across all EPC business, the buildings and factories manufacturing order books are quite strong. I understand there is an increase in price which has happened, but I mean given the underlying demand which is strong, why did the volume growth not pick up? Should we see a material improvement from here given the fact that at least for EPC company, expected order book has picked up quite sharply?

Sorab Agarwal: Our execution and our orders have also picked up. Vyom, I think parts of the question, I was not able to figure out. Were you able to figure out because of the doubled in this thing?

Vyom Agarwal: What I could figure out is that I think there is some manufacturing uptick in the economy, and they want us to reflect upon that on our business.

Mihir Manohar: Broadly, I mean, when I see the manufacturing order book across EPC companies, in infra as well as building and factories, that order book has picked up quite sharply across last 1, 1.5 years.

However, I agree that there has been a price increase which has been there for us because of the new norms, but the volume growth has not been there. Now given the fact that such high order books are there for EPC companies, should we expect much better volumes for us?

Sorab Agarwal: 100%. Even though order books were there, but the payments for EPC companies were lagging. That is also one of the reasons that they w

ere going a little slower. Now everything seems to be

have sorted the price increase and the acceptance with respect to the emission norm changes that has happened. EPC companies, the order books are there. Fresh orders are also coming in at a good rate now. Let's say, the payment problem is sort of getting solved with liquidity being addressed here and there by the government.

Manufacturing sector, again, things seem to have picked up and a very clear indication for that is price of steel going up. I believe that all things are now coming back together in the right thing. That's why we are seeing increase in our own execution, our own order booking and

Action Construction Equipment Limited
February 04, 2026

Page 16 of 22

execution, which we have felt definitely in the month of December as well as continuing well into January and February.

Moderator: The next question is from the line of Sidharth Srikumar from iThought PMS.

Sidharth Srikumar: My question is what would be the volume for backhoe loaders in Q3?

Sorab Agarwal: In Q3, it should be close to about 200 numbers, approximately. I think it is the construction equipment will be put together close to 450 units.

Sidharth Srikumar: How do you see this product category in the future, let's say, over a 5-year period?

Sorab Agarwal: I think that we are doing close to about 800, 900 units average in this category. It can easily be at least 3x to 4x of what it is now, I would say 3x. We are already feeling it in our domestic market in the last 1 or 2 quarters, yes, for the last 3, 4 months, the entire construction equipment market was down about 20%, 25% in volume. That was a drag.

We feel that even in the coming year from this 800, 900 units, we should easily go to 1,300,

1,200 units, that's a 30%, 40% increase. Over the next 5 years, maybe a 3x is what it seems things are. We are also getting a lot of good traction in the export market for this product.

We believe that whatever numbers we will be able to increase in the domestic market, similar numbers, we should be able to increase in the export market also. Things seem to be panning out as of now as we speak.

Sidharth Srikumar: One related question I have is, from a product perspective, do you actually earn a higher margin or the same margin from this product compared to the cranes?

Sorab Agarwal: As compared to cranes, the margin would be slightly less because of our numbers. Yes, as soon as our numbers start to hit more than 1,300, 1,400 units annually, we feel the margin profile for this product as well as cranes would be similar.

Moderator: The next question is from the line of Kunal Tokas from FVC.

Kunal Tokas: Just two quick questions. First is, can you tell me the share of cranes to the top line and specifically tower cranes?

Sorab Agarwal: Share of cranes to the top line. Tower cranes is generally around 10%, 12% to our top line. This quarter it was 10%, 11% or 12%. I think Mr. Luthra can do a quick calculation and send it over to you.

Kunal Tokas: In the entire cranes segment?

Sorab Agarwal: Cranes, generally for us is around Luthra, sir, do we have a figure for all cranes put together to our top line?

Rajan Luthra: We will send that number, sir.

Action Construction Equipment Limited
February 04, 2026

Page 17 of 22

Sorab Agarwal: Generally, it's about 60%, 65% Mr. Luthra will send it to you.

Kunal Tokas: The second question is in backhoe loaders, which you say can be grow n 3x in 5 years easily. JCB is the leader. I assume that you have already tried to dismantle the leaders. What has been the challenge in doing that?

Sorab Agarwal: Yes, we have deciphered everything. We know the issues. Obviously, we can discuss in detail. We have all the plan and why we are not able to do it or even other manufacturers why they are not able to increase the numbers. We definitely have understanding of those facts, and w

e are

working very hard on them. We are hopeful that we should be able to break away the shackles very soon.

Kunal Tokas: I was asking this question because I would assume that you would be more cost competitive with them, right? It has to be some other factors.

Sorab Agarwal: Yes. Our pricing is much better than JCB. Machine is very similar, but the issue is that over the years, what has happened that today, JCB as a company is really not selling their backhoe loaders, but all the NBFCs are selling their backhoe loaders. Because for them in a resale value perspective, or, let's say, a default perspective of their past experience in the last 15, 20 years, they feel JCB is the safest product.

Even JCB bull is the finance companies or the down the line officials to a certain level that if any of the individual person posted by NBFC in a particular area, if he funds any other machine, he gets blacklisted by the JCB network, they don't give them business.

A lot of things are happening. It's basically the NBFCs and finance companies are selling the

JCB machine. It is become some kind of a self-fulfilling type of a property that it is happening automatically. Then we've understood that. We're working on it. Very soon, I think we should be able to break that cycle also.

It's not that those finance companies are not funding our machines. Somehow, they are in the trap of unknownly, they keep on funding. What they also do is that some neutral customer comes their way, they indirectly push it to JCB rather than thinking of any other machine. I'm sure it will happen. Nothing can sustain for ever. I'm sure we'll figure out something.

Vyom Agarwal: Just to add to this, for the 9 months as per the ICEMA figures for earthmoving equipment, the market has contracted, the domestic market has contracted by almost 10%, whereas we have tried to remain flatish or grown a little bit. That clearly indicates that we have grown a fraction of our market share as well.

Sorab Agarwal: That is very miniscule room at the current juncture. I'm sure with all the right things that we have been doing and even currently, we are focused on, and I can very proudly say that our latest machine, which we introduced along with CE V V is one of the best machines in the world with respect to performance and reliability apart from aesthetics.

Moderator: The next question is from the line of Pratik Kulkarni from Ko Sh Wealth Management.

Action Construction Equipment Limited

February 04, 2026

Page 18 of 22

Pratik Kulkarni : I just had one question and correct me if I'm wrong. In the recent budget, there was a mention of some custom duties on the custom bond zones where foreign companies can grind their parts and machines that assemble and then sell it to -- they can sell it to Indian contractors, but they will be only -- the duty only be levied on the imported parts and not on the finished machine. Is my understanding right? If this does happen, could this reduce the gap between our total cost of ownership and the foreign players' total cost of ownership for the contractors?

Sorab Agarwal: First of all, on basic understanding, what I just heard from, I don't think this will make any difference, whether it is custom bonded or not because finally, custom duty is always paid only on the imported part. If it is assembled in a custom bonded or duty is paid first, the only difference would be the duty being paid when it is imported or duty being paid with a delay of 3, 4 months. Financially, that is the only difference. Luthra, is there any such thing? That is his main question.

Rajan Luthra: I don't think so. The only benefit the government has given that the duty can be paid for a reputed manufacturers like us not on a 15 days, but on a monthly basis. Now whatever we import, we will have to pay duty on a monthly basis. If you keep the machines in the bonded warehouse, duty has to be paid when

you remove the metal from the bonded warehouse, probably nobody wants to keep inventory unless somebody wants to have a lot of inventories in the warehouse.

Sorab Agarwal: Bonded warehouse is still there, Mr. Luthra, which is currently also applicable?

Rajan Luthra: Right now also its applicable.

Sorab Agarwal: What you saying, 15 days, 1 month, we can pay duty. This is AEO. We already have this approval.

Rajan Luthra: We already have. Earlier, it was 15 days. Now we can pay duty on a monthly basis. On the 1st of every month, we can pay duty for all imports during the month.

Sorab Agarwal: We can calculate whatever is duty and pay once rather than paying it every time or every 15 days.

Rajan Luthra: It is paid on a monthly basis at the end of the month.

Moderator: The next question is from the line of Rajeev Maheshwari from Raj Investments.

Rajeev Maheshwari: I have a couple of questions. First is, has the government totally gone back on this electric cranes because it's long back, it was showcased in the exhibition, but still no update as such on that.

Can you just throw a light on that?

Sorab Agarwal: Yes. No, I think they did come back with some regulations 4, 5 months back, which have been approved, but unfortunately, the approvals required from CMV are again, ARAI approval. There was some issue with the Exide batteries and all. Vyom, any update when is it getting finished?

Vyom Agarwal: The batteries have gone to ARAI on the test bench, and we are expecting their approval within this month or maybe next.

Action Construction Equipment Limited

February 04, 2026

Page 19 of 22

Sorab Agarwal: Within this quarter, the electric cranes will be come ready for commercial sale

Vyom Agarwal: Correct, sir.

Rajeev Maheshwari: They will be ready this quarter. Regarding the electric vehicles, will it help us to gain market in the EU and the U.S. after the trade deal, the new electric cranes and the newer version of the

cranes, which we recently launched?

Sorab Agarwal: To be very frank with you, currently, we do not export anything to the EU or America, and that was never in our scope of things also. In the last 4, 5 years, 3, 4 years, we've actually started exporting to Middle East Asia, Africa, some South America and a little bit in Southeast Asia and some Central Asia.

Definitely, going forward in the years to come, we will be exporting these electric cranes and not only these electric cranes. Today, our emission norms are the best in the world, Tier 5. Europe is Tier 5. America and Japan is Tier 4.

Yes, going forward in the years to come, not only electric, but even the Indian diesel engines, everything is going to go to the developed part of the world in the next 2, 3 years because first, our focus is on Middle East, Africa, South America, which we can penetrate easily.

Rajeev Maheshwari: The second part is regarding our defense order pipeline, it's a long time, none of the announcement has come on any big defense orders. Is this the government has gone slow or something is going up in the pipeline, which may be announced in the coming months?

Sorab Agarwal: There is an order of close to about 150 machines. They are called heavy recovery vehicles, which we are expecting any time. Each machine is approximately INR1 crore. First, it's 54 and then it's 90. am I speaking right, Luthra ? That's how it is this?

Joint tie-up with Ashok Leyland, HRV. This we will be announcing shortly. Even as of now, we have orders close to around INR500 crores available for execution. Within this year, we'll be executing further INR30 crores, INR40 crores. Let's say, we will be entering the new year with about INR460 crores, INR470 crores worth of orders. We are very hopeful that in the next year, we will execute about INR150 crores, INR200 crores worth of orders. That should increase make it about a 5%, 4% contribution from defense. We hope to maintain

that 5%, 6% level going forward.

Rajeev Maheshwari: If I listen correctly, in your opening remarks or in some of the questions, you have mentioned about some acquisition of land in Indore. Am I correct? Was it Indore or some other places?

Sorab Agarwal: Yes. In Indore as well as Faridabad, Palwal, yes.

Rajeev Maheshwari: Faridabad, makes sense, but in Indore, any plan of setting up a new plant? Or what exactly is the rationale behind this?

Sorab Agarwal: The rationale was to rationalize on the outward logistic cost because Madhya Pradesh, Indore is, we believe, more or less like more closer to Central India. Dispatch of machines we realized to

Action Construction Equipment Limited

February 04, 2026

Page 20 of 22

South and West would be more economical from Indore. On a larger number of machines, this could lead to significant outward logistics.

Obviously, in Indore, there is a good enough base for -- to further diversify our input supply, the auxiliary industry base, as well as to benefit on the outward logistics. Especially, the port infrastructure. This was the main consideration why we also looked at Indore going forward.

Rajeev Maheshwari: By when can we decide on the framework of setting up that plant or now you have just planned to take the land and in due course, we will plan that?

Sorab Agarwal: Yes. Right now, we plan to take the land and it is being developed for commercial use because the land is under development. Hopefully, we will get possession for use in the next 1 year. We can expect something over there in the next 2 to 3 years.

Currently, first of all, we will be developing our tower crane plant on our -- this new piece of land, which we have bought in Palwal. We have bought 2 pieces. One is about 22 acres. The other which we are about to get possession is about 86 acres.

First, we will be developing the 22 acres in Palwal. We will have 86 acres in Palwal available for future expansion and this 30 acres in Indore for future expansion. We thought to lock in land at good prices because land prices in the last 2, 3 years have been increasing at a very significant pace. We ensure that we do not make a lot of capex on cost of land. That's why we locked in these lands.

Rajeev Maheshwari: Maybe you got at a competitive rate and that since fund was available out there.

Sorab Agarwal: Already doubled. This INR250 crores worth of land is already INR500 crores. By the time we are setting up factories INR600 crores, INR700 crores.

Rajeev Maheshwari: You have already doubled your money in a couple of maybe years or...

Sorab Agarwal: The company's money, but in any case, the purpose is not to sell them. The future expansion will come at a higher cost.

Rajeev Maheshwari: One quick update of the January sales, how much percentage is the January sales compared to last month?

Sorab Agarwal: It's definitely higher.

Moderator: The next question is from the line of Jenil Barad from Prudent Corporate.

Jenil Barad : Can you sort of give me the year -on-year growth of the subsegments in the non -agri segment

such as cranes, what has the growth been for cranes, construction equipment and the material handling segment and the sort of direction for the next year on how you see the growth in these segment ?

Sorab Agarwal: If you look at our segment results, so in the cranes and metal handling and let's say, the construction equipment, on a quarter -on-quarter basis, we've been able to grow at about 10% on Action Construction Equipment Limited
February 04, 2026

Page 21 of 22

a revenue basis. Yes, as compared to -- on a year -on-year basis in this quarter, there was a 4% lower growth, negative growth.

On a whole year basis, I think it is going to be more or less flattish even in this segment as conveyed earlier. That is to maybe a minor positive. That is how it is. Next year, we are sure that there should be good growth. in

both our segments, but yes, we are only able to put a number to it only in the next conference call, which will happen.

Jenil Barad : I was asking about volume growth in these three subsegments in the quarter. Can you give us a brief or an approximate number?

Sorab Agarwal: I think it will be better if Mr. Luthra send it across on the e-mail. Mr. Luthra, do you have this data, which you can just ...

Rajan Luthra: We can send e-mail to him.

Sorab Agarwal: Please send us an e-mail. We'll immediately respond on that.

Moderator: The next question is from the line of from an Himanshu from Individual Investor .

Himanshu : My question is regarding some of the new growth areas the company is entering into in terms of exports, defense orders and heavy cranes. Will these businesses continue to follow the current asset -light build -to-order model that has supported high asset turnover historically? Or do we expect higher asset base for all these incremental businesses?

Sorab Agarwal: We have always been asset -light and especially our ratio to asset to turnover ratio has been very good. We will totally keep that in mind in whatever we are doing.

Moderator: The next question is from the line of Param, an Individual Investor.

Param: Firstly, post transitioning to the BS V norms, what kind of EBITDA margins can we expect in FY '27 and FY '28 on a steady -state basis?

Sorab Agarwal: I think what we have been achieving in the recent quarters should be our benchmark for, let's say, the next year after that, maybe close to about, let's say, 18%, 19% if we include other income and close to about 15% plus/minus without other income.

Param: Secondly, could you elaborate more about the AI integration in your cranes? How difficult it is for other players to sort of replicate the same?

Sorab Agarwal: Replication of the same should not be possible because the new 4 -odd features which we have introduced in our machines, we have patented them before we introduced it on the machine. The technology and the procedure that has been used to make it function. In case, if any competition tries to get close to it or copy it, then obviously, we'll have to use our patents to stop them. What these do is they basically make the crane fail safe.

The operator can only do safe operations, and even if he does some unsafe operation , it will brought to a safety zone automatically. Whatever unsafe acts an operator is doing are being

Action Construction Equipment Limited
February 04, 2026

Page 22 of 22

recorded, so the operator grading, whether he's actually a capable operator or not, that also gets generated. It's a mix of a lot of things. Most importantly, that it will be very difficult for anybody to do an unsafe operation or put the safety in jeopardy.

Apart from that, there are a couple of other things, the first clutchless transmission. I'm sure this should gain a lot of traction with operator' s because the operating cranes will be very easy, less tiresome, less cumbersome. Again, keeping in mind safety, as I mentioned, the first rigid chases, single chases crane, because there is no articulation, so the crane is much more safer than any other conventional pick and carry crane. All these things put together, I'm sure, we are moving in the right direction.

Moderator: As that was the last question for the day, I would now hand the conference over to the management for closing comments. Over to you, sir .

Sorab Agarwal: Yes. Thank you. I think has discussed and going forward, we expect stability and visibility in the markets post the EU and U.S. trade deals and our own government's focus on infrastructure and manufacturing. I think this augurs very well for our future prospects. We expect that with our capacities and capabilities in place, going forward, our growth trajectory should get back on track soon, and then we are looking forward to it. I think that's it from our

side. Thanks a lot.

Thank you.

Raja n Luthra: Thank you.

Vyom Agarwal: Thank you.

Moderator: Thank you. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

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Date: May 26, 2026

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Subject: Earnings Call Transcript Q4FY26/FY26 .

Dear Sir/Madam,

Pursuant to Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith, Earnings Call Transcript (Q4FY26/FY26) of the Company.

Kindly take the above in your record.

Thanking You.

Yours faithfully,
For Action Construction Equipment Limited

Anil Kumar
Company Secretary & Compliance Officer

Page 1 of 22

"Action Construction Equipment Limited
Q4 FY '26 Earnings Conference Call "
May 21, 2026

MANAGEMENT : MR. SORAB AGARWAL – EXECUTIVE DIRECTOR –
ACTION CONSTRUCTION EQUIPMENT LIMITED

MR. RAJAN LUTHRA – CHIEF FINANCIAL OFFICER –
ACTION CONSTRUCTION EQUIPMENT LIMITED
MR. VYOM AGARWAL –PRESIDENT –ACTION
CONSTRUCTION EQUIPMENT LIMITED

MODERATOR : MR. DIVYAM JAIN – 360 ONE CAPITAL MARKET
PRIVATE LIMITED

Action Construction Equipment Limited
May 21, 2026

Page 2 of 22

Moderator: Ladies and gentlemen, good day, and welcome to the Action Construction Equipment Q4 FY '26 Earnings Conference Call. As a reminder, all participants line up for the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Divyam Jain from 360 ONE Capital Market Private Limited. Thank you, and over to you, sir.

Divyam Jain: Good afternoon, everyone. I would like to welcome the management and thank them for this opportunity. We have with us today Mr. Sorab Agarwal, Executive Director; Mr. Rajan Luthra, the Chief Financial Officer; and Mr. Vyom Agarwal, our President.

I shall now hand over the call to the management for their opening remarks. Over to you, sir.

Sorab Agarwal: Yes. Good afternoon, everybody, and welcome to this earnings conference call for the fourth quarter and year ended March 2026. Along with me in today's earnings call, we have our CFO, Mr. Rajan Luthra; and our President, Mr. Vyom Agarwal. I hope you have had an opportunity to look at the company's financial statements and the earnings presentation, which have been circulated and uploaded at the stock exchanges.

During the quarter, the demand conditions remained stable across the market, except the month of March, supported by conducive macroeconomic environment and a series of fiscal and monetary measures implemented through the year. Lower headline inflation for a significant part of the period also supported demand in quarter 4.

Towards the end of the period, the escalation of West Asia crisis led to a sharp rise in crude and crude linked commodity prices, supply side disruptions and continued rupee depreciation. Despite these geopolitical headwinds, we responded with agility and operational discipline to deliver our best ever revenue performance in quarter 4 last year with sustained operating margins to fortify our balance sheet.

Let me take you through some of the highlights of this fiscal. On a standalone basis, we have achieved a total income of INR3,395 crores in this fiscal, which is more or less flattish. Our EBITDA margin for the year expanded by 81 basis points to 18.33% from 17.52% last year. And profit before tax expanded by 80 basis points to 16.68% from 15.88% and PAT increased by 73 basis points to 12.53% from 11.8%.

In absolute terms, EBITDA grew by around 4% to INR622.36 crores as against INR599 crores in the preceding year. We were able to increase our PBT by 4.3% from INR543 crores in FY '25 to INR566 crores in FY '26. Similarly, our PAT also increased from INR404 crores to INR425 crores, thereby registering a growth of 5.4% in the last financial year.

The quarter began on a strong note, supported by a healthy market sentiment. However, during March, the escalation of West Asia prices led to raw material supply disruptions, inflationary

Action Construction Equipment Limited

May 21, 2026

Page 3 of 22

pressures, continued rupee depreciation impacting the overall cost environment. So briefly on the financial performance of the fourth quarter FY '26 on a standalone basis. The total income stood at INR1,021 crores for the quarter, which is up 15% sequentially and grew by about 5.58% on a year-on-year basis.

The EBITDA for the quarter at INR163.7 crores, the EBITDA for the quarter stood at INR163.7 crores, whereas the PBT and PAT were at INR151 crores and INR108 crores, respectively. Our company was able to sustain expanded margin profile and EBITDA margin stood at 16%. The PBT and PAT margins stood at 14.8% and 10.65%, respectively. For the quarter, the operating margin expanded 145 basis points sequentially.

However, owing to volatility caused

due to geopolitical environment, the other income was subdued in the quarter.

We continue to be debt-free with sufficient availability of liquidity for the future. The Board of

Directors has recommended a final dividend of 100%, that is INR2 per share for the year ended 31st March 2026. Our cranes, metal handling and construction equipment business recorded an income of over INR2,946 crores in the last year.

In this segment, FY '26 -- in this segment, FY '26 was a year of normalization for the industry following exceptionally strong FY '25, which also benefited from significant prebuying ahead of emission norm transition. Industry demand during the first half of the year was impacted by emission norm transition, geopolitical situations, extended monsoon and a slower project mobilization, leading to further moderation in demand.

Encouragingly, the industry continued -- the industry conditions improved progressively during the year and the demand momentum returned in quarter 4 FY '26, reinforcing our confidence in the medium-term outlook for the sector. For this division, we were able to maintain our expanded margin profile at 18.6% and recorded profit of INR548 crores.

The agri division registered a growth of 9% and generated a revenue of around INR251 crores with margins at 1%. Further, we are pleased to announce the finalization of a 50-50 joint venture between Action Construction Equipment Limited and KATO Works Company, Japan, bringing together ACE's strong manufacturing and distribution capabilities with KATO'S globally recognized leadership in heavy crane technology.

The JV will serve as a dedicated platform for truck cranes, crawler cranes and rough crane businesses, strengthening our presence in the heavy crane segment. This partnership positions ACE to accelerate technology upgradation, deepen localization, expand -- export opportunities and participate meaningfully in India's growing infrastructure and industrial capex cycle.

Our strategic positioning in the core sectors of infrastructure, construction, manufacturing, logistics and agri will provide necessary impetus to our growth ambitions. In the past year, we have successfully completed our capital expenditure as planned, expanding our capacities. We have also enhanced our operational capabilities through modernization and automation

Action Construction Equipment Limited

May 21, 2026

Page 4 of 22

initiatives aimed at strengthening our quality and capabilities while improving market competitiveness.

Our blended capacity utilization for cranes, metal handling and construction equipment stands at around 60%, which provides us with enough headroom to capitalize on any immediate demand uptick in the future. On the macroeconomic front, the Indian economy continues to demonstrate resilience despite ongoing global uncertainties.

We remain positive on the long-term outlook of the construction equipment industry supported by sustained government emphasis on infrastructure creation. Improving project execution and driving investments across urban infrastructure and industrial sectors.

At the same time, we remain mindful of the evolving geopolitical environment, which could lead to temporary supply chain disruptions and demand side hyperinflation and input cost volatility. Against this backdrop, we expect a steady start to the year and remain focused on delivering on our growth agenda.

Steel, which is our biggest input material, remains volatile and at elevated levels. We will continue to look for all levers like savings, judicious and calibrated pricing actions whilst maintaining right growth equation to protect and sustain our business model.

Our focus remains on driving volume-led competitive growth with right balance on pricing. We will continue to dynamically manage our EBITDA margins broadly in the existing range. We continue to

closely monitor the inflationary environment, and our focus is to ensure sustainable of our margin profile during the course of the year.

We remain confident in the company's medium to long-term growth path. Our strategic priorities remain unchanged, that is driving operational excellence, improving cost efficiency, maintaining disciplined capital allocation and investing in capabilities that enhance competitiveness and profitability. With a strong market position, a focused strategy and continued execution discipline, we believe we are well positioned to create sustainable long-term value for our stakeholders.

With this, I would now like to open the floor for question-and-answer session. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Mudit Bhandari from IIFL Capital.

Mudit Bhandari: Regarding our truck crawlers and truck cranes, which we were there were discussions regarding implementation of LD and potential tapping of the market? What has been the status?

And secondly, if we look at the other cranes like pick and carry and other products, so how has the Chinese player in this -- is there has been any price point change or capability of Chinese players, which are restricting them to enter, let's say, pick and carry or any other cranes?

Action Construction Equipment Limited

Sorab Agarwal: See obviously, your question is two, three -pronged. First is pick and carry cranes, the Chinese are really not doing pick and carry cranes. So we do not have any competition as such in the pick and carry crane range, which is generally below 30, 35 tons capacity and is a pick and carry crane.

What the Chinese are doing good is the slew cranes or the heavy cranes, which are, I would say, 40, 50 tons and bigger. There are different types of cranes. They are 360 degrees slew and with outriggers. And wherein we had applied to DGTR with respect to the disabilities and the problems which the Indian industry is facing on price front or credit terms front, whatever these Chinese people are offering.

And obviously, the entire proceedings happened, everything happened. And last year in September, there was a DGTR order for antidumping duties. But very unfortunately, for some good bad reason, it has not been notified by the Ministry of Finance. And that is the situation as on date. And generally, it's a 90 -day time bar.

So ideally within December, it should have been notified. So even we really do not know what is going to be the future fate of that antidumping order, wherein 25% to 52% duties were put on Chinese manufacturers. But unfortunately, that order has not been implemented by the Finance Ministry.

Mudit Bhandari: Good, sir. And regarding the point that Chinese are not into pick and carry cranes, so any specific reason? Like is there any capability which they don't have or they are not able to meet our price point, which we are able to supply or any other reason?

Sorab Agarwal: Just generally, basically, the way how you are used to working within your countries or your territories. So the Chinese from day 1, even for smaller cranes, less than, I would say, 40 tons, I would say, let's say, 10, 20, 30 tons, they have always been used to the concept of a truck - mounted slew cranes.

And that is what they continue to use even today, and that is what they have mastered over the years in the last 20, 30 years, 35 years. So they really do not manufacture any pick and carry cranes. And pick and carry cranes are very popular and the mainstay of construction and lifting and shifting activity even in the industrial areas in our country.

And so India pick and carry cranes are very popular. Similar is the case in Australia pick and carry cranes are very popular. Even in Italy pick and carry cranes are very popular. So it is country specific.

And in Chi

na, they are used to slew cranes or truck cranes, 360 -degrees slew cranes . So that's the main reason that they are not used to using pick and carry cranes, and that's why they don't manufacture pick and carry cranes.

Mudit Bhandari: Understood, sir. Secondly, regarding the geopolitical conditions and other things, is there any specific parameter of types of crane where the industry tracks, let's say, fuel price efficiency to Action Construction Equipment Limited

May 21 , 202 6

check which product to be used or to be demanded further. So is there any such parameter or any of our customers or players use this type of thing to -- which affects their decision?

Sorab Agarwal: Not really. See the main parameter for using cranes and construction equipment is their capacity and capability. So for cranes, it is in tonnage. And for other types of machines, it is more to do with the volume of aggregate material which we are handling. So fuel consumption with respect to which crane to use or which crane not to use is really not the criteria. It totally depends on the load which needs to be handled.

Mudit Bhandari: Understood, sir. Just a bookkeeping question. How much percentage of our cranes would be whoever customer is buying is financed, then how much would be approximately their own finances and not through any financial institution?

Sorab Agarwal: I think approximately about close to, I would say, 85%, 90% of the cranes as well as construction equipment is generally financed to NBFCs and banks.

Mudit Bhandari: Got it, sir. And all this would be the rental players or the EPC customers?

Sorab Agarwal: No, everybody. See the entire market, which is split between rental as well as contractors. So most of them prefer to get it financed to NBFCs or the banks.

Mudit Bhandari: And for our share of revenue, what percentage or any approximate broad range would be rental customers and developer or EPC players?

Sorab Agarwal: I would say the ratio would be close to around 50%, 50%. So let's say, approximately half or maybe a little over half are bought by rental players and balance directly by end users, which are EPC players as well as the manufacturing and the logistics industry per se because they also use

a lot of pick and carry cranes for their lifting, shifting requirements, the engineering industry, manufacturing industry, logistics.

Moderator: The next question is from the line of Akash Metawala from Nine Rivers Capital.

Akash Metawala: Yes. On the guided numbers. My first question is that on the segment revenue, I see a line item mentioned others, which wasn't present in the previous quarters of the year, which is roughly INR76.55 crores. Can you clarify what that segment other revenue is?

Sorab Agarwal: I think Mr. Luthra will take that question. But if I'm not wrong, that is revenue from miscellaneous exports and things which we sell out of India. So that is getting captured there because it has become significant. That's why I think we put it as a separate line item. Mr. Luthra, please?

Rajan Luthra: Yes, you are right that it is small some export to miscellaneous. So that is reported separately as by the auditors.

Akash Metawala: I see. And my second question is in the financial report, can you clarify on the line item impairment losses on financial assets, what's the breakdown there and where it's coming from?

Action Construction Equipment Limited

May 21, 2026

Page 7 of 22

Sorab Agarwal: See, basically, this is the -- as a prudent accounting policy, we provide for expected credit losses depending on the receivables. So as a prudent accounting policy, actually, this is not a real loss, but we have to be provided keeping in view the -- any expectation or any risk coming going forward. This is the only provisions for payments which are slightly delayed.

Moderator: The next question is from the line of Neel Shah from Pur

nartha Investment Adviser.

Neel Shah : Can you explain what the negative other income contains actually? I'm not able to understand why the other income is negative.

Sorab Agarwal: I think it has more to do with mark -to-market losses with respect to the investments that we have made, the extra liquidity and the cash that we have. I think Mr. Luthra will explain.

Rajan Luthra: Sir, you're right. Actually, we have investments because we have a surplus cash, which have been invested. So we -- as a prudent accounting policy, we do a mark -to-mark provisioning at the end of every month. So there is a mark -to-mark.

And as you are aware, the market was slightly on a negative side in the month of March -- in the last quarter itself, which has resulted in mark -to-mark provisional loss, not an actuarial loss, which has been partly recovered in the month of April as the market has slightly moved upward as compared to the March month.

Neel Shah : Okay. So what you mean to say is that in Q1, we can expect higher other income now that the loss has been reversed?

Rajan Luthra: It really depends how the market behaves. If the market be good, so definitely it will be recovered. But definitely, April month was slightly better as compared to March. Partially, we have recovered that losses mark -to-mark provisioning in the month of April. I'm hoping that if market remains static or slight improvement, we should expect a good number in this quarter.

Sorab Agarwal: Most probably we should be hopeful that it would get back in the range of anywhere between INR20 crores to INR35 crores, right Luthra?

Rajan Luthra: That's right sir.

Sorab Agarwal: I think it should be back on track within this quarter.

Neel Shah : Okay. And one more question. So since you have reported under other segment in the segment revenue, so can you also let me know the volume that pertains to this other segment, which means the volume that you exported, the miscellaneous export because that will really help me.

Sorab Agarwal: To the best of my knowledge, I think the volume will be very difficult to segregate because there were miscellaneous things that were exported out of the country, which we did. And so I don't think there is actually a volume number to it. It's more of a value number to it.

Neel Shah : Fine. Okay. Can you please repeat what -- did you say that there were cranes that were exported?

Action Construction Equipment Limited

May 21, 2026

Page 8 of 22

Sorab Agarwal: Some part of it was construction equipment, but I think generally, it was miscellaneous items along with it. Some order that -- of that division.

Moderator: The next question is from the line of Rochan Charan from Global Consilient Research.

Rochan Charan : Sir, am I audible?

Rajan Luthra: Yes.

Rochan Charan : Sir, my question was with regards to does your existing clientele include any shipbuilding clients, sir? I am asking this question since there have been news of new clusters coming up, right? So I just wanted to understand if you see any opportunity in this segment of customers?

Sorab Agarwal: Yes. We supply to more or less all the shipbuilding yards, whether in Goa, whether in other parts of the country. And what I remember recently, we supplied some three special tower cranes to even garden REIT shipbuilding for big tower cranes so that -- which can be used while building the ship as well as placing material on the ship once it's ready, other aggregate material which needs to be put on. So we do work with all the shipbuilding yards and they require tower cranes, they require pick and carry cranes, they require everything.

Rochan Charan : So, like with this expansion currently taking place, how much of your revenue do you expect to be contributed from these clients, sir, in the coming years?

Sorab Agarwal: Very difficult to put a number to it , but let's say, out of the 700 -odd tower cranes that we sell, so

if 10, 15, 20 in a year, the bigger ones go to them. So I mean you can just put a number, maybe around close to 1% or maybe less. Something similar, I would imagine even for pick and carry cranes.

Our market is very, very diversified. Wherever in the country, there is any lifting, shifting material movement required, whether it is infrastructure, whether it is construction, whether it is an industrial unit, engineering unit or, let's say, a shipbuilding unit, which I would call as an engineering unit, a big engineering unit.

So wherever there is any lifting shifting requirement of loads, their cranes are required of different types. So -- and practically, we work with more or less everybody in the country who has a lifting shifting requirement.

Moderator: The next question is from the line of Aditya, Old Bridge Mutual Fund.

Aditya: Sir, my first question is on tower cranes. So you said we did 700 units this year. What would be the -- what expectations should we keep for FY '27 in terms of volume for tower cranes, given the construction activity we have?

Sorab Agarwal: I think the tower cranes we did in the current year was slightly lower than 700. I think close to 680, 690, something like that. And I think obviously, the real estate market has been good in the

Action Construction Equipment Limited

May 21 , 2026

Page 9 of 22

recent past, and that is a trend that we are seeing. With respect to tower cranes, our order books are all full.

Yes, it slows down a little in the monsoon season, but that happens every year. But it has not happened so far. It starts to happen only by middle end of June. So hopefully, we should be looking at growth again in the tower crane segment. To put some number to it, would be very difficult at this juncture because we have a capacity right now to do close to about 950, 1,000 cranes. And we would definitely love that we are able to utilize it going forward.

Overall, the sentiment, the economic scenario, how it is going to pan out owing to the geopolitical uncertainty, which is hanging around and the imbalance in trade deficit, rupee depreciation, I do not know how the scenario pans out going forward, how positive it remains or how neutral or on the other side it goes. So -- but we are reasonably confident that we should be doing more numbers than what we did last year.

I can just give you, let's say, what's happening. See, we are nearly in the end of May, I would say. So nearly 1.5, 2 months have gone. So I mean, the tower crane demand as of now is there full throttle, what I see.

And even looking at our other products. So we are looking at reasonable growth within quarter 1 itself, but that is quarter 1. And things have started improving end of quarter 3 last year. So going forward, how the economic scenario pans out, how is the sentiment because at the end of the day, all the machines that we make are capital goods. So we are first hit last out, to be very frank with you. Traditionally, that is what I have seen. So as of now, things are looking good. But what happens in Q2, Q3, I think middle end of Q2 is a precise time we should be able to guide even on an annual guidance. And that's why we've also refrained from giving an annual guidance so far. We are looking at a good quarter that I can tell you. Yes, there will be increase because of inflation with respect to our selling prices that will add to revenue that will happen. We will have some additional revenue coming in from defense because we have about INR575 crore s order book pending in defense. That will happen. Some exports will also increase. But to put a number to it at this juncture would not be prudent. So that's why we would like to wait middle end of quarter 2 to put a number to it.

Aditya: So yes, that's what my next question was reading pertaining to about defense. So you have INR575 crores of orders execution left, right? But there,

I think we have more visibility about

the order execution in terms of the deliveries. So what kind of expectation should we have from that part?

Sorab Agarwal: See, last year, there was a contribution of close to around 3% from the port defense business in

our overall revenue share. And this year, we feel that it will go up to anything between 5%, 6%, maybe slightly more, but yes, 5%, 6%. So that should be upwards of INR200 crores, INR200 crores, INR220 crores, whatever it is within this year. If we get a chance to execute more than that, we will definitely try to do it.

Action Construction Equipment Limited

May 21, 2026

Page 10 of 22

Aditya: All right. All right. And any kind of price increase or price hikes expected in the upcoming quarters because of the cost inflation that we are seeing?

Sorab Agarwal: 101%. We've already increased our prices. I'll talk of the calendar year in January, we took a 1%, 1.5% general inflation price increase. And only on 1st of May, we've again increased our prices by close to about 4%, maybe a little more.

And from 1st of June onwards, we are again pushing in a price increase of another 5%. This will bring the total to 9% to 10%. But I think looking at the overall cost increase, it could be anywhere between the range of 11% to 14% -- and 11% to 14%.

We do not know where it will settle in the next 1 or 2 months, 3 months because steel being the biggest contributor has increased by 20%, 22% from 1st Jan onwards. And that is about 65% approximately of our cost. So let's say, 20% of 65% means 12%. So we will have to go to at least 12% price increase eventually. It could be slightly more than that.

Moderator: The next question is from the line of Vedanta Bhadani from Canara Bank.

Vedanta Bhadani: Am I audible? Actually, I'm having two questions. The first question is regarding the noncurrent investment which we are doing. So like outflow of INR831 crores of cash. So just -- can you just throw some light on it? So why we are doing so much investments on it. I've already seen that investments in some unlisted shares and debentures. So can you throw some light on it?

Sorab Agarwal: Basically, the extra surplus money which we are able to generate. So we are putting it to use by investing it with respect to obviously not keeping it redundant. And I think Mr. Luthra will be able to share more light on it. Luthra?

Rajan Luthra: So basically, noncurrent -- the audit -- the definition of noncurrent starts, anything maturing after one year is considered as a noncurrent. So we -- as rightly said, we have been investing in surplus in the -- some bonds, etc., which the maturity lies after one year, but most of my investment will be having a tenure of between 1 to 2 -- 2 to 3 years only.

So that has been classified as noncurrent only. But these are basically also classified as noncurrent. But because most of them are secured and listed and bonds, etc., the reality it can be sold in the market and can be converted into cash in a very short notice if required for any other use by the company.

Sorab Agarwal: And what would be the amount in this noncurrent investment approximately the...

Rajan Luthra: Noncurrent will be somewhere about -- so basically, noncurrent is the accounting definition of noncurrent. Actually, it may not be noncurrent in practical real sense, but ...

Sorab Agarwal: I have understood that they are liquid and they can be traded in the market or sold in the market, but just to get an idea because I am sure that would be the next question.

Rajan Luthra: About INR700 crores of INR750 crores.

Action Construction Equipment Limited

May 21, 2026

Page 11 of 22

Vedanta Bhadani: And the next question is regarding -- and my next question is regarding the antidumping duty. So right now, all our competitors, so earlier it was said that they are importing the high tonnage crane kits to India and then they are

reselling it. But now slowly and steadily, they are moving towards full-fledged manufacturing facility.

So with all these things happening, so after this, how will this antidumping duty help us? Because now if they are going to manufacture cranes -- high tonnage cranes in India only, then how will this -- if applicable, then how will this help us?

Sorab Agarwal: See unfortunately, antidumping duties have not been implemented. I think they should have been implemented within December. So I really do not know the fate. As of now, it seems that because there is a 90-day bar, so I think it has become time bar. But there are government regulations and rules and in the past, it has been done after that also. So I really do not know whether they will be put in place or not.

But yes, one or two of the manufacturers out of the three main manufacturers or importers into India, Chinese company, they have started to -- because of the fear of antidumping duties coming in, they have started to at least assemble these machines in India, some of the models and also trying to design some of the components, which is definitely leading to a cost increase for them, which I understand very clearly because luckily, I had a discussion with one of them three, four

months back.

So their costs are going to go upside by 8% to 10%, which will make us more competitive but the costs are going up because of trying to do local manufacturing because earlier what they were doing, it was practically dumping of complete machines from China and at subsidized prices, whether being done by the company itself or eventually being subsidized by the government, which is a mystery to everybody who works with China. And -- but yes, this is -- this will work in our favor eventually because their costs are going up by 8% to 10%. That is what I understand.

Moderator: The next question is from the line of Nidhi Shah from ICICI Securities.

Nidhi Shah : So, my question is that with the price increases that we have implemented and are going to implement, do you believe that there is enough appetite in the market in the cranes segment that we could see at least a 10% growth in crane volumes in FY '27 or is that something that seems out of reach?

Sorab Agarwal : To be very frank with you, I would not like to put a number to it at this juncture. And as I mentioned, quarter 1 has been strong. Yes, even because the base in the quarter 1 last year was a little less. So because of the low base effect, we will be doing reasonably good, okay in quarter 1. Maybe we can even look at a growth of 15%, 20% or maybe slightly more, I don't know, within quarter 1.

But going forward, how it pans out, that is difficult to answer at this juncture. But in saying this, I would just like to say that last year when the new emission norms, BS5, C EV5 kicked in, there Action Construction Equipment Limited
May 21, 2026

Page 12 of 22

are two types of cranes mainly. One is the hydra type, which is the old generation and the new generation crane.

So the old generation crane is primarily bought by retail hirers used in a lot of industrial areas. And they were very skeptical because that -- those type of cranes are moving from Tier 3 straight to Tier 5 standard. For the first time, they were becoming electronic. So they were scared of the technology, how they will be able to take care of it.

And also the price increase there was the maximum between 12% to 15%. So that part of the market, let's say, around 60% of the cranes, which are old generation cranes, that part of the market shrank in the last year because of skepticism or fear or whatever you say, which had come back on track in January, February.

So if that remains going forward, then we should definitely we can look at increase in crane numbers. But this -- looking at the current overall the scenario and let's say, how the economy is going to pan out in the future

e. It is difficult to put a number to it. But yes, as a company, I think we should be able to grow because of the inflation giving us a 5%, 7%, 8% leverage in our revenue, additional 2%, 3% defense business giving us some leverage and certain other levers. So we are definitely looking at growth in this year. But to put a number to it, either in form of numbers or, let's say, in the form of turnover or percentage, we would like to do that only in the second half of quarter...

Nidhi Shah : My second question is on margins. So margins for the last 3 quarters has roughly been EBITDA margin excluding other income has largely been in the 16% region for the last 3 quarters. Given the price increase that you have taken conversely with the increase in the material cost, do we believe that these margins will largely sustain or can we see like a 50, 60 bps reduction in the margin?

Sorab Agarwal : See, we are hopeful that we should be able to sustain our margin profile, EBITDA without other income in the range of around 15% to 16%. That is our primary target and aim looking at what has happened in the last two, three months. With respect to commodity pricing and inflation. And we will keep a very keen eye on this with respect to our costs wherever they're going up. Accordingly, we will take calibrated price actions wherever required to compensate for that. We are hopeful that we should be able to maintain our margins.

Nidhi Shah : Lastly, on the price increase, is the rest of the competitors within this segment also taking this proactive approach to pricing where they are updating prices regularly. My question mainly aims to get at, is there a significant price now after all of these price hikes, is there a significant price difference between you and the competitors or is largely the entire market in the crane segment running at similar prices?

Sorab Agarwal : See, the prices have been rising. That's what I've been given to believe from our sales department that our competition has also increased their prices, in the recent past. And because the cost -- the input cost, whether it is steel, rubber, plastic, copper, oils, paints or any other type of Action Construction Equipment Limited
May 21, 2026

Page 13 of 22

commodity that comes to your mind that goes into automotive type of product or engineering product, it has increased across the board for everybody.

So our competition at segment level, I think they are at 8%, 9% margin, whereas we are close to 18%, 19% margin. So I see no reason that if the input cost goes up by 12%, 13%, 14% and if their company margin is at 8%, 9%, that why they will not increase the cost, unless they want to go into a 5%, 6% minus type of scenario.

So far, they have increased their costs. That is what is our knowledge. And going forward, whether they increase or not is their prerogative, but we will definitely be increasing another 5% from 1st of June. And maybe we will have to follow it up by another 3%, 4% sometime later in quarter 2.

Moderator: The next question is from the line of Richa from Equitymaster.

Richa: My question was related to this JV with KATO. Could you highlight like what kind of opportunity can we see in two to three years, what kind of revenue and margins are we targeting with this?

Sorab Agarwal : There are -- I would like to put it in two scenarios. Currently, when -- with the antidumping duties have not been implemented. So in the current scenario, I think in the next three to four years, we should be looking at a revenue of upwards of INR300 crores from this joint venture. It could be slightly more, it could be slightly less. But yes, it's antidumping duties and even in yesterday's newspaper, the main headlines in economic times was we should immediately curb nonessential imports.

So these machines are nonessential imports because if these machines can be made in India, why should India be importing them. S

o if the government wakes up and the Finance Ministry puts antidumping duties. In that scenario, we could have looked at even upwards of INR700 crores, INR800 crores. But yes, currently, I would say it is close to INR300 crores.

Richa: And sir, currently, what would be the pricing difference between when it gets made in India versus in the import?

Sorab Agarwal : Pricing difference with respect to the cost of the Chinese is slightly difficult to put it. But yes, it cannot be cheaper than what we are doing in India. But if you talk of, let's say, the gross margin or the selling prices, so what I can say is that the pricing at which the Chinese are selling needs to be at least higher by 25%, 30% for them to make any money because they have an additional barrier of 7.5% current custom duty. Then there is also the freight cost coming in from China. And now even our currency has depreciated by more than 10%. So even in all this scenario, they continue -- I think they are under selling by at least 25% to 30%, if not more -- and on top of that, they also offer a one year, two year credit period, which is again a 7%, 8% benefit per year for the customer.

Action Construction Equipment Limited

May 21, 2026

Page 14 of 22

Richa: Sir, my next question is related to capex. Given everything that is happening on the macroeconomic front, although Q1 is doing well, but you're also withholding guidance. So I mean, what's the capex plan? What are the investment plans? And has there been any kind of change as compared to what it was last year?

Sorab Agarwal : So in the current year, I think we will be spending close to around approximately INR130 crores, INR135 crores to complete the land parcel, which we have already contracted for about 1, 1.5 years back. So that will happen for our land for future expansion.

Apart from that, we are setting up a new plant within our existing complex, especially for the defense machines, defense equipment and also for some new products, which we envisage that we should bring in, in the next 1 or 2 years. So that will be around INR40 crores to INR50 crores. So let's say -- and some maintenance capex, INR20 crores, INR25 crores put to it. So I think including land, our capex for this year should all be put together should be close to INR200 crores.

And we also intend to make a new tower crane factory where we envisage a capex of upwards of INR400 crores. So currently, we have capacity. So we will just wait and watch and wait for the momentum. And as soon as we see things, so maybe within this year, we'll start working on that. But that is again need based.

Richa: Right. And sir, how much time does it take, let's say, we plan today to set up this factory for tower cranes?

Sorab Agarwal : For the tower crane factory, we will require at least, I would say, 12 to 18 months, more towards 18 months because it is going to be highly autonomous and...

Moderator: The next question is from the line of Akash Metawala from Nine Rivers Capital.

Akash Metawala : Is there any clarification on the defense NOC that was mentioned earlier and hasn't been required from them?

Sorab Agarwal : Yes, we have got the required approvals from there. And if everything goes well regarding that big order of rough terrain forklifts, actually a telehandler. So we should be starting execution in the next quarter.

Akash Metawala : Lovely. And my second question is last quarter, you all had mentioned that you all have figured out something with respect to the JCB backhoe segment, when we should expect something in the future. So have we tracked that or is there any clarification there?

Sorab Agarwal : Yes, it is work in progress. We have tested some success. I think the proof of concept with respect to that should be there with us in June or July. And hopefully, that will help us aid us in increasing our numbers reasonably within this year itself. And then going forward, it should be

much better. So I think we are on track with that, yes.

Moderator: The next question is from the line of Ganesh Gupat from SS Family Office .

Action Construction Equipment Limited

May 21 , 2026

Page 15 of 22

Ganesh Gupat: My question would be on the guidance provided by you in Q2 FY '26 for FY '29 or FY '30 of approximately around INR6,000 crores to INR6,200 crores. However, given the relatively muted industry environment currently, how do you expect us to the road map evolved originally versus any updates you would like to make now? And specifically, which business segment would now expect to drive bulk of the incremental revenue?

Sorab Agarwal : Yes. INR6,000 crores to INR6,200 crores by FY '29 and worst case by FY '30, if I'm not wrong, that should have been our guidance. And obviously, to do that, we need to add at least about INR800 - 1000 crores in revenue over the next 3 years or maybe at the rate of INR700 crores, INR800 crores for the next 4 years.

Yes, this year, really putting a number to the guidance will be difficult at the current juncture, but hopefully, we should be able to do it in quarter 2. I think looking at a slightly medium to long term, we should be on track to attaining this INR6,000 crores plus in FY '29 or latest by FY '30 because there are certain other things on the annual, which will also aid us in achieving this. Apart from, yes, in the last year, there was actually a drop in numbers of cranes and construction equipment. So they will also come back. And in any case, the product mix and the price mix with respect to higher models has increased. Some inflation will also aid us and our increasing defense and export business because last year, combined, we did close to 9% for the first time, and our target is 10% to 15%, more towards 15%, export and defense put together.

So within this year itself, hopefully, we should be doing close to about 5% to 6% revenue contribution from defense and about 6%, 7% from export. So that will take us anywhere between 11% to 13% plus with respect to our -- within the Cranes and Construction Equipment segment, even looking at our construction equipment part, we expect a decent growth within this year with all the endeavors and the things that have happened, coupled with exports, coupled with defense, coupled with some other initiatives which we have already started. So I believe we are on track. Maybe a year here and there is maximum what we are looking at.

Ganesh Gupat: And sir, a follow-up on this. How does the potential for operating leverage look like on this guidance?

Sorab Agarwal : See, I'll be very frank and upfront, and I think I did answer a similar question in the last or the call before that. We are at 15%, 16% EBITDA level, excluding other income and about 17%, 18%, including other income. So I believe that these are very healthy margins and trying to expand our margins anything beyond this would be detrimental to our market shares eventually. So I think we are reasonably satisfied at these margin percentages. And anything beyond this, we'll try to be more competitive.

Moderator: The next question is from the line of Jenil Barad from Prudent Corporate Advisory.

Jenil Barad: So my question was regarding other expenses. Although in this year, our volumes have gone down by 18% to 20% something, but our other expense has been flattish or has declined by close to 2%, 3%. So can you throw some light on why it has not decreased materially?

Action Construction Equipment Limited

May 21 , 2026

Page 16 of 22

Sorab Agarwal: Other expenses. Luthra sir, if you can take that question.

Rajan Luthra: Yes, yes. Basically, if you look at the other expenses, most of the other expenses are not variable. They are out of fixed nature. So that has got no core direct relation with the revenue. That is the main reason for it.

Jenil Barad: Okay. My second question

was regarding our realization per unit has decreased drastically in Q4 compared to what it was in 9 months. So how has the product mix changed? And how do you -- and how the demand is expected for each of the segment cranes, construction equipment and material handling for next year and how it has been in FY '26?

Sorab Agarwal : See the question is demand in FY '26 and next year and price realization per machine. See, what is happening is definitely within the -- especially within the crane segment, the market is moving more towards higher tonnages machines, whether it is the hydra type of cranes or new generation type of cranes. So that is the reason that realization per piece you see there is an increase there. Apart from obviously, cost increase also happening because of the emission transition, which we did last year. That also contributed, I think, 5%, 7% to increase in cost per unit on an average blended basis. FY '26, the demand was very tepid because of the emission norm change, especially quarter 1, quarter 2. Second half of quarter 3, things started to improve and quarter 4 was good.

As a matter of fact, within quarter 4, we could have done at least INR40 crores, INR50 crores more revenue. But unfortunately, because of the war, which started in the Middle East. So some of our export shipments, which are still stuck with us and have not moved because they were meant for Middle East.

And obviously, there was some moderation with respect to deliveries happening within the country in March, some people become tactical. So that's what happened. Going forward, within this year, we feel that we should definitely be looking at a handsome growth with respect to especially backhoe loaders and construction equipment.

Material handling, that is mainly forklifts and similar machines, again, we should be looking at a reasonable growth in numbers. And in cranes, because the hydra type of cranes, which had lost traction last year because of -- people were skeptical because of the major technical change owing to the electronic engine. So that has also come back in the last 2, 3 months.

So hopefully, I think we should again see an increase in number of Hydra cranes within the crane segment, apart from increase in our market share in new generation cranes on account of special features, safety features, world-class advanced features, I would rather say, which are IoT enabled and AI-enabled, which we have started giving in our cranes along with our ACE live app.

Action Construction Equipment Limited
May 21, 2026

Page 17 of 22

So all of this put together, I think we should be looking at increase in numbers within the crane segment also. But like I mentioned earlier in the call, the yearly guidance, we would like to give only sometime middle of quarter 2.

Moderator: The next question is from the line of Tushar Raghatate from Omega Portfolio Advisor.

Tushar Raghatate: I just wanted to know the guidance which you gave like INR6,000 crores to INR7,000 crores for FY '29 or FY '30, that account that JV revenue in that?

Sorab Agarwal : Yes. Obviously, that will also contribute it.

Tushar Raghatate: So in case it's above INR300, that would be a bonus, right?

Sorab Agarwal: Yes, that will be a bonus. And there is a possibility it can be above INR300, yes.

Tushar Raghatate: Okay. Fair enough. Sir, I could see that our realization per average company realization per vehicle has reached to INR25 lakhs to INR28 lakhs and the gross profit about 8 lakhs to INR9 lakhs. Post this high, big size crane coming in and you mentioned that the average ticket size is in crores. Do you see that the gross profit margin will increase going forward post the antidumping thing getting clear?

Sorab Agarwal: If the antidumping thing gets cleared, then definitely the margins will be better because currently, there are practically nil margins on which we are. But even if the a

ntidumping does

not distinct, I think going forward, the margins, we would try that somewhere they are in line with our company's current margin profile and especially to the machines which are going to get exported out of India. So there, the margin profile will be much better.

Tushar Raghatate: Fair enough, sir. And sir, you mentioned that we'll be doing about INR200 crores this year and INR400 crores for the tower crane in the capex are about INR600 crores, considering the ROCE of 30%, 40% of the company. Do you see that we'll be getting the same in the capex which you are doing?

Sorab Agarwal : Yes, the INR200 crores is more or less certain that we will do in this year. The INR400 crores, I really do not know whether it will happen in this year or next year because even if it starts to happen in this year, maybe INR1,50 crores will go in this year, then the balance will go in the next year.

Tushar Raghatate: Sir, my question is for the FY '28, '29 perspective. Do you see that you will be maintaining the ROCE, which you have -- which you are currently working with?

Sorab Agarwal : Yes, yes, definitely. That is one of also the main reasons why we will be doing it. So that is why we are trying to time it so that we don't invest money before the actual demand arises. So we

will be timing it to perfection. And in any case, our investment to turnover ratio is close to about 8 to 10x. You can very well calculate that if we invest INR400 crores, so we are looking at, at least 8x revenue from there or at least the capacity. So that we will totally take care of ROC E and ROE before doing any capital expenditure.

Action Construction Equipment Limited

May 21, 2026

Page 18 of 22

Tushar Raghatate: At least it won't dilute, right? That's my question.

Sorab Agarwal: If you see that in the last 2 years, our ROC E from about 40% has gone down to the 32%. This is on account that obviously the money is like idle with us and has been invested. And that is why we are trying to put it to productive use so that this ROC E can increase again. And it is not our endeavor, our intention to -- so that the ROC E goes below 30%, 33%.

Tushar Raghatate: Fair enough, sir. And sir, on the defense side, any missile program? Are you working with some high-value product on defense? Any color on that would be helpful?

Sorab Agarwal: We have got a couple of orders for -- this is called QRSAM, quick response surface to air missile. And we are currently working on building protocols for two different integration companies for the same program who have been allotted to work on that. So which is going to have huge requirements in the next 2, 3 years.

Vyom Agarwal: And Tushar here, I would just like to add that we are not into the firing systems ...

Moderator: I'm sorry to interrupt, Mr. Tushar sir. Could you please join the queue for the more question?

Sorab Agarwal: No, finish this one.

Vyom Agarwal: Yes, yes. So I just wanted to clarify to that question that we are not into firing systems. We are only into the material handling requirement of the armed forces for the loading and the unloading of the ammunitions. So we are nowhere involved in the firing mechanisms.

Moderator: The next question is from the line of Puneet from Zaveri & Company.

Puneet: I think you've answered a little bit on the joint venture with KATO, but is this a completely new product, heavy cranes platform? Is this something that you were not present before and you will be launching these new products, as you mentioned, some at least INR250 crores to INR300 crores of revenue that you're targeting? And what's the competition like that currently in India for the heavy crane segment?

Sorab Agarwal: We are currently into truck cranes as well as product of limited tonnages. With KATO, we will be also making higher tonnages. And the existing machines are going to be upgraded with the Japanese technology to

make them world class. So that's why they'll also get sold in India as well as exported.

And there would be bigger train models that will be developed and evolved within the joint venture. And thirdly, there would be some specific export models, which will be made in India, which KATO will be distributing globally.

So that is where the main profitability will lie going ahead, 2, 3 years down the line. Once we start doing the models, which are meant only for export market, which are 100% identical to KATO Japan production. That is also one of the main aim there.

Action Construction Equipment Limited

May 21, 2026

Page 19 of 22

And the competition currently remains the same 3, 4 Chinese companies, which in the last 10, 15 years have set a very strong foothold within the Indian market because of the advantages and price leverage they were able to offer to customers apart from extended credit terms of 1 to 2 years, even 3 years in some cases.

So that is our competition. But yes, with the rupee depreciating with their own structures and costs within the country and subsidies reducing and obviously, with a premium attached to the KATO name and our pricing power because the customers are willing to pay a 15%, 20% premium to a Japanese product. So going forward, I think we should be able to handle competition.

Puneet: And sir, just in terms of -- since you will be exporting a lot of this product, as you mentioned as well, in the global markets, is it that the competition is more better in terms of pricing? Is it that the Chinese can impact that also? Or is it more better market performance, which is not competitive on price and price reduction in that sense?

Sorab Agarwal: It's a huge market globally, much, much bigger than India market. And the pricing of the Chinese in different countries where they are competing primarily with the European and Japanese or American manufacturers directly is more or less 50% to 150% higher than Indian prices.

So I think it will be a very fair competition when KATO makes these cranes in India with us and takes them there. So they should be able to sell at similar or higher prices than Chinese with a

decent profitability, all those calculations and everything we have done.

And another aspect of this JV, which I would like to bring forth is that as one of the side agreements, ACE will also be exporting a lot of material components and whatever required by KATO Japan because they don't only make cranes, they also make some other construction equipment like excavators, etc.

So they would like to outsource these components and things and materials and commodities from India, wherein ACE directly or exclusively would be exporting this to KATO, Japan. So that will also add to -- that will be an additional revenue stream going forward.

Puneet: Got it, sir. And just in terms of -- you gave some color that the guidance, of course, will be coming in, in quarter 2 and post that, so point well taken. But just in terms of volumes, the cranes construction equipment and material handling, last year was around 13,300, this year at 10,800. So even because this fall, the revenue has only fallen by 1%, and you spoke about the hike. So any time the volume growth comes in, even if it's in the high single digit, can we expect revenue growth to be much, much higher than what the anticipation is?

Sorab Agarwal: I'm sure you can make the calculation. Yes, possible. That's a possibility. But we are not banking on it because these are turbulent times. So our first focus is on sustaining profitability. And wherever possible in this scenario, again, trying to increase our market share. And plus, yes, if
Action Construction Equipment Limited
May 21, 2026

Page 20 of 22

the market actually grows, which it should because last year, the base was less. So that will further add to the momentum.

Moderator: The next question is from

the line of Rajat G from Fortune.

Rajat G: So we are basically market leaders having 60%-odd market share in mobile and tower cranes. Would we be able to increase it by 5%, 10% this FY considering the chaos that's offering?

Sorab Agarwal: See the question that you just asked is a discussion we have been having internally. Yes, in the current scenario of hyperinflation we'll have to increase our pricing and all. I really do not know how easy it would be to increase market share. It is going to be very difficult rather because first of all, we have to hang on to the customers and make sure that we are able to -- we get orders at a better pricing to compensate for the inflation effect.

But in saying this, yes, because of a lot of good things and features we have added in our cranes in the last six, eight months, there should be some impact, and we should be able to increase our market share to some extent. But in the current scenario, very difficult to put a number to it again.

Rajat G: So sir, I was expecting that the smaller players must be struggling way more than us. So that's why I was asking this?

Sorab Agarwal: Yes, all other players are smaller than us. Even our closest competitor is smaller than us, but obviously, it's a much bigger company with good numbers. So everybody is struggling in this scenario. Nobody knows what is happening.

Nobody actually knows what is the actual inflation put together pricing that needs to be taken because inflation is happening on the go, and there is generally a 2-, 3-month lag because some inventories are in process, some orders are in process. Our supplier orders are in process. So when exactly how much amount is going to hit. But yes, the ballpark figure, like I mentioned earlier, is 11% to 14% is a minimum increase that we will have to take to compensate for the inflation. Now whether it is 12% eventually or 13%. And I'm sure others are finding it difficult, more difficult, I'm sure.

Rajat G: Yes, sir, chaos is a ladder, we will come out stronger?

Sorab Agarwal: We have climbed a lot of ladders in the past. We will also climb this one, I'm sure...

Moderator: The next question is from the line of Ganesh Gupat from S S Family Office.

Ganesh Gupat: Is it really safe to say from the past turbulent fiscal that the worst is really behind us?

Sorab Agarwal: I don't think so. Because last year, yes, turbulence was because of emission norms, because of India, Pakistan geopolitical operations Sindoor, American tariffs extended monsoon. But right
Action Construction Equipment Limited
May 21, 2026

Page 21 of 22

now, this year, we have entered with one of the most turbulent things for our country, which is crude oil price.

Now there are different opinions which I also get from some people. Somebody says 60 billion, 70 billion increase in oil bill will not affect the 3 trillion, 4 trillion economy to that extent. It is being overhyped.

Finally, the rupee depreciating is eventually going to help us being more competitive in the

export market. But all said and done, there is a war happening and a lot of crude oil going to different countries coming to India alone is also including LPG is blocked.

So these are turbulent times and really can't say how more turbulent it will get. So I mean it's anybody's guess. So I will have to become an astrologist to be very frank with you. But yes, we see some silver lining within this -- with respect to our endeavors of the past, whether it is the defense portfolio we are able to create or some part of the export portfolio we have been able to create.

And luckily, the base last year got reduced primarily because of the introduction of these C EV 5 new emission norm machines and some customers -- some segment of the customers were skeptical. We definitely expect to do slightly better, much better in backhoe loader segment. Tower cranes are holding up, the numbers will

increase. So it's anybody's guess. I mean if there was a certain way to make it happen, we will try all that is possible to do it.

Moderator: Ladies and gentlemen, we take this as a last question. I now hand the conference over to the management for the closing comments.

Sorab Agarwal : Yes. Like conveyed, we are in turbulent times and a lot of turbulence has happened post this West Asia conflict. Inflation is increasing. Our rupee is depreciating. Business sentiment is getting affected, maybe some consumer sentiment will get affected. But I'm sure as a company, we find ways and means.

And our first priority going ahead is to maintain and sustain our margins and then see how our numbers and our market share can increase further. And in saying all this, I can assure you that all our medium - to long -term building blocks with respect to growth, innovation, automation, improvement, strategy, whatever can be thought of is in place and all of us within our company are working hard on it.

So I'm hopeful we'll come out better out of this crisis, which our country is facing and the whole world is facing. But our country is facing a little more because we import more than 80% of our crude. But I'm sure things will be good going forward. Thank you.

Sorab Agarwal: Thank you, everyone.

Vyom Agarwal: Thank you.

Action Construction Equipment Limited

May 21, 2026

Page 22 of 22

Divyam Jain: Thank you. On behalf of 360 ONE Capital Market Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.